2022 SHRM LEARNING SYSTEM

SHRM-CP® SHRM-SCP®

COMPETENCIES

LEADERSHIP

Leadership & Navigation
Ethical Practice
Diversity, Equity & Inclusion

INTERPERSONAL

Relationship Management
Communication
Global Mindset

BUSINESS

Business Acumen
Consultation
Analytical Aptitude

SHRM®
BETTER WORKPLACES
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SOCIETY FOR HUMAN RESOURCE MANAGEMENT

Acknowledgments

SHRM acknowledges the contributions of its volunteer leaders and staff members who have served as subject matter experts for the SHRM Learning System for SHRM-CP/SHRM-SCP.

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Introduction to *HR Competencies* Module

Welcome to the SHRM Learning System® for SHRM-CP/SHRM-SCP. This Learning System represents a significant investment in your career. Whether you are using it to prepare for the SHRM Certified Professional (SHRM-CP®) or SHRM Senior Certified Professional (SHRM-SCP®) certification or to advance your professional development, you will find that the Learning System is comprehensive, complete, and easy to use.

The SHRM Learning System for SHRM-CP/SHRM-SCP materials are based on the SHRM Body of Applied Skills and Knowledge™ (SHRM BASK™), which reflects SHRM's significant research on the HR profession.

This *HR Competencies* module includes the following:

- "The SHRM Learning System" describes the Learning System's components and its development and how you should use the Learning System to prepare for the certification exam.
- "The SHRM-CP and SHRM-SCP Certifications" describes what the certification exams are like and how they are developed and maintained to ensure their integrity, security, and confidentiality.

It also covers the testing experience and how to decide which certification to pursue.

- “Review of Behavioral Competencies” discusses and illustrates the nine Behavioral Competencies included in the SHRM BASK. It will help you more fully understand the competencies as they apply to HR.

The SHRM Learning System

The SHRM Learning System

The SHRM Learning System for SHRM-CP/SHRM-SCP is developed by the Society for Human Resource Management (SHRM) and is intended to cover the SHRM Body of Applied Skills and Knowledge tested by the SHRM-CP and SHRM-SCP certification examinations.

Learning System Development

The SHRM Learning System is the market leader for HR certification preparation, and one of the reasons for its success is the careful process used to develop and maintain the program. SHRM begins pre-project planning by assembling a development team to work on the Learning System product. The development team includes SHRM staff, subject matter experts who are themselves certified, and an instructional development firm that includes content and software developers, legal counsel, and editing and production specialists. Each member of the team brings a special perspective and talent to the development effort. Together, the development team creates the Learning System and updates it every year. The result is a living, breathing product that keeps pace with the changes in the HR profession.

Key Content

Each Topic Group in the Learning System's modules begins by stating the key proficiency statements from the SHRM BASK that are addressed in that Topic Group. However, the Learning System does not "teach the test." There may be some content in the Learning System not covered by the certification exams, and conversely there will be content tested in the exams that is not covered in the Learning System. SHRM makes no warranty that use of the Learning System guarantees passage of the SHRM-CP or SHRM-SCP examination.

Neither the SHRM Certification Commission nor SHRM Certification staff have any involvement in the SHRM Learning System. SHRM Learning System subject matter experts and instructors have no access to actual exam questions.

Learning System Components

The Learning System is a feature-rich product that allows you to learn in the way in which you feel most comfortable. You may be using the Learning System to study on your own, or you may be part

of a chapter or corporate study group, SHRM seminar, or college or university class. In any case, you will want to be sure to use all of the Learning System components to maximize your study efforts.

Learning System Modules

There are four modules in the SHRM Learning System for SHRM-CP/SHRM-SCP. They include this *HR Competencies* module and three modules that correlate to the Knowledge Domains that comprise the HR Expertise competency: *People, Organization,* and *Workplace.*

In addition to the content, the modules contain a variety of helpful tools, including:

- A bibliography that provides a list of resources related to the module.
- Glossary terms that appear in boldfaced text when they are first used. Terms are defined at the back of the module.
- An index that quickly directs you to key topics.

In the print version, an icon calls your attention to key content.



At the start of the Topic Groups, brief scenarios, titled “Competency Connection,” describe how the Behavioral Competencies listed in the SHRM BASK apply to the Functional Area under discussion.

Learning System Software

A significant component of the SHRM Learning System for SHRM-CP/SHRM-SCP is the online software. You should begin and conclude your studies with the tools in the software. We encourage you to use all of the software features.

Using the Learning System

Approach the Learning System in the following way:

1. Review the SHRM BASK to become familiar with the topics that are eligible to be covered on the exam.

2. Take the pre-test to gauge your current knowledge.

3. For each learning module:
    - Read and study the content presented in the Topic Groups, including the Competency Connections that align to the Behavioral Competencies.
    - When you have completed a Functional Area or a Competency, take the associated quiz.

- Study the flashcards for each area. The flashcards (in a printable or online/mobile format) are located under each Functional Area or Competency on the menu.

4. Visit the Resource Center to access additional resources, related links, and other helpful tools.

5. Take the post-test to demonstrate your overall learning and close any gaps, practice your timing, and prepare for the Practice Exam.

6. When you are ready, take the Practice Exam, which is made up of items that have been recently administered on actual SHRM certification exams. The Practice Exam is scored in the same manner as the certification exams. You are encouraged to take the Practice Exam at the conclusion of your studies to identify any remaining gap areas needing focused study or for review before your certification exam.

   After completing the Practice Exam, review the Interpreting Your Results document online for more information.

Key Content

The SHRM Learning System for SHRM-CP/SHRM-SCP

is not a textbook; it is a learning process. Be sure that you use all of the components of the Learning System. This will help you become well-versed in the key domain areas that make up the SHRM Body of Applied Skills and Knowledge. Together the components help you to learn and retain key content and prepare for the certification exam. Make use of both the online tools at learnhrm.partnerrc.com, which include the testing software, and the learning modules.

Regardless of the exam you plan to take, for more opportunity to prepare and practice you can use both the SHRM-CP and SHRM-SCP tests in the software. It is always helpful to study both levels and get as much practice as possible in answering questions. Note that none of the questions in either Practice Exam will appear on any operational exam form.

The SHRM-CP and SHRM-SCP Certifications

The SHRM-CP and SHRM-SCP Certifications

The SHRM-CP and SHRM-SCP certification exams have been developed and maintained to ensure their integrity, security, and confidentiality. Understanding how to decide which certification to pursue and learning about the testing experience will help you reach your certification goals.

HR Certification

Many of you have already made the decision to sit for the SHRM-CP® or SHRM-SCP® certification; some of you may still be considering whether certification is valuable at this point in your career.

There are many reasons to consider certification:

- Professional certification establishes credibility. Earning the SHRM-CP or SHRM-SCP credential shows that a person has mastered the SHRM Body of Applied Skills and Knowledge™ (SHRM BASK™) and has remained current on HR developments through the recertification process.
- Certification recognizes professional achievement. It is a visible reminder to coworkers and senior management of the holder's

expertise. Of executives in the SHRM HR Careers Study, 92% state it will be important to hold a SHRM certification in the future. Plus, certified professionals are much more likely to report being respected by their colleagues and peers.

- Certification elevates the status of the HR profession. As the number of certified HR professionals grows, so does the status and prestige of the certification.
- Certification allows you to make a greater contribution to your organization's success. The knowledge and visibility you gain provide you with an opportunity to make a difference in your organization.

From a practical standpoint, there are other individual advantages:

- Certification provides a sense of personal satisfaction based on having undertaken and succeeded in a difficult endeavor. Many newly certified HR professionals say, "I did it for myself."
- A highly valued certification gives you a distinct advantage in the job market, and, when you are hiring, certification gives you an extra measure of confidence in a candidate. Also, both SHRM-CP and SHRM-SCP certificants report higher earnings after earning the certification. In particular, SHRM-CP candidates passing the exam show salaries that are 15% higher than those of non-passers, and SHRM-SCP candidates show salaries that are 14% higher. Plus, 88% of HR professionals in a large study

agreed that SHRM certification increases the likelihood of obtaining a promotion.

- Certification is portable across different companies and positions. It moves with you as you change companies and careers. And, for many federal employees, certification helps make the transition from the public sector to the private sector.

Selecting the Right SHRM Certification Exam

The first step in selecting the right SHRM certification credential is to determine your eligibility. Eligibility for the SHRM-CP or SHRM-SCP certification is based on a combination of education and HR-related work experience.

Individuals who perform HR duties and who wish to verify, validate, enhance, and/or expand their HR capabilities are likely candidates for SHRM-CP or SHRM-SCP certification. SHRM membership is not required for eligibility, and individuals need not be employed at the time they apply. Specific criteria for each credentialing level are as follows.

SHRM Certified Professional (SHRM-CP):

- The SHRM-CP certification is for individuals who perform general HR/HR-related duties or for those pursuing a career in human resource management.
- Candidates for the SHRM-CP certification are not required to hold an HR title and do not need a degree or previous HR experience to apply; however, a basic working knowledge of HR practices and principles is recommended.
- The SHRM-CP exam is designed to assess the competency level of those who engage in HR work at the operational level. Work at this level includes duties such as implementing HR policies, supporting day-to-day HR functions, or serving as an HR point of contact for staff and stakeholders.
- Refer to the SHRM BASK for detailed information on proficiency standards for this credential (i.e., *only* proficiency indicators for all HR professionals).

SHRM Senior Certified Professional (SHRM-SCP):

- The SHRM-SCP certification is for individuals who have a work history of at least three years performing strategic-level HR/HR-related duties or for SHRM-CP credential holders who have held the credential for at least three years and are working in, or are in the process of transitioning to, a strategic-level role.
- Candidates for the SHRM-SCP certification are not required to hold an HR title and do not need a degree to apply.

- The SHRM-SCP exam is designed to assess the competency level of those who engage in HR work at the strategic level. Work at this level includes duties such as developing HR policies and/or procedures, overseeing the execution of integrated HR operations, directing an entire HR enterprise, or leading the alignment of HR strategies to organizational goals.
- Applicants must be able to demonstrate that they have devoted at least 1,000 hours per calendar year (January–December) to strategic-level HR/HR-related work. More than 1,000 hours in a calendar year does not equate to more than one year of experience.
- Part-time work qualifies as long as the 1,000-hour-per-calendar-year standard is met.
- Experience may be either salaried or hourly.
- Individuals who are HR consultants may demonstrate qualifying experience through the HR/HR-related duties they perform for their clients. Contracted hours must meet the 1,000-hour standard.
- Refer to the SHRM BASK for detailed information on proficiency standards for this credential (i.e., *both* proficiency indicators for all HR professionals *and* those for advanced HR professionals).

For application procedures, contact your program administrator.

Even if you are eligible to sit for the SHRM-SCP exam, you may still decide to pursue the SHRM-CP credential.

Another approach to selecting the right SHRM certification exam is to read the SHRM BASK and assess which proficiency indicators represent the work you perform on a daily basis. If your daily work most resembles the proficiency indicators listed for advanced professionals, then we suggest applying for the SHRM-SCP exam. If your daily work most resembles the proficiency indicators listed for all professionals, then we suggest registering for the SHRM-CP exam.

Exhibit 1 shows the differences in national pass rates between the SHRM-CP and SHRM-SCP exams.

Exhibit 1: Pass Rates for SHRM-CP/SHRM-SCP Exams

Exam Window	SHRM-CP	SHRM-SCP
May–July 2021	67%	48%
December 2020–February 2021	67%	51%
May 2020–August 2020	67%	54%
December 2019–February 2020	66%	41%
May 2019–July 2019	68%	55%

Once you earn your SHRM certification, you retain it as long as you fulfill the recertification requirements. For more information on SHRM certification and the recertification process, visit the SHRM website at shrmcertification.org.

SHRM Certification Exams

You will see two types of items on the SHRM-CP/SHRM-SCP certification exams:

- **Knowledge Items** test one piece of information, have a single correct answer, and are anchored to a source. These items test recall of knowledge or a candidate's understanding of information, ability to apply knowledge to solve problems, or ability to apply knowledge to predict an outcome. There are two types of Knowledge Items. Items referred to as basic Knowledge Items (KIs) cover key concept topics in the HR Knowledge Domains, while those referred to as Foundational Knowledge Items (FKIs) cover key concept topics in the Behavioral Competency areas. The exam presents four possible answers, but only one is correct.

- **Situational Judgment Items (SJIs)** assess a candidate's judgment and decision-making skills associated with the proficiency indicators for each of the nine Behavioral

Competencies outlined in the SHRM BASK. Each set of SJIs is preceded by a scenario outlining a work situation experienced by HR professionals. The two to four items that follow each scenario require examinees to assess the situation and select the “best” or “most effective” course of action to solve the problem presented in the question. Each item presents four possible options ranging from least effective to most effective or best. All are viable resolutions; however, only one represents the “best” or “most effective” option. Examinees will receive full credit for choosing the key (another name for the best or most effective course of action). An examinee receives no credit for selecting any option that is not the key.

The online exams that are a critical part of the SHRM Learning System include all item types. Using the online tools in the Learning System will help you become more familiar with the format of the items and the logic behind their construction.

Candidates for the SHRM-CP and SHRM-SCP exams will have 3 hours and 45 minutes to answer a total of 134 multiple-choice questions, of which approximately 80 will be stand-alone Knowledge Items and approximately 54 will be Situational Judgment Items.

Both exams include 24 “field test” items (discussed below) that do not count toward a candidate’s final score. Of the items, 110 of 134

are scored and determine an examinee's test results.

"Field Test" Items

Of the 134 items on the exam, approximately 24 are designated as "field test" items, which are not scored. These items are interspersed randomly throughout the exams so that candidates will not be able to distinguish them from those that are scored.

Field testing allows items to be assessed for their quality and viability before they are used as scored items. Field testing new items is necessary in order to continuously refresh the material on the SHRM-CP and SHRM-SCP exams for each testing window.

Distribution of Items

The distribution of items with respect to content and item type is the same for both the SHRM-CP and SHRM-SCP exams. As shown in Exhibit 2, approximately half of the items on each exam are allocated across the three Behavioral Competency Clusters and the other half are allocated across the three Knowledge Domains.

Exhibit 2: Distribution of Items Across Each Subject Area in Certification Exams

Behavioral Competency Clusters	Percent of Scored Items	Cluster	Behavioral Competencies in Cluster

	17%	Leadership	Leadership & Navigation Ethical Practice Diversity, Equity & Inclusion
	16.5%	Interpersonal	Relationship Management Communication Global Mindset
	16.5%	Business	Business Acumen Consultation Analytical Aptitude
	Percent of Scored Items	**Domain**	**Functional Areas in Domain**
HR Knowledge Domains (HR Expertise)	18%	People	HR Strategy Talent Acquisition Employee Engagement & Retention Learning & Development Total Rewards
	18%	Organization	Structure of the HR Function Organizational Effectiveness & Development Workforce Management Employee & Labor Relations Technology Management
	14%	Workplace	Managing a Global Workforce Risk Management Corporate Social Responsibility U.S. Employment Law & Regulations

Exam Development Process

SHRM partners with organizations providing expertise in test development, analytics, and test delivery to ensure that the exams and the examination process meet the highest quality and security standards. SHRM's certification partners are industry experts who provide services for a wide range of prominent testing programs.

The partners' work helps ensure the validity and reliability of the assessments, the security of test information, and the confidentiality of applicant data.

SHRM certification exams undergo a rigorous development and evaluation process at all stages to ensure that they meet the highest possible standards. Exam development begins with SHRM-certified practitioners (SMEs), who work with SHRM exam development staff and professional exam developers to write and review exam items. Item writers and reviewers are a geographically and ethnically diverse group from varying organizational sizes and industries all across the world who represent a broad spectrum of HR practice and experience.

The exam development process is a multi-stage effort in which the following activities occur:

- **Item writing.** Item writers are recruited and trained to write quality items that accurately reflect the material outlined in the SHRM BASK at the SHRM-CP and SHRM-SCP levels.

- **Item review.** Items are put through a battery of reviews to verify or improve clarity and alignment to the SHRM BASK, to ensure consistency with HR best practices, to confirm readability and understanding, particularly as it relates to an international market, and to screen out insensitive content.
- **Score validation.** SJIs are put through an additional review to validate the effectiveness of each SJI response option. Items must meet the minimum statistical criteria in order to be approved for consideration for field testing.

Items that survive all the developmental stages are then placed on the exams as field-test items. After they are administered, field-tested items are analytically evaluated to ensure that they are of an appropriate level of difficulty and appropriately differentiate examinees who pass and those who do not.

Field-tested items that survive analytical review become scored items on future operational test forms.

All items (both scored and field-tested) undergo additional analytic review during and after the testing window to ensure that they are functioning as expected. Exam items that do not function as expected are reevaluated and may be removed from final scoring or have their key corrected prior to the generation of final scores and certification decisions.

SHRM Certification Commission

The SHRM Certification Commission serves as a governance body for the certifying activities of SHRM. The Commission is responsible for ensuring the quality and impartiality of the SHRM Certification Program, which is designed to meet the highest standards in the industry.

The Commission oversees all aspects of the SHRM Certification Program, including the overall development of the exam, exam eligibility requirements, and maintenance of certification (recertification). Its responsibilities include review and approval of such aspects as exam specifications and scoring, recertification criteria, and maintaining the integrity of the certification process.

The Commission comprises individuals who have extensive HR and business expertise from industries and organizations around the world. Commission membership is voluntary, and, as such, members do not receive financial compensation for their service but are reimbursed for fair and reasonable expenses that are directly related to Commission business.

Exam Experience

The SHRM certification exams are administered by Prometric, SHRM's test delivery vendor. Prometric operates a secure network of thousands of test centers in more than 180 countries. The exams are delivered by computer. The duration of the exam appointment is 4 hours. The time is broken down into four parts:

- Confidentiality agreement reminder—2 minutes
- Introduction and tutorial—8 minutes
- Exam—3 hours, 45 minutes (225 minutes administered in two equal halves)
- Post-exam survey—5 minutes

As noted above, you will have the opportunity to complete a brief tutorial prior to the beginning of your exam that will acquaint you with the features and functionality of the testing platform. Candidates are strongly encouraged to take advantage of this opportunity to familiarize themselves with the software before testing. The time set aside for this activity does not count against the time allotted for the exam. Candidates may also preview the tutorial on Prometric's website at www.Prometric.com/shrm.

Upon completion of the exam, candidates receive preliminary notification of their results at the testing center. The result will be in the form of a pass or did not pass message. Several weeks later, candidates are notified of the availability of their official score report.

The notification instructs candidates to go to the “My Results” tab in the certification portal to retrieve the information. To protect confidentiality, results are not provided by e-mail, phone, or fax.

The score report provides the following information:

1. **A general statement of performance.** Candidates are told that they either passed or did not pass the exam.

2. **A scaled score.** Results on the exams are reported as a scaled score. The range of possible scores is 120 to 200. All candidates who pass the exam receive the maximum score of 200.

3. **Performance feedback.** A diagnostic diagram containing a high-level illustration of a candidate’s performance in each of the three Knowledge Domains (People, Organization, Workplace) and Behavioral Competency Clusters (Business, Leadership, Interpersonal) is provided. In accordance with certification program standards, detailed, item-level feedback is not permitted or provided.

Candidates who pass the exam will receive an official congratulatory letter and credential certificate, also posted in the “My Results” tab in the certification portal. The letter confirms that they have passed the exam, successfully completing the certification process. The order

process for a framed certificate and other collateral is initiated one week after the official results are received. At that time, new credential holders will receive an e-mail inviting them to place an order for SHRM certification materials.

Key Content

SHRM shares Prometric test centers with many other certification and licensure programs, so apply for and schedule your exam well in advance of the testing date so that your preferred time will be available. Most examinees take the exams in the last month of the testing window; schedule your appointment as soon as you receive your Authorization to Test (ATT) letter.

You now have the option to take your SHRM-CP or SHRM-SCP exam from home through live remote proctoring, administered by Prometric. Taking the exam through the live remote proctoring option means your testing session will be monitored by a qualified proctor through audio-video and screen-share feed in real time. Selecting this option also requires you to meet certain computer system and testing environment standards.

More information can be found at http://bit.ly/remote-proctoring-faqshttp://bit.ly/remote-proctoring-faqs.
Please read the FAQs thoroughly before deciding on in-person testing versus live remote proctoring.

How Do I Register for the Exam?

To apply online:

1. Visit shrmcertification.org.
2. Create a user account. Enter your name as it appears on your unexpired government-issued identification.
3. If you are a SHRM member, use the same single-sign-on email address you use for your SHRM membership.
4. During an open registration window, select the SHRM-CP or SHRM-SCP certification exam.
5. Complete the application form with your eligibility, job, and demographic information.
6. Complete and submit paperwork for testing accommodations if applicable.

7. Read and accept the following agreements:
    - SHRM Certification Candidate Agreement
    - SHRM Bylaws and Code of Ethics
    - SHRM Privacy Policy
    - Policies and procedures outlined in the Certification Handbook
8. Submit payment for your certification exam.

Upon verification and/or audit, you will receive an Authorization to Test (ATT) letter via e-mail within 10 business days. After receiving your ATT letter, schedule your exam with SHRM's test delivery vendor at www.prometric.com/shrm or call +1.888.736.0134. Choose your testing date right away, and make your appointment.

Preparing for the Exam

SHRM recommends that candidates planning to take the SHRM certification exams:

- Review the SHRM BASK thoroughly. The SHRM BASK is the content outline (also known as the blueprint) for the exams. Candidates should study all of its aspects and content, including the additional resources at the end of the document. Such information could prove relevant to questions on the SHRM-CP and SHRM-SCP exams.

- Review Exhibit 2 above, “Distribution of Items Across Each Subject Area in Certification Exams,” paying particular attention to the percentage allocated to each area. Candidates less familiar with certain topics, especially areas covered by a significant proportion of test questions, are advised to allow for additional study time.

Key Content

The Learning System’s software and learning modules provide you with a multitude of questions to test your knowledge and competencies. Use these questions to hone your test-taking and reasoning skills. The more you practice answering questions, the better you will become at testing. The questions emulate the style of the questions in the certification exams and are based on the SHRM Body of Applied Skills and Knowledge, but you will not see these exact questions on the certification exams.

The Learning System software also contains a Practice Exam that consists of recently-administered items tested on actual SHRM certification exams. It should help you prepare for the certification exam.

Once you know as much as you can about the test, you can begin to prepare for the test itself and engage in appropriate study habits. It is important for you to take charge of your own study plan in addition to taking the following study tips into consideration:

- Set study goals and a study time line. Plan and allocate time in your schedule for studying.
- Study regularly. Research has shown that retention of lectures or the reading of text material *without periodic review* results in:
  - 47% forgotten in 20 minutes.
  - 62% forgotten in one day.
  - 75% forgotten in 15 days.
  - 78% forgotten in 31 days.
- Relate the material you are studying to what you already know.

Key Content

The ideal preparation for tests is *spaced reviews and interaction with and reinforcement from others.* A single encounter with a piece of information is not enough to ensure the type of long-term learning that is necessary for success on the certification exams.

The SHRM BASK

The SHRM BASK

The SHRM Body of Applied Skills and Knowledge is the foundation for the certification process, the certification exams, and this Learning System. It is a complex document, but you should familiarize yourself thoroughly with it. The complete interactive and searchable SHRM BASK can be found at www.shrm.org/certification.

The SHRM BASK focuses on knowledge, skills, abilities, and other characteristics (KSAOs) that are both universal and global. Universal KSAOs are accepted as good or best practices around the world; global KSAOs equip HR practitioners to perform their responsibilities in an increasingly global economy.

Key Content

It is critical for today's HR professionals to appreciate both the domestic and global dimensions of their organizations and the impact these dimensions have on HR practices. Organizations that maintain groups of employees in different nations, offshore certain functions, or assign employees outside the home country are obviously global. However, HR professionals are touched by global business practices and cultures in many ways,

even in organizations that appear entirely local.

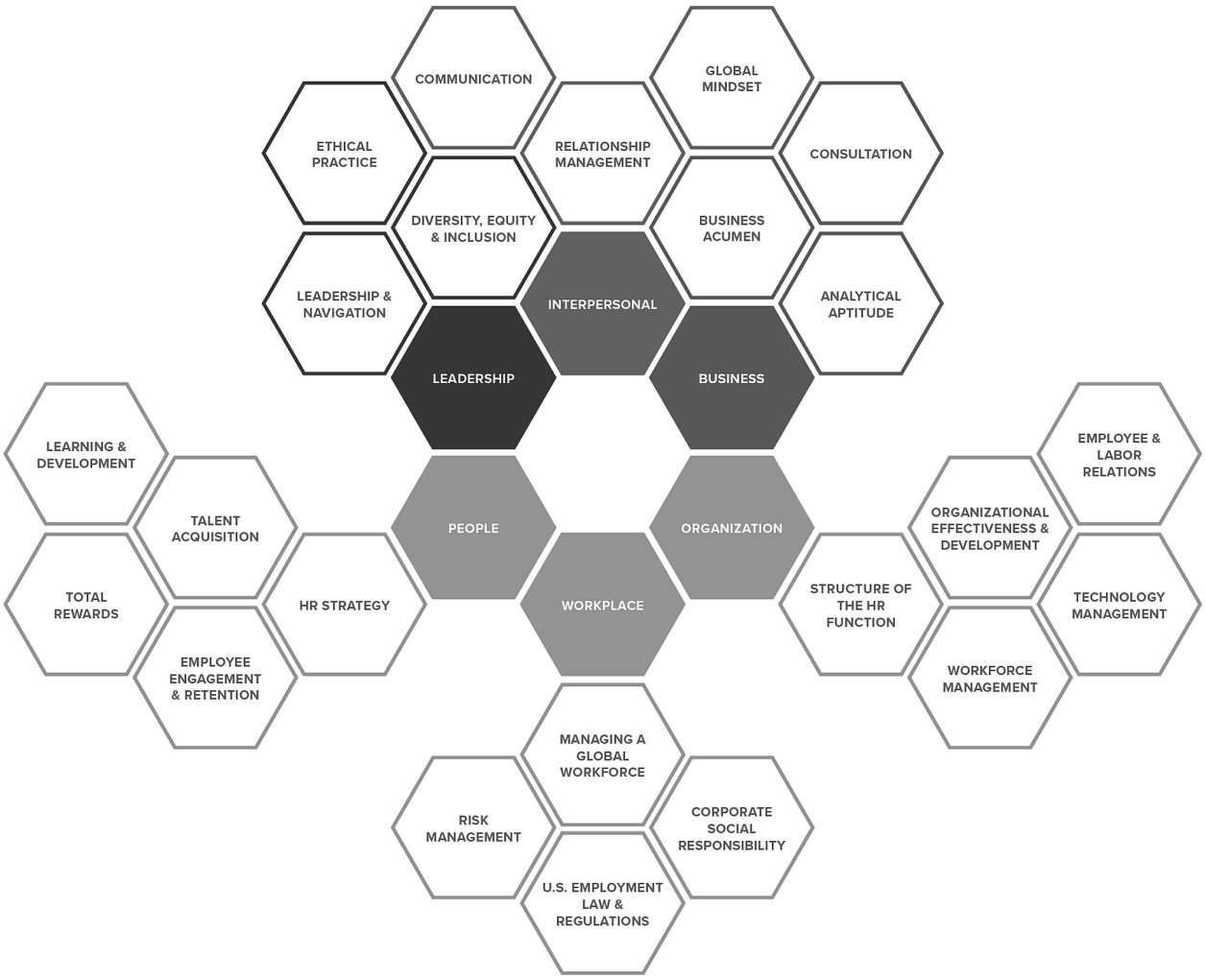
Organizations may:

- Have customers located around the world.
- Rely on global supply chains.
- Employ individuals from other countries. Some employees may come from third countries—in other words, they are not native to the organization's home country or the country in which they are working.
- Have culturally diverse workforces.

You may think the global references in the SHRM BASK and the Learning System do not apply to you, but you should master this content for the exam and develop your own global mindset. If the organization you work for is not global now, it probably will be in the near future, or an organization where you work in the future will be.

Exhibit 3 illustrates how the KSAOs are integrated in the SHRM BASK. This integration is the distinctive feature of the BASK.

Exhibit 3: SHRM Body of Applied Skills and Knowledge



An HR professional must possess the skills and knowledge required to perform sound human resource management (HRM) practices effectively—the foundation layer of the pyramid, the three HR Knowledge Domains. This technical expertise is only a foundation; it must be complemented by behavioral expertise—behaviors that have been observed in effective HR professionals. To provide an organizing framework for the Behavioral Competencies, SHRM has

grouped them into three clusters: Leadership, Interpersonal, and Business. These three clusters comprise the nine Behavioral Competencies, which describe the behaviors and key concepts required for proficient job-related behavior. The Behavioral Competencies allow HR professionals to leverage their mastery of HRM practices and generate “effective individual performance.” This performance contributes directly to successful outcomes for their organizations. It is not enough to have HR knowledge and skills. An HR professional must be able to use HR expertise with effect in the workplace. That requires a complete array of behavioral and technical competencies.

Organization of the SHRM BASK

The HR competencies and knowledge that are assessed on the SHRM-CP and SHRM-SCP certification exams are detailed in two sections of the SHRM BASK.

Section 1—Behavioral Competencies

The nine Behavioral Competencies, which describe the behaviors and attributes necessary for HR professionals to perform effectively in the workplace, are grouped into three clusters: Leadership, Interpersonal, and Business.

This section of the SHRM BASK is arranged by cluster. For each competency within each cluster, the following information is provided:

- A *definition* of the competency
- *Key concepts* describing the foundational knowledge for the competency
- *Subcompetencies* applicable to the competency, with their definitions
- *Proficiency indicators*, listed by applicability based on career level (i.e., applicable to all HR professionals or to advanced HR professionals)

Regarding the two sets of proficiency indicators listed for each competency, it is important to recognize that the indicators relevant to all HR professionals *also* apply to advanced HR professionals. While HR executives, for instance, may not be specifically proficient in certain transactional tasks required of early-career HR professionals, they should nonetheless understand the concepts behind those tasks, recognize their strategic importance, and be able to mentor junior employees in developing the behaviors to implement them. Such indicators of proficiency thus apply to all HR professionals, from early-career to senior levels.

Section 2—HR Expertise

The single technical competency of HR Expertise is grouped into three Knowledge Domains: People, Organization, and Workplace, and further divided into 14 HR Functional Areas that describe the technical knowledge required to perform key HR activities.

For each Functional Area within each domain, the following information is provided:

- A *definition* of the Functional Area
- *Key concepts* describing the knowledge specific to the Functional Area
- *Proficiency indicators,* listed by applicability based on career level (i.e., applicable to all HR professionals or to advanced HR professionals)

Regarding the two sets of proficiency indicators listed for each Functional Area, it is important to recognize that the indicators relevant to all HR professionals *also* apply to advanced HR professionals. While HR executives, for instance, may not be specifically proficient in certain functions required of early-career HR professionals, they should nonetheless understand the concepts behind those functions, recognize their strategic importance, and be able to mentor junior employees in developing the behaviors to perform them. Such indicators of proficiency thus apply to all HR professionals, from early-career to senior levels.

Review of Behavioral Competencies

The Nine Behavioral Competencies

Human resource professionals have increasingly used the term “competency” in recent years to describe a complex set of interrelated skills, knowledge, and abilities that are often associated with success in a specific job. This reflects the fact that acquisition of specific knowledge and experience before performing certain tasks does not necessarily produce the desired performance.

Success appears to require characteristics that may be harder to identify and measure but nonetheless *must* be measured and reported for hiring managers to make the most effective decisions. Competencies—measurable or observable knowledge, skills, abilities, and other characteristics critical to successful job performance—fill this gap. Competency frameworks provide structure around those competencies for job success.

The Society for Human Resource Management set a goal of raising the caliber of the human resources professional. To do this, SHRM realized that the profession had to apply the principles of competencies and competency frameworks to its occupation. HR needed to identify what competencies were associated with effective, high-performing HR professionals. SHRM performed this research with HR professionals in 33 countries. More than 32,000 HR

professionals participated in the development and validation of the eventual competency model.

SHRM's competency model reflects the breadth of HR's successful practice with various constituents, including HR's engaging:

- With the organization vertically, from senior management to new hires.
- Horizontally across all divisions and functions of the organization.
- With external stakeholders as well as internal customers.
- With groups, including entire workforces or individuals.

To succeed in this broad role, an HR professional must possess and demonstrate the ten competencies described in the SHRM BASK—Leadership & Navigation; Ethical Practice; Diversity, Equity & Inclusion; Business Acumen; Relationship Management; Consultation; Analytical Aptitude; Communication; Global Mindset; and HR Expertise (HR Knowledge).

HR Expertise, a Technical Competency, is the ability to apply HR principles and practices to the success of the organization. It is thoroughly defined through the Functional Areas of the SHRM Body of Applied Skills and Knowledge.

Here we will focus on the remaining nine competencies, which are behavioral in nature. They can be identified and evaluated by the way

HR professionals perform the many and various transactions and events that mark their professional lives—from entry level to leadership positions.

The two levels of performance indicators described for each Behavioral Competency—indicators that have been observed in all effective HR professionals (SHRM-CP) and indicators that characterize HR professionals working as leaders in their organizations (SHRM-SCP)—reflect the fact that an HR professional's performance changes over time as individuals gain both experience and responsibilities in their organizations.

Leadership & Navigation Competency

Leadership & Navigation Competency

The first Behavioral Competency in the SHRM model is Leadership & Navigation, defined as:

> The knowledge, skills, abilities and other characteristics (KSAOs) needed to create a compelling vision and mission for HR that aligns with the strategic direction and culture of the organization, accomplish HR and organizational goals, lead and promote organizational change, navigate the organization, and manage the implementation and execution of HR initiatives.

Expertise in Leadership & Navigation enables HR professionals to keep the organization focused on its goals, to use the talent in the organization fully by generating greater collaboration among employees and fostering continuous growth, and to help the organization to overcome obstacles. This requires diverse KSAOs, including using the leadership role to represent HR perspectives and interests to the organization, fostering leaders within HR, using influence to persuade others to support HR's goals, and motivating groups to work toward a common goal.

Leadership

Proficiency indicators related to this section include:

- Builds credibility as an HR expert within and outside of the organization.
- Defines actionable goals for the development and implementation of HR programs, practices, and policies that support the strategic vision of HR and the organization.
- Defines and elaborates project requirements set by leadership.
- Demonstrates agility and adaptability when project requirements, goals, or constraints change.
- Facilitates communication and decision-making necessary to implement initiatives.
- Identifies and monitors the resources necessary to implement and maintain HR projects.
- Identifies opportunities to improve HR operations that better align with and support the strategic vision of HR and the organization.
- Identifies when resource allocation is inconsistent with project needs and makes adjustments as necessary.
- Sets and monitors project goals and progress milestones.

- Supports the implementation of HR programs, practices, and policies that uphold the strategic vision of HR and the organization.
- Develops and socializes a broad plan to achieve the strategic direction, vision, and goals of HR and the organization.
- Develops the long-term strategic direction, vision, and goals of HR and the organization, to close the gap between the current and ideal states of the HR function and the organization.
- Envisions the current and ideal future states of the HR function, organization, and culture, to identify gaps and areas for improvement.
- Monitors the progress of HR initiatives toward achievement of HR's vision, strategic direction, and long-term goals.
- Pivots HR strategy, approaches and/or programs in response to significant changes within and outside of the organization.
- Solicits feedback from executive-level stakeholders on strategic direction, vision, and goals.
- Translates HR's vision, strategic direction, and long-term goals into specific projects and initiatives with clear timelines and goals.
- Uses an understanding of complex relationships among organizational leaders to facilitate the design, implementation, and maintenance of initiatives.

Key concepts related to this section include:

- Leadership theories (examples include situational leadership, transformational leadership, participative leadership, inclusive leadership, leader-member exchange theory [LMX], servant leadership, transactional leadership, trait theory, contingency theory).
- People management techniques (examples include directing, coaching, supporting, delegating, mentoring)

Leadership

Effective HR leadership combines several critical skills: the ability to see opportunities and problems, to envision a different future and design a path toward it, to rally necessary support within the organization, and to manage initiatives that create measurable and sustainable benefits.

Competency Connection

The HR professional in this scenario helped her organization realign head count to optimize benefits costs and managerial efficiency. She used her Business Acumen and Analytical Aptitude competencies to understand the issue more fully and then used her Relationship Management and Communication skills to win support for and implement a solution.

The HR professional is an HR director for a health and fitness business with multiple locations. The business typically has about 350 employees, although employment does predictably rise during vacation periods.

The chief financial officer came to the HR director with an interesting and concerning observation: Head count had grown by 8% over the past year although no new department programs or specific positions

had been added. Although the business was increasing its revenue, this situation might be depressing revenue growth.

HR launched an investigation and discovered that hiring managers, across all departments, had allowed employees to reduce the number of hours they worked and then filled the open shifts with additional staff. The reasons for reduction in hours were varied, and sometimes they were understandable (for example, children's school activities, the demands of other jobs they were holding, university class schedules). Sometimes an employee simply did not want to work nights or weekends. Instead of insisting that staff maintain the minimum number of hours required for their position, managers allowed employees to work fewer hours. Many managers commented that these were "good employees" or they had "worked here a long time" and the managers felt bad about letting them go because they could no longer work specific hours.

At HR's suggestion, the company implemented a temporary hiring freeze. To minimize panic, HR communicated with all employees through an e-mail. HR positioned the freeze as part of an efficiency study, not a tactic necessitated by poor revenue. The e-mail expressed pride in the workforce but described the unsustainable situation. Too many people were working too few hours. This put a strain on customer service since employees with low attendance

were not available when a fitness center tried to change hours to meet customer needs. It strained company costs since all employees, without regard to the number of hours worked, enjoyed the benefits of fitness center membership for all family members. It also strained managers' efficiency since they had to supervise more employees. As a result, during the coming months, HR would be working with departments to establish minimal expectations of hours worked for current and future hires. HR and managers would work with individual employees to meet these expectations.

The HR director was able to draw on her knowledge of business needs and her understanding of the frequent time pressures on the company's employees. The initiative also benefited from the culture that its leaders had created. The concept of sharing employees and working together across department lines was accepted enthusiastically.

The Role of the Leader

The term "human resource management" points immediately to the role of management skills for HR professionals. The 20th-century French management theorist Henri Fayol defined the functions of management as planning, organizing, staffing, directing, and controlling.

These management skills are necessary for HR professionals to assist their organizations in implementing their strategies, but just as important as management skills is the ability to create an organizational environment that develops, releases, and includes team talents and perspectives.

Daniel Goleman reported in the *Harvard Business Review* on research into the impact of different leadership styles on factors that help create motivation and engagement in a workplace. The research indicated that leadership style affects:

- Employees' ability to make decisions that affect their work.
- Employees' sense of responsibility to the organization or team.
- The standards employees seek to meet or exceed.
- Employees' belief that they will be rewarded for their work.
- An understood mission and shared values.
- A feeling of commitment to a shared goal.

Because environments differ and situations change, HR professionals need to become more skillful at understanding their team needs and their organizations' cultures and more flexible and thoughtful in being the leader that the situation calls for. They can then help other leaders in their organization to fulfill their roles more effectively.

Approaches to Leading

Six approaches to leadership are summarized in Exhibit 4. There is no single effective approach to leadership. Different approaches may be more or less effective in achieving results under certain conditions. The different approaches also have different effects on the organization's environment. For example, coercive leadership may be effective at certain times but tends to weaken the workplace environment.

Exhibit 4: Leadership Approaches

Approach	Suitability
Coercive: The leader imposes a vision or solution on the team and demands that the team follow this directive.	• Effective during crises when immediate and clear action is required. • Ineffective at other times when it can damage employees' sense of ownership in their work and motivation.
Authoritative: The leader proposes a bold vision or solution and invites the team to join this challenge.	• Effective at times when there is no clear path forward and when the proposal is compelling and captures the team's imagination. Team members have a clear goal and understand their roles in the effort. They are encouraged to contribute their own ideas and take risks. • Ineffective when the leader lacks real expertise.
Affiliative: The leader creates strong relationships with and inside the team, encouraging feedback. The team members are motivated by loyalty.	• Effective at all times but especially when a leader has inherited a dysfunctional and dispirited team that needs to be transformed. Leader must have strong relationship-building and management skills. • Ineffective when used alone. For example, opportunities to correct or improve performance may not be taken because the affiliative leader fears damaging a relationship.

Approach	Suitability
Democratic: The leader invites followers to collaborate and commits to acting by consensus.	• Effective when the leader does not have a clear vision or anticipates strong resistance to a change. Team members must be competent; leaders must have strong communication skills. • Ineffective when time is short, since building consensus takes time and multiple meetings.
Pacesetting: The leader sets a model for high performance standards and challenges followers to meet these expectations.	• Effective when teams are composed of highly competent and internally motivated employees. • Ineffective when expectations and the pace of work become excessive and employees become tired and discouraged. In the leader's attempt to set high goals, he or she may focus exclusively on the task and not give enough time to activities that motivate team members, such as feedback, relationship building, and rewards.
Coaching: The leader focuses on developing team members' skills, believing that success comes from aligning the organization's goals with employees' personal and professional goals.	• Effective when leaders are highly skilled in strategic management, communication, and motivation and when they can manage their time to include coaching as a primary activity. Team members must also be receptive to coaching. • Ineffective when employees resist changing their performance.

Key Content

It is important to recognize the difference between coaching and mentoring. Mentoring helps an employee navigate and understand the organization, which in turn can help them determine a career path. It is an approach to people management focused on both character and fostering skills. When a relationship is based on more than just a future

promotion, the mentor can help the mentee invest in and develop their self-awareness, empathy, confidence, respect for others, and relationship-building skills. A mentoring relationship is most effective when the mentor has time to commit to the relationship and when the mentee is after more than just career advancement.

Universal Characteristics of Leaders

The importance of certain leadership characteristics will vary among cultures, but in general effective leaders draw their authority less from their hierarchical positions and titles and more from personal characteristics and skills. They achieve results through their teams and share recognition and opportunities for growth with team members. They are not “solo leaders” who must direct everything.

Effective leaders tend to be trustworthy, ethical, motivational, efficient, collaborative, and focused on continuous improvement. Ineffective leaders are focused on their own needs and goals, poor at developing and sustaining relationships, and given more to ordering and demanding. Exhibit 5 lists characteristics associated with effective and ineffective leaders.

Exhibit 5: Universal Leadership Characteristics

Universal Characteristics That Define Leadership	Universal Characteristics That Detract from Leadership
Trustworthy and dependable	Asocial (doesn't value relationships)
Just	Poor at communicating (both sending and receiving messages)
Honest	Noncooperative
Thinks and plans ahead	Irritable
Encouraging	Egocentric
Positive	Ruthless
Dynamic	Dictatorial
Motivational	
Confidence building	
Decisive	
Committed to excellence	
Intelligent and informed	
Effective, win-win bargainer	
Administratively skilled	
Communicative	
Organized	

Key Content

Although leaders' personal styles may differ, management experts agree about the behaviors that distinguish effective and ineffective leadership in organizations and in the HR function.

Effective HR leaders:

- Develop and coach others.

- Build positive relationships.
- Model their values and fulfill their promises and commitments.
- Have functional expertise.

Ineffective HR leaders:

- Focus internally rather than externally, failing to look outside the HR function to the organization's internal and external stakeholders.
- Lack strategic perspective, focusing on short-term objectives and daily tasks.
- Do not anticipate or react well to change.
- Resist "stretch" goals and act as a drag on the organization's attempts to innovate.

Leadership Theories

Although approaches to leadership can change, individuals often develop a "default" style of leadership. Understanding theories of leadership can help HR professionals to identify these default styles—in themselves and in those they work with, both inside and outside the organization—and to plan ways to adapt their own styles or to

work effectively with a colleague with a different style. Exhibit 6 summarizes key points of several leadership theories.

Exhibit 6: Leadership Theories

Theory	Description
Trait Theory	• Leaders possess certain innate characteristics that followers do not possess (and probably cannot acquire), such as physical characteristics (for example, strength, stamina) and personality traits (for example, decisiveness, integrity). Sometimes referred to as the “Great Man” theory. • It equates these characteristics and leadership but without evidence. • It may discourage leader development by implying that the ability to lead cannot be acquired with study and practice.
Behavioral Theories	Leaders influence group members through certain behaviors.

Theory	Description
Blake-Mouton Theory	• Leadership involves managing: ○ Tasks (work that must be done to attain goals). ○ Employees (relationships based on social and emotional needs). • Five types of managers, only one of which (team leader) is considered a leader: ○ Country club managers (low task, high relationship) create a secure atmosphere and trust individuals to accomplish goals, avoiding punitive actions so as not to jeopardize relationships. ○ Impoverished managers (low task, low relationship) use a “delegate-and-disappear” management style. They detach themselves, often creating power struggles. ○ Authoritarian managers (high task, low relationship) expect people to do what they are told without question and tend not to foster collaboration. ○ Middle-of-the-road managers (midpoint on both task and relationship) get the work done but are not considered leaders. ○ Team leaders (high task, high relationship) lead by positive example, foster a team environment, and encourage individual and team development.
Situational Theories	Building on behavioral theories, situational theories propose that leaders can flex their behaviors to meet the needs of unique situations, employing both task or directive behaviors and relationship or supportive behaviors with employees.

Theory	Description
Hersey-Blanchard Situational Leadership	• Leaders adapt their behaviors to meet the evolving needs of team members. Like Blake-Mouton, the behaviors involve tasks and relationships. • As team members grow in skill and experience, leaders supply the appropriate behavior: 1. **Telling** when the employee is not yet motivated or competent. 2. **Selling** when the increasingly competent employee still needs focus and motivation ("why are we doing this"). 3. **Participating** when competent workers can be included in problem solving and coached on higher skills. 4. **Delegating** when very competent team members can benefit from greater levels of autonomy and self-direction.
Fiedler's Contingency Theory	• Leaders change the situation to make it more "favorable," more likely to produce good outcomes. • "Situation favorableness" occurs when: ○ Leader-member relationships are strong. ○ Task structure and requirements are clear. ○ The leader can exert the necessary power to reach the group's goal. • Unfavorable situations must be changed to improve group (and leader) effectiveness. This can include: ○ Improving relations between the leader and the team (for example, by building trust). ○ Changing aspects of the task (for example, breaking a project down into more manageable pieces, providing more resources for the team). ○ Increasing or decreasing the leader's exercise of power (for example, to increase team involvement in and ownership of ideas, to decrease harmful conflict or resistance to change).

Theory	Description
Path-Goal Theory	This theory emphasizes the leader's role in coaching and developing followers' competencies. The leader performs the behavior needed to help employees stay on track toward their goals. This involves addressing different types of employee needs: • Directive—Help the employee understand the task and its goal. • Supportive—Try to fulfill employee's relationship needs. • Achievement—Motivate by setting challenging goals. • Participative—Provide more control over work and leverage group expertise through participative decision making.
Emergent Theory	Leaders are not appointed but emerge from the group, which chooses the leader based on interactions.
Transactional Leadership	This theory emphasizes a leader's preference for order and structure. It focuses on control and short-term planning. • Employees and subordinates are expected to follow orders from above. • Employees and subordinates are motivated by rewards and consequences. • Employees and subordinates are closely monitored to ensure that work is done properly and on time. • Creativity and inventiveness are not typically encouraged or nurtured. Transactional leadership is more commonly found in the military and large and multinational organizations.

Theory	Description
Transformational Leadership	This theory emphasizes a leader's ability to inspire employees to embrace change. Transformational leaders are able to encourage and motivate their employees to innovate in their work, to seek out changes that can add value and growth to the organization. Transformational leaders do not micromanage. They give their employees greater autonomy to make decisions and come up with creative solutions. A leader will also lead by example, exemplifying moral and ethical standards and values, and encourage the same from others. This leadership approach also encourages communication, cooperation, and collaboration with others and can use mentorship to help raise up future transformational leaders.
Leader-Member Exchange Theory	This theory focuses on a two-way relationship between leaders and chosen employees. The leader mentors a selected team member (or members) and gives them access to more information and resources in order to strengthen levels of trust and support. This mentorship is intended to maintain the leader's position through the development of different two-way relationships. This type of relationship can contribute to growth and productivity but can also create in- and out-groups within the team. The in-group may tend to strengthen and support the leader's decisions and position due to their closer relationship. Members of the out-group may lag in development and productivity if they perceive that they are excluded or neglected.

Theory	Description
Servant Leadership	The leaders' goal is to serve the needs of their employees. This theory emphasizes the sharing of power. Leaders should work to help their employees develop and perform to the highest possible level, and this will generate benefits within and without the organization. It is a way of inverting the organizational/leadership norm of bottom-up service. Servant leaders tend to be more empathetic and more trusted by employees. This can lead to greater innovation, collaboration, performance, and participation. This approach to leadership can be more resource-intensive and can take longer to produce results.

Navigating the Organization

Proficiency indicators related to this section include:

- Demonstrates an understanding of formal and informal work roles, leader goals and interests, and relationships among employees and executives.
- Embraces and supports the business unit's and/or organization's culture, values, mission, and goals.
- Manages project budgets and resources.
- Promotes buy-in among organizational stakeholders for HR initiatives.
- Serves as an advocate for the organization or employees to advance the organization's strategic direction and goals.
- Uses an understanding of the organization's structure, processes, systems, and policies to facilitate the successful implementation of HR initiatives.
- Uses awareness and understanding of the organization's political environment and culture to implement HR initiatives.
- Builds consensus among leaders about the organization's strategic direction and long-term goals.
- Collaborates with leadership to remove obstacles to the successful implementation of HR initiatives.

- Obtains and deploys organizational resources and monitors their effectiveness.
- Promotes the role of the HR function in achieving the organization's mission, vision, and goals.
- Uses HR knowledge and skills to influence business strategy.
- Uses an understanding of the complex relationships among the organization's formal and informal processes, systems, and policies to facilitate the development and implementation of HR's strategic direction.
- Uses an understanding of the organization's political environment to develop and implement HR's strategic direction, implement needed changes, and resolve talent needs and issues.

Navigating the Organization

HR leaders create value through action—through routine HR services and through special projects and initiatives. Effective leaders know how to win support for their actions. Successful navigation of the organization requires understanding the organization itself and gathering support from influential individuals in the organization.

Competency Connection

As a former career military officer, a relatively new HR manager was accustomed to issuing orders and openly expressing an opinion. Private industry, however, requires changing one's approach to Leadership & Navigation—acting more as a consultant and communicating to influence rather than order.

Feeling frustrated about not being heard by the organization's leadership, the HR manager went to his HR VP. The VP reminded him that the job of HR is to figure out how to help leadership navigate to the company's goals and to advise them of risks along the way. She said to continually ask himself, "How do I navigate and influence without using the word 'no'?" He wrote that question down and taped it to his office planner. That conversation adjusted his focus, and his relationships and his job satisfaction improved dramatically.

Learning the Organization

To navigate the organization and lead effectively, HR leaders—especially those new to an organization or leadership position—should understand the formal and informal structures of their organizations.

Ideally, the informal organization will be aligned with the formal organization. For example, an organization that is committed to customer service will have communicated this value through its formal organization—its mission statement and its systems (for example, its hiring and promotion practices). The informal organization also should reflect this and can be seen in a tendency to treat colleagues as internal customers and in frequent collaboration to deliver better service levels.

Formal Organizational Features

The formal aspects of an organization are usually documented in organizational charts and policies, in announcements and handbooks, and in organizational reports to stakeholders. They are easier to see and can be slower to change than the elements of an organization's informal structure.

Formal organizational features include:

- The traditional reporting lines that create the organization's managerial levels or hierarchy. HR professionals should learn the types of responsibilities individuals have in their positions.

- The decision-making process. Is there a formal process with multiple hurdles of required approvals? How is the ultimate decision made—by senior management or by a committee? Whose sign-offs or recommendations are critical to acceptance of a proposal? What type of factual support is most meaningful to the decision makers?

- The funding process. Will funding be part of the regular budget, or can a project be funded separately? This will affect the timing of the request.

- The organization's strategy, mission, and values. What does the organization want to achieve? How does it want to be perceived by customers and stakeholders? Aligning requests for support with the organization's interests will improve the chances for success.

- Events that may have shaped or may be shaping decision makers' assessments. For example, competitive actions, market conditions, or earlier decisions may be contributing to a greater sense of uncertainty or risk. Similar past initiatives that did not

deliver promised outcomes may predispose decision makers to say no to current propositions.

Informal Organizational Features

Informal organizational structures are more challenging to learn because they are often based on interpersonal relationships that are complex and subtle and can change frequently. The informal organization can be seen in the organization's culture and its social dynamics. Values and beliefs are demonstrated through actions (for example, mutual respect, honesty). Social dynamics include the degree to which members of the organization form relationships with each other across functional lines and hierarchical levels. It also includes the way people communicate with each other (for example, through meetings, e-mails, or group SMS [short messaging service] texts) and what they communicate about. The informal structure includes social networks of members that have formed around common interests.

One of the most valuable tools for discovering the informal organization is observation—watching how people interact in a variety of situations and identifying people who are treated as leaders by others in the organization.

Leaders are usually looked to for advice and comment. They put forth ideas and plans that have a history of success. Management may include them on critical projects. When leaders have been identified, one can look more closely at the people around them. An HR professional new to the organization can identify the people who influence these leaders or who are members of that individual's community of interest and may provide access to leaders.

HR professionals can also learn about the organization's informal structure and culture by seeing what types of behavior are rewarded and what types of ideas are accepted. There is much to be learned from the way an organization responds to challenges, opportunities, and crises—whether it reacts positively or defensively, how much uncertainty it can tolerate, how it distributes praise or assigns blame, and how well it adapts to change.

Finding Allies

HR professionals cannot work alone within an organization. Often, one will need to gain a decision maker's approval to allocate resources to an initiative or project. This often takes more than just a good business case. Approval often requires building support with other stakeholders who can improve proposals and strengthen value propositions to management. These stakeholders may be HR team

members—for example, experienced staff members who know the organization and past HR initiatives or who have worked successfully with a particular decision maker in the past. They may be in other functions in the organization and can provide critical knowledge about the initiative and the organization itself. They may even be outside the organization—for example, key customers who can benefit from HR's work. Effective leaders are good at identifying allies and creating mutually beneficial relationships.

Support may come from individuals with a variety of motivations and skills. Some allies may be interested in the success of the organization above personal gain and may be very politically powerful within the organization; others may be purely motivated by self-interest or convenience. To turn these potential allies into partners, HR leaders must make an effort to understand the needs and goals of potential allies, from both a personal and a functional perspective. What motivates them personally? What strategic goals are they pursuing? How can one work with them successfully? Creating allies requires building one's own influence and knowing how to motivate others.

Influencing

Proficiency indicators related to this section include:

- Shares opinions about important issues, regardless of risk or discouragement from others.
- Advocates for the implementation of evidence-based HR solutions.
- Builds credibility for the organization regionally, nationally, or internationally as an HR expert.
- Inspires HR staff, non-HR customers, and executive-level organizational stakeholders to support and pursue the organization's strategic direction, vision, and long-term goals.
- Serves as an influential voice for HR strategies, philosophies, and initiatives within the organization.

Key concepts related to this section include:

- Influence and persuasion techniques (examples include personal appeal, forming coalitions, leading by example, rational persuasion).

Influencing

Effective leaders are able to influence others to engage their support or collaboration or to resolve conflicts. Influence relies on using one's power and/or skills to change others' perceptions or actions.

Competency Connection

In this scenario, an HR professional shares a story about an ingenious colleague who was a master at influencing and managing relationships.

The colleague was a training and development manager in a large energy company. He had over 15 years' experience in the field and was a very affable, engaging person. But he also knew how to get things done by influencing people. He was purposeful and went after his goals with determination.

The HR manager was responsible for periodically assessing organization talent. This involved identifying training and development gaps, meeting with managers to discuss and clarify needs, building training plans, and executing those plans. He had to deal with difficult internal clients often—ones who never answered his e-mail or submitted the information that he required or who were just never available to meet. But he was persistent. Nevertheless, one particular

supervisor had eluded him for weeks. This supervisor never returned phone calls or answered e-mails. He frequently canceled or did not show up for meetings. All the HR manager wanted was to sit with him and get the input he needed to complete a simple document. The situation was affecting the HR manager's goals and his ability to deliver a training plan on time.

The HR manager decided to go to the supervisor's office unannounced and simply wait. Now, the office wasn't close. It was in the field, and the trip took the HR manager about three hours' travel over very winding roads. The HR manager had to walk down a long corridor to the supervisor's office. He saw the supervisor coming down the corridor in his direction. The supervisor saw him too…and casually turned around and headed in the other direction. The HR manager quickened his pace. The supervisor took a little glance back and also quickened his pace. The HR manager started to run. The supervisor did the same, but he could only run to his office. He was caught.

Now, the HR manager could have challenged the supervisor for this silly waste of time, but instead he simply said, "Five minutes. That's all I need. I know you have a lot of demands on your time, but I'll make it easy. I promise." The supervisor surrendered his time and the necessary information.

What we do in HR often requires collaboration with stakeholders throughout the organization. Effective leaders are willing to invest in creating professional networks—to make repeated efforts, to drive for hours, even to run, and to keep a good attitude about it all.

Types of Power

Using power to influence others requires understanding types of power and the limitations of each type. John French and Bertram Raven identified five ways in which leaders can create power:

- **Legitimate** power is created formally—through a title or position in the hierarchy that is associated with the rights of leadership.
- **Reward** power is created when the leader can offer followers something they value in exchange for their commitment (for example, promotions, compensation).
- **Expert** power is created when a leader is recognized as possessing great intelligence, insight, or experience.
- **Referent** power is created by the force of the leader's personality—the ability to attract admiration, affection, and/or loyalty.
- **Coercive** power is created when the leader has the power to punish those who do not follow.

Power can derive from factors that are external (legitimate, reward, or coercive power) or internal (referent or expert power). All types of power can be useful in certain situations and limited in usefulness at other times. Exhibit 7 describes situations in which each type of power can be effective or ineffective.

Exhibit 7: Leveraging Different Types of Power

Type of Power	Effective Uses	Limitations
Legitimate	Can save time in decision making and focus team on the organization's goals.	May be insufficient if leader is not also competent and effective at leading.
Reward	Can appeal to team members' individual motivators.	Is useful only when leader has access to and can extend to team members meaningful rewards.
Expert	Can improve a team's efforts by offering advice and guidance. Can win respect for the team and its work throughout the organization.	Can create dependency and weaken team members' initiative or discourage their own contributions. Effect will weaken if the individual is a weak team leader.
Referent	Appeals to social needs of individuals, the desire for affiliation.	Will weaken if leader is not competent, effective, and fair.
Coercive	Likely to get immediate results.	Damages team members' motivation and self-direction over time.

Persuading

Since coercion can damage ongoing relationships and the ability to reward may be limited, effective leaders develop other ways to persuade others to grant their support.

- The most useful tactic is reasoning, explaining the advantages of one's view logically, clearly, and with examples. This is most effective when it is combined with knowledge of the other person's needs and the potential for aligning interests for mutual benefit.

- When evidence is unavailable, one can appeal to mutually held visions or values—for example, to a commitment to employees' welfare and improvement.

- HR professionals can also trade for what they want, using their expertise or resources to fulfill another's needs.

People who are effective at managing relationships can use all of these approaches in a flexible, appropriate manner. They recognize that everyone has a natural "influencing" style. They recognize their own and those of the people they seek to influence, and they can flex to use the type of influence that is most appropriate for the situation and the people involved. For example, a person unpersuaded by reasoning may be affected by an emotional appeal. A complex or politically sensitive request may require an indirect approach, using

extensive networking to build support among allies before approaching decision makers.

Key Content

Most importantly, influence must be used with honesty and concern. It is always possible to manipulate others by misusing emotional appeals (for example, playing to fears or biases) or networking (for example, intimidating or bullying), but, in the end, this type of falseness and manipulation is a sure way to destroy trust.

Motivation Theories

Proficiency indicators related to this section include:

- Identifies and develops solutions for overcoming obstacles to the successful completion of projects.
- Motivates HR staff and other stakeholders to support HR's vision and goals.
- Empowers leaders to create an environment where there is tolerance for risk taking and workers feel comfortable sharing ideas.
- Ensures accountability for the implementation of project plans and initiatives.

Key concepts related to this section include:

- Motivation theories (examples include goal-setting theory, expectancy theory, attribution theory, self- determination theory, equity theory, Herzberg's 2-factor theory)
- Personal leadership qualities (examples include vision, self-motivation, self-discipline, risk taking, commitment to continuous learning, growth mindset)

Motivation Theories

Motivating HR teams is critical to releasing team members' creativity and energy. However, motivation can be highly individual. Effective HR leaders understand different motivators and how to apply them.

Competency Connection

An HR manager was fairly new in a company that distributed industrial fasteners. He quickly learned that the company was experiencing high turnover rates. Feedback during exit interviews was consistent with lack of employee engagement and appreciation.

To address the issue, the HR manager developed a "culture committee" that included representatives from each area and branch of the company. The committee surveyed employees about their needs and, in their analysis, prioritized areas that affected employee engagement. To combat retention issues, the culture committee developed weekly meetings, employee appreciation events, and incentives. In addition, management was persuaded to become more involved than they had been in the past, and this created a bridge between employees and management.

It was critical for the HR manager to develop rapport and trust with both employees and management. It was important for the HR

manager to take the lead on developing the culture committee and provide the committee with directions. However, it was also important to allow the employees to take the lead and feel that they were contributing to the overall success of the company. These were signals that the HR manager had mastered the Leadership & Navigation competency.

Defining Motivation and Motivation Theories

Defining Motivation

Motivation can be defined as factors that initiate, direct, and sustain human behavior over time. Understanding why people behave the way they do helps leaders influence behavior by appealing to the right needs in the right way.The perception of the role of motivation in organizations has changed over time. Motivation is seen as more central to the role of leaders and more complex.

Key Content

Effective HR leaders work to understand what drives the individuals with whom they work. Each person is unique because of differences in heredity and environment. What

motivates one person will not necessarily motivate another—even people in the same workplace, economic class, or ethnic group.

Motivation Theories

Theories of motivation suggest different ways to look at the challenge of motivation. They may provide clues about how to reach—or, in the case of Theory X, how not to reach—certain types of employees. Exhibit 8 summarizes key motivation theories.

Exhibit 8: Motivation Theories

Theory	Description
Theory X/Theory Y	Motivation is seen as absolutely irrelevant (Theory X) or absolutely critical (Theory Y) in the workplace. • Theory X leaders micromanage and coerce team members because they believe people do not like to work and must be strictly controlled and forced to work. • Theory Y leaders believe that employees dislike rigid controls and inherently want to accomplish something. Therefore, leaders apply a more participative style that empowers employees. • Theory Y is considered more appropriate in today's knowledge-driven workplaces.
Needs Theory	Individuals are motivated by a desire to satisfy certain needs. Understanding these needs allows leaders to offer the right incentives and create the most motivational external environments. Common factors are achievement, a desire for social connection, and some degree of control.

Theory	Description
Maslow	• Five basic categories of needs must be met in an ascending order: ○ Physiological (basic needs related to survival) ○ Safety and security ○ Belonging and love (the need to belong, to be accepted) ○ Esteem (both self-esteem and admiration of others) ○ Self-actualization (the need to fill one's potential) • A lower-level need must be relatively satisfied in order for a higher-level need to emerge or serve to motivate. • No need is ever totally satisfied, however. The lower-level needs will always have some influence on behavior.
Herzberg	• Behavior is driven by intrinsic factors (innate desires) and extrinsic factors (workplace hygiene). ○ Intrinsic factors: challenging work, meaningful impact of work, recognition ○ Extrinsic factors: job security, pay, conditions • Satisfying hygiene factors can remove some areas of discontent that interfere with motivation, but satisfactory workplace conditions are not enough in themselves to create motivation. • Motivation is created by appealing to individual desires or needs. In applying Herzberg's motivation-hygiene theory, it is important to remember that while good workplace conditions do not positively affect motivation, unacceptable conditions will lead to job dissatisfaction and can make a motivated employee look for another job. Hygiene factor levels must be acceptable in order for the motivation factors to become operative.

Theory	Description
McClelland	• Individuals are motivated by three basic desires: ○ Achievement (accomplishment) ○ Affiliation (feeling part of a group) ○ Power (influence or control over others) • Employees have all three needs, but the needs' relative importance may vary among individuals. Effective leaders identify and appeal to each employee's primary motivators. For example: ○ Give an achievement-oriented employee an assignment that will require and call attention to the employee's abilities. ○ Incorporate socialization events or opportunities into team schedules for affiliation-oriented employees. ○ Delegate to power-oriented employees tasks that they can control and direct, perhaps ones with high visibility in the organization.
Self-determination	• Individuals are motivated by innate needs, such as competence (McClelland's achievement) and relatedness (McClelland's affiliation), but also by needs for: ○ Autonomy, or the need to feel that one has control over one's life. ○ Purpose, or the sense that one's actions have effects beyond the individual or the workplace.
Expectancy Theory	Effort increases in relation to one's confidence that the behavior will result in a positive outcome and reward.
Vroom	• Level of effort depends on: ○ Expectancy. (With reasonable effort, the employee can succeed.) ○ Instrumentality. (Success will result in a reward.) ○ Valence. (The reward is meaningful to the employee.) • All three factors must be addressed to create motivated employees.
Attribution Theory	The way a person interprets the causes for past success or failure is related to the present level of motivation. A leader can help employees attribute results to the correct causes and create opportunities for success.

Theory	Description
Heider, Weiner	• Success or failure can be attributed to internal factors (for example, skills, diligence) or external factors (for example, available resources, market events). Internal factors may be under the employee's control (for example, the employee can work harder or be more careful), but external factors are probably beyond the employee's control. • A track record of success can create empowered and resilient employees, while a track record of failure (even though the causes were external to the employee's control) can create "learned helplessness" and even aggression or hostility in the workplace. • Leaders create opportunities for success for less-experienced employees, perhaps by providing more resources, coaching, and guidance. More-challenging assignments are given to employees who believe they can (and are likely to) succeed.
Goal-Setting Theory	• Motivation can be increased by providing employees with goals against which they can assess their achievement. • Optimally, employees should be involved in designing goals and supported in achieving their goals. • Effective goals are: ○ Specific and clear. ○ Important to the individual. This enables greater commitment. ○ Realistic but challenging. Goals that are unrealistically high can harm motivation. • Feedback helps employees determine the effectiveness of their effort.

Theory	Description
Equity Theory	Motivation is based on an employee's sense of fairness. An individual compares their perceived value with that of others in similar roles and makes a calculation based on their inputs and outputs: • Inputs—skills, training, effort, education, experience • Outputs—salary, bonuses, raises, promotions When an employee considers the balance between inputs and outputs to be fair—that is, they believe they are being compensated and treated fairly—then their motivation will be maintained. If the balance is perceived to be unfair—for example, if they believe someone else is being unfairly promoted ahead of them or being rewarded for inferior work/effort—they can become demotivated.

Personal Leadership Qualities

There are certain qualities that should be developed and embodied by anyone hoping to take a leadership role in a department or an organization as a whole.

There are certain qualities that should be developed and embodied by anyone hoping to take a leadership role in a department or an organization as a whole. Developing these skills and practicing these qualities can help you thrive as a leader.

- **A leader should be both self-motived and self-disciplined.** The ability to identify opportunities and challenges is extremely valuable, and a leader will take steps to design and propose strategies to address them without waiting to be asked. Understanding the structure and dynamics within the organization

can help an HR leader navigate the best path toward gaining support and an audience for their ideas and proposals.

- **A leader should be (or become) comfortable with risk-taking.** Taking charge of an issue or designing a strategy to address a challenge or opportunity can be a considerable undertaking—one that might either be time-consuming and difficult to achieve or be received with push-back within the organization. A leader has to be prepared to share their opinions and proposals with others, regardless of the potential for discouragement or criticism. Similarly, they have to be prepared to make mistakes. Organizations can't innovate without taking appropriate risks, and a leader should learn to tolerate failure in the pursuit of innovation and create an environment in which failure can be learned from.
- **A leader should be committed to continuous learning.** As technology continues to evolve and the nature of work continues to change for employers and employees, it is important to help create a culture of continuous learning in order to keep pace with ever-changing skills requirements. This is a formidable challenge for any organization, and it must be embraced by leaders in order to appropriately meet the challenge. Learning, re-skilling, and up-skilling should be integrated into workplace practices on an ongoing basis. HR leaders should encourage others to be self-motivated and seek out their own opportunities to learn, in

part by providing information on what skills are or might be required for advancement and specific roles. HR professionals should avail themselves of these opportunities as well. Similarly, hiring practices should be adapted to take into consideration future needs as well as current needs. Understanding the changing forces within and without the organization will help guide HR professionals to pivot their strategies in order to meet significant changes.

- **A leader should embody a growth mindset.** This refers to the belief that an individual's talents and skills can and should be developed during the course of doing one's work. It is a mindset that sees employees (and oneself) as a source of potential, which should be encouraged to grow (and should be rewarded). For HR leaders, this can manifest through coaching and mentoring but also by a willingness to take risks and learn. A leader who internalizes this mindset and models it to their colleagues and employees will reap benefits and can encourage greater engagement, as it helps create an environment in which risk taking and innovation are tolerated and employees feel comfortable participating and sharing ideas. Research has shown that, when a growth mindset is instilled in an organization's personnel, they are more likely to embrace challenges and persist when obstacles appear. HR professionals can reinforce this mindset during performance reviews by

praising employees who have made an effort to learn new skills and develop their existing abilities. During the hiring process, HR should consider and note a candidate’s potential for growth, which can help instill a growth mindset in a new hire.

Ethical Practice Competency

Ethical Practice Competency

Ethical Practice is defined in the SHRM Body of Applied Skills and Knowledge as:

> The KSAOs [knowledge, skills, and abilities] needed to maintain high levels of personal and professional integrity, and to act as an ethical agent who promotes core values, integrity and accountability throughout the organization.

HR professionals need to be aware of the distinctive ethical obligations they face in their own jobs and the varied ethical challenges that confront other employees in their own jobs. These challenges vary by industry and by job description. They are also evolving. Changes in the environment and in business practices may present new tests. HR professionals and their organizations must be alert to identify these emerging issues and help prepare employees to apply organizational values to their actions.

Ethical Issues in the Workplace

Proficiency indicators related to this section include:

- Acknowledges mistakes and demonstrates accountability for actions.
- Applies, and challenges when necessary, the organization's ethics and integrity policies.
- Balances ethics, integrity, organizational success, employee advocacy, organizational mission and values, laws and regulations, and organizational policies and procedures.
- Does not take actions based on personal biases.
- Empowers all employees to report unethical behaviors and conflicts of interest without fear of reprisal.
- Establishes oneself as credible and trustworthy.
- Identifies, evaluates, and communicates to leadership potential ethical risks and conflicts of interest.
- Maintains appropriate levels of transparency for HR programs, practices, and policies.
- Maintains current knowledge of ethics laws, standards, legislation, and emerging trends that may affect organizational HR practice.

- Maintains privacy as appropriate and complies with laws and regulations mandating a duty to report unethical behavior.
- Manages political and social pressures when making decisions and when implementing and enforcing HR programs, practices, and policies.
- Provides open, honest, and constructive feedback to colleagues when situations involving questions of ethics arise.
- Recognizes explicit and unconscious biases in oneself and others, and takes steps to increase self-awareness.
- Seeks opportunities to learn new skills and improve existing skills to become a stronger HR professional
- Serves as a role model of personal integrity and high ethical standards.
- Shows consistency between espoused and enacted values.
- Takes steps to mitigate the influence of bias in HR and business decisions.
- Advises senior management of organizational risks and conflicts of interest.
- Applies power or authority appropriately without seeking personal gain or benefit.
- Balances ethics, integrity, organizational success, employee advocacy, and organizational mission and values when creating strategy, initiatives, or long-term goals.

- Brings potential conflicts of interest or unethical behaviors to the attention of leaders and executives.
- Communicates a vision for an organizational culture in which there is consistency between the organization's stated and enacted values.
- Demonstrates agility and courage when making difficult decisions or handling challenging situations.
- Designs and oversees learning and development programs covering ethics.
- Establishes the HR team as a credible and trustworthy resource.
- Helps others to identify, understand, and address their biases.
- Holds others accountable to their commitments.
- Implements and maintains a culture and system that encourages all employees to report unethical practices and behaviors.
- Makes difficult decisions that align with organizational values and ethics.
- Promotes the alignment of HR and business practices with ethics laws and standards.
- Withstands politically motivated pressure when developing or implementing strategy, initiatives, or long-term goals.

Key concepts related to this section include:

- Ethical business principles and practices (examples include transparency, authenticity, conflicts of interest).

- Privacy principles and policies (examples include anonymity, confidentiality, opt-in/opt-out policies).

Ethical Issues in the Workplace

Philosophers have long debated exactly what ethical behavior is, but certain concepts consistently appear in these discussions: adherence to socially accepted norms of behavior (such as honesty), integrity (maintaining consistency between one's values and one's actions), and commitment to the common good (as opposed to personal gain as a sole or primary motivation). HR professionals can help create workplaces that promote these behaviors.

Competency Connection

The vice president of HR (VP HR) has led the design of a new leadership development workshop and is gathering nominations for participants. The senior vice president (SVP) of finance, who has been instrumental in providing funds for the workshop, is pressuring the VP HR to provide additional participant slots for his department at the expense of other departments.

While there were never any quotas communicated for numbers of participants coming from each department, the program was always discussed during its development as a learning forum that would be available across the entire division. In choosing to discuss with the SVP of finance why what is being asked is not possible and the reasoning behind that decision, the VP HR communicates the

implications of loading the program with finance participants at the expense of other departments and how both the program and the SVP could be perceived as a result.

The VP acts with professional integrity and demonstrates the Ethical Practice competency in communicating the program to all potential participants despite the obvious financial support that has been provided by the SVP. This reinforces the level of transparency in the nomination process for the workshop. The VP HR also demonstrates the Leadership and Navigation and Relationship Management competencies in working to overcome finance's request in a collegial manner.

Creating an Ethical Workplace

Ethical workplaces begin with leadership's definition of their organization's values. These may reflect commonly held principles about transparency, honesty, and confidentiality in business dealings and conduct toward others. Ethical workplaces aim for conduct that respects the rights of others—their safety and well-being, their dignity, and their privacy.

Leaders model these ethical values in their business actions, and they celebrate organizational stories that demonstrate commitment to values. Over time, these values are established in the organization's

culture and become the organization's norms of behavior. They are also codified in the organization's codes of conduct and reflected in all of the organization's processes.

Benefits of Ethical Workplaces

Ethical workplaces are considered by employees as good places to work. Employees are proud of their association with the employer, and they are more likely to treat each other better. Ethical behavior leads to an atmosphere of trust, which can translate into greater employee empowerment. From an HR perspective, an ethical workplace has a natural advantage in attracting and retaining top talent.

From a management perspective, an ethical workforce creates opportunities and reduces risks.

- Businesses with a reputation for ethical behavior attract customers and investors and are also likely to attract better candidates for open positions.
- Ethical leaders and workers are less likely to violate laws, and thus the organization is less likely to suffer costly lawsuits, fines and judgments, potentially criminal penalties, and damage to its reputation.

Protecting the Rights of Employees

Ethical employers provide workplaces in which the rights of employees are protected. This includes:

- **Creating a safe working environment,** both in the physical workplace and in extended workplaces for distance workers and global assignees. A safe environment is one in which employers take all reasonable steps to protect employees against illness and injury caused by their work and workplace violence and bullying. It can also include proactive measures such as steps taken to increase employee wellness (for example, exercise programs, stress reduction practices, healthy food options in employee food services). The concept of a safe environment also extends to communities in which the organization operates that can be harmed by unethical actions by leaders and employees alike.

- **Maintaining a fair working environment.** This requires policies that promote fair talent acquisition practices, access to skill and career development, and compensation systems that are compliant with local laws and regulations.

- **Protecting employee privacy.** Privacy refers to an individual's right to freedom from intrusion (by viewing, monitoring, reading, etc.) into matters, actions, or information that is personal. The line between "personal" and "public" sometimes can be

complicated. For example, if an employee is not using their personal mobile phone for business, it would clearly be wrong to examine text messages sent and received on that phone, but what of checking e-mails sent from the company's computer or documents stored on a company server? Another example: Cameras in a company bathroom would be wrong, but what of security cameras in a stairwell?

HR's Role in Supporting an Ethical Workplace

The three subcompetencies in the Ethical Practice competency focus on the ways HR professionals participate in creating and supporting an ethical organization.

- **Personal integrity.** HR professionals model ethical conduct and the organization's values in all their actions. They strive to be ethical and admit their shortcomings. They are courageous in pointing out to others—including senior management—ways in which the organization and its members are not meeting the ethical norms and the organization's values. They are prepared to hold others accountable for their actions and also advocate for others.

- **Professional integrity.** HR professionals demonstrate awareness of and commitment to ethics in their work. They

apply their Business Acumen competency to understand ethical risks in their industries. The types of ethical challenges an organization and its HR function face will vary by organizational activity and employee jobs. As part of building their Business Acumen, HR professionals should make it a point to learn their organizations' particular ethical vulnerabilities.

For example, in financial industries or in certain jobs such as sales or accounting, the potential and rewards for committing fraud are greater. Some industries are more highly regulated and require greater transparency and compliance. Some industries are inherently more physically dangerous. Diverse workplaces or workplaces seeking to increase their diversity may be challenged by both explicit and unconscious bias.

- **Ethical agent.** There are certain actions HR can take to support the organization's ethical goals. For example, they can communicate ethical expectations to all new employees and administer those expectations consistently. They can create the means for employees to report ethical issues and maintain confidentiality. They can ensure that all HR policies and processes are ethical and compliant. A good HR professional will also seek out opportunities to learn new skills and gain new

expertise in order to become a better, more effective member of the organization.

Ethical Decision Making

It is impossible to describe to employees every ethical dilemma they will face. Therefore, HR professionals should learn how to make ethical decisions and ensure that employees are trained in this skill as well.

A basic framework for ethical decision making contains the following steps.

- **Recognize ethical situations as they arise.** This requires having an ethical compass, a sense of right and wrong. If the possible outcomes of an action trigger uneasiness about ethical or legal propriety, this is a signal to pause and consider the situation more fully.

- **Establish the facts about the situation.** The best decision will depend on knowing such details as:
  - What are the different paths that could be taken?
  - Who will be affected? What are their expectations, and are they valid?
  - What will be the nature and extent of harm done?

- Will a decision violate written and unwritten agreements?

- **Evaluate the ethical dimensions of possible actions.** Developing ethical criteria is difficult. One cannot adopt them fully packaged in the form of religious beliefs or cultural norms. Ethical criteria necessarily involve balancing interests and sacrificing one's own interests.

  Various moral codes have proposed different ways of evaluating actions ethically. They can be used to help one understand the ethical implications of one's actions more fully.
  - A utilitarian approach argues for the path that provides the greatest amount of good for the greatest number.
  - A rights approach examines whether a decision violates any basic human right, such as a right to truth, privacy, or physical well-being.
  - A justice approach examines the degree to which an action might be preferential or discriminatory.
  - A common-good approach considers the impact of the decision on the entire group (or society, in more general terms).
  - A virtue approach asks whether an action will promote or obstruct the decision maker's character development and the character development of those affected by the decision.

- **Apply relevant codes of ethics and behavior to the options.** Organizations and professions may have developed their own codes of ethical behavior that can provide more specific guidance. Global organizations often provide guidance in situations in which the ethical norms of a parent country may not align with the legal requirements and cultural expectations of host countries.

- **Consult with others.** HR leaders should identify people, inside and outside the organization, they consider ethical mentors, individuals who are known for their ethical behavior and the ability to understand and advise on complex situations. Maintaining an obligation of privacy to all those involved, leaders can seek different perspectives. This is especially important in ethical decisions involving cultural differences or legal matters. One should note instinctive and immediate reactions; they often point to basic ethical issues.

- **Make a decision, own it, and learn from one's mistakes.** When the issue has been satisfactorily analyzed, a decision should be made and communicated to those affected by it. Leaders should explain their rationales thoroughly and accept reactions. Once the decision is made, it should not be remade unless significant shortcomings in the original decision making

have been uncovered. However, the effectiveness of the decision itself, the eventual impact on those affected, the soundness of the criteria and processes used—these aspects of the experience should be reevaluated so that the next decision can be a better one.

Transparency, Honesty, and Authenticity

Transparency

The concept of **transparency** supports trust in relationships with stakeholders, who could be business associates, investors, governments and communities, and employees. Transparency commits an ethical organization to disclosing details about dealings, transactions, or processes to those who have a vested interest. Transparency provides assurance when behaviors cannot be witnessed and it cannot be verified that they comply with laws, rules, or policies. For example:

- A business partner can expect transparency about the terms of a working agreement. If an organization signs a contract that stipulates that it will not subcontract the work to another entity without the agreement of the other party, it must inform its business partner and seek their approval.

- A government expects that an employer's safety records accurately disclose all information about accidents and injuries.
- Documentation on hiring, promotions, and performance reviews should comply with employment laws and organizational policies and procedures.

Honesty

Honest dealings reflect a commitment to truthfulness and fairness, abiding by social and business norms. In organizations, honesty requires an avoidance of conflicts of interest and the use of bribery. These actions violate the basic principle of transparency and undermine the business relationship.

Conflicts of interest are situations in which a person or organization may benefit from undue influence due to involvement in outside activities, relationships, or investments that conflict with or have an impact on the employment relationship or its outcomes. Conflicts of interest can occur both on a person-to-organization level (in which an employee's personal interests conflict with the employer-organization's interests) and on an organization-to-organization or organization-to-government level (in which an organization serves a client in conflicting capacities or simultaneously serves two clients whose interests conflict).

For example:

- An employee is purchasing goods or services from or selling them to a business owned by a friend or relative.
- A company both supplies products to the government (such as an arms contractor) and sits on the government board that sets the criteria for awarding such contracts.

Bribery is the exchange of anything of value to gain greater influence or preference. It is a challenge in all businesses, but it can be a particular challenge for global organizations. Bribery and corrupt practices are increasingly unlawful in many jurisdictions worldwide. Key examples of laws dealing with bribery are the U.S. Foreign Corrupt Practices Act of 1977 and the U.K. Bribery Act 2010, which is now among the strictest legislation internationally on bribery.

Key Content

Legal opinions vary in different countries about what constitutes bribery. For example, “facilitating” payments (small payments of money or goods) awarded to perform (or speed up) routine governmental actions are permissible in some countries. However, they are not allowed under any circumstances in the United Kingdom.

HR professionals should become familiar with local business practices and local laws regarding bribery.

Implementing and maintaining an effective anticorruption program can decrease corruption risks. Steps to implement a sustainable anticorruption program will vary across multinational enterprises, but they typically include:

- Identifying specific risk areas where payments are made (for example, promotional expenses, travel and entertainment, facilitating payments, charitable donations, lobbying).
- Instituting effective controls concerning the method and location of all payments.
- Providing culturally appropriate training and communication programs.
- Embedding disciplinary mechanisms within the business model to help mitigate areas of risk.
- Implementing robust monitoring, detection, and auditing processes.
- Periodically reassessing all corporate governance and compliance programs.

Authenticity

The concept of authenticity in the workplace has evolved in recent years. In its simplest sense, authenticity refers to a person's ability to stay true to their values and maintain their integrity in both their personal and professional lives. However, from an organizational perspective, it refers to an individual's approach to forming and maintaining relationships with colleagues and others in the organization.

Rob Goffee and Gareth Jones have suggested using a chameleon as a metaphor. While a chameleon can shift color and tone in order to blend in, it nevertheless remains the same creature. Authenticity, therefore, refers to an individual's ability to remain true to themselves while being able to adapt to and cope with rapidly changing events.

If members of an organization at any level believe that you are authentic in your dealings with them, they are more likely to be receptive to what you might have to say. For example, if you have to discuss a sensitive or delicate matter with a manager, they are more likely to accept your advice or feedback if they believe you are being honest and transparent with them.

There are times when employees might consciously be acting against their authentic impulses—not through any malicious or negative intent but as a professional strategy to navigate the workplace. These instances typically arise due to cultural or social biases, most often

directed at under-represented groups such as those based on race or gender identity. Diversity, equity, and inclusion initiatives, discussed elsewhere, can help avoid these instances and encourage all individuals to be their authentic selves in the workplace.

HR's role here is to promote an environment of learning and flexibility—for themselves and for others, across all personal and professional areas. Providing employees, managers, and HR professionals with opportunities to acquire the skills and knowledge to adapt their methods and style to an organization's values and welcome alternative perspectives and experiences can lead to personal and professional growth. Encouraging a more flexible and diverse environment can help break down barriers and confront biases, leading to a more inclusive work environment and a more engaged workforce.

Codes of Conduct

Proficiency indicators related to this section include:

- Ensures staff members have access to and understand the organization's ethical standards and policies.
- Leads HR investigations in a thorough, timely, and impartial manner.
- Uses discretion appropriately when communicating sensitive information, and informs stakeholders of the limits of confidentiality and privacy.
- Audits and monitors adherence to HR programs, practices, and policies pertaining to ethics.
- Collaborates with leaders to support internal ethics controls.
- Creates and oversees HR programs, practices, and policies that drive an ethical culture, encourage employees to report unethical practices and behaviors, and protect the confidentiality of employees and data.
- Designs and oversees systems to ensure that all investigations are conducted in a thorough, timely, and impartial manner.
- Develops HR programs, practices, and policies that meet high standards of ethics and integrity.

- Develops and provides expertise for HR policies, standards, and other internal ethics controls to minimize organizational risks from unethical practices.

Key concepts related to this section include:

- Internal ethics controls (examples include protection of employee confidentiality, standards for employee investigations).

Codes of Conduct

Organizations communicate their ethical expectations to their members through codes of conduct. HR may be directly involved in creating the organization's code of conduct and making sure that all employees are aware of the code and fully understand its requirements.

Competency Connection

Making sure that an organization's assets are used in a fiscally responsible way is an ethical imperative for HR professionals. This example demonstrates HR's responsibility to act ethically and to communicate ethical behavior to employees.

An audit discovers that employees are using company credit cards for personal purchases, counter to policy. Misuse results in corrective action. Cards are taken from the employees who have misused them, and those employees are required to pay the personal expenses. Employees who fail to pay are terminated.

The organization's core values have been defined for five years and published internally via various media (for example, the company intranet, departmental posters, annual employee communications). However, the employee commitment index data from a recent survey

illustrates poor knowledge and demonstration of these values among the employee base and management. This has been further confirmed during recent employee focus group meetings conducted by HR.

In an effort to further educate employees regarding proper card use, HR collaborates with representatives from the corporate social responsibility department to draft a new policy that delineates the purpose of the credit card and aligns the policy with the organization's core values, particularly integrity and accountability. HR then incorporates this policy into the employee handbook, new-hire training, and required annual training.

HR's proactive leadership in addressing the company's credit card issue demonstrates its commitment to core values, leading by way of example with the highest level of integrity and administering corrective action where required to ensure accountability.

Code of Conduct Components

A **code of conduct** (or code of ethics) can be defined as principles of conduct within an organization that guide decision making and behavior. A written code of conduct can help an organization promote ethical behavior by communicating to all its members the organization's commitment to certain values, by defining behavioral

expectations for all employees, and by providing direction to all employees when they are faced with ethical decisions. A code should not be seen as a static book of rules. An effective code is a tool that employees can use to examine their own conduct and make correct ethical decisions.

Key Content

A code of conduct should reflect the needs, concerns, and values of the organization that creates, adopts, and uses it. There is no definitive set of elements or order of components. Whatever elements a given organization's code contains should be there because of their usefulness and meaningfulness to the organization. While HR professionals can look to examples of codes from comparable organizations, ultimately an effective code is one that management can support by its example and investment and that employees can understand and apply.

Because they serve both to communicate values and to guide action, codes of conduct have two parts. One is values-based and the other

rules-based.

The values-based part describes the organization's principles and obligations to its internal and external stakeholders. These values underlie or explain the rationale behind the rules that follow. Beginning the code of conduct with clear and detailed statements of the organization's vision, values, and principles makes it a unifying document rather than one separating management from employees. Its tone becomes "what we all must do together" rather than "what we expect you to do for us."

The values-based part of the code of conduct includes:

- Communication from leadership reflecting commitment to the code and its enforcement.
- The organization's mission statement and/or vision statement.
- A broad statement of organizational values and principles.
- A more detailed statement of the organization's ethical obligations to all its various stakeholders.

The rules-based part of the code of conduct defines the organization's ethical expectations. It includes:

- Ethical and conduct guidelines (for example, policies regarding conflict of interest, bribery/corruption, confidentiality, privacy, harassment).

- Examples of ethical and unethical behavior to help employees recognize a potential risk or conflict when it arises and questions employees can ask themselves to assess the ethical impact of their actions.
- Rules of conduct required to comply with laws and regulations. This may be a function-specific document.
- A description of the enforcement process, including how suspected violations should be reported, how and by whom reports will be investigated and assessed, and how employees will be penalized for violations.

Creating an Effective Code of Conduct

Code creation (or revision) should begin with leadership's commitment to the end result and sufficient stakeholder input to ensure that the code reflects the organization's ethical needs and the values the organization espouses. Stakeholders could include not only managers and supervisors but also employees from these functions. A code developed exclusively by an enterprise's legal counsel, HR department, or executive team will be unlikely to reflect the cultural diversity of the organization's stakeholders.

The process follows five basic steps:

- **Gather information.** Query stakeholders through surveys or focus groups about ethical risks and conflicts they have encountered and important compliance requirements. Specific descriptions of actual events can help make the code more meaningful and applicable for users. HR professionals ensure that all internal and external stakeholders are included in this information-gathering step—all organizational functions and experts on regulatory compliance requirements.

- **Draft and review.** An effective code:
  - Is clear about its objectives.
  - Is understandable. The language should be brief, pointed, and at a level easily understood by all employees. It should not rely on legal terminology. For non-readers, the code may be presented in audio. The code should be translated into the languages of all countries in which the organization has employees and reviewed locally for accuracy.
  - Equips employees to respond to real situations. It should reflect the specific and unique challenges of the particular organization's industry and its locations.

- **Adopt the code formally and communicate it to the organization.** New employees should be introduced to the code of conduct during orientation. An introduction is more than

distributing a copy of the code. Key points should be reviewed and employees' understanding confirmed.

- **Monitor enforcement.** This may include auditing for the presence and effectiveness of bodies and processes described in the code (for example, reporting channels, panels, outcomes). Inconsistent enforcement can have legal consequences for the organization.

- **Evaluate and revise the code periodically.** Changes in the organization and its external environment (for example, new laws and regulations requiring compliance) may require changes to the code. The revised code should be reviewed and reintroduced to employees.

Internal Ethics Controls

Internal, or employee, investigations are a valuable tool available to HR in the pursuit of maintaining and ensuring ethical standards within an organization. Whenever information on workplace misconduct arises, it is HR's responsibility to investigate. This information can come from either formal or informal channels, from exit interviews, tips, third parties, and even rumors and office gossip. Allegations of criminal activity or those filed by a government body should be externally investigated.

Here are a few common steps and elements to any internal investigation:

- **Investigator.** An appointed investigator should be experienced, neutral, and objective. The investigator may be a member of the HR department, a third party, or legal counsel. Depending on the scale of the complaint, a small team of investigators may be used.
- **Investigation.** All parties involved in the situation should be interviewed, as should potential witnesses and third parties who might be able to shed light on events.
- **Documentation.** Throughout the investigation, keep careful and detailed notes from interviews as well as any other relevant documentation you might collect. Document objective facts; avoid opinions.
- **Confidentiality.** All HR professionals should maintain **confidentiality**, agreeing to not share or make public personal information. This is especially important during an investigation of misconduct.
- **Credibility.** The most difficult part of an investigator's job can be to assess, based on the evidence gathered, whether the allegations are true. Often, an investigator will be confronted with a he-said/he-said situation, which cannot be the end of the matter. In these instances, the investigator must assess the credibility of the various parties involved.

- **Conclusions.** Based on the evidence you gather, you must come to a conclusion. Findings are presented in a confidential written report, which is given to a separate decision maker who determines what the appropriate outcome or punishment should be.

The impact of an incorrectly conducted investigation can be wide-ranging. In some instances, for minor examples of misconduct, it can lead to strained work relationships or fractures in team cohesion and engagement. In more serious instances, an organization could lose a valuable, experienced employee as a result of a false accusation and possibly risk legal consequences, such as a wrongful termination lawsuit or other legal action should employee confidentiality be breached in some way.

Codes of Conduct in Global Organizations

Global organizations must carefully consider whether to standardize or localize their codes of conduct. What is an acceptable behavior in one culture may not be in another. While child labor and the payment of bribes or fees are accepted business practices in some countries, many global organizations choose to apply one standard in all their locations and order local employees to avoid these practices.

Organizations need to provide clear and nonjudgmental ethical guidelines to employees working outside their home countries. Exhibit 9 recommends steps for creating codes of conduct for global organizations.

Exhibit 9: Checklist for Global Code of Conduct

Ensuring Global Acceptability and Accountability of Organizational Code of Conduct	
• Assemble an international task force on which all affected cultures are represented. • Solicit feedback from a diverse cross section of employees; be sure to involve workers from all locations, levels, and functional areas. • Identify a set of shared principles and develop mutually agreeable policies to address each one. Incorporate enough detail to effectively monitor and measure compliance and enough flexibility to accommodate variations in local practices. • Ensure that training materials are available in the local languages and that translations are accurate and sensible.	• Avoid home-country biases. Choose words that are nonjudgmental and that translate well into other languages (for example, “business practices” and “corporate responsibility” rather than “ethics” and “integrity”). Limit references to specific regulatory instruments to those that are international in scope (for example, the OECD Convention on Combating Bribery of Foreign Officials in International Business Transactions rather than the U.S. Foreign Corrupt Practices Act). • In addition to a company-wide code of conduct, consider creating ethical guidelines specific to at-risk personnel such as salespeople in countries where bribery is prevalent.

Diversity, Equity & Inclusion Competency

Diversity, Equity & Inclusion Competency

Implementing the principles of diversity, equity, and inclusion (DE&I) is a major challenge for organizations today. A change of this type and scope may generate significant differences of opinion across all sectors of an organization. Even the way the organization defines DE&I can shape the DE&I strategy and affect the broader success of any DE&I programs within the organization.

For these reasons, DE&I initiatives should be taken as part of an entire strategy. The strategy must have the backing of the organization's leaders, and its benefits and goals must be clearly communicated to all members of the organization. The commitment will necessarily affect the organization's structures, policies, and processes.

HR professionals are clearly important participants and agents in an organization's DE&I efforts. They must understand the importance of the process behind successfully implementing DE&I initiatives. Without a strong plan and persistent follow-up throughout the implementation process, DE&I initiatives may fail to be impactful in a variety of different ways.

Creating Dynamic and Inclusive Workplaces

Proficiency indicators related to this section include:

- Consults with managers about behavioral distinctions between performance issues and DE&I differences.
- Contributes to the development and enhancement of an organizational culture that provides access, opportunity and equity for all employees.
- Demonstrates support to internal and external stakeholders for the organization's DE&I efforts.
- Designs and executes effective DE&I initiatives to achieve business goals.
- Develops and maintains knowledge of current trends and HR management best practices relating to DE&I.
- Identifies and communicates the benefits of DE&I to employees and leaders.
- Identifies opportunities to enhance the equity of organizational policies and procedures to all employees.
- Implements HR programs, practices, and policies that encourage employees to embrace opportunities to work with those who possess diverse experiences and backgrounds.

- Partners with people managers to hire new employees from diverse groups across a variety of dimensions.
- Provides professional development, mentoring, coaching and guidance on cultural and diversity differences and practices to employees at all levels of the organization.
- Recognizes, supports, and advocates on behalf of a diverse workforce with representation across race, gender, sexual orientation, ethnicity, religious beliefs, country of origin, education, abilities and the intersectionality of the elements of diversity.
- Supports a workplace culture and team that are safe for interpersonal risk taking, support mutual respect and trust, and do not embarrass or punish team members for speaking up.
- Advises business leaders on how to behave in more empathetic and inclusive ways.
- Advocates to leadership to increase workforce diversity with representation across race, gender, sexual orientation, ethnicity, religious beliefs, country of origin, education, abilities and the intersectionality of the elements of diversity.
- Creates and advocates for the organizational business case for DE&I.
- Creates and manages HR programs, practices, and policies that encourage employees to embrace opportunities to work with those who possess diverse experiences and backgrounds.

- Designs and oversees HR programs, practices and policies that promote an organizational culture that provides access, opportunity and equity for all employees.
- Develops policies and programs to create a workplace culture and team that support and reinforce the principles of psychological safety.
- Ensures HR staff members have up-to-date knowledge of current trends and HR management best practices relating to DE&I.
- Identifies changes in the workforce and workplace related to DE&I that are necessary to help an organization meet key business objectives.
- Incorporates DE&I goals and best practices into all HR programs and policies.
- Incorporates the results of equity assessments into HR strategy and programs.
- Partners with business leaders to develop, implement and oversee enterprise-wide programs, practices and policies that lead to an inclusive and diverse workforce.
- Partners with leaders to incorporate DE&I goals into the organization's strategic plan.
- Plans interventions to resolve identified inequities.
- Provides a culture that encourages employees to be their authentic selves, promotes courageous and honest DE&I-related

conversations, and supports allyship among employees.
- Seeks out and hires a team of HR professionals that is diverse across a variety of dimensions.

Key concepts related to this section include:

- Approaches to developing an inclusive workplace (examples include executive sponsorship, leadership buy-in, allyship, unconscious bias training, employee resource groups; mentorship, diversity metrics, psychological safety, using preferred gender pronouns).
- Characteristics of a dynamic workforce (examples include multi-generational, multi-cultural, multi-lingual, multi-talented, multi-gendered).

Creating Dynamic and Inclusive Workplaces

Through its responsibilities in the areas of employee recruitment and development, HR promotes and monitors an organization's diversity policies and goals to ensure that the organization is living up to its values and maximizing the quality of its workforce and the opportunities that diversity can bring.

Competency Connection

A current affairs magazine has made a reputation for itself as a champion of social justice issues and professional diversity. Four months ago, the publisher ordered a diversity audit to examine whether the magazine was actually practicing what it preached. The results of the audit were presented by HR, who observed that the magazine's workforce had not met its diversity goals. While there was a roughly equal gender split in the workforce, the office was not as racially or socioeconomically diverse as expected. In an ever-more competitive publishing and media environment, it was clear that changes had to be made. With low turnover of staff, leadership had become complacent about its diversity goals.

The magazine had a robust paid internship program, and a policy was instituted to pair each intern with an older mentor. This was expected to provide two-fold benefits to the organization: to help develop the interns' knowledge and skills and to inject some new ideas and perspectives into pitches.

The interns also helped surface an issue related to organizational diversity. During a meeting with the interns, 90% of whom were white and had attended top-tier universities, it was pointed out to the company's managers that not enough outreach was being made to minority and marginalized students who could also benefit from the internship program. This was despite the fact that the magazine's offices were opposite a school that had an overwhelmingly minority student body. HR professionals used their Communication and Global Mindset competencies to examine and update their hiring practices to improve outreach to populations who might not ordinarily consider applying to the magazine—for full-time or internship positions—which is expected to help diversify not only the racial make-up of the organization but also bring in a broader range of experiences and ideas.

Diversity, Equity, and Inclusion

Diversity is "the similarities and differences between individuals, accounting for all aspects of one's personality and individual identity." Inclusion is "the extent to which each person in an organization feels welcomed, respected, supported, and valued." Equity refers to the promotion of fairness and justice via the organizational structure.

Diversity

In an online article from SHRM, **diversity** is described as "the similarities and differences between individuals, accounting for all aspects of one's personality and individual identity." Within any given population, these aspects of personality and identity may take differing forms. This means that the application of diversity may vary from organization to organization and country to country.

Some organizations look to expand their application of diversity into new areas in a growing list of identity groups: race, religion, gender, culture, ethnic background, age, thought (which refers to the unique perspectives an individual brings), and so on. Others may change how they view the whole concept of diversity. They may move from viewing diversity defensively—as a matter of legal or ethical compliance—to viewing it strategically—as a valuable asset that an organization can use to compete.

HR organizations responsible for workforces in different countries must be aware of differing legal standards, measures, and requirements. Many countries, for example, have laws prohibiting employment discrimination, though they may function differently, so a multinational organization must be aware of the specifics in every country in which it operates.

Three Types of Diversity

When considering diversity, it is important to consider these three types.

- **Legacy diversity.** Generally, traits that are easily recognizable and visible, such as external physical characteristics. Culture, ethnicity/race, nationality, gender, physical attributes, age, and language are all examples of legacy diversity traits.

- **Experiential diversity.** Diversity based on lived experiences, for example, where an employee grew up, where they went to school, and other life experiences (family, hobbies, interests). Employees with similar or shared experiences can form connections and work well together. At the same time, these bonds can result in the formation of cliques, which can have an exclusionary effect in some cases.

- **Thought diversity.** Diversity based on different perspectives, resulting from education and socioeconomic background. Introducing thought diversity can help guard against “group think,” inject new insights into decision making, and help identify prime candidates to tackle urgent problems and issues.

Inclusion

Diversity asks, “Who do we bring into our organization?” Inclusion asks, “How do we make them feel welcome and valued when they get here?”

A SHRM article defines **inclusion** as “the extent to which each person in an organization feels welcomed, respected, supported, and valued.” An inclusive organization is one in which all members feel involved and empowered to contribute, and the organization works to sustain this state. The organization actively seeks out and welcomes diverse perspectives.

Inclusiveness happens only when an organization has created a culture and an environment in which the talents, skills, and perspectives of everyone in the organization are recognized and appreciated. By fostering and nurturing such an environment, the organization will encourage collaboration and flexibility and create a more fair working environment.

Attracting talent is a strategic benefit of inclusion (along with recruitment and retention), as people will want to work for a company that makes them feel included and valued. Or, put another way, diversity is the byproduct of effective inclusion.

Equity

Equity asks, “How do we ensure that everyone has the same ability to contribute to their fullest potential?”

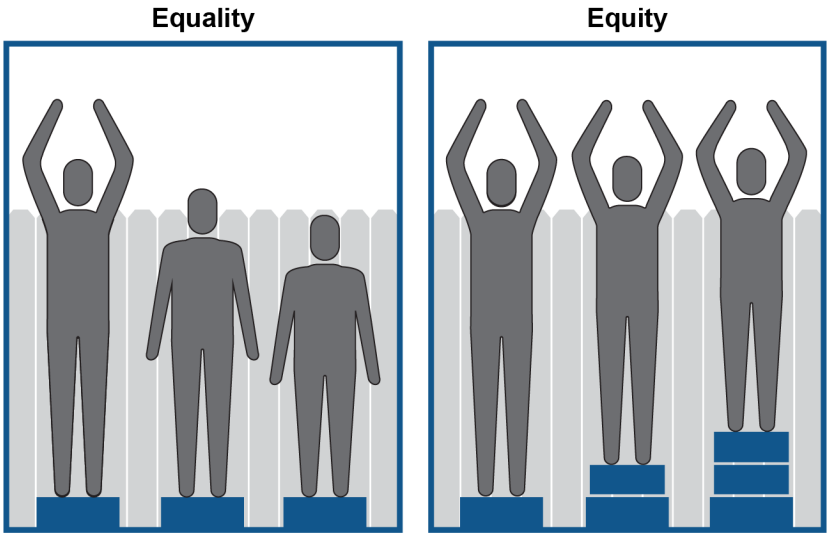
Key Content

The term “equity” has several different meanings in the world of business, so some clarification of its meaning in this particular context may be helpful:

- In finance, equity (almost always) means ownership.
- In compensation, equity (almost always) means relative fairness in total rewards.
- In hiring, equity means providing additional resources to those who need them to take fair advantage of opportunities within a company.

It is a common mistake for people to use the terms “equality” and “equity” interchangeably. While connected, they are distinct, and it is essential that HR professionals fully understand the difference. Equality refers to a state of fairness—all employees are provided with equal rights and opportunities within the organization and are treated fairly. Equity, however, refers to the promotion of fairness and justice via the organizational structure—that is, the organization identifies ways to acknowledge specific demographic needs and challenges and incorporates them into its DE&I decision making. Exhibit 10 offers a visual representation of the difference between equality and equity.

Exhibit 10: Equality vs. Equity



The goal of equity is to lift all employees up, to attempt to break down demographic barriers and challenges, and to empower all

employees so that they can perform at their best and feel fully supported and included by their employer. Organizations have various tools, resources, and opportunities available to achieve this, including wage equity, workforce education programs, skills-based hiring and promotional programs, and others. For example, if an organization's HR function is attempting to create equity within the workforce, it might provide additional tools and resources to minority employees, such as training on topics that would help them understand and handle any bias they might encounter in professional interactions.

Benefits and Characteristics of DE&I

Diversity, equity, and inclusion are three parts of the whole. Value is leveraged only by working from a definition of diversity that enables everyone—employees, management, customers, prospects, and collaborators—to feel that they are included and accepted, have a valued place in the organization, and are equally able to contribute to the fullest extent they can. This also keeps it from being "us" (the majority) and "them" (the minorities). Everyone has a perspective to offer—and their own preconceptions about others to deal with.

Given that, making the organization and the workplace more diverse and inclusive is not only the right thing to do; it is also driven by a common sense that a diverse workforce strengthens the organization. The types of perceived benefits can vary, however:

- **Improved creativity and innovation.** Diverse views make for better business decisions and drive a high-performance culture. This benefit derives from having groups with multiple perspectives, life experiences, and learning and problem-solving styles. This generates more ideas, but the experience of working in a more novel group with different behaviors and norms also fosters increased openness and flexibility. As Columbia Business School Professor of Leadership and Ethics Katherine Phillips explains, the discomfort caused by diversity in and of itself helps promote innovation. Knowing that members of a group have a different background and are likely to bring a different perspective increases both the depth to which group members critically examine their own assumptions and their openness to alternative ideas.

- **Recruitment and retention.** Demographic changes and local labor markets have driven employers to develop diverse workplaces. Here, as with so many aspects of DE&I, principles must be applied to local needs. Recruitment gaps and challenges may be very different for each local subsidiary of an organization. Developing an inclusive and diverse workforce enhances the employer's ability to attract high-potential talent in minority groups. Creating equal opportunities for everyone is also simply the right thing to do.

- **Market strengths.** Having a diverse workforce improves an organization's ability to understand the perspectives and needs of its customer segments, to identify and reach new market segments, and to develop new products that anticipate and meet those needs.

- **Branding.** The positive image of being a diverse, inclusive organization can be a marketing advantage and selling point, helping the organization to connect and identify a brand with diverse markets.

- **Global integration and local differentiation.** Local employees add greater awareness of local laws and regulations and business models and practices. They also bring potential entry into social networks, sources of information, and influence. Robust workplace diversity in an organization has a positive impact on the economies and societies in which the business operates.

- **Increased revenue.** Diversity, equity, and inclusion are good for business and can yield "a diversity dividend" of quantifiable improvements in market share, a competitive edge in accessing new markets, and a stronger bottom line. Each of the above benefits of DE&I ultimately contribute to an organization that can create greater long-term value and profitability, as they are able

to draw on a more diverse, engaged workforce made up of top talent.

The rapid pace at which the workforce is changing across the globe poses a significant challenge for HR leaders and the organizations they work for. Generational turnover, cultural evolution, widespread immigration, emerging markets, and evolving technologies have all played and will continue to play a major role in creating an increasingly complex organizational and business environment.

Workplace DE&I is a prominent part of many businesses and a concern of the talent pools they pursue. With diversity, an organization has the foundation to develop a more cohesive, collaborative, and innovative work environment and the potential to drive continued growth. Without diversity, an organization will face a competitive disadvantage.

That, in turn, brings us to the strategic value of diversity. What makes diversity valuable to an organization is, first and foremost, the expanding range of perspectives and modes of thinking that it provides. Gardenswartz and Rowe describe that strategic value as “capturing talent, understanding markets, utilizing diverse perspectives for innovation, knowing how and how not to pitch products, and, ultimately, how to generate employee commitment.”

The potential strategic benefits of workplace DE&I are enormous. These benefits are most likely to be realized by a top-down, organization-wide effort, including a detailed process, supported by clear metrics, data gathering, and analysis…and a clear definition of what constitutes diversity, equity, and inclusion and why they are important to the organization's core business strategy. In accordance with the importance of considering DE&I as a strategic imperative, DE&I requires the full-fledged, organization-wide efforts of a comprehensive strategic initiative.

Characteristics of Dynamic and Inclusive Workplaces

Dynamic and inclusive workplaces feature many common characteristics. They are generally multigenerational, multicultural, multilingual, multitalented, and multigendered. Each of these characteristics is described in Exhibit 11.

Exhibit 11: Dynamic and Inclusive Workplace Characteristics

Characteristics	Descriptions
Multigenerational	• Different generations bring different skill sets and perspectives, each of which can provide value. • Partnering employees from different generations can help generate innovative and creative solutions and ideas. • Provides opportunities for cross-generational learning and mentoring and knowledge transfer. • Different generations require different engagement strategies (benefits, career path opportunities, management style).

Characteristics	Descriptions
Multicultural	• Multicultural organizations have access to greater diversity of thought and experience and can therefore benefit from more innovation and creativity in decision making. • Can gain valuable insights into other cultures for the purpose of market expansion and finding and appealing to new customers. • Opportunities to appeal to diverse talent and customers.
Multilingual	• Multilingual environments can help foster greater diversity, equity, and inclusion and therefore more innovation and creativity. • Multilingual environments can attract top talent and new customers. • Multilingual employees can provide opportunities for organizational growth and are able to bridge certain gaps in understanding and communication (with customers, vendors, other employees). • Multilingual employees can help provide language support in-house—for example, in customer service or with overseas branches and offices. • Encouraging multilingualism can also benefit the workforce, as they acquire new skills and ways of thinking, which in turn can help engagement and retention.
Multitalented	• Multitalented workforces are flexible and able to adapt to fast-paced, changing situations and work environments. • Multitalented workforces can be more collaborative, which can enhance team building and engagement. • Can lead to challenges with retention if multitalented employees feel dissatisfied or unchallenged.
Multigendered	• Gender diversity leads to more innovative thinking and encourages diverse idea exchange. • Multigendered organizations are able to attract top talent (especially top non-male candidates). • Can signify a forward-thinking organization and leadership, which can attract more and diverse customers.

Developing an Inclusive Workplace

Successful DE&I initiatives require comprehensive, organization-wide efforts.

Successful DE&I initiatives require comprehensive, organization-wide efforts. There are three main reasons why a strategic approach is required: priority, complexity, and resistance.

Without focusing on DE&I as a priority, DE&I efforts will always have a lower priority than more immediate concerns. Only when DE&I becomes a strategic priority does an effort to increase DE&I become a justifiable “safe” choice for a manager to make. In a competitive global market, only a strategic effort, clearly linked to core business strategies and with full organizational buy-in, will be able to commandeer the resources and commitment necessary to achieve any diversity goals—or more importantly, to enable DE&I initiatives to really help the organization achieve its business goals.

Because the complexity of the DE&I problem requires a strategic, organization-wide solution, any initiative aimed at creating a diverse, inclusive organization has a lot of moving parts to consider. In addition to the many dimensions of diversity and the associated challenges that arise from them, global organizations must account for the filter that each nation and region imposes on how diversity

issues are viewed and prioritized. If diversity, equity, and inclusion are to be instituted across an entire organization, then every department, every function, every subsidiary, and every location must be involved, each with their own unique issues. It will involve many of the functions of HR professionals and affect a diverse group of shareholders. All of these complex issues require considerable resource commitments—of time, money, energy, and effort. These, in turn, require data-driven evaluations of the current base-line situation, concrete goals, and development of detailed, how-to-get-there steps.

DE&I involves major organizational change, which requires a strategic plan—not just a generalized goal—in order to help avoid resistance. Achieving diversity in an organization requires major organization-wide change, affecting ingrained attitudes and habits as well as established policies and procedures. A plan will define the goals desired and how to achieve them; it also integrates the goals and activities of the major business functions in order to achieve organizational success.

Because DE&I is a complex issue with no simple solutions, organizations may choose a number of different methods or frameworks to achieve their DE&I goals. A 2018 SHRM article sets out six basic steps:

1. **Educate your leaders.** Organizational executives and managers are crucial to the success of DE&I efforts. Mandatory training can help managers increase their understanding of DE&I concerns and give them opportunities to discuss real-life scenarios.
2. **Form an inclusion council.** This council, typically made of eight to twelve members located a few levels below the CEO, can assist with goal setting around hiring, developing and advancing diversity in the workforce, and employee engagement issues among underrepresented groups. The members should be diverse across as many different dimensions of diversity as possible.
3. **Celebrate employee differences.** Inviting employees to share their backgrounds and traditions in the workplace highlights diversity and helps create a more inclusive workplace.
4. **Listen to employees.** Comprehensive assessments, including the use of employee surveys and focus groups, can help develop tailored and specific strategies to help support inclusiveness in the workplace.
5. **Hold more-effective meetings.** Meetings are a prime opportunity for employees to contribute and feel valued, particularly among sets of coworkers who interact often. Attention to flexibility on timing and format, sharing praise and credit, and communication styles can go a long way.

6. **Communicate goals and measure progress.** As with other initiatives across the organization, SMART (specific, measurable, achievable, relevant, and time-based) goals are important. Goals can help build a business case, and if efforts are not achieving the desired results, corrective action may be undertaken.

No matter what process is followed or across what timeline, certain factors, tools, and processes are crucial to overall success. These include:

- Leadership buy-in.
- Executive sponsorship.
- Employee resource groups.
- Allyship.
- Unconscious bias training.
- Mentorship.
- Psychological safety.
- Using preferred gender pronouns.

These concepts are discussed in greater detail below.

Leadership Buy-In

DE&I can gain commitment at an organization's highest level only if it can demonstrate its ability to play a critical role in achieving core business goals. A DE&I advocate must delve beyond general truths

about the benefits of broadened perspectives and diversity of thought to create a business case linked specifically to the organization's unique mission, vision, and business objectives. This may simply be a matter of applying diversity's general benefits to an organization's specific situation and challenges. For example, to make the business case for DE&I, an organization facing staffing challenges tied to an aging workforce will require diversity initiatives that can find and attract skilled younger workers—and/or better retain its older, experienced workers. Similarly, an expanding organization must understand the needs and priorities of the cultures that are its expansion targets. DE&I efforts to bring members of these cultures into the workforce, and especially into decision-making positions, is a matter of business strategy, not just diversity strategy.

It is worth noting that aligning diversity and business strategies is not a new concept. In 1940, an American beverage corporation implemented what would now be considered a diversity initiative to compete against the market leader, because they recognized that the African-American market was being ignored. By the late 1940s, the organization had both an African-American sales force and print advertising campaigns targeting an exclusively African-American audience. According to professor of history and American studies Grace Elizabeth Hale, writing in the *New York Times,* the success of the campaign had long-term implications for both soft-drink leaders:

The innovator made diversity central to its corporate identity and strategy, and the lagging market leader began marketing to African-Americans and visibly donating to organizations such as the NAACP.

Key Content

Core business strategies generally face reevaluation and repositioning every five years or so. This means that DE&I must be ready, at the least, to realign itself with new directions and, ideally, be positioned to influence the direction strategic changes take. Organizational leadership will also eventually change. Alignment with an organization's evolving core goals enables DE&I to continue a central role even after an executive-level (corporate-suite level or senior management) champion moves on.

Executive Sponsorship

Without executive-level leadership serving as role models and advocates, DE&I cannot become a priority or demand resources. This must be a real, active, and long-term commitment for the effort to succeed—not a public relations statement or a symbolic gesture

but a highly visible and ongoing advocacy for a detailed program and a commitment to specific resources and actions. Executives may sponsor specific initiatives, such as an employee resource group (see below), even if they are not primarily responsible for the entire DE&I initiative.

As Gardenswartz and Rowe note, the real degree of executive-level commitment soon becomes clear throughout an organization. As they put it, “The message about the priority on diversity always gets out.”

A Forbes Insights survey found that 70% of organizations felt that ultimate accountability for their DE&I efforts rested on the shoulders of executives, with 35% placing responsibility directly on the CEO. Often, this is a literal chain-of-command matter, with the diversity function reporting directly to the CEO or the CEO serving on or chairing the organization’s diversity council.

Gardenswartz and Rowe explain, however, that leadership at all levels must be involved—and HR should certainly take a leadership role in promoting DE&I concepts and raising DE&I concerns.

Employee Resource Groups

An **employee resource group (ERG) ,** also known as an affinity group or network group, is a voluntary group for employees who share a particular diversity dimension (race, religion, ethnicity, sexual

orientation, etc.). Depending on how it is organized—and how actively the parent company participates—an ERG can serve many roles, from social network and support group, to career development resource, to organizational think tank, to advocacy group. It can be a channel for mentoring and educational programs, a way to provide diversity council input, and a resource for new hires.

Exhibit 12 lists criteria for effective ERGs established by DiversityInc. for its ranking of top 10 companies.

Exhibit 12: Employee Resource Group Criteria

Criteria for Effective Employee Resource Groups	
• Whether groups have formal charters • Percentage of employees in at least one group • Racial/gender breakdown of groups • Percentage of top executives who are sponsors of groups • Whether groups are used for recruitment, onboarding of new employees, talent development, marketing, mentoring, and diversity training	• If the groups' success is measured through retention, engagement, talent development, and other contributions to business (focus groups, client interactions, marketing ideas) • If resource group leaders have rotational positions on executive diversity councils

Source: "The DiversityInc. Top 10 Companies for Diversity Councils," DiversityInc.

One critical element of ERGs is that they are self-selecting. By joining an ERG, an employee chooses to focus on one of many diversity dimensions that comprise their identity. An employee may join an ERG for positive reasons—as an opportunity to make a unique contribution to the organization or to pursue an avenue of growth. Or there may be a negative impetus—it is the part of their identity that they feel is least accepted or understood by the organization. Either way, joining the ERG can in itself be empowering.

The name “employee resource group” can have a double meaning; ERGs often serve as a valuable resource for their parent company. The Conference Board, a business research association, in a report on diversity and inclusion, provides several examples of such ERG service:

- A Latino ERG at a foods company provided advice on targeting a version of a popular Mexican product line to Latino consumers in the U.S.
- A pharmaceutical company’s disability-focused ERG suggested product design improvements for a new medical testing and injection product.
- A company was experiencing high turnover of new Asian employees. Their Asian ERG identified a cause—problems spouses were having adjusting to life in the U.S.—and set up a new-transferee spouse-support program.

- One company turned to its ERGs to help resolve translation problems in product and marketing materials. It gave the employees a greater sense of product ownership, improved translations, and saved costs.

A key service the ERG can provide is formal communication with the diversity council, providing data, raising concerns, reviewing projects, and so on.

Allyship

Allyship should exist at all levels of the organization, according to SHRM Together Forward @Work. Allies can be relied on to model empathy and be ambassadors for change, advocating for people who are underrepresented in small ways and working to correct uneven opportunities that those underrepresented people are receiving.

These allies likely are unable to directly promote others but may help shine the spotlight on or mentor others. Small actions that open doors and help others advance their careers over time can have long-term effects for those individuals. However, allies must cautious to not assume or act as though other individuals are helpless and must consistently attempt to provide the small boosts as they are able. Allyship cannot be a one-and-done action.

Unconscious Bias Training

Unconscious bias, which is discussed in further detail elsewhere, is the result of the implicit biases that everyone has. Research has shown that this bias affects the hiring process more often than not, leading to unfair results. This can hinder diversity, recruiting, promotion, and retention over time.

Unconscious bias training is designed to illustrate the biases that an individual may hold and how those may influence their attitudes and behavior and thus decision making, despite the individual not being aware of the biases. The goal of the training is to help reduce or remove inequalities through this education by empowering individuals to avoid the biases when making decisions.

As with other training efforts, it is important to follow through and assess the results. Feedback must be gathered on an ongoing basis to assess if the training is working and how it can continue to be effective over time. One important question to ask is “Is the organization achieving behavioral change?”

Mentorship

Mentorship, in the context of DE&I, can benefit both the mentor and the mentee. Underrepresented employees who are being mentored can benefit from enhanced exposure resulting in increased

opportunities. Mentors and mentees both can benefit from the opportunity to build strong and deep relationships with someone different from them across multiple different diversity dimensions, helping them understand other perspectives better and enabling them to better address explicit and implicit bias that they have or may encounter in the workplace.

Mentorship can be formal or informal. Formal programs may be set up with specific goals in mind, for example, to prepare underrepresented individuals for promotion to leadership roles within the organization. Specific goals like this may help an organization achieve its DE&I and other strategic goals. Informal programs may be used to generally increase visibility throughout the organization, increasing opportunities for underrepresented individuals.

Mentorship may be seen as closely related to allyship. Individuals engaging in allyship may chose to use mentoring as part of their efforts. Mentorship may focus on career progression opportunities or filling specific representation voids in an organization, where allyship may work toward eliminating individual and systemic barriers that create an imbalance in opportunity generally.

Psychological Safety

Psychological safety refers generally to an individual feeling that they are able to speak up, question, ask for help, and admit mistakes. This safety makes individuals feel valued and allows them to freely contribute to a diverse and inclusive environment.

A study by Prime and Salib indicates that leadership that models four positive and inclusive behaviors—empowerment, accountability, courage, and humility— creates psychological safety in employees, which helps lead to success in DE&I initiatives.

This psychological safety also leads to increased ease of collaboration, especially when engaged in learning sharing, error reporting, and innovation initiatives that are crucial to a company's success.

Using Preferred Gender Pronouns

Gender pronouns, such as "him" and "her," are increasingly being phased out by organizations and replaced with gender-neutral pronouns such as (but not limited to) "they," "their," and "them." The nomenclature used continues to evolve, but organizations that stay abreast of changes and use them in their organization can create feelings of inclusiveness among non-binary individuals (those who do not identify as male or female). This may include those who are transgender, gender fluid, between gender, genderqueer, or third

gender. (Note that this is distinct from sexual orientation.) The term transgender is often used as an umbrella term to describe the other terms listed, though individuals may prefer to be recognized using a specific term.

As this change occurs, organizations must pay attention to the usage in multiple areas. Systems such as HRIS and organizational documents such as handbooks and forms must be updated. This may include the systems acquired from outside vendors. Encouraging the inclusion of gender pronouns in e-mail signatures and profiles can allow employees to make their preferred pronoun known and allow for greater recognition of diversity in the workforce.

Organizational culture must shift as well. Training for employees and managers, along with updated behavior and conduct statements, can help reinforce the need for attentiveness when using pronouns in the workplace, particularly in verbal interactions in the office. A best practice is to ask people how they want to be referred to by others and to respect that decision. Be aware that how an individual wants to be referred to may change over time as well, so the organization must encourage recognition and adoption of those changes as they occur.

In addition to correct pronoun use, organizations should ensure that employees are called by their preferred name. Individuals who are

non-binary may choose to use a different name than was given to them at birth, and deliberately using the incorrect name can be just as harmful as using incorrect pronouns. Deliberate misuse of pronouns can be considered a form of harassment in some jurisdictions.

Evolution and Integration of Diversity, Equity, and Inclusion

It is important to integrate DE&I initiatives as fully as possible into standard organization operations, but continual reexamination and adjustment of both tactics and overall strategic goals are essential to any success.

It is important to integrate DE&I initiatives as fully as possible into standard organization operations. For example, diversity training becomes part of standard supervisory training rather than a stand-alone topic, efforts to attract a more diverse workforce become a standard element of normal recruitment procedures, and so on. That is, to succeed, DE&I strategy should become integral to the organization's sense of "the way we do business" and "who we are."

That doesn't mean, however, than the initiatives are no longer measured, revised, and reevaluated. As with any other core strategy,

continual reexamination and adjustment of both tactics and overall strategic goals are essential to any success. In the particular case of DE&I, this imperative is strengthened by evolving realities:

- As an organization expands into new territories, new diversity issues will inevitably arrive, requiring adjustments and accommodations.
- The initiative's own success will change the nature of the issues that need attention and resolution. An organization that has become more diverse and inclusive will find it is communicating at a different level, raising a different set of communication problems (for example, the focus may shift from conflict resolution to creating new team structures that better leverage differences).
- The focus on diversity issues will shift over time. Currently, attention is centered on demographic shifts in workforce ages, issues concerning women in the workforce, and LGBT issues. The attention will invariably shift, either as (to be optimistic) current issues are resolved or as world events raise new concerns. A DE&I strategy shouldn't continually shift to the "cause du jour," but it does need to incorporate new concerns and issues into existing policies and procedures.

Measurement of DE&I initiatives is covered elsewhere.

Barriers to Success and Addressing Them in the Workplace

Proficiency indicators related to this section include:

- Identifies and communicates the benefits of DE&I to employees and leaders.
- Identifies and implements workplace solutions.
- Identifies, confronts, and addresses evidence of bias, stereotyping, microaggressions and subtle acts of exclusion in the workplace.
- Implements and manages benefits and programs that support a diverse and equitable workforce.
- Identifies changes in the workforce and workplace related to DE&I that are necessary to help an organization meet key business objectives.
- Identifies, advocates for and oversees benefits and programs that support a diverse and equitable workforce.
- Plans interventions to resolve identified inequities.

Key concepts related to this section include:

- Barriers to success including conscious and unconscious bias (examples include gender-based discrimination, racism, including systemic racism, stereotypes, ageism, ableism,

ingroup/outgroup bias, affinity bias; gender identity bias, sexual orientation bias, social comparison bias, extroversion/introversion bias, neurodiversity bias, microaggressions, personal barriers such as imposter syndrome and identity covering, cultural taxation).

- Benefits and programs that support DE&I (examples include caregiver options, workplace flexibility policies, paid leave options, tuition reimbursement programs, global festivities and events calendar).
- Workspace solutions (examples include lactation room, prayer room; Braille and screen reader, closed captioning, wheelchair ramp, gender-neutral restrooms).

Barriers to Success and Addressing Them in the Workplace

Any DE&I effort must include recognition of the various barriers that arise along dimensions of DE&I and the effects they have. Only when these barriers are identified and addressed can a DE&I effort find success.

Competency Connection

A financial services company is in the process of overhauling its diversity practices and policies. A recent high-performing hire has expressed disappointment in the small number of accommodations made for those with disabilities and other needs after seeing one of their colleagues struggle. The employee's manager and the HR generalist agree, and they believe the organization should have had accommodations in place already and that it should not have taken a superstar employee to highlight the need for such workplace solutions. The HR generalist is tasked with identifying accommodations that existing employees would benefit from and also planning for possible future needs.

First, the HR generalist uses her Analytical Aptitude competency to examine how it was that those existing needs were left unaddressed

for so long. In part, it seems as though the fast-paced, high-pressure work environment discouraged employees from expressing needs that might make them appear “weak” to their colleagues—even though there is no question that weakness has nothing to do with the situation. Similarly, those from less-privileged backgrounds felt less comfortable expressing their needs than did those who grew up in privileged households. There was also a fear that appearing demanding might harm short- and long-term professional opportunities.

The HR generalist used her Leadership & Navigation competency to generate a list of proposed solutions and presented it to management. For example, more team-building exercises and events were proposed in order to break down certain group dynamics and barriers to relationship building. The organization already offered student loan assistance but agreed to increase its support. The company also set aside a couple of rooms to be used for rest in order to provide employees with a space to recenter and recharge.

Conscious and Unconscious Bias

Bias can be broken into two categories: conscious bias, which the individual understands that they have, and unconscious bias, which the individual is unaware of but which still shapes their actions.

Bias can be broken into two categories: conscious bias, which the individual understands that they have, and unconscious bias, which the individual is unaware of but which still shapes their actions.

Conscious bias results in intentional behavior and may manifest in the form of physical and verbal harassment or other deliberate actions such as exclusion. Because of the awareness of conscious bias, it is more easily identified and thus may be easier to remedy at both an individual and systemic level.

Unconscious bias may not result in overt and deliberate action, but it still informs decision-making processes and behaviors, though an individual or organization isn't aware of it. In *The Inclusion Dividend*, Donovan and Kaplan make the following points about unconscious bias:

- It is pervasive and universal—meaning that everyone has some form of unconscious bias.
- Though the actions resulting from it are often small, the impacts to inclusiveness and fairness may still be large.
- Though everyone has some form of unconscious bias and may exhibit bias at the same levels, the effects of it are felt differently by different groups.
- Unconscious bias extends from the individual level to the systemic level.

- Organizations are unable to operate fully in the marketplace due to the impacts of unconscious bias.
- The effects of unconscious bias may be reduced at both the systemic and individual levels.

Unconscious bias can be difficult to address, because the recognition of it often challenges the self-image of individuals. Individuals who do not hold conscious bias or work to challenge conscious bias may not want to acknowledge that they still may be acting in a discriminatory manner, because they may believe that it implies intent, which generates defensiveness and guilt. Acknowledging it at the systemic level challenges notions of meritocracy, which undercuts both belief in personal achievement (for example, an individual may struggle to acknowledge that they did not reach their organizational position solely through their own hard work) and belief in the success of the system itself (for example, an organization that prides itself on DE&I may not want to acknowledge that unconscious bias still affects promotion tendencies within its ranks).

It is difficult to attempt to divorce any discussion of unconscious bias from the acknowledgment that it generally favors groups that are already in power. This power often is based on differences in race, gender, and other commonly recognized factors. However, it is important when working to address unconscious bias that individuals

in those groups do not feel as though they alone are exhibiting or benefiting from unconscious bias. (For example, if an organization's executive team is all straight, white, and male, the conversation must take place in a way that does not alienate them for possessing those traits.) It is important to recognize that everyone exhibits unconscious biases and that the goal is not to punish or shame those that have benefited from it but to reduce the disparate impact of the underlying biases themselves.

Both conscious and unconscious bias may exist among multiple dimensions, and the dimensions are not exclusive. No one is only a certain race; they also may be subject to bias due to their age, gender, sexual orientation, and other dimensions. Common forms of bias, which may exist either as conscious or unconscious, are defined in Exhibit 13 and discussed in further detail after the exhibit.

Exhibit 13: Forms of Bias

Bias	Definition
Gender-based discrimination	Assumptions based on an individual's gender
Gender identity bias	Assumptions based on an individual's gender identity
Sexual orientation bias	Assumptions based on an individual's sexual orientation
Racism (including systemic)	Assumptions based on an individual's race and/or ethnicity
Stereotypes	Generalizations about members of a group or social category (including nationality, sexuality, etc.) with regard to their qualities and characteristics

Bias	Definition
Ageism	Assumptions based on an individual's age
Ingroup/outgroup bias	Assumptions made based on group-level similarities or differences (gender, race, interests, etc.)
Affinity bias	Assumptions made based on shared or similar experiences (education, home town, etc.)
Social comparison bias	Assumptions made based on perceived social group
Extroversion/introversion bias	Assumptions made based on employee's personality—for example, quieter employees seen as unengaged or less talented or louder employees seen as difficult or overcompensating
Neurodiversity bias	Assumptions made based on whether an employee is neurotypical or neurodivergent
Microaggressions	Subtle, common, and quick insults and behaviors that convey negative or hostile messaging toward certain marginalized people and groups

Gender-Based Discrimination

Gender-based discrimination often manifests through both conscious and unconscious assumptions about individuals of different genders. For example, women may face more difficulty in exhibiting effective leadership due to the preconceived notions of their peers. This may occur consciously, where an individual refuses to respect the authority of their manager due to their gender, or unconsciously, where an individual doesn't recognize the credibility of the information presented by a member of one gender but does when similar information is presented by an equivalently (or less) qualified member of another gender.

Donovan and Kaplan indicate that this sort of circumstance is often why women leave the workforce or fail to advance beyond middle management. Though it is often reported or assumed to be due to work/life balance issues or issues relating to child care, it is more often because of the corporate culture. It's easier to explain the issue as work/life balance, particularly when the employee is already disillusioned or disengaged. Work/life balance is an important issue (and cause for leaving) for both genders, which should be focused on. But it's more important to focus on inclusiveness across gender lines and creating a positive environment where all contributions are valued.

Gender Identity Bias

Gender identity bias refers to bias that occurs due to the gender that an individual identifies with. As referenced elsewhere, this may include transgender, gender fluid, between gender, genderqueer, or third gender. Organizations may need to address different types of conscious and unconscious bias relating to terminology used in systems and documentation and with organizational partners, bathroom access (and comfort in using a preferred bathroom), and confusion on the proper way to address transgender individuals (for example, communicating and enforcing use of proper pronouns and preferred names, which may change as an individual transitions).

Individuals may exhibit conscious bias by deliberately misgendering or misnaming an individual.

Gender identity is often grouped with sexual orientation (for example, the commonly used acronym LGBT includes sexual orientations—lesbian, gay, and bisexual—with transgender). This may partially be due to stereotypes regarding the supposed desires of gay and lesbian individuals to be a member of the other sex. However, gender identity and sexual orientation are distinct concepts. An individual who is transitioning from male to female may be attracted to members of either gender or to members of multiple genders, and that attraction is unrelated to their expression of gender identity.

Sexual Orientation Bias

To understand sexual orientation bias, it first must be accepted that sexual orientation refers to purely sexual behavior. It more broadly refers to romantic relationships, which are a basic component of the sense of self for an individual. This is shown in family structures and life changes such as getting engaged or married. It also arises in the case of after-hours events to which team members are invited and are expected to bring significant others. When individuals are unable to freely share such core concepts of who they are, trust, teamwork, and relationship-building efforts may be affected.

As Donovan and Kaplan indicate, organizations should set strong expectations for inclusiveness with regard to sexual orientation (as well as gender identity). Though some employees may hold religious beliefs with regard to the morality of a certain sexual orientation, that does not give them the right to limit or exclude others on that basis in the workplace, much akin to how members of two different, non-congruent religions would be expected to treat each other equally and fairly.

Racism (Including Systemic)

Racism comes in many shapes and forms, but at a high level, it leads to an advantage to a certain set of individuals on the basis of race that results in and is sustained by a combination of psychological and sociopolitical factors. Different forms of racism include individual, internalized, and systemic:

- Individual racism is the personal belief that an individual's race is superior to another.
- Internalized racism occurs when a member of a race accepts negative messaging regarding their self-value and abilities due to their race.
- Systemic racism, also called institutionalized racism, occurs when an organization (which may include government functions) imposes a set of philosophies, policies, and procedures that

have either the intent or the effect of system-wide discriminatory treatment of a group of people due to their race.

Stereotypes

Stereotypes are generalizations about members of a group or social category with regard to their qualities and characteristics. These lead to more rapid and simple perceptions and judgments that are often exaggerated, negative, and resistant to change even in the face of information that goes against the stereotype.

Stereotypes may lead to stereotype threat, where individuals that are subjected to stereotypes regarding substandard performance are influenced to conform to those stereotypes, resulting in substandard performance compared to their capability.

Ageism

Ageism occurs when bias exists due to an individual's age or membership in a generation in the workplace. Multiple generations exist in the workforce at any given time. The characteristics of these generations impacts how an organization functions across many levels, from benefits offerings to career advancement. However, when an individual or an organization makes assumptions about the qualities that another individual has due to their age, it can harm inclusiveness and productivity. Stereotypes may indicate that

individuals of a certain age are more prone to think outside the box, which could reduce the ability of an organization to solve problems by causing behavior that ignores potential contributors or makes potential contributors feel as though they are not valued or welcomed to contribute.

These types of feelings can drive members of certain age groups to associate more closely with other age groups, which can reinforce stereotypes and biases and generate feelings of mistrust and judgment and lead to misunderstandings between groups.

Ingroup/Outgroup Bias

Unlike some other forms of bias discussed here, ingroup/outgroup bias originates at the group level, not the individual level. This bias may occur along with other dimensions of diversity, such as gender or race. Ingroup bias tends to be the more strongly represented experience, so in a male-dominated workplace, males would be considered the ingroup.

Members of the outgroup are typically more aware of the difference in experience between the two groups, as they often have to overcome barriers that affect only them, while the ingroup is less likely to perceive the existence of those barriers. Many of these barriers or bias examples may exist as microaggressions (addressed

below), but they add up to create an entirely different cultural experience. Minor slights, exclusions, and inconveniences can lead to a member of the outgroup feeling unwanted or unvalued.

Affinity Bias

Affinity bias exists because individuals tend to relate more to experiences that are similar to their own. For example, a hiring manager who went to a certain university may consciously or unconsciously prefer candidates who went to the same university, downplaying or devaluing deficiencies that such candidates may have in comparison to other, more objectively qualified candidates who went to a different university. This is harmful to diversity, equity, and inclusion over time, as it can eliminate the existence of additional perspectives, encourage “group think,” and lead to the creation of additional ingroups and outgroups.

Social Comparison Bias

Social comparison exists when individuals compare themselves with other individuals or use their membership in a particular group (compared to another group) as a way to evaluate themselves.

In the workplace, individuals will often try to assess their position within groups or departments or the organization at large, and it can lead to feelings of inclusion or exclusion. Consistently feeling as

though they are treated differently or are of lower status can decrease engagement and lead to reluctance to involve themselves and offer their insights.

On the other hand, due to the pressures involved in the comparison, the individuals may be more likely to look at themselves and own group in a positive light, which can lead to feelings of superiority over another individual or group and conscious or subconscious attempts to achieve or maintain that superiority.

Extroversion/Introversion Bias

Introversion/extroversion bias refers to how the method through which individuals handle social interaction and stimulation is interpreted by others in the workplace. Introverts tend to prefer quiet environments, with extroverts preferring the opposite. However, workplaces tend to be biased toward extroverts, which may result in the loss of benefits that introverts can bring to the table.

Intentional inclusion of both introverts and extroverts is the best option. Particularly when it comes to communication styles between managers and employees, balance is important. It can be difficult for either to adjust to the other's preferences, so mindful and open discussions of preferences are crucial to success.

Neurodiversity Bias

Neurodiversity , also called diversity of thought or cognitive diversity, refers to a workforce that approaches problems in a variety of conceptual ways. Different conceptual thought approaches may stem from other dimensions of diversity and includes individuals who have atypical brain structure, which may manifest as attention deficit disorder (ADD), attention-deficit/hyperactivity disorder (ADHD), and anything categorized as existing on the autism spectrum (autism spectrum disorder, or ASD). Individuals with atypical brain structures may be referred to as neuroatypical or neurodivergent.

Creating an inclusive environment that embraces neurodiversity can lead to innovation and can prevent “group think.” However, the complexities of all of these different thought processes can make inclusivity difficult—particularly when it comes to hiring these individuals. Individuals with ASD, ADD or ADHD may struggle to succeed in traditional interview situations. They may also find it difficult to engage in traditional meeting environments due to sensory sensitivities or difficulty processing speech, particularly when multiple individuals are talking at the same time.

Incorporating job previews and job simulations, sharing meeting agendas ahead of time to allow for questions or suggestions, and providing alternate means to engage in a meeting such as virtual

representation, captioning, and chat functionality can help overcome some of those barriers.

Microaggressions

Microaggressions are subtle insults (verbal, nonverbal, and/or visual) that occur quickly and are not out of the ordinary and that convey negative or hostile messaging to individuals due to their association or membership with a marginalized group.

In the workplace, these may be behavioral (through actions), environmental (arising from a lack of representation or diversity), or verbal. Examples of these may include a joke that plays on a stereotype of a group or invalidation or lack of recognition of another individual's ideas or identity. Though individual micoaggressions may not seem particularly harmful, noticeable, or egregious, particularly to those not on the receiving end of them, they can be additive and greatly harm feelings of inclusivity. They may be difficult to address, as they do not meet typical conceptions of harassment and may be explained away (honestly or dishonestly) as unintentional.

Other DE&I Concerns

Other DE&I concerns include the impostor syndrome, covering, and cultural taxation.

Impostor Syndrome

Impostor syndrome is typified by the feeling that success is due to luck, not hard work or skill. This can lead individuals to feeling unfit for their current role and as though they have fooled others into believing that they are more competent than they really are. It can be episodic (as opposed to lifelong), and most people will encounter it at some point in their lives. It may affect those in the neurodiverse community as well.

Individuals experiencing impostor syndrome may sell themselves short and not perform at the level they are capable of. They may be reluctant to step into the spotlight for fear that they will be exposed if they do.

Covering

Covering is a defensive behavior that occurs when an organization recruits a diverse workforce but, consciously or otherwise, promotes assimilation rather than inclusion. The subtle (if unintended) message to recruits is “you are welcome despite of who you are, not because of who you are.”

Covering affects workers’ behavior along four dimensions:

- **Appearance.** Adjusting their attire, grooming, and mannerisms to “blend in.”

- **Affiliation.** Avoiding behaviors associated with their identity group (culture, ethnic minority, sexual orientation, etc.).
- **Advocacy.** Avoiding engaging in advocacy on behalf of their identity group.
- **Association.** Avoiding associating with members of their identity group.

Beyond the psychological costs to the individuals who engage in covering, this represents a tremendous loss to the organization. The unique perspectives and insights these employees can offer as members of a particular identity group—a key value that a diverse organization can leverage—are instead suppressed.

Cultural Taxation

Cultural taxation refers to the additional workload generated for members of an underrepresented group due to their requested participation in DE&I efforts. Most of this work is unpaid, and it can represent a major additional source of work and stress. In many circumstances, if an individual does not participate, their identity group could be entirely unrepresented. This can make it difficult for the individual to say no, even if they don't have the time or additional resources to focus on the DE&I effort, leading to burnout.

Workplace Solutions

In addition to implementing policies and procedures that address barriers to success in DE&I efforts, organizations may look to make changes to and accommodations in their facilities and systems.

In addition to implementing policies and procedures that address barriers to success in DE&I efforts, organizations may look to make changes to and accommodations in their facilities and systems. Some of these may be legal requirements, depending on the jurisdiction. Examples of solutions that may be used and their benefits are seen in Exhibit 14.

Exhibit 14: Facility and System Solutions and Benefits

Solution	Definition	Benefit
Caregiver options	Includes resources that help manage responsibilities associated with caring for children, the elderly, and other relatives who need support. May include legal assistance for estate planning and guardianship, referral services for child and elder care services, flexible work schedules, and returnships.	Enables employees to contribute more fully to the organization and balance life and work. Helps prevent unnecessary losses of perspective and contributes to a diverse culture, especially where certain dimensions of diversity are more likely to be impacted by caregiving requirements.
Workplace flexibility policies	Includes flexible work schedules, remote or hybrid work, and other nontraditional working arrangements.	Enables employees to balance family obligations, educational pursuits, and other needs. Can prove attractive to certain sets of generational workers.

Solution	Definition	Benefit
Paid leave options	Examples may include vacation, sick leave, personal leave, personal time off, sabbaticals, and paid family leave.	Leave programs may help attract more diverse sets of workers along many different dimensions of diversity. Gender-neutral parental leave helps promote gender equality and reduce gender-based wage and career achievement gaps.
Tuition reimbursement programs and student loan assistance	Programs that help reimburse the cost of continuing education, including college tuition and certification programs. May also include student loan repayment assistance.	Helps contribute to neurodiversity in the workplace while assisting underrepresented groups to close educational gaps.
Inclusive events calendars	Organizational calendars that celebrate important holidays for all groups throughout the year.	Helps avoid ingroup/outgroup issues arising from predominantly represented groups and allows members of underrepresented groups to celebrate and share their cultural traditions.
Lactation rooms	Lactation rooms are dedicated, private spaces for women who are nursing to express breast milk during the day. These may be required by law.	Improved productivity, reduced absenteeism, improved children's health. Helps reduce gender gaps in the workplace due to work/life balance.
Quiet or prayer rooms	Quiet or prayer rooms are dedicated spaces where individuals may escape the loudness of the workspace and/or engage in their private religious practices during the day. They are not specific to any religion.	Improved spiritual and mental well-being. Helps neurodivergent individuals who are sensitive to noise and allows employees to be their authentic selves at work with respect to their religious beliefs.

Solution	Definition	Benefit
Braille and screen readers	Braille is a system of raised dots that allow vision-impaired individuals to read using their fingertips. A screen reader is an interface that helps vision-impaired individuals read content displayed on a screen and navigate computer menus and programs.	Creates an inclusive environment for individuals who are vision-impaired to participate fully in the workplace.
Closed captioning	Closed captioning displays on-screen text matching the audio component of digital content. Technology now provides the ability for this to be done in live time through artificial intelligence.	Helps those who are hearing-impaired or are neurotypical engage and understand content more fully. This may also be preferred by individuals not included in those groups depending on their learning style and preferences.
Wheelchair ramps	Wheelchair ramps provide mobility for wheelchair-bound individuals to access areas that are at a different elevation. These may be required by law.	Allows individuals with reduced mobility to engage and move around the workplace. Additional accommodations on this front may include wheelchair-accessible water fountains, bathrooms, and work surfaces.
Gender-neutral restrooms	Gender-neutral restrooms are available for anyone to use, regardless of their gender identity. These may be individual units (designed for a single person at a time) or multi-use units (with facilities for use by several individuals at once). Multi-use units must include stalls with a high degree of privacy to be considered gender-neutral.	This provides individuals with the ability to be authentic in regard to their gender identity, providing a more comfortable working environment.

Techniques to Measure DE&I

Proficiency indicators related to this section include:

- Assesses equity using tools to determine the relationship among empathy, inclusion and behavior.
- Collects, reviews, analyzes and effectively communicates DE&I metric results to show measurable effects on organizational objectives and productivity.
- Designs and executes effective DE&I initiatives to achieve business goals.
- Assesses an organization's inclusiveness, diversity and retention of diverse talent using DE&I metrics.
- Incorporates the results of equity assessments into HR strategy and programs.
- Sets and tracks DE&I goals and metrics to measure the effect on organizational objectives and productivity.

Key concepts related to this section include:

- DE&I metrics (examples include gender diversity, race diversity, retention rates for diverse employees, diversity of external stakeholders).
- Techniques to measure and increase equity (examples include SHRM Empathy Inclusion Index, diversity of employees at all

organizational levels, pay audits, pay equity reports, pay transparency, employee surveys).

Techniques to Measure DE&I

It is important to measure DE&I initiatives, on an ongoing basis, to assess their effectiveness. However, DE&I cannot be boiled down to simple numbers like accounting can. It's important to gather honest feedback from throughout the organization and assess where the organization is and how it can continue to improve over time.

Competency Connection

"Do our employees feel valued and included?" This is the question that has been troubling the leadership of a multinational automobile company. The company is headquartered in Germany and does business throughout Europe and Africa. It has come to the attention of the company's leadership that there has been an increase in social media criticism of competitors' diversity, equity, and inclusion policies and practices. The CEO and the board want to know "Are we making the same mistakes?"

To answer these questions, HR is tasked with conducting an organization-wide survey on diversity, equity, and inclusion. The goal is not only to understand the overall picture of organizational DE&I but also to identify how the company is doing on a regional level. For example, is the company doing enough to recognize the needs, preferences, and requirements of its employees in different countries,

or do too many of its policies seem to reflect the needs and preferences of the home country and/or leadership? Similarly, are its customers' needs accurately reflected in its product offerings?

An HR generalist creates a survey using his Communication and Analytical Aptitude competencies to examine the experiences of the organization's employees at all levels and in each region in which they have operations—in particular focusing on career and development opportunities. The survey will also gather information related to perceptions of the company's activities in different markets to ensure that they are receiving appropriate feedback and input from appropriate and relevant internal and external stakeholders.

DE&I Surveys and Metrics

Clear metrics and continual evaluation of results (through, for example, employee surveys) are critical to DE&I initiatives.

Employee Surveys

Employee surveys are used in many areas, including for employee engagement purposes. From a DE&I perspective, organizations can use demographic data from survey respondents (while maintaining personal anonymity) in order to gauge whether they are succeeding in their efforts to improve diversity, equity, and inclusion in the

workplace. Comparing the different response levels across different dimensions of diversity can indicate areas where the organization is having success in DE&I efforts and areas that should be improved.

While diversity can be more easily examined (for example, by collecting data related to racial, gender, and other diversity metrics), inclusion is more qualitative. The only way you can gather data on it is to ask people if they feel included. A survey to assess employee inclusion should include questions that examine the following:

- **Overall DE&I efforts/culture.** For example: Do respondents believe leadership encourages inclusion? Do management actions show that diversity is important to them? Does the organization foster an inclusive and comfortable work environment? Does management demonstrate commitment to meeting needs of members with disabilities or other issues?

- **Hiring and recruitment.** For example: Does the organization take active measures to seek a diverse candidate pool? Will job candidates see/meet a diverse range of people on their first visit to the organization? Are diverse job applicants treated the same as others?

- **Career development.** For example: Are employees of different backgrounds encouraged to apply for promotions? Are all

employees treated fairly in the internal promotion process? Do you believe all employees have a career path at the organization?

- **Personal experiences.** For example: Has your experience led you to feel included? Have you had difficulty getting to know colleagues from different backgrounds?

- **Policies and procedures.** For example: Do the organization's policies and procedures encourage diversity, equity, and inclusion? Are you aware of the organization's DE&I policies and procedures? Do you believe the organization will take appropriate action to respond to discrimination against its employees? Has the organization provided appropriate diversity training opportunities?

- **Suggestions and comments.** Surveys should also provide space for respondents to give suggestions and other feedback.

Attention should be paid to areas where diversity intersects as well. For example, a survey may indicate that individuals of all races feel included at similar levels as well as members across all gender identities represented. However, looking at both together may indicate that black women do not feel positively about the organizational efforts—results that were masked by higher-than-

average scores by black men and white women. Without looking across the two dimensions together, the organization may not realize that it is missing the mark with regard to that portion of the organization and may begin to suffer retention issues as a result.

Importance of Metrics

Clear metrics and continual evaluation of results are critical to a DE&I initiative. They enable course correction by providing feedback as to the success or failure of initiative elements. And they provide credibility, demonstrating the initiative's impact on the organization's competitive strategy.

Gardenswartz and Rowe see measurement as addressing two areas of concern:

- Process measures assess "how we did, what went well, what didn't and why," for example, the number of employees participating in a mentoring program and their feedback on the experience.
- Results measures assess the difference it made to the organization, for example, was there a decrease in turnover and how much did that save the organization?

Comparative results will be needed at regular intervals for all the measures taken in preliminary assessments, but new measures will

also be needed as the DE&I initiative evolves and incorporates new programs and elements (ideally, at least partly in response to what the measurements reveal along the way).

Finally, it is important that organizations resolve regional and national differences in creating their metrics. In “Measure Global Diversity by Thinking Locally,” Mary Martinez and Michal Fineman offer three guidelines for generating useful DE&I metrics:

- Let go of the notion that each country must have the same measures.
- Engage local staff fully in determining the “differences that make a difference.”
- Use a wide range of measures—beyond demographics—to demonstrate progress toward inclusion and full utilization of available talent.

Commonly used DE&I metrics are shown in Exhibit 15.

Exhibit 15: DE&I Metrics

Metric	Description	Use
Gender diversity	Examines the composition of the workforce broken down along the gender diversity dimension.	Can help organizations identify if hiring practices, including job postings and interview practices, are equitable across gender lines.

Metric	Description	Use
Race diversity	Examines the composition of the workforce broken down along the racial diversity dimension.	Can help organizations identify if hiring practices, including job postings and interview practices, are equitable across racial lines.
SHRM Empathy Index	Assesses inclusion in the workplace using five different components, each scored from 0 to 100: • Belonging • Inclusion • Openness • Conflict Management • Non-Discriminatory Practices	The SHRM Empathy Index was formed in recognition that DE&I is not possible without a focus on empathy in the workplace. The Empathy Index is designed to be used to quickly assess inclusion, enabling organizations to monitor progress along this crucial DE&I aspect.
Retention rates for diverse employees	Examines the average turnover rate and length of employment for employees broken down along various or multiple diversity dimensions.	Helps organizations determine if DE&I initiatives, compensation, and other retention efforts are working as intended for given diversity groups.
Diversity of external stakeholders	Examines if there is a diversity of thought among those who are helping to establish and drive the organization's direction.	Helps organizations establish appropriate and effective DE&I initiatives; provides better insight into diversity needs (of employees, customers, etc.).

Diversity of Employees at All Organizational Levels

Examination of the diversity of employees at all organizational levels is crucial to understanding the effectiveness of DE&I programs, especially those designed to eliminate bias from the hiring and promotional process and those designed to prepare diverse candidates for leadership roles.

This will indicate if groups are underrepresented or overrepresented at different levels. For example, an organization that emphasizes diversity in leadership roles should make sure that leaders are diverse across multiple levels in a meaningful way. Having a diverse executive suite is wonderful, but if all members of the director level of an organization share the same race and gender characteristics, the organization is probably not achieving its goals.

Pay Measures

Measuring pay disparities between members of different groups can indicate widespread pay inequity in a workforce or an opportunity gap that inhibits career growth for certain groups.

Measuring pay disparities between members of different groups, such as those grouped along gender or racial dimensions, can indicate widespread pay inequity in a workforce or an opportunity gap that inhibits career growth for certain groups. Three useful tools in this area include pay audits, pay equity reports, and pay transparency.

Pay Audits

Pay audits analyze pay information across the organization to determine if particular sets of individuals are paid less or more on

average than others. These audits can be conducted on an ongoing basis to identify pay gaps and address them and determine the results of efforts to reduce such gaps across the organization.

Pay Equity Reports

Pay equity reports disclose the results of a pay audit. Pay equity refers to the salary paid to similar positions examined through the lens of one (or more) dimensions of diversity. Equitable pay exists when positions with similar responsibilities are paid the same. For example, a marketing department at a large organization may have 30 marketing specialists. Between these similar positions, pay should be roughly similar between groups. If the male specialists average several thousands more in salary than the female specialists, an inequitable pay situation may exist across gender lines.

In many cases, pay discrimination between diversity dimensions is forbidden by law, or governments may require reporting to generate demographic data and determine if action should be taken. Organizations may also use these reports to highlight bias in promotional processes and ensure that individuals have equitable opportunity to advance their career no matter what diversity groups they belong to.

Pay Transparency

Pay transparency is important in the pursuit of pay equity. Pay transparency, which from an organizational perspective includes publishing pay scales, helps employees feel that their pay is equitable throughout the workforce without having to directly compare salaries with each other.

Evidence has shown that the practice of publishing pay scales helps minimize the pay gap between certain groups and can serve as a recruitment tool when organizations are looking to hire external candidates for positions. It can also help reinforce to employees that the organization is serious about achieving pay equity, undercutting potential notions that an organization may be seeking to benefit from a lack of pay equity by saving on labor costs while falsely claiming they are working toward that goal.

Relationship Management Competency

Relationship Management Competency

Relationship Management is a complex competency that includes the skills, knowledge, and abilities to:

- Understand the needs of stakeholders inside and outside the organization and create networks of relationships that will increase HR professionals' effectiveness.
- Use relationship-building skills to participate in or lead teams.
- Clear away the obstacles to productive relationships by resolving conflicts effectively and supporting win-win negotiations.

Networking

Proficiency indicators related to this section include:

- Builds engaged relationships with team members through trust, task-related support, decision-making, and direct communication.
- Creates and/or participates in project teams comprised of HR and non-HR employees.
- Demonstrates concern for the well-being of colleagues.
- Develops and maintains a network of external partners (examples include vendors).
- Develops and maintains a network of professional colleagues in the HR community at large, for professional development and to fill business needs (examples include identification of new talent).
- Develops and maintains a pattern of reciprocal exchanges of support, information, and other valued resources with colleagues.
- Develops and maintains mutual trust and respect with colleagues.
- Develops working relationships with supervisors and HR leaders by promptly and effectively responding to work assignments,

communicating goal progress and project needs, and managing work activities.

- Develops, maintains and leverages a network of professional contacts within the organization, including peers in both HR and non-HR roles, HR customers and stakeholders (examples include IT department).
- Embraces opportunities to lead a team.
- Ensures all team member and stakeholder voices are heard and acknowledged.
- Establishes a strong and positive reputation, within and outside the organization, as an open and approachable HR professional.
- Fosters collaboration and open communication among stakeholders and team members, regardless of location or employment type.
- Identifies and fills missing or unfulfilled team roles.
- Supports a team-oriented organizational culture.
- Understands the interests of executives and leaders within the organization.
- Uses technology to build and maintain strong relationships with individuals who work at other work locations (examples include remote workers).
- Creates and leads teams with senior leaders from across the organization.

- Creates opportunities for HR employees to network and build relationships with higher-level leaders in the organization and in the HR community at large.
- Designs and oversees HR initiatives that promote effective team processes and environments.
- Develops HR's objectives and goals for relationship management.
- Develops and maintains relationships in the HR community at large through leadership positions in other organizations.
- Develops, maintains, and leverages a network of contacts within the organization (examples include leaders from other business units), and outside of the organization (examples include members of legislative bodies, community leaders, union heads, external HR leaders).
- Fosters an organizational culture that supports intra-organizational teamwork and collaboration (examples include silo-busting).
- Leverages relationships to learn about best practices for and new approaches to building competitive advantage.

Key concepts related to this section include:

- Trust-building techniques (examples include emotional intelligence, relatability, vulnerability, transparency, recognizing individual strengths).

Networking

The object of networking is to create relationships that offer value to you—by expanding your knowledge, perspective, opportunities, and support—while at the same time offering the value of your expertise and experience to others. As the number of contacts grows and their diversity increases, HR professionals can build a web of connections that multiplies their own abilities.

Competency Connection

The head of HR is concerned that the organization's IT department will be unable to support the execution of a large, critical, time-sensitive project.

Several employees are to be sent on a long-term international assignment at a subsidiary for the special project. The project requirements appear to greatly exceed current IT processes and resources.

The HR head meets with the IT lead to review the project requirements. Following their due diligence and assessment, they reach the same conclusion. If they follow the current approach, the project will indeed exceed the capacity of the IT department and could result in significant delays (potentially up to two weeks) for the

assignees' laptops, information, and accesses to be ready at the subsidiary destination.

Working together, HR and IT design new streamlined processes to gather all the details that IT needs to configure the assignees' user IDs, create the new employee numbers, grant access to systems, and transfer the information on their current laptops before they arrive at the subsidiary. These actions eliminate the constraints that would have caused the delays.

HR uses its Business Acumen, Consultation, Analytical Aptitude, and Relationship Management competencies to understand the IT processes, design a new process, and work collaboratively with all the project's stakeholders. The result: better business decisions that minimize the potential negative impact on employee productivity and avoid any disruption to the project and the organization's operations.

The Value of Networking and Building a Professional Network

The Value of Networking

Networking can be defined as a process of developing mutually beneficial contacts through the exchange of information. Networking

is like building a large library of potentially useful information and influence. You may not need a resource immediately, but when you have a network and the need arises, you can turn to the right people to provide expertise, a different perspective, experience, influence, or other contacts.

Networks may consist of internal or external contacts.

- Internal contacts can be people with whom you interact on a regular basis in the course of your work (for example, another HR staff member, a contact in accounting). They may also be internal stakeholders in the organization who share interests and can provide support.
- External contacts can be people outside the organization with whom you work regularly (for example, suppliers, community contacts), colleagues in other companies, or connections through professional associations such as the Society for Human Resource Management.

Building a Professional Network

The process of building a professional network should begin as soon as one enters a profession or joins a new organization. Contacts take time to identify and develop. The goal is that they should be available when you need them, not after.

Professional networks include people inside and outside one's organization, colleagues from the HR profession and from other disciplines, face-to-face and virtual relationships. Chapter meetings are a good way to meet other HR professionals. Informational meetings hosted by other functions can provide opportunities to expand internal contacts. Even break rooms can become a good place in which to cultivate new contacts. Networking sites are continually expanding their capabilities, and new sites are being launched. They may include contact mechanisms and tools for collaboration and information sharing.

A balanced network offers different types of value:

- Colleagues in the HR discipline can build and maintain your awareness of what is happening in the field. A fellow HR professional can post descriptions of new books or articles.

- Some individuals can act as career mentors or provide coaching on specific skills. For example, a colleague in the finance function can help you understand the organization's financial statements and how financial objectives may affect HR.

- Some members of your network are effective collaborators, helping you come up with new ideas and working through

possible problems. They may think like you, but they may also complement your own cognitive style and life experiences.

- A few highly valuable people are what the author Malcolm Gladwell called “connectors” in *The Tipping Point*. These are the people who seem to know everyone. They can quickly increase the size and scope of your own network through introductions and referrals. A vendor, for example, can be a connector, helping you to find qualified providers of other services and products.

Key Content

Networking takes time, but it can help HR professionals to succeed in their current positions or find new career opportunities. Effective networking requires:

- Finding people who have something you would like to share.
- Having something yourself that other people would like to share—for example, expertise or experience, referrals, or organizational support.
- Allocating time to make and maintain connections, even when there is no current need for support.

Exhibit 16 lists some advice on creating professional networks.

Exhibit 16: Creating Professional Networks

How to Create a Professional Network
• Give deliberate thought to who you want to include in your network. Networks take time to maintain, so their value should merit the effort. Consider what areas of weakness you want to develop. Identify business areas or groups that you want to know more about or where you want to establish contacts. • In all social situations, introduce yourself, ask about the other person's work and life, listen, and remember. • Make yourself more visible. Attend conferences and workshops. Present at chapter meetings. Participate actively in meeting discussions. • Develop your own value. Work on becoming an expert in some area or on some topic. Don't be modest about what you know or can do. • Do favors. Networking is bidirectional; value flows to both ends of the connection. Look for opportunities when you can mentor and coach others.

Identifying Stakeholders for a Professional Network

An HR professional's network should include key stakeholders, both inside and outside the organization. These stakeholders can affect what HR does and how successful it will be in these activities.

Key Content

The **stakeholder concept** proposes that any organization operates within a complex environment in which it affects and is affected by a variety of forces or stakeholders who all share in the value of the organization and its activities. Business objectives may be more complex, shaped by the needs of the various groups.

The organization's stakeholders perceive the value they receive in distinctive ways. Understanding these multiple perspectives can help HR professionals appreciate the complex criteria that are needed to measure an organization's success. It will also improve the HR professional's ability to communicate with stakeholders effectively and manage their expectations.

The stakeholder concept was first offered in the mid-1980s by R. Edward Freeman as an alternative to the shareholder perception of the corporation. The shareholder concept states that the objective of a business is to create as much wealth as possible, which is returned to shareholders in the business, and that managers' objectives, both in the short and long term, should be maximization of profit. The

stakeholder concept recognizes the different types of value an organization creates. Exhibit 17 illustrates the stakeholder concept.

Exhibit 17: Stakeholder Concept



Each stakeholder defines the value it seeks from its perspective and may prioritize some values over others.

HR's Stakeholders

HR's stakeholders cover a broad range.

- **External customers** include those receiving or purchasing the organization's products or services and those who seek a return on their investment in the organization.

    - Customers tend to define value in terms of their needs, which may include economy, convenience, reliability, responsiveness, or innovation. HR can help communicate customer needs to new employees, recruit the type of workforce that can deliver customer service, and develop customer service skills.

    - Shareholders may see value as monetary (a dividend or an increase in share value). They may prioritize short-term returns or long-range growth. Some shareholders may also expect results from the organization's corporate social responsibility strategy in the form of improved environmental and social impacts. HR can help unify the organization behind strategic goals and build organizational competencies.

    - Donors to nonprofit organizations want to see results and are interested in the proportion of donations that goes directly to the organization's mission. HR can manage executive compensation and support organizational performance.

- **Internal customers** include a number of roles in the organization.

- Senior management needs HR data on workforce capabilities and costs and HR expertise in identifying and managing risks related to human resources, acquiring and retaining talent, developing talent pools, managing relations with third parties (for example, unions and works councils, workforce suppliers), and aligning workforce size and skills to achieve organizational effectiveness and efficiency.

- Boards of directors rely on HR to attract senior management talent, support succession plans, develop competitive and compliant compensation plans, and support the organization's ethical environment and governance system.

- Functional leaders rely on HR for support in staffing, development, and employee relations.

- Employees of the organization and the HR function seek economic stability, fair and transparent treatment, safe conditions, fulfilling work, and opportunities for development. Different employee groups may have unique needs, such as work flexibility, support for diversity, opportunities to affect society and the environment, and so on. HR can help address these perspectives through its policies and programs.

- **Suppliers** include short- and long-term staffing suppliers, vendors providing or managing benefits, or internal functions like IT that provide necessary support. Suppliers tend to value economic stability, fair treatment, and control over their businesses.

- **Communities, political groups, religious institutions, and governments** focus on shared interests:

    - Communities see an enterprise's value as a source of employment and neighborhood enrichment and stability. As part of its portfolio, HR develops and maintains relationships with groups within the community, such as educational institutions that develop future talent and workers or partners in corporate social responsibility programs.

    - Political groups seek support from the business community in making changes in laws and regulation. HR's relationships with these stakeholders can improve the success of lobbying efforts on behalf of the organization and the HR profession.

    - Religious institutions seek support for their own community goals and can benefit from improved employment opportunities and corporate volunteer programs.

    - Governments value “good corporate citizens” that build communities, strengthen economies, and support the rule of law. HR monitors the expectations of government agencies and fulfills its legal and regulatory obligations (for example, compliance with employment laws and laws on visas and workplace safety).

There is considerable debate about how to align stakeholder perceptions of what value an organization should deliver with the organization’s own business goals and needs. How will the organization prioritize these stakeholders? Can the organization negotiate with stakeholders to reach mutually acceptable objectives? Is it sufficient for the organization and the stakeholders simply to open a conversation so that they better understand each other’s motivations?

Stakeholder Perspectives in Global Organizations

Local cultures may influence the stakeholder relationship in a distinctive way. For example:

- Customers’ expectations of service will vary globally. In China, customers expect special treatment to be given to those who have personal relationships with a service provider. In other cultures, favoritism would anger customers.

- In a culture that values long-term relationships, suppliers might not understand being asked to reapply for supplier status periodically, but in a country where short-term results are valued, the request may be expected.
- Employees in different countries often value certain kinds of benefits. In China employers are expected to build dwellings for blue-collar employees who come from other cities or the countryside. Employees in countries with high taxation levels may value nontaxable benefits. Certain cultures place greater value on work/life balance.

Benefits of Building Relationships Inside and Outside the Organization

The key to networking, creating or working in teams, or negotiating mutually satisfying agreements is the ability to build and sustain relationships.

HR professionals form various types of relationships in their work. These relationships may extend outside the organization (to peers in other organizations, customers, or suppliers) and outside the HR function (to internal customers or people who share the workplace). They can extend upward, downward, and laterally through the

organization's hierarchy to include bosses, direct reports, and coworkers and fellow team members.

These individuals may be located in the same location or area as the HR professional, or they may be at satellite or other off-site locations. Engaging remote individuals may require the use of teleconferencing technology, social media, and other methods. It may also require more intentional interactions, since traditional incidental interactions such as water cooler chatter are not present in a digital environment.

Key Content

Effective relationships:

- Improve the quality of communication. People get the information they need, but they also get an opportunity to develop a broader perspective on an issue.
- Increase productivity by supporting collaboration and enabling efficient resolution of disagreements.
- Create a positive work environment by fulfilling human needs for socialization and attachment.

Characteristics of Good Working Relationships

Good working relationships are characterized by trust and openness. The individuals in a work relationship may have their own business goals, and they may use the relationship to advance their goals. However, they do not use a relationship to manipulate other people to act against their values or their own interests.

Effective work relationships are mutual. Each side gains something; each side learns from the other. Understanding deepens over time, and communication and conflict resolution comes more easily.

Exhibit 18 lists some recommendations for developing good relationships.

Exhibit 18: Recommendations for Developing Good Work Relationships

Paths to Effective Work Relationships

Paths to Effective Work Relationships
• Strive for diversity in the range of your relationships—diversity in age, gender, background, ethnicity, and expertise. This provides an opportunity to expand your understanding of the rest of the world. • Invest time and energy in developing and sustaining relationships. This means attending to others even when you have no specific needs to fulfill. You are building a resource you may need to turn to later. • Develop an ease with “small talk” about non-work matters. Look for openings for conversation, such as photos or references to leisure activities. • Talk about yourself without dominating the conversation. • Learn to ask about others without prying into personal matters. • Be considerate of other people’s time and obligations. Wait for more opportune times for discussions.

Building Trust

Trust is associated with words like truthfulness and reliability. It is built over time through repeated demonstrations. When trust levels in a relationship are high, conflicts can be more easily resolved and sometimes avoided entirely. Negotiations can proceed more quickly to mutually acceptable conclusions. When an organization includes trust in its core values and is able to cultivate that behavior in its members, the organization as a whole benefits in its relationships with all of its stakeholders.

Building trust is aided by certain characteristics of the individuals in the interaction. How emotional intelligence is used; how relatable, vulnerable, and transparent an individual is; and how they recognize the other individual and their strengths all can help build trust.

Emotional intelligence (EI) is the quality of being sensitive to and understanding of one's own and others' emotions and the ability to manage one's own emotions and impulses. It enables people with very different backgrounds and perspectives to work productively with one another. Whether these differences are cultural or intergenerational or are related to class, sex, socioeconomic status, or education, EI can turn differences into an organizational asset rather than a potential liability.

HR must not only develop its own emotional intelligence but also help develop EI throughout the organization. Without EI, the behaviors needed to support a global mindset or diversity in the workplace—empathy, cooperation, willingness to learn about and accept differences—are practically impossible. EI has been found to be related to professional success in all types of job roles.

Being vulnerable, transparent, and relatable helps others see themselves as more similar to you. It helps them to believe that you are not projecting an enhanced and false image and to trust that you are being honest in your interactions with them. If you have been

transparent and vulnerable in situations where it may have been uncomfortable to do so, they have reason to believe that you will do the same in future interactions.

Research conducted by Robert Hurley found that while characteristics such as honesty and predictability are necessary to build trust, they are only part of the requirements. Building trust is more likely when the person bestowing trust recognizes certain qualities in the other person:

- **Common values.** Finding commonalities helps overcome the sense of “otherness.” People trust people who are similar to themselves.

- **Aligned interests.** When individuals share a common purpose, they can see similarities and often find common ground to work together and to find commitment to stakeholders. Trust is possible to construct across differences in beliefs, experiences, or culture; it simply takes time and communication.

- **Benevolence.** A benevolent person is perceived as having genuine concern about another’s well-being, above or at least equal to his or her own interests.

- **Capability or competence.** People must feel that an individual can deliver on commitments. People who over-promise or do not

follow through do not merit trust.

- **Predictability and integrity.** A trustworthy person reliably "walks the talk"—there is consistency between values and behavior. Occasional acts of integrity are not enough.

- **Communication.** Trustworthy people communicate often and fully. They listen and respond to what they hear. They reveal things about themselves, and they are open to hearing about how others see them.

In addition to learning how to build trust in their own relationships, HR professionals may be called upon to help organizations, functions, or work units rebuild trust within the workplace. These consultative HR services are built on mutual trust between HR and its internal customers.

Managing Conflict

Proficiency indicators related to this section include:

- Encourages productive and respectful task-related conflict and uses it to facilitate change.
- Facilitates difficult interactions among employees to achieve optimal outcomes.
- Identifies and addresses the underlying causes of conflict.
- Identifies and leverages areas of common interest among stakeholders, to foster the success of HR initiatives.
- Identifies and resolves conflict that is counterproductive or harmful.
- Resolves and/or mediates conflicts in a respectful, appropriate, and impartial manner, and refers them to a higher level when warranted.
- Serves as a positive role model for productive conflict.
- Designs and oversees conflict resolution strategies and processes throughout the organization.
- Facilitates difficult interactions among senior leaders to achieve optimal outcomes.
- Identifies and reduces potential sources of conflict when proposing new HR strategies or initiatives.

- Mediates or resolves escalated conflicts.

Key concepts related to this section include:

- Conflict resolution strategies (examples include accommodation, collaboration, compromise, competition, avoidance).
- Types of conflict (examples include relationship, task, inter- and intra-organizational).

Managing Conflict

Conflict is not necessarily a bad thing in an organization or a group or between two individuals. Constant conflict, however, can weaken trust and erode relationships, obscuring a sense of common mission and making collaboration difficult. From an HR perspective, it can decrease employee productivity, morale, engagement, and retention. It can increase risks of lawsuits and even violence.

Competency Connection

One of the ways in which HR provides service to the organization and its members is by supporting resolution of the many possible conflicts that can arise among the organization's diverse members. In the case described below, the managers in conflict come from different cultures but also different disciplines. Still it is imperative that they work as a team. By using the Behavioral Competencies, HR can become the organization's relationship manager.

The HR manager at a large resort in Las Vegas has to resolve a conflict between the IT manager, originally from the Netherlands, and the food and beverage (F&B) manager, originally from Trinidad. The IT manager refuses to fix the F&B manager's computer. The IT manager argues that the F&B manager has been disrespectful to him by ignoring all his e-mails. The F&B manager feels that her status as

a manager is being challenged when the IT manager sends her lengthy e-mails with directions for fixing the problem herself rather than simply coming to her office to help her in person.

The HR manager knows from performance reviews and personal contact that both are highly valued, competent managers. In a follow-up meeting, she asks each to reverse roles and try to explain one another's problems. The IT manager struggles with the role play but does eventually admit that perhaps his e-mails were a bit too long, adding that he had wanted to make sure that all possible IT issues were being addressed. The F&B manager mimicked the IT manager's accent, but then admitted that she could have tried harder to resolve the computer problem using his e-mail directions, despite her lack of formal computer training.

The HR manager proposes a compromise that both managers find acceptable: The IT manager will conduct three-hour tutorial sessions for the F&B head, who will in turn provide a guided tour of the F&B operations, so he can see firsthand how they need to use the IT system. By focusing on business objectives, HR has helped both sides to better understand the real issues that are causing personal conflict and work toward a resolution that will avoid future conflicts.

Types of Conflict

Conflicts can be distinguished in terms of what they are about and who is involved. Understanding the types of conflicts can help resolve them more quickly and thoroughly.

Conflict can derive from disagreements over how to do a particular task, or it can relate to personal differences, such as culture, cognitive and communication styles, or a need for control or dominance. Resolving task conflict may be time-consuming, because it often requires negotiation or consensus building to establish the best path forward. Task conflict, however, can sometimes lead to discovering better ways to do things—more efficient approaches that save time and resources or more innovative approaches that produce better results.

Interpersonal conflicts may sometimes be disguised as task conflicts. Because the real issues are not being resolved, the conflict may linger and distract teams from important work. Interpersonal conflicts require that at least one of the parties in the conflict has emotional intelligence and skill in negotiating. Or they require the intervention of a leader who can impose ground rules for behavior and refocus the team on the task. Like task conflict, however, some level of interpersonal conflict may be acceptable. When team members conflict because of issues related to diversity, the cost of conflict may outweigh the benefits of having diversity in a team or organization.

Conflicts can occur inside a team (intragroup conflict) or between the team and an outside group, such as another HR team or another function in the organization (intergroup conflict). Conflicts within a team may be related to task or personality, but conflicts between groups are frequently about competition for limited resources or conflicting goals. These intergroup conflicts may be resolved through negotiation, but they may require intervention by a third party who is not directly involved in the conflict. When called upon to intervene as a third party in a conflict, HR professionals should remember to apply their networking and influencing skills.

Conflict Resolution Modes and Reducing Unnecessary Conflict

Conflict Resolution Modes

Exhibit 19 describes conflict resolution modes based on the work of Robert Blake and Jane Mouton. The five conflict resolution modes represent different ways of responding to two basic concerns: the task that must be accomplished and the relationships between the people in conflict.

Exhibit 19: Conflict Resolution Tactics

Mode	Description	Comment

Mode	Description	Comment
Accommodate (or smooth)	The leader restores good relations by emphasizing agreement and downplaying disagreement.	Useful when there is little time to be lost and movement forward is needed. It does not, however, address the root conflict. If the group continues, the conflict will probably recur.
Assert/compete (or force)	The leader imposes a solution. One side wins and the other loses—hence the term “win/lose” conflict resolution.	Useful in a crisis because it resolves the issue quickly; also when authority is being challenged or when the impact on future relations with the group is minimal. Like accommodation, it does not permanently address the problem.
Avoid	The leader withdraws from the situation or accepts it, leaving the conflict to be resolved by others or remain unresolved.	Useful when the conflict will resolve soon without any direct intervention or when the conflict or relationship is not worth the time investment. Leaders should be aware that avoiding conflict can weaken their role in the organization and may damage the group by leaving a problem unresolved or allowing it to be poorly resolved.
Collaborate (or confront)	The leader and those in conflict accept the fact that they disagree and look for a “third way,” a new solution to the problem of the conflict. Since both sides contribute to the solution, this may be seen as “win/win” conflict resolution.	Useful when the stakes are high, relationships are important, and time allows. (It does require time and strong interpersonal skills.) There is greater chance for an enduring, equitable, mutually satisfying resolution.

Mode	Description	Comment
Compromise	The leader asks those in conflict to bargain—altering positions on different issues until a mutually acceptable solution is defined. The solution relies on concessions. For this reason, it is often referred to as “lose/lose” conflict resolution.	Useful for complex issues, when both sides are determined to win, and when time doesn’t allow for true problem solving. Solutions may be temporary and only partially effective, but when strong personalities are involved, it does preserve the egos of all parties.

Taking an assertive or competitive approach typically means rejecting compromise. As a “win/lose” tactic, it aims to maximize your goals (win) at the expense of the other party’s (lose). There are times when this might be the most useful or effective tactic to choose. For example, it can be effective if the other party insists on employing an assertive/competitive approach. Similarly, there are times when a firm hand during negotiations can bolster the reputation of a leader as strong and principled, for example, by refusing to bend on environmental protections. However, to insist on competing or asserting your own goals over others’ will likely result in difficulties in the long run. One might develop a reputation for being difficult or impossible to negotiate with, and relationships and business will likely suffer. This can in turn cause the organization’s culture to suffer, as morale and productivity drop. The important thing is to ensure that competitiveness doesn’t change into something destructive or become the default. By understanding why others choose the tactics and strategies they do, conflict managers can defuse the negative

aspects and consequences of competition and can work toward achieving a collaborative, mutually beneficial approach.

There are times when each of the conflict resolution approaches may be effective. When relationships are ongoing, however, a collaborative approach has more enduring results, probably because all sides have participated in creating the solution.

Key Content

In a collaborative approach:

- Both sides express their own perspectives of the disagreement.
- They then paraphrase each other's positions to confirm their understanding.
- Both sides (and the facilitator) brainstorm solutions in a positive manner and focus on solutions that both sides believe are workable.
- All parties agree on next steps.
- The facilitator works to end the meeting in a positive manner, emphasizing the advantages of the new solution to each side and to the organization and the benefits of the collaborative approach.

Conflict resolution in a multicultural organization will be more challenging. Leaders must take into account employees' willingness to raise issues and challenge those with more status. They must also realize that some individualist cultures are more tolerant of and comfortable with conflict than collectivist cultures.

Reducing Unnecessary Conflict

Because of the potential costs of conflict, HR professionals should consider approaching conflict proactively. Many sources of conflict can be eliminated through clarity and communication—by establishing ground rules for conduct, clarifying authority and responsibility, setting objectives with input from all stakeholders and team members, considering the possible effects of decisions and actions on others, creating avenues for communication, and monitoring and checking in on team members periodically.

Team leaders can also reduce levels of conflict on their teams by acting fairly and consistently—by being positive and unifying team members behind a common goal, paying attention to group stress levels, being attentive to group differences and the potential for interpersonal conflict, distributing opportunities among team members, treating all team members respectfully, and avoiding favoritism.

Negotiating

Proficiency indicators related to this section include:

- Adheres to applicable negotiation- and bargaining-related laws and regulations.
- Applies an understanding of the needs, interests, issues, and bargaining position of all parties to negotiation discussions.
- Evaluates progress toward an agreement.
- Identifies an ideal solution or end state for negotiations, monitors progress toward that end state, and ends negotiations when appropriate.
- Maintains a professional demeanor during negotiation discussions.
- Offers appropriate concessions to promote progress toward an agreement.
- Achieves a mutually acceptable agreement in difficult and complex negotiations.
- Defines the parameters of negotiating boundaries on behalf of the HR unit.
- Negotiates with stakeholders within and outside of the organization in complex and high-stakes negotiations.

Key concepts related to this section include:

- Negotiation tactics, strategies and styles (examples include perspective taking, principled bargainer, auction, interest-based bargaining, position-based bargaining).

Negotiating

Negotiation is most effective when collaboration is used to create a solution that satisfies key needs of both sides.

Competency Connection

An organization is preparing to negotiate a new contract with one of its major HR software vendors. In anticipation of the contract talks starting, the HR team is mobilized. It includes the director, a senior manager, and a staff specialist. Each contributes, using the Relationship Management competency, to make the process as smooth as possible.

The HR staff member provides an initial point of contact with the software vendor representative and works to establish a pleasant and professional relationship, honestly communicating the function's needs and trying to learn more about the vendor's interests in this negotiation. The staff member prepares the HR manager and director and takes steps to make meetings comfortable and productive.

The HR manager must negotiate a difficult conflict with the IT function. IT would prefer a different vendor, but this other solution would not meet HR and employee needs. HR resolves the conflict by

creating a role for IT in all discussions, especially negotiation and post-contract implementation.

The HR director has played an important role in securing IT's cooperation. She has met with and persuaded the IT function leader to direct the function to collaborate in the vendor selection process and support HR's needs to the extent possible. The director has cultivated this relationship carefully over the years, offering support for HR issues before it was even asked and making sure that all of IT's HR requests received prompt attention.

Understanding Negotiation and Approaches to Negotiating

Understanding Negotiation

It seems appropriate to discuss negotiation in connection with conflict resolution. Conflict resolution may involve negotiation (as in collaboration and compromise), or negotiation may involve conflict (as in internal struggles over resources or objectives or external relations with suppliers). Negotiation methods are similar to some of those used in conflict resolution.

Negotiation is a process in which two or more parties work together to reach agreement on a matter. It involves distinguishing between needs and wants. Needs are essential to a leader's goals—for example, a budget to conduct a needs analysis preliminary to designing a new policy or process. Wants are attractive but not really essential. For example, it might be nice to have a 20% reserve for the needs analysis project, but a leader can meet the ultimate goal without it or with a smaller reserve.

Note that the type of negotiation described here does not take the place of rules used in negotiating labor contracts. Such rules may be defined in existing contracts and in local labor laws. While the concept of win-win negotiation is often applied in collective bargaining situations, negotiating grievances and contract interpretations must be conducted within the existing legal frameworks.

Approaches to Negotiating

There are different negotiating styles, but they are commonly considered as soft, hard, or principled:

- Soft negotiators value the relationship more than the outcome and will back down on issues in the interest of reaching agreement—even if they are no longer getting what they need.

- Hard negotiators are committed to winning, even at the cost of the relationship. These negotiators may pursue position-based bargaining, which views negotiation as a zero-sum exercise and relies on parties staking out opposite positions and slowly making concessions until an agreement is made (or negotiations break off entirely).

- In **principled negotiation ,** the negotiators aim for mutual gain, applying a process developed by Roger Fisher and William Ury called interest-based relational negotiating or integrative bargaining. Fisher and Ury emphasize the need to focus on the problem instead of personal differences and on mutually beneficial outcomes rather than hard positions. Principled negotiators can separate people from positions. They identify common interests and make them a goal of the negotiation. They are also creative: They come to the negotiation prepared with different options that may satisfy both sides. In principled negotiation, the goal is a win-win solution, requiring some sacrifice of position from each side in order to gain meaningful points.

Key Content

You may read about various negotiating tactics that rely

on bullying, manipulation, or deception, such as deadlines ("this is a one-time offer"), brinksmanship ("take it or leave it"), or low-/high-balling (making ridiculous, probably unacceptable demands). These tactics are actually risky, especially when the negotiation involves an ongoing relationship. They destroy trust.

When faced with a negotiator who engages in these negative tactics, HR professionals persist in their commitment to win-win principles. They maintain a quiet and professional tone. They do not retreat and concede the core points of their negotiating position. They continue to focus on mutual needs. If they must, they walk away from the negotiation.

HR professionals should also be alert to unethical behavior in negotiations—for example, to offers to cut costs by avoiding regulations or using unqualified suppliers or to offer bribes or demand *quid pro quo* arrangements. The potential violations should be documented and reported to involved parties, such as the organization's purchasing function.

Negotiating Process

There are six phases to the principled negotiation process:

- **Preparation.** The negotiator should identify critical needs, wants that could be concessions, and possible demands from the other side. An important tactic described by Fisher and Ury is defining your “BATNA”—your best alternative to a negotiated agreement. Knowing your possible alternatives if negotiation fails helps in establishing a more accurate value and creating proposals you can live with. Effective negotiators also try to perform a BATNA analysis for the other side so they can anticipate reactions.

- **Relationship building.** Trust is built with the exchange of personal information that reveals character. Many negotiating tactics focus on creating an atmosphere that encourages comfort and openness.

- **Information exchange.** Positions and needs are explained by both sides. A more thorough understanding of positions usually leads to more-balanced agreements. This tactic is referred to as perspective taking—seeing the issue from the other side. In a negotiation, perspective taking helps negotiators anticipate reactions to proposals and overcome negotiating obstacles. Understanding the other side’s constraints and desires can help

a negotiator approach the problem from a different angle, expand the options on the table to increase value for the other side, and propose win-win solutions. Making the first offer is usually considered an advantage, since it “anchors” or defines the negotiating point. Unless the first offer is completely unacceptable, it can set a reasonable range for negotiation.

- **Persuasion.** Negotiators seek mutually beneficial options rather than trying to win the other side to their own position. This is possible since both sides have a broader understanding of each other’s divergent interests and can find solutions that satisfy needs on both sides. Fisher and Ury recommend that negotiators focus on discovering interests rather than staking out—and clinging to—distinct positions. Understanding the other side’s underlying interest can help both sides discover a third way.

- **Concessions.** Both sides find wants that are not essential to agreement. Some negotiators plan to make small concessions, while others never make concessions—at least formally. In a multi-party negotiation, one can try to get the other participants to bid against each other in the manner of an auction.

- **Agreement.** Agreements may be legal instruments or verbally expressed understandings. The requirement of a legal contract may itself be offensive to some cultures, who view it as a sign of

lack of trust in the relationship. Negotiators must also be alert to agreement that is only apparent and may result from a desire to avoid conflict.

Negotiating in Multicultural Settings

Negotiators should be aware of the influence of culture on negotiating styles. In *International Dimensions of Organizational Behavior,* Nancy Adler argues that leaders who find themselves engaged in cross-cultural negotiations should consider a “synergistic approach” that recognizes the differences in negotiating styles across cultures and uses those differences to craft agreements that allow both sides to win. To do this, individuals should begin by taking the cultural perspective of the other side in the negotiation—trying to understand the values the other side brings to negotiations and what they hope to achieve through negotiation. It is possible that, by understanding differences, negotiators can avoid having to compromise their desires. Since each side may want different things, it may be possible to reach win-win agreements more easily. By understanding the perspective of the other side, able negotiators create ease, trust, and respect.

Communication Competency

Communication Competency

The Communication competency is defined in the SHRM Body of Applied Skills and Knowledge as:

> The KSAOs [knowledge, skills, and abilities] needed to effectively craft and deliver concise and informative communications, to listen to and address the concerns of others, and to transfer and translate information from one level or unit of the organization to another.

Communication is one of the basic competencies that HR professionals use in all aspects of their work and at all stages in their career—from listening to employee grievances to presenting the HR strategy to senior leaders.

Becoming a more skillful communicator begins with understanding the process of communication itself, the obstacles to mutual understanding that may arise in the process, and the tactics one can use to manage those challenges. Achieving the impactful communication needed to lead groups in discussions to gain support for ideas and in implementing those ideas requires cognitive skills, emotional intelligence, physical presence, and mastery of the media used in different types of business communication.

Communication Basics

Proficiency indicators related to this section include:

- Crafts clear, organized, effective, and error-free messages that are consistent with the organization’s brand.
- Interprets and understands the context of, motives for, and reasoning in received communications.
- Listens actively and empathetically to others' views and concerns.
- Presents needed information to stakeholders on a regular basis and refrains from presenting unneeded information.
- Promptly responds to and addresses stakeholder communications.
- Seeks further information to clarify ambiguity.
- Uses an understanding of the audience to craft the content of communications and choose the best formal or informal medium.
- Welcomes the opportunity to hear competing points of view and does not take criticism personally.

Key concepts related to this section include:

- Elements of communication (examples include source, sender, receiver, message feedback).

- Elements of non-verbal communication (examples include eye contact, body language, proximity, gestures).
- General communication techniques (examples include planning communications, listening actively, checking for understanding, asking questions).

Communication Basics

Whether a communication is spontaneous (such as an opportunity to discuss a program with a stakeholder in a few moments in a hallway) or carefully planned (such as the rollout of a new performance management system to the entire organization), an HR professional can apply the same knowledge, skills, and abilities.

Competency Connection

By using various HR competencies, an HR professional—an assistant HR director in a public school district—succeeded in balancing the needs of the organization with the needs of the employee group. Sometimes new employees forgot that the school district's priority was the children and that the needs of the employees were secondary. In this particular situation, a new teacher requested a two-week absence from the classroom to go on her honeymoon.

Although the HR professional was empathetic to her needs, the HR professional needed to communicate to the employee the reasons why this request was unacceptable. Leaving students in the care of a substitute teacher was detrimental to the children's education and to their emotional needs as well. It was early in the school term, and the students were very young and emotionally dependent on their teacher.

There was an extra complication here: The district's teachers were unionized. The assistant HR director was determined not to antagonize the union and complicate their relationship unnecessarily.

The challenge here was to communicate this in a way that would increase the teacher's understanding of the situation and empathy with the district and the students. The HR director wanted the teacher to see the experience from the perspective of the students, their parents (who might be angry with the school administration for allowing this), and her colleagues who would inherit the burden of covering in her absence. Ideally, the teacher then would agree with the need to find an alternative and would not file a grievance with the union.

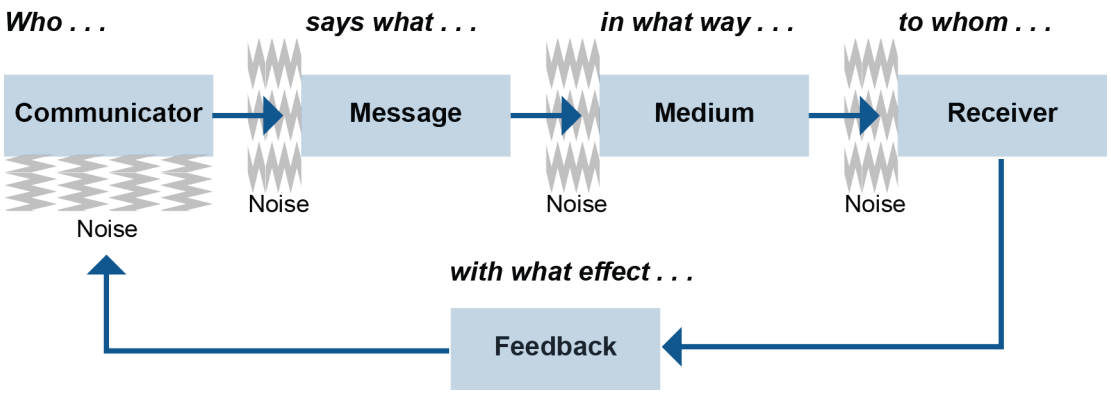
After a long and candid discussion, the teacher and the HR director agreed on a plan. The teacher would receive permission to take a long weekend to celebrate her actual wedding day and then she would take her honeymoon during the summer months.

Because of the HR professional's Leadership and Navigation, Relationship Management, and Communication competencies, she solved the immediate problem while improving her relationship with the teacher and the teachers' union.

Communication Model

The communication model shown in Exhibit 20 demonstrates the potential difficulties of communication, whether it is oral, nonverbal, or written.

Exhibit 20: Communication Model



At each link in this communication chain, something can go wrong (the **noise** in the exhibit) that will derail the purpose of the communication:

- **Communicator-message link.** The communicator can be ineffective in articulating the message.
  - It may be sent to the wrong person.
  - The information may be wrong or insufficient or not what the receiver needs.
  - The communicator's attempt to appear confident may be perceived as rudeness.

    - The message may rely on technical, historical, or cultural knowledge the receiver does not have.

- **Message-medium link.** The message may be sent at the wrong time or in the wrong manner or form.
    - An e-mail about an event is delivered too early and the event is forgotten.
    - A recipient overloaded with e-mails does not see a critical one.
    - A proposal with grammatical or formatting mistakes damages the credibility of the message and the communicator.
    - Attendees at a virtual meeting cannot follow a complex presentation.

- **Medium-receiver link.** The receiver may misunderstand the message.
    - Interruptions or physical conditions (for example, noise, discomfort) damage comprehension.
    - Different languages and expressions challenge understanding.
    - The receiver's expectations differ, and the message becomes confusing or dissatisfying.

- **Receiver-communicator link.** The feedback loop does not operate well.

- There is no feedback loop. For example, there is no question-and-answer period after a presentation, or a contact is not included in an e-mail.
- The communicator does not understand or respond to feedback.

How does one account or adjust for these different points of noise? HR professionals have a greater chance of reducing the amount and impact of noise by actively checking that their message has been received—for example, by asking questions of their audience. In addition, communicators should examine their own performance. For example, did they use the correct method of communication? Did they time the communication appropriately? Did they make it clear that their audience could follow up with them if they had any questions or needed clarification?

Key Content

The critical message in the communication model is the idea of noise—that interference can occur at any point in the communication and that it can arise from physical, personal, or social factors. Effective communicators are aware of these possibilities and plan ahead to minimize noise.

Effective Listening Techniques

Active listening is a technique used by communicators who are fully engaged with their audiences, both physically and cognitively. Essential principles of active listening include:

- **Inviting the other person or people into the conversation.** Allow gaps to develop in which the listener can speak. Avoid interrupting or talking over the speaker. Ask questions that encourage people to speak.

- **Focusing on what the other person is saying.** This means thinking about the message being communicated right now, not what you will say as soon as the other person stops talking. It also means showing physical signals of interest in what you are hearing. For example, an active listener maintains soft, attentive eye contact with the speaker—not a hard stare but interested engagement. Active listeners may nod to encourage speakers to continue or signal confusion to request repetition and explanation.

- **Processing unspoken or nonverbal messages the other person is sending.** The listener's **nonverbals** can signal the

way the listener is receiving the message—with interest, opposition, or enthusiasm. Nonverbals include eye contact, body language such as facial expressions and gestures, and rate or pitch or volume of speech. Nonverbals also include posture. Is the other person leaning away from you, arms folded? This may mean that the other person is not convinced or is resisting the message. Processing nonverbals can be assisted by using emotional intelligence—seeing the conversation from the other person's perspective and imagining how the other person might be responding to what is being said.

- **Being aware of the nonverbal messages you yourself are sending.** Your own tone of voice and posture can convey your feelings about what you are saying. A confident tone and strong eye contact can convey your commitment. Some communication experts also believe that you can shape the other person's reaction to what you are saying by mirroring the other person's nonverbals. The idea is that by carefully following the other person's physical actions and postures with similar postures and actions, you create a physiological connection that can become a cognitive connection.

Communicating Strategically

Proficiency indicators related to this section include:

- Creates persuasive and compelling arguments.
- Effectively communicates HR programs, practices, and policies to both HR and non-HR employees.
- Effectively communicates with HR leaders.
- Ensures that the delivered message is clear and understood by the listener.
- Helps non-HR managers communicate HR issues.
- Uses an understanding of the audience to craft the content of communications and choose the best formal or informal medium.
- Articulates to senior leaders the alignment of HR’s strategies and goals with the organization's.
- Comfortably presents to audiences of all sizes and backgrounds.
- Communicates HR's vision, strategy, goals, and culture to senior leaders and HR staff.
- Communicates difficult or negative messages in an honest, accurate, and respectful manner.
- Develops an organizational culture in which upward communication is encouraged and senior leaders are receptive to staff views and opinions.

- Prepares and delivers messages on important, high-visibility HR and organizational issues to senior- and board-level audiences.

Key concepts related to this section include:

- Communication techniques for specialized situations (examples include giving feedback, facilitating focus groups, facilitating staff meetings, using skits or storytelling, creating communication plans, translating technical jargon, facilitating communication from an anonymous source, informal communication).
- Communications media (examples include phone, e-mail, face-to-face, report, presentation, social media, town hall meetings, video conference).
- General communication techniques (examples include planning communications, listening actively, checking for understanding, asking questions).

Communicating Strategically

Strategic communications have a purpose that must be served by the content communicated and the way the communication is delivered (its timing, tone, length, and media).

Competency Connection

An HR generalist has worked at an operation within a larger organization for the past five years. Turnover has been high, and sometimes HR has been understaffed. As a result, the generalist has filled many HR roles over the years and has gained a wide range of knowledge and familiarity with the multiple departments and functions within the operation.

The operation's management team, although employees for many years, are new to their roles as managers. Additionally, the team changes frequently, since top performers within the organization have a tendency to advance very quickly into other positions. This has made it challenging for the management team to become fully collaborative, and the operation is not making the progress that the rapidly growing organization needs.

One step toward greater collaboration is frequent meetings, which force the team members to focus on working together as a team and

on learning how to communicate with each other. The HR generalist does her part in making the management team work by:

- Creating an engagement survey to help evaluate needs for the team and the operation (Consultation competency).
- Supporting a team member, a temporary transfer assignment from an operation in a different country (Global Mindset competency).
- Continually reinforcing good communication and teamwork practices (Leadership & Navigation and Communication competencies).

Impactful Communication and Understanding the Audience's Needs

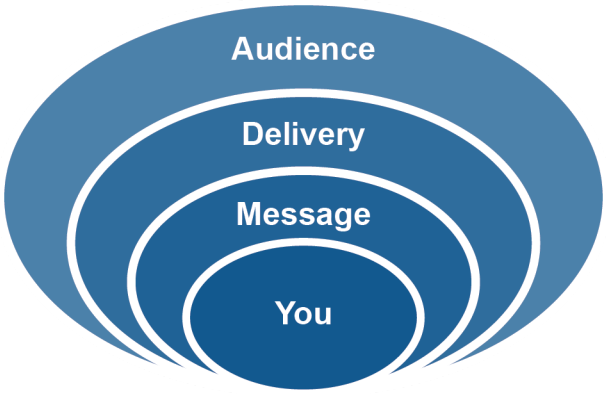
Impactful Communication

The SHRM workshop "Influence Business Decisions Through Effective Communication" describes "impactful" communication, communication that achieves its purpose. As Exhibit 21 illustrates, impactful communication integrates:

- An understanding of the audience's needs and perspectives.
- A clear message.
- Effective delivery.

At the center of impactful communication is the communicator—the perception communicators create of themselves.

Exhibit 21: High-Impact Communication



Source: “Influence Business Decisions Through Effective Communication,” SHRM

Understanding the Audience’s Needs

Whether the goal of communication is to deepen understanding of a topic or to encourage a specific action, that goal is more easily achieved when you understand who you’re speaking to—what this audience expects to hear, what it wants to hear, and what it fears hearing. The answers to these questions will affect what you say and how you say it.

Before communicating, leaders should perform some level of audience analysis:

- Who should receive information about this topic? How many distinct groups are there? Do they have different needs?
- What does the audience know about this topic, and how much do they need to know? Is the audience unaware of or familiar with the issue? This will affect the level at which context, supporting details, and explanation are delivered.
- How will the audience react to the communication?
    - With surprise or confusion? If so, the communicator may need to slow down and pay more attention to the audience.
    - With resistance? If they are likely to resist, the communicator must anticipate possible objections and prepare response strategies ahead of time. Not having supporting or explanatory information at hand damages the communicator's credibility and influence.
    - With little interest? In this case, the communicator must find ways to increase the audience's engagement in the message—for example, by emphasizing direct effects on the audience.
- What rhetorical (persuasive) approaches will work best with each group?
    - Hard, objective data?
    - Personal stories?

- Providing the information and letting them make a decision? (This increases the audience's investment and commitment to the decision.)

Constructing the Message in Communication

The term **framing** is often used in discussions of communication. The term reflects the process of getting an audience to see communicated facts in a certain way so that they take a certain action. Reframing is changing the way an audience sees or feels. When an HR professional manages an employee's discouragement over a change in the workplace by pointing out benefits and opportunities created by the change, the HR professional is reframing the facts of the change.

Effectively framing the message requires clarity and explanation. This in turn requires:

- Articulating the objective and desired outcome of the communication.
- Identifying the benefit to the audience.
- Identifying the key points of the message and sequencing them in a logical manner.

- Providing an explanation of and evidence for each point that helps the audience see these facts in the desired frame.
- Ensuring that the message clearly reflects and is consistent with the organization's brand and goals.

Impactful communicators are prepared to shorten their message to key points if the audience is rushed or bored, tailor it if the audience has more trouble understanding or accepting a certain point, or expanding the message if the audience shows great interest.

Planning Communications

The delivery of the message involves choosing the communication channel that best fits the message and the audience's needs, a place that minimizes distraction and allows the audience to focus, and a delivery style that supports audience understanding and engagement. Timing and awareness of the audience's reactions are also important.

While not all communications require extensive planning, the costs of not planning are high. Impactful communicators create strategies for critical and/or complex communications. These strategies can include the following considerations.

- **How will the communication occur?** Face-to-face? By phone? In writing? It is more difficult to assess audience reactions when

the audience is not in front of you. In these cases, communications should be reviewed by multiple people who can point out areas where audiences may be confused or respond strongly. The communicator can include additional support or acknowledge possible audience reactions. Complex topics addressed in presentations usually require written support materials that allow the audience time to study the message. Discussions about sensitive issues may be conducted best in person or at least by phone rather than by e-mail. Communications regarding allocation of resources above certain limits may start with individual discussions with the audience and then move on to written reports that are followed by formal in-person presentations and possibly by further informal discussions or written responses.

- **When will the communication occur?** Some messages require staging, releasing portions of the message to different people in a certain sequence. HR professionals should also consider organizational timing. What other communications might be occurring at this time that can distract from their message? Communicators should be conscious of how much time they have, and they should respect time limits unless invited to continue.

- **Where will the communication occur?** For sensitive discussions, the setting must safeguard confidentiality. For group communication events, the setting should be comfortable, with a right-sized and quiet room, good ventilation, and natural light if possible. All settings should minimize the risk of distractions and interruptions.

- **Who will communicate?** Some communications require a presenter with authority in the organization. Others require expertise and the ability to respond to technical questions. Still others require communicators who are adept at listening, understanding an audience's changing needs, and responding in a positive, unthreatened way.

- **What support will be required?** This might be analytical help to create supporting evidence. It may be graphic help to create figures, administrative support to create and distribute copies, or coaching to critique a communicator's delivery.

- **What media will be used?** Communicators must consider the appropriateness of the medium to the message and the audience's ease with different media, which can be affected by factors such as reading level, access to technology, and the effects of time zones. HR professionals can communicate in various media, each of which presents certain challenges and

requires different types of planning. Exhibit 22 summarizes some key challenges for these various communication media.

Exhibit 22: Advantages and Challenges of Commonly Used Means of Communication

Medium	Advantages	Challenges
Face-to-face (or small group)	• Provides immediate verbal and nonverbal feedback • Useful for complex, sensitive issues (such as conflicts, negotiations, problem solving)	• Takes time • Requires good listening skills • Requires care to avoid conveying wrong message
Phone call	• Provides more opportunity for feedback, questions	• Requires good listening skills since there are no visual cues • Faces more competition for attention • Takes more time
Voice mail	• Saves time (when used to relay content, not make direct contact)	• Does not provide feedback or confirmation of understanding
Video-conferencing	• Saves time (no travel required) • Allows participants to attend remotely • Saves money • Makes scheduling easier • Can be used to host live events • Encourages focus	• Potential technical issues (Internet connections, substandard equipment) • Missing in-person communication cues • Overuse leading to burnout • Can be time-consuming

Medium	Advantages	Challenges
E-mail	• Saves sender time • Allows detail • Includes multiple parties easily • Documents communication	• Requires more care to create accurate message and convey correct tone • Does not necessarily provide desired feedback • Can be missed or perceived as nuisance
Short messaging (for example, texting, chat)	• Saves time for both parties • Can be broadcast to announce information (for example, promotional, emergency)	• Limits content that can be communicated • Can be missed or perceived as intrusive
Social media	• Can be broadcast to large audiences • Reaches certain audiences efficiently and can elicit immediate feedback (for example, quick surveys)	• May not reach all audiences • Requires review since the message will be widely viewed
Written report	• Allows full presentation of topic • Can reach a large audience and encourage thoughtful responses • Provides documentation of communication	• Takes time and care to create • May need to conform to organizational expectations (templates) • Takes time to get a response
Oral presentation	• Can allow immediate questions and feedback and adjustment of message • Can incorporate visuals, video, handouts	• Requires skill and time to practice • Requires time and expense to create support materials

Medium	Advantages	Challenges
Town hall meeting	• Promotes leadership visibility and accessibility • Encourages and improves engagement • Promotes collaborative teamwork • Can reinforce culture and values	• Can be complex to plan and organize • Requires comfort in public situations to participate

- **How will audience feedback be managed?** Communication to large groups may require using e-mails or video messages, but even in these situations, communicators should incorporate some feedback channel for the audience.

- **What organizational rules will shape the communication?** Most organizations have rules regarding communications, some written but often unwritten. For example, most organizations have policies regarding communication with external audiences. These communications may have to be reviewed by an internal communications office. In some organizations, certain types of information are always communicated in writing, although the level of formality—reports or e-mails—will vary. In some organizations, group presentations always include slides and those slides must use a standard template.

- **What is the appropriate tone of the communication?** Should the communication be formal or informal? While this might be

affected by organizational culture and norms, it is important to recognize the appropriate tone for a communication. Any communication of official information should be conveyed formally. For example, a notice of dismissal should always be delivered formally (such as a meeting or phone call). On the other hand, an invitation to lunch could be informal (which could include text messaging, social media posts or events, and informal conversations in the break room). Selecting the appropriate level of formality can enhance the message content, while selecting the wrong tone can obscure how important a message might be.

Becoming a More Impactful Communicator

Communicators are perceived as impactful for a variety of reasons. Some factors may be difficult to create or control, such as status in the organization or physical attributes. But the most potent ways to have impact are available to all determined communicators: projecting credibility and creating an effective presence or physical image.

A communicator's credibility clears away much of the initial static or "noise" in the communication process. The audience is more willing to

listen and to believe. Perceived credibility involves building a reputation for expertise, reliability, and integrity.

Engaging with an audience requires supporting your message and your credibility with a physical presence that is appropriate and engaging. Impactful communicators use their words, their bodies, and their voices as an element of the message. This includes:

- **Posture and movement—**maintaining an erect but relaxed posture, moving slowly, following and mirroring the posture of audience members if appropriate.
- **Gesture—**using hand movements to emphasize key points but not overusing gestures or using them at the wrong time.
- **Eye contact—**establishing soft (not piercing) contact with the eyes of audience members, shifting gaze slowly to include all members of the audience (not picking one spot or person to engage, not letting the gaze dart nervously about the room).
- **Vocal qualities—**speaking clearly, loudly enough to be heard, and at a reasonable speed. Varying speed and volume in a way that supports the message can avoid creating tedium.

The major enemies to presence are falseness and nervousness.

Falseness can derive from assuming a manner and personality that are so distant from your own that they interfere with your ability to connect directly with the audience. It can also derive from dishonesty—lying about facts or avoiding answering questions.

Nervousness in itself is not problematic. Most people are nervous in speaking situations, and most audiences forgive that. A prolonged state of nervousness tends to be contagious, however. The audience becomes uncomfortable and perhaps skeptical. It's a good practice to identify what you do when you feel nervous and to develop strategies for blocking these habits. If your speech tends to speed up when you're nervous, practice conscious breathing and build pauses into your delivery. Practice speaking in informal situations without using interjections such as "um" or introducing comments with self-deprecating remarks ("I may be wrong here, but…"). If you move your hands nervously, fold them together or place them on a table top.

When looking at physical and vocal cues in communication, it is important to take neurodiversity into consideration. For example, individuals on the autism spectrum or those diagnosed with dyslexia, ADHD (attention-deficit/hyperactivity disorder), dyspraxia, or social anxiety disorders may not exhibit the same social cues as other people. If such cues indicate that there may be a miscommunication

present, it is important to recognize when appropriate accommodations might be needed and to verify that messages are being sent and received accurately. This may also be true for individuals from different cultures, who may have different norms with regard to cues such as personal space and eye contact or gestures. Adopting a flexible approach to communications is a sound strategy, which may mean allowing some leeway in method and medium. It is also important to provide employees who have different perspectives with the opportunity to learn and use social skills and practices common in the organization. Providing these accommodations isn't always easy, but incorporating this flexible approach into the culture of HR and the organization can help nurture talent and generate benefits for the organization.

Evaluating the Effectiveness of Communication

Communication should not be a formulaic activity, performed only because it is expected or because it attracts attention. The point of communication is to initiate or support action. If the outcome does not advance the objective, the communication has failed.

Significant communication events should be evaluated as soon as possible to identify strategies that worked and things that could be

improved:

- Was the audience analysis complete and on target?
- Did the audience react as anticipated?
- What points did they seem most or least interested in?
- Where did they get confused?
- Where were they most engaged? What engagement tactics worked and which didn't?
- How could feedback mechanisms be improved?

Signs of effective communication within your HR team and within the organization could include:

- High levels of engagement reported in employee surveys.
- High levels of retention.
- Positive comments on the organization's social media channels.
- Effectiveness of teams in meeting their commitments and department budgets and schedules.
- High levels of collaboration.

Workplace Communications

Proficiency indicators related to this section include:

- Solicits regular feedback from employees and leaders, and adjusts as necessary.
- Uses appropriate business terms and vocabulary.
- Voices support for HR and organizational initiatives in communications with stakeholders.
- Demonstrates fluency in the business language of senior leaders.
- Establishes processes to gather feedback from the entire organization about the HR function.
- Implements policies and initiatives that create channels for open communication throughout the organization, across and within levels of responsibility.

Key concepts related to this section include:

- Communication techniques for specialized situations (examples include giving feedback, facilitating focus groups, facilitating staff meetings, using skits or storytelling, creating communication plans, translating technical jargon, facilitating communication from an anonymous source, informal communication).

Workplace Communications

The techniques of impactful communication can be applied to many situations in HR. The SHRM Body of Applied Skills and Knowledge mentions five specific situations: giving and receiving feedback, facilitating group discussions, leading staff meetings, creating communication plans, and translating technical jargon.

Competency Connection

The way in which an organization handles an ethical dilemma affects customers and shareholders, but it also affects employees. An employer's ethical reputation is an important part of the employer brand for younger employees. The following case shows how maintaining an ethical compass and using communication skills help a company maintain its relationship with its employees.

A well-known organic juice company has spent the last 25 years building a reputation of reliability and high quality. Over the past two months, a number of complaints of food poisoning have come into the organization, including some complaints where individuals have been hospitalized. The media has shared this information and is pressuring the company to recall the products, which would be costly. If this is not handled correctly, the company could face loss of customers and damage to its external reputation and its internal reputation with

employees. Employees are concerned over job loss and are not sure if they should start to look for other employment.

The president of the company, the HR director, the public relations director, and the production director meet to decide how to manage this situation. The company has to decide if they want to take a proactive or reactive approach with external customers and internal stakeholders (employees). The company chooses a proactive approach and announces a plan to recall the products.

The HR director takes a lead role. Working in partnership with the public relations director, the HR director drafts employee communications that include:

- Announcing the recall to employees.
- Ensuring that the entire leadership team is fully aware and knowledgeable about all issues and the time frame to address them.
- Addressing what this means from an employee perspective; trying to predict possible questions and having answers readily available.
- Communicating what is known (recalling the product) and what is not known (the length of time it will take to review the source of potential contamination, the impact to continued employment).
- Addressing the worst-case scenario.

- Holding a “town hall” meeting where the president presents the information and at which employees can ask questions and get answers.
- Providing ongoing daily briefings to share additional pieces of information as they become available.
- Communicating employee assistance program contact information for employees who may have difficulty in processing the information.
- Communicating what support (financial or other) will be made available to employees who might be impacted by a layoff, downsizing, or retrenching, either on a permanent or temporary basis.

The HR director demonstrates the ability to ensure that the appropriate forms of communication are used to share important messages, balancing organizational and employee needs (the Communication competency). This also demonstrates the influence the HR director has on upholding organizational values and demonstrating integrity in business practices (the Ethical Practice competency).

Feedback in Communication

Feedback is one way to address the “noise” that can occur at different points in the communication model and that prevent communication from achieving its purpose. Feedback is part of a communication loop that helps message receivers confirm their understanding of the message. It helps align perceptions and reality.

Giving Feedback

Whether feedback is intended for superiors, subordinates, or peers, it is important that it is timely and specific. The person giving the feedback should also be careful to prepare—to be clear on the session’s purpose, to have examples, to apply emotional intelligence to the situation.

As time passes, the memory on both sides fades, which makes meeting the criterion of specificity more difficult. It also risks losing the opportunity for changing potentially negative actions. For example, a supervisor may be handling disciplinary situations poorly. While managers withhold feedback, negative risks are unmanaged: good employees may quit or cease to be productive, lawsuits or grievances with unions may be filed. Positive outcomes—the improvement to performance—are not attained.

Key Content

Effective feedback includes specific examples of actions that have been observed—statements that have been made, reports that were late or incomplete, nonverbals that send contradictory messages, and so on. Generalizations are ineffective: “You always interrupt people.” Statements that emphasize that the feedback is based on your perceptions tends to be more effective: “I noticed today that you talked over certain people in our team meeting, and they sounded frustrated by this.”

Providing Corrective Feedback

Providing corrective feedback is a tricky emotional situation. Even when another person has asked for feedback, he or she is often hoping for positive feedback or confirmation. One study found that when given negative feedback, employees often disregard it and begin shopping the workplace for sources of positive feedback. This is more likely to occur when the employer-employee relationship is weak. The employee’s ability to accept negative feedback must be seen within the context of the employee’s entire relationship with the workplace. If employees feel valued, they are more accepting of negative feedback.

Similarly, if the feedback is framed appropriately, the employee can see how incorporating corrective feedback can benefit not only themselves but also the organization. To that end, HR professionals can employ certain storytelling methods and approaches to paint a picture for the recipient to locate the feedback in a wider context and also reinforce the employee's value to the organization. Drawing on personal stories and examples can also help increase trust, as it reminds the recipient that they are not the only or first person to receive corrective feedback.

Bookending negative feedback between positive remarks does not improve acceptance. What can help in the delivery of negative feedback is incorporating into the discussion an opportunity for the employee (or the person receiving the criticism) to express his or her own goals or hoped-for results. Then it is possible to state additional goals and present the negative feedback as "things that are happening that will prevent us from reaching these goals." This helps the receiver of the feedback to understand the premises or criteria that underlie the criticism. For example, a colleague may ask for feedback on a presentation. After reviewing the outline and visuals, you ask the colleague what he or she wants to happen as a result of the presentation. You can then focus on what the presentation has to do to accomplish that result and ways the message and delivery can be changed to increase the chances of success.

Seeking and Receiving Feedback

Seeking feedback is an important way to improve personal performance and the performance of a team or the entire HR unit. It can help identify gaps between expectations and performance. It can correct “blind spots”—misperceptions in how we view others and how we think we are viewed by others.

Some recommendations for receiving feedback include the following:

- Decide what kind of feedback you need and then find the person most equipped to provide it. The highest-ranking member of your unit may not be the best coach. Focus on a few specific issues.
- As with giving feedback, the feedback discussion should closely follow the activity to be discussed. This supports specificity.
- Listen actively in the moment, and ask questions to make sure you understand. Don’t be defensive. After the discussion, reflect on what has been said.
- Offer thanks. In some cases, you may not accept the feedback. For example, HR may request feedback from a function it serves, and the feedback is negative, based on a misunderstanding of the terms of the service. It is appropriate to correct the misunderstanding but still acknowledge the comments and thank the respondent for the feedback.

- Follow up with the person giving the feedback about your experiences in applying ideas and advice.

Group Discussions, Staff Meetings, and Communication Plans

Facilitating Group Discussions

The purpose of communication in a group discussion is to elicit information. The facilitator must therefore encourage full discussion of the topic and participation by the entire group.

Effective facilitators are excellent listeners. They can interpret and confirm what the group is saying and use this content to drive the conversation further—for example, through follow-up questions such as “A number of you have cited this factor. Why do you think this occurs so often?”

Facilitators must also be good observers of nonverbal messages and of group dynamics. They can promote better discussion by using a non-threatening manner to draw in those not participating in discussion—for example, “Jack, have you seen this issue in your department?” They can control domineering participants by steering the conversation to new topics or participants.

Leading More Effective Staff Meetings

Communication in a recurring staff meeting often focuses on conveying new information, receiving updates, and coordinating activities. While these are essential communication activities, regular meetings can become time wasters that are resented by the staff.

Exhibit 23 lists some tips for leading more effective staff meetings.

Exhibit 23: Recommendations for Leading Effective Staff Meetings

Leading More Effective Staff Meetings
• Have a valuable purpose for a meeting and ensure that everyone understands this purpose. • Set a clear agenda with defined items. Circulate the agenda before the meeting and specify what individuals may need to prepare. • Limit meeting time to what is needed to address agenda items. • Start on time. Come early to allow social exchanges that strengthen relationships, but start covering the agenda at the published time. • For regularly scheduled meetings, consider ways to “change things up”—having a guest speaker, a special activity, or a different location. • Recognize the importance of storytelling to encourage engagement and focus; employ different storytelling tools and methods to keep things fresh (for example, skits). • Take time to resolve conflicts, but postpone discussion of conflicts that may be difficult to resolve until after the meeting. • Review any decisions and next steps at the meeting’s end. Make sure individuals know their assignments. • Send an e-mail summary if needed for more complex agendas. • Periodically, have a “meeting on meetings” to discuss whether the current approach is achieving the team’s goals.

Creating Communication Plans

A communication plan can formalize and facilitate the ways in which communication will be conducted in an organization, department, or project team. Creating and disseminating such a plan can ensure that employees and others understand the appropriate and expected methods and manner of communication in the organization—and, where relevant, outside of the organization.

There is no one-size-fits-all approach to constructing a communication plan, and HR might find it necessary to have multiple plans, each relevant to a different audience. A clear communication plan should include the following:

- **Identify purpose.** What is it that you're trying to communicate? What are your goals?
- **Identify stakeholders.** Who is the audience of your communication? What are the communication requirements (method, time, frequency, etc.) of each stakeholder? Are there different requirements for internal and external audience members?
- **Identify communications methods/channels.** How are you going to communicate your message? What methods and which tools will you use? Will a mixture of formal and informal

communications be used? If the necessary resources are not available, plan for how you will acquire them or alternatives that might be available.

Translating Technical Jargon

One of HR's responsibilities when planning and managing communication is to ensure that jargon is appropriately translated for relevant audiences.

It's not uncommon for organizations to develop their own in-house language and terminology. Employees are likely to pick up jargon and shorthand used throughout the organization through exposure. However, not all employees in an organization will have the same familiarity with technical language and terminology. Therefore, one of HR's responsibilities when planning and managing communication is to ensure that jargon is appropriately translated for relevant audiences. This process can take place at various stages, depending on the specific jargon. Sometimes it is more efficient to explain an unusual or rarely used term as it arises, or one could preempt any confusion by offering a definition prior to a meeting.

For example, given their proficiency with the technology, a coder might explain a new software feature in highly technical terms.

However, a publicist might not be as knowledgeable of the specific terminology. Certain legal concepts or terms might not be familiar to some people and are therefore often accompanied by a "translation." When crafting a message or communication plan, you should be careful to ensure that all of the content is accessible to the whole audience—while simultaneously ensuring that you do not talk down to the recipient.

In addition to facilitating better understanding of the organization's work, translating technical jargon can improve feedback (it's easier to comment on something you understand), facilitate group discussions (it's easier to participate if you understand the topic under discussion), and improve staff meetings (confusion can be avoided and time saved as a result).

Anonymous Communications

Anonymous communications can take many forms, and organizations should manage and maintain proper structures and policies for receiving and addressing such communications.

It is possible that an HR professional will have to plan for anonymous communications. Anonymous communications can take many forms—for example, anonymous complaints, online and employee reviews, or

employee and customer surveys—and organizations should manage and maintain proper structures and policies for receiving and addressing such communications.

Employees' ability to provide anonymous feedback is an important tool for breaking down silos, highlighting issues, protecting the workforce, and ensuring that valuable and honest feedback is voiced, received, and acted upon. While it is true that these mechanisms can be abused or used to vent individuals' frustrations, they can also surface valuable insights from across an organization. For example, if a pet project of an influential senior manager is being mismanaged, a team member might not feel comfortable openly providing criticism of it. Similarly, if a member of the organization is behaving criminally, then an anonymous tip can bring this to the attention of appropriate organizational members while protecting the whistle blower.

Not all anonymous communications are negative, of course. Sometimes, an employee might turn to an anonymous communication tool in order to offer suggestions for improvements, perhaps because they do not feel it is their place to do so or for fear of stepping out of their lane. Research has found that providing employees with an anonymous platform for communicating their opinions, concerns, and suggestions freely can increase retention, encourage engagement, and improve performance.

It might also be worth examining why there is a need for anonymous communications and feedback. Sometimes this need actually underscores the fact that employees don't feel safe speaking openly (for fear of reprisals) or that there's no point in doing so (because nothing will come of it). If this is the case, then a wider examination of the organization's culture and levels of trust should be conducted to establish why this impression exists and what can be done to address it. The result can be improved employee satisfaction and valuable feedback.

Global Mindset Competency

Global Mindset Competency

The Global Mindset Behavioral Competency is an essential part of the HR practitioner's responsibility when working among a diverse employee population and in operations spanning geographic boundaries. This competency requires a mindset that is built on awareness of global differences and similarities and on a commitment to a more global perspective on organizational behavior.

Acquiring a global mindset begins with understanding the concept of culture and the ways in which people from different cultures process their experiences. This includes expressed and apparent preferences and less obvious, innate tendencies. It includes food and clothing choices and legal institutions.

HR professionals develop their own global mindset—an ability to see, understand, and accept differences—and use HR processes to promote awareness of cultural diversity and support understanding and collaboration across cultures.

Developing a Global Perspective

Proficiency indicators related to this section include:

- Applies knowledge of global trends when implementing or maintaining HR programs, practices, and policies.
- Demonstrates an understanding, from a global perspective, of the organization's line of business.
- Designs, recommends, implements, and/or audits HR programs, practices, and policies intended to promote diversity and inclusion.
- Ensures that HR programs, practices, and policies are applied consistently and respectfully to all staff.
- Operates with a global mindset while remaining sensitive to local issues and needs.
- Promotes the benefits of a diverse and inclusive workforce.
- Supports an organizational culture that values diversity and promotes inclusion.
- Uses the organization's policies and philosophy toward diversity and inclusion to inform business decisions and implementation of HR programs, practices, and policies.
- Creates an HR strategy that incorporates the organization's global competencies and perspectives on organizational

success.

- Demonstrates an understanding of and advocates for the strategic connection between diversity and inclusion practices and organizational success.
- Develops HR initiatives that will be applied consistently and fairly to all staff.
- Develops HR initiatives, programs and policies that support the organization’s efforts to be more diverse and inclusive.
- Drives a culture that values diversity and inclusion.
- Drives an HR strategy that leverages and celebrates diversity, inclusion and cultural differences for organizational success
- Uses expert knowledge about global HR trends, economic conditions, labor markets, and legal environments to evaluate the impact of diversity and inclusion on the organization’s HR strategy.
- Uses expert knowledge about global HR trends, economic conditions, labor markets, and legal environments to set HR's strategic direction and to inform development and implementation of HR initiatives.

Key concepts related to this section include:

- Best practices for creating and managing globally diverse workforces (examples include translating policies and

procedures into local languages, accounting for multiple time zones when scheduling meetings).

Developing a Global Perspective

A global perspective is necessary for today's HR professionals, who may work for businesses with operations, employees, customers, and supply chain partners around the world. A global perspective values difference and seeks understanding.

Competency Connection

To support organizational strategy, HR practitioners must strive to broaden their understanding of culture—even when their organizations appear to be only national in business scope. To take advantage of opportunities that arise, organizations may need to work effectively across borders and cultures. HR practitioners competent in the Global Mindset Behavioral Competency can help plan how to bridge these divides, as seen in the following example.

Two technology industry firms, one Japanese and one American, are entering into a first-time joint venture (JV). The American firm wants to learn and import a new wireless technology that they hope to incorporate into an upcoming new range of mobile devices, and the Japanese firm wants to develop additional markets for its wireless (and other) technologies.

Although based in the U.S, the JV executive team and senior management are largely Japanese nationals. Thus the JV involves two very different workplace cultures: a Japanese white-collar salaried employee culture and an American entrepreneurial frontier mindset. The challenge for the head of HR is to ensure that the transfer of knowledge is not inhibited by these cultural differences. She knows that developing cultural understanding and sensitivity in a relatively short time is extremely difficult. Her solution is an intensive cultural immersion program for the respective JV project leads, with a personal dimension added: living with a host family.

Before the JV becomes operational, a JV lead from each company is sent to his or her counterpart's home office to live with that lead's family for a three-month workplace immersion. Accordingly, JV leads are selected as one would select candidates for a long-term international assignment. As part of the program, each lead also develops, with HR, a one-day cultural awareness workshop to be used to induct all new JV staff. Lastly, a second lead from each partner organization will participate in a follow-up six-week intensive cultural immersion once the first two JV leads return. This reduces the risk for both organizations of becoming overly dependent upon any one key person and creates a pipeline of succession.

Benefits of a Global Mindset

A **global mindset** is the ability to take an international, multidimensional perspective that is inclusive of other cultures, perspectives, and views.

Having a global mindset requires being able to see the world from a perspective inside another person's culture and using that awareness to create solutions and bridges. It also requires self-awareness—understanding one's own culture and recognizing that it is just one among many. In the *Global HR Practitioner Handbook,* Lisbeth Claus refers to this as the ability to simultaneously follow both the golden rule (treat others as you yourself would like to be treated) and the "global rule" (treat those from other cultures as they would like to be treated).

Key Content

Brad Boyson notes in the *Global HR Practitioner Handbook* that HR practitioners who have developed a global mindset "will actually begin to perceive the general patterns of commonality first and foremost" and will "no longer discriminate based upon citizenship, even if the jurisdiction in which they work does." That is, cultural

differences are not ignored—that would deny the value these differences can bring to an organization. Rather, cultural differences are understood and appreciated to a point where underlying similarities are revealed. This is when real collaboration can happen.

A global mindset prepares the HR practitioner to complete necessary due diligence, ask the right questions, and prepare and support the organization and its employees. Specifically, the presence of a global mindset brings a number of key operational benefits to the organization, including:

- More effective communication and coordination across the organization between global divisions and partners.
- More efficient and quicker best-practices sharing across the global organization, including with international partners.
- More effective cross-cultural trust building and collaboration through compliance programs and diversity and sensitivity policies and practices.
- More likely to identify international opportunities in order to take advantage of the benefits associated with being first to market.
- More sophisticated understanding of local and global standards and preferences, which can lead to faster global rollout of new

product/service concepts and technologies.

Acquiring a Global Mindset

A global mindset is not quickly acquired. It is the product of continued understanding, experience, reflection, and evaluation of existing attitudes and views. It requires in-person, day-to-day interactions with multiple cultures, experiencing firsthand their real differences and similarities. Employees will move toward a more open perspective at their own pace.

That being said, there are ways to prepare for such experiences and ways in which a company can help its employees develop a global mindset. Companies can hire people who already possess a global mindset or put a program in place to assist in developing a global mindset among existing employees.

To develop a global mindset, or to really achieve any change in behavior, three elements must be in place:

- Appropriate knowledge, skills, and understanding
- Desire and motivation on the part of the employee to change
- Support from systems and management

Once these requirements are in place, employees can increase their global business knowledge and enhance development of a global

mindset in different ways.

Exhibit 24 lists steps to take to develop and promote a more global mindset.

Exhibit 24: Checklist for Developing and Promoting a Global Mindset

Developing and Promoting a Global Mindset	
Study and understand your own culture and how it relates to others.	• Take courses in world history, culture, economics, politics, or international affairs. • Become aware of stereotypes that people have about your culture and that you have about theirs. • Join an international organization or a global professional organization (for example, The Conference Board). • Create opportunities to personally interact with those from other cultures (for example, host an exchange student).
Study and understand global business trends and forces.	• Read books and periodicals on global business for a larger picture of business models. • Stay current with international business and world events. • Learn about global legal and social frameworks impacting business and industry practices. • Create opportunities to personally interact with global customers, colleagues, and collaborators.
Promote a global mindset within your organization.	• Recruit staff with cross-cultural and language skills. • Provide opportunities for cross-cultural learning and language building. • Promote cross-border mentoring • Emphasize long-term relationship building as well as short-term task accomplishment.

The 4 Ts: Travel, Teams, Training, Transfers

HR has four powerful tools at its disposal that can be valuable strategies for creating a global mindset and enhancing the multicultural awareness of leaders and senior managers: the 4 Ts (travel, teams, training, and transfers).

J. Stewart Black, Allen Morrison, and Hal Gregersen conducted a survey (described in *Global Explorers: The Next Generation of Leaders*) to define the characteristics of global leaders and identify key factors in acquiring a global perspective. Their research revealed the importance of the 4 Ts, as described in Exhibit 25.

Exhibit 25: The 4 Ts

4 Ts	Characteristics
Travel	• Can help managers and employees gain experience • Can help expand awareness and appreciation of different places and cultures • Can increase managers' and employees' visibility within organization • Can result in culture shock • Can be time-consuming
Teams	• Can be a highly effective way to help employees develop cross-cultural management skills when they work on culturally diverse and/>or international teams
Training	• Can broaden employees' global and cultural awareness • Can challenge ethnocentric definitions and cultural norms • Can present challenges: must be relevant, must focus on cultural congruence and differentiation, must take into consideration participants' diversity profiles
Transfers	• Can have a strong and lasting impact on individuals' relationship development and cross-cultural management skills • Can help develop new, transferable skills and competencies through cultural immersion

HR in a Global Organization

Faced with different workforces, different legal systems, and different societies, global HR must define the role of human capital throughout the organization—what it can contribute and what the business requires. That involves strategic, tactical, and practical tasks.

From a **strategic perspective,** HR must be able to balance the priorities of headquarters and subsidiaries. They must understand and appreciate their disparate businesses and identify critical success factors related to talent, which will vary considerably from Malaysian plant workers to European hospitality employees to highly trained scientists in a competitive talent environment. How should they distribute their resources?

From a **tactical perspective,** the group must develop programs that can deliver measurable success and work in different cultural and sociopolitical contexts. Because of the globalization of trade and the cross-border mobility of workforces, HR professionals are increasingly involved in issues like visas, different taxation and pension schemes, workforce quotas, and workforce relations laws and practices. Some are focused on developing a talent pool of employees who can be sent on short- and long-term global assignments. Some are struggling with hiring local employees with

the right qualifications in tight employment markets. Others find that they are spending a significant amount of time dealing with cultural issues—for example, blending the organizational culture of the Malaysian multinational with its new foreign acquisition or trying to help local managers who are faced with a suddenly diverse workforce due to an influx of third-country nationals.

From a **practical perspective,** HR must consider certain day-to-day aspects of managing a workforce across borders and continents. For example, certain policies and procedures will have to be translated into local languages. This will require hiring translators proficient in technical and business terminology. Translation, production, and dissemination of documents will need to be included in schedules and budgets. Another consideration is scheduling. Multiple time zones will have to be considered when planning and scheduling meetings and deadlines. Not doing this can leave remote team members feeling marginalized, out of the loop, or even disrespected.

Skills and Characteristics

These strategic, tactical, and practical tasks require a truly global HR professional to possess the unique skill set described in Exhibit 26.

Exhibit 26: Skills Needed for Global HR

Key Global HR Skills	Description

Key Global HR Skills	Description
Develop a strategic view of the organization.	Understand how the entire organization creates value, participate in organizational strategy development, and develop an HR global strategy. Determine ways to benefit from globalization. Understand the external context in which the firm operates. Constantly scan the environment to identify global and local trends and identify new skills and tools that the organization will require. Identify and take steps to mitigate or manage potential risks.
Develop a global organizational culture.	Provide training that improves cultural awareness and adaptability. Develop processes to promote communication and the capturing and sharing of knowledge and experiences.
Secure and grow a safe and robust talent supply chain.	Ensure a supply of leaders who are globally competent. Monitor the workforce potential in developing countries. Select employees who can best assist in meeting the organization's goals. Be aware of demographic trends that affect talent supply. Develop a strong employer brand.
Use and adapt HR technology.	Use technology to increase the efficiency of HR programs and integration with the organization's information systems. Move HR technology from domestic to global operations, keeping in mind different input requirements, attitudes toward and regulation of employee data and privacy, differing technology platforms, and cultural issues.
Develop meaningful metrics.	Take a systematic and disciplined approach to measuring and operationalizing strategic goals. Align human capital to achieve strategic goals. Demonstrate the value HR brings to the global enterprise.

Key Global HR Skills	Description
Develop policies and practices to manage risks.	Provide for the health, safety, and security of employees. Protect the physical assets of the organization. Protect the intellectual property of the company, such as copyrighted material or patented devices or processes. Protect intangible assets such as: • Relationships with internal and external stakeholders (including employees, customers, communities, governments, institutions). • Reputation of the company. Audit the organization's policies and practices to make sure that they are compliant and effective and are being enforced. Monitor breaches of compliance: • Financial (violations of law related to corporate governance) • Ethical (environmental or consumer safety regulations) • Employment-related (discrimination laws, requirements to inform workforces)

An organization's mindset indicates how its employees think about the world and how this view affects their actions. HR professionals who have a global mindset and who can therefore successfully navigate a global organization will exhibit the following characteristics identified by Stephen Rhinesmith:

- **They drive for the bigger, broader picture.** They look for context and strive to understand the full set of issues. They scan the horizon to learn more about markets, products, technologies, and competitors. Leaders have broader business skills and knowledge of global structures, strategies, and trends.

- **They accept contradictions.** Global managers know how complex life is. They accept uncertainty and understand how to use conflict management as opposed to one-sided resolution through imposition or acceptance. They are not frustrated by having to localize practices.

- **They trust the process to solve problems.** They look to process rather than organizational structure to solve problems. Process includes the systems, procedures, and norms of the organization that enable people to respond quickly.

- **They value multicultural teamwork.** Teamwork and interdependence are fundamental tenets of the global mindset. People with such a mindset are sensitive to cultural contexts and differences. They are good communicators.

- **They view change as opportunity.** Global minds are comfortable with change, unpredictability, and ambiguity. They are confident that they can create order out of seeming chaos.

- **They are open to new ideas and continual learning.** They are always looking to improve themselves, others, and the company. They are accepting of others' views and are open to new ideas and approaches.

- **They are inclusive, not exclusive.** Excluding people, ideas, cultures, and viewpoints is contradictory to the world view of the global mindset.

Culture

Culture is a complex set of shared behaviors that distinguish groups. Approaching culture as an anthropologist—understanding fundamental differences and universal constants—can help resolve dilemmas and achieve cultural synergy.

Competency Connection

Developing a global perspective requires an open mind and a willingness to suspend judgments, ask questions, and listen to answers. In the following scenario, an HR professional used the Global Mindset competency—as well as the Ethical Practice and Communication competencies—to help his organization develop a global mindset.

Because an HR business partner (HRBP) was bilingual, he was asked to support a supervisor by interpreting for a Spanish-speaking employee who was being given a verbal warning by his boss. The supervisor was frustrated with the employee because of some performance issues but also because of the employee's difficulties speaking English.

To understand if the manager was justified in raising the language issue in the verbal warning, the HRBP asked some more questions:

- Had the employee's English language skills deteriorated since he was hired? The supervisor said that the employee's proficiency had not changed.
- Was speaking English a job requirement at the time of hiring? No, it was not.
- Was the new employee told that he was expected to improve his English language skills within a given period of time? No, he was not.
- Were the language difficulties directly related to the performance issues? No, the performance issue was that he was falling asleep at his desk and not responding to e-mails. The supervisor thought the e-mail issue was probably related to the language issue.

The HRBP explained to the supervisor that it was unfair to punish the employee for not having a skill now that he wasn't required to have when he was hired. The verbal warning could be related only to actual gaps with expected performance (for example, falling asleep at his desk and not responding to e-mails). It was also better to ask the employee why he was not responding to e-mails rather than assuming it was a language issue. If the employee did say that his lack of English fluency was preventing him from responding to e-mails, then HR would either use its outplacement program to help him

find a job elsewhere or allow the employee time and money to take some English classes.

After speaking to the employee, the HRBP discovered that the cause for the performance issues was not language. It was the employee's unfamiliarity with working in an office environment. That was a different issue, one that could probably be addressed through coaching or mentoring.

Defining Culture

A global mindset can accept and appreciate different cultures. But what, exactly, do we mean by "culture"? Understanding what culture is can help us move past a belief that one specific culture defines a norm. There is no universal or best culture; there are only different cultures.

Culture is a set of beliefs, attitudes, values, and perspectives on how the world works. Culture is invisible and can be handed down from one generation to the next.

Cultural models describe groups who share a specific set of beliefs, attitudes, values, and perspectives. The term "group" can refer to nations or geographical regions, but it can also refer to organizations or disciplines or industries, or even smaller divisions of these groups.

A cultural model is like a distinctive genetic code—invisible but present and exerting a strong influence on what we see.

How and when does culture become tangible—something we can see and talk about? Culture becomes more observable when we look at cultural settings. A cultural setting is created whenever two or more people get together to perform some task. Settings occur at work, home, school, a house of worship, or a place for recreation. As people interact within the cultural setting, they exhibit behaviors that are the result of their culture.

To further complicate the challenge of culture, Geert Hofstede, a pioneer in intercultural business communication, notes that culture is only part of an individual's makeup. It shares space with and can be affected by:

- The individual's personality, which is a product of inheritance and experience.
- Human nature, which is universal—such as feelings of joy or loss.

The challenge of culture is captured by Hofstede's metaphor of culture as the "software of the mind"—mental programs that predispose us to patterns of thinking, feeling, and acting. If that is so, then, like most computers, we simultaneously run multiple software programs in order to carry out our daily tasks. And—not to stretch

the analogy too far—sometimes all that software running simultaneously can create conflicts and overloads.

What happens when individuals from multiple cultural models interact within a single setting, such as a workplace? We have the potential for misunderstandings and conflict. Consider the following example:

> People from many Western cultures see the wearing of the hijab, or headcover, by Muslim women to be a sign of religious or sexist repression. The wearer of the hijab, however, may see it as a sign of religious commitment or a group identity that she is proud to share. Wearing the hijab is not something she has to do but something she chooses to do. In a culturally diverse workplace, as people work side by side, these different perceptions of the meaning of the action of wearing the head cover can generate tension and suspicion. It may only diminish teamwork, but the consequences can be far worse. A valued hijab-wearing employee may be harassed by coworkers and supervisors, denied opportunities, disciplined, or terminated. The organization's reputation and its brand as an employer may suffer, and it may face charges of noncompliance with antidiscrimination laws.

Applying an understanding of culture can help resolve these conflicts and restore productivity and collaboration. Leaders, HR professionals, and employees can recognize differences that are

rooted in culture and decide to move toward them in curiosity and not away from them in fear and distrust.

Layers of Culture

The process of identifying culture and developing a strategy to bridge cultural distances is complex, partly because each culture has multiple layers. Beneath a culture's explicit characteristics (such as language, dress, or manner), which are relatively easy to appreciate, there are implicit characteristics (such as world views and cognitive habits), which take time and experience to discover and understand.

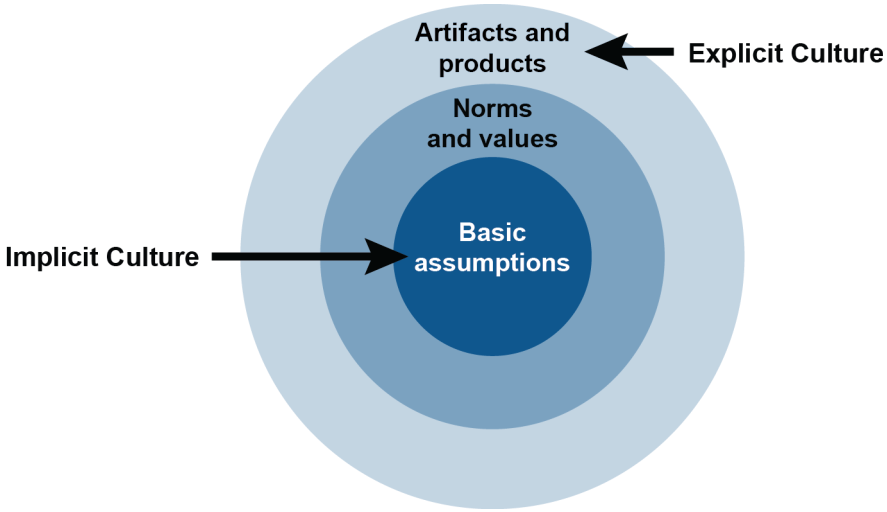
Some have compared the process of understanding culture to viewing an iceberg. We see only the visible tip of the culture—its language, food, style of dress, and architecture—or, a bit deeper down, its lifestyle and behaviors. Hidden below are the beliefs and values that are its foundation. Another image is culture as an onion, with outer layers that must be peeled away to reach a culture's core universal truths.

The sociologist Edgar Schein sought to define culture's multiple layers and their interrelationship. He was studying organizational cultures, but his model applies equally well to national, regional, or other types of culture. It is important to recognize that the outer

layers derive from the innermost layers and can be fully understood only in that context.

As shown in Exhibit 27, Schein defines three separate layers:

Exhibit 27: Layers of Culture



- **Artifacts and products.** These include a culture's obvious features, such as its food, dress, architecture, humor, and music. For example, Texas may elicit images of cowboy hats and boots, barbecue, and country music, while Tuscany conjures images of cathedrals, pasta, and wine. An organization may be distinguished by its clothing choices (for example, suits and ties versus hoodies and jeans) or physical design (for example, beige cubicles or an "open office" with designated collaborative spaces). One of the artifacts of an organizational culture might be its climate.

- **Norms and values.** Less immediately obvious are a culture's shared and stated sense of acceptable behaviors—what is right and wrong. These may be a country's rules and regulations or a company's mission statement and code of conduct.

- **Basic assumptions.** These are the culture's core beliefs about how the world is and ought to be. They may be unspoken, and members may not even be consciously aware of them. Even cultures with similar norms and values may have significantly different basic assumptions. Terms such as "success," "freedom," or "doing good" may carry very different meanings for each culture, and failure to perceive such differences is often at the root of cross-cultural miscommunication and conflicts.

Key Content

Schein's layers of culture suggest that cross-cultural communication depends on negotiating an outer shell of explicit cultural artifacts and products (such as costume or food) so that one can appreciate an inner core of conscious values (what one aspires to) and norms (what's usually done) and eventually reach an understanding of basic beliefs that unconsciously shape the culture's feelings, perceptions, thoughts, and actions.

> One cannot assume that simply being comfortable with the explicit culture—what is usually taught as cross-cultural business etiquette—conveys complete cultural understanding.

Culture vs. Climate

It is dangerous to assume that the explicit or observable aspects of an organization are the totality of its culture. These features are more accurately referred to as the organization's climate. Climate is distinct from culture. Culture is the result of shared beliefs; climate may result from the actions of a few individuals or external forces. For example, a handful of managers who are attentive only to their own goals or a serious downturn in revenue or market competition can create a poor climate even in an organization with a positive culture.

Mistaking the climate and culture can result in organizations undertaking entire cultural changes to correct a disorder that does not exist. The fundamentals of the organization's culture may be in fine shape, but it is the climate—which is generated by the actions of leaders and other employees—that needs improvement. HR professionals adept at identifying the difference between culture and climate can help establish processes and procedures to ensure that

an organization's climate does not create obstacles to achieving organizational goals.

Cultural Intelligence

Cultural intelligence is the capacity to recognize, interpret, and behaviorally adapt to multicultural situations and contexts. As with the term "global mindset," the concept of "culture" here needs to be extended to embrace other diversity dimensions—age, gender, race, religion, socioeconomic background, and even intelligence and ideology.

In *International Dimensions of Organizational Behavior,* Nancy J. Adler describes three aspects of cultural intelligence:

- **Cognitive,** including thinking, learning, and strategizing. This involves developing a knowledge of cultural differences and similarities and being able to use that knowledge to determine how best to handle a cross-cultural situation.
- **Motivational,** including effectiveness, confidence, persistence, value congruence, and the level of attraction toward a new culture. This quality enables one to genuinely enjoy cultural differences rather than feeling threatened or intimidated by them.

- **Behavioral,** including an individual's range of possible actions and responses to intercultural encounters. This quality enables one to be flexible and adapt in multicultural contexts.

Many efforts to develop and enhance cultural intelligence tend to focus on the cognitive aspect alone. In fact, using a comprehensive approach that pays equal attention to all three components is more effective.

Cultural Theories

HR professionals in global organizations or in organizations with diverse workforces may need to develop their understandings of specific cultures in order to navigate cultural differences. They can turn to the work of sociologists and anthropologists who have researched the differences between cultures in different societies. The work of organizational and cultural theorists—such as Edward T. Hall, Geert Hofstede, and Fons Trompenaars and Charles Hampden-Turner—can be applied to understand the effect of national cultures on relationships among a global organization's internal and external stakeholders.

Exhibit 28 summarizes key points about the theories of Hall, Hofstede, and Trompenaars and Turner. A detailed discussion follows the exhibit.

Exhibit 28: Summary of Three Culture Theories

Theorists	Key Points
Edward T. Hall—high- and low-context cultures	Context level affects communication and relationships: • High-context culture—A statement's meaning includes the verbal message and the nonverbals and social and historic content attached to the statement. • Low-context culture—A statement's meaning is encoded in its words only.
Geert Hofstede—dimensions of culture	Six dimensions: • Power distance—Pattern of distribution of power to culture's members. • Individualism/collectivism—Degree to which individuals perceive themselves as members of a group. • Uncertainty avoidance—Level of tolerance of ambiguous, new, or changed situations. • Masculine/feminine—Degree to which a culture follows traditional gender characterizations (masculine as rigid and competitive, feminine as nurturing and sharing). • Long-term/short-term—Long-term cultures focus on traditions and tend to resist change; short-term cultures are more pragmatic and see the positive potential of change. • Indulgence/restraint—Gratification of individual desires.

Theorists	Key Points
Fons Trompenaars and Charles Hampden-Turner—cultural dilemmas	Seven dilemmas that illustrate points of cultural tension: • Universal/particular—Flexibility versus rules. • Individual/communitarian—The good that drives decisions (the individual or society as a whole). • Neutral/affective—Expression of emotion. • Specific/diffuse—Public and private boundaries. • Achieved/ascribed—Source of merit (personal accomplishment or connection). • Sequential/synchronic—Sense of time (linear and limited or cyclical and expansive). • Internal/external—Individual control over one's destiny.

Key Content

It should be noted that the models discussed here were created at a time when it was easier to identify a given nation within a given model; the forces of globalization have since then caused some blurring of lines. Increased and more rapid exposure to other cultures through technology, travel, education, and economic development has supported some degree of cultural change. However, despite this, and despite some conceptual overlap among them, the various cultural dimension descriptions provide valuable perspectives on cultural differences today.

Hall's Theory of High- and Low-Context Cultures

Edward T. Hall's concept of high- and low-context cultures is often mentioned in global HR practice.

Hall believed that a culture's identity as high or low context lay in the answer to the question "How much context or unspoken background does someone need to understand a statement or behavior?" Or, more simply, in a low-context culture, what you say is what you mean, while in a high-context culture, what you say is not necessarily what you mean.

High-context cultures require a great deal of background. They are characterized by complex, usually long-standing networks of relationships, which are as important as work and often blur the line between business and social lives. Since members of the culture share a rich history of common experience, the way they interact and interpret events is often not apparent to outsiders. There are rules—sometimes exceedingly complex rules—but they are implicit, and the rules are often applied flexibly. Countries with high-context cultures include China, Japan, and France. Most Latin American countries also have high-context cultures.

Low-context cultures package necessary background in the communication itself. In a low-context culture, relationships tend to have less history. Because individuals know each other less well and

don’t share a common database of experience, communication must be very explicit. Examples of low-context countries are the United States, the United Kingdom, and Canada.

Another way to consider the difference:

- In a low-context culture, the applicable principle is: “It’s not personal. It’s just business.”
- In a high-context culture, the applicable principle is: “No business until I get to know you personally.”

Key Content

Following are some situations in which different levels of context create the potential for misunderstanding:

- Negotiations—A high-context culture, such as Japan, may appear to be agreeing but may not really have fully accepted the terms.
- 360-degree performance reviews—A manager from a low-context culture (for example, the U.S.) may misunderstand comments from high-context evaluators.
- Training meetings—High-context culture members frequently will not ask questions or challenge the authority of the instructor.

Hofstede's Dimensions of Culture

Geert Hofstede's dimensions of culture derive from his research during the 1970s into cultural differences at IBM subsidiaries in 64 countries. They have been subsequently researched in additional countries and in other occupations and industries. Hofstede originally defined four dimensions, before adding an additional two later: power distance, individualism/collectivism, uncertainty avoidance, masculine/feminine, long-/short-term, and indulgence/restraint.

Not all dimensions may be of the same importance in all cultures. Each offers a pair of contrasting values, but in reality each pair provides a continuum; rarely does a given culture exist entirely at one extreme or another.

Hofstede's dimensions are illustrated in Exhibit 29. Representative countries are listed, and examples of the effect of the dimensions on the practice of global HR are described.

Exhibit 29: Hofstede's Dimensions and Global HR

Dimension	Definition	HR Example

Dimension	Definition	HR Example
Power distance	Extent to which less-powerful members of organizations and institutions accept unequal distribution of power **Example Countries** *High:* Malaysia, Latin America, Middle East, China, Indonesia, India *Low:* Austria, Israel, Scandinavian countries, U.K., U.S.	**Impact on Manager** Two headquarters' managers demonstrate the effects of their cultures. A Saudi manager remains aloof from subordinates, tends to retain significant projects rather than delegating them, and expects subordinates to step forward quickly to assume blame when things go wrong. A Danish colleague, however, enjoys sharing assignments and credit with subordinates but always assumes blame for any problems. **Impact on Person Managed** A British training specialist goes to work for a Malaysian domestic company. He cannot understand why his attempts to offer suggestions are coldly received and why he is receiving poor performance reviews.

Dimension	Definition	HR Example
Individualism/collectivism	Degree to which individuals are integrated into groups • Individualism: Ties are loose, self-reliance valued • Collectivism: Strong, cohesive groups; protection is exchanged for loyalty to group **Example Countries** *Individual:* U.S., Australia, U.K., Netherlands, Italy, Belgium *Collective:* Latin America, Pakistan, Indonesia, South Korea, China	**Impact on Manager** A U.S. manager in a Latin American country plans to promote an individual based on her work on an important project. Other managers explain that they use a broader range of factors in this decision, including evidence of loyalty. **Impact on Person Managed** The performance of a South Korean sales force improves dramatically when incentives are changed from individual rewards to team bonuses.
Uncertainty avoidance	Level of tolerance of uncertainty and ambiguity; extent to which individuals feel comfortable in unstructured, new, or unexpected situations **Example Countries** *High:* Greece, Portugal, Latin America, Belgium, Japan, France *Low:* Singapore, Denmark, Sweden, U.K.	**Impact on Manager** A compensation specialist advises a Singapore company to adopt a different compensation plan for its sales force in Japan. Unlike the home sales force, which has low base pay and high commissions, the Japanese sales representatives will receive high base pay and lower commissions. **Impact on Person Managed** Before beginning a project, a French employee of a global nonprofit asks copious questions to ensure perfect understanding of the manager's expectations.

Dimension	Definition	HR Example
Masculine/feminine	Masculine traits: Ambitious, tendency to polarize, oriented toward work and achievement Feminine traits: Nurturing, empathetic, oriented toward quality of life, striving for consensus, favoring small size and slow pace Note: In masculine societies, gender roles are distinct; in feminine societies, roles may overlap. **Example Countries** *Masculine:* Japan, Hungary, Austria, Venezuela, Italy *Feminine:* Scandinavian countries, Netherlands, Chile, Thailand	**Impact on Manager** A Swedish company promotes employee development practices such as coaching and mentoring that emphasize providing empathy and support. A manager in Japan has trouble performing this part of his job. **Impact on Person Managed** An HR department in Austria has been instructed by its Danish headquarters to implement a new work/life balance program. They try, but the program is not well accepted or implemented locally.

Dimension	Definition	HR Example
Long-term/short-term	Long-term orientation: Uses traditional norms and customs to guide action. Values thrift, perseverance; orders relationships by status and values. Short-term orientation: Makes decisions based on likely results. Values pragmatism. **Example Countries** *Long-term:* China, Japan, South Korea, Brazil, India *Short-term:* West Africa, Philippines, Norway, U.K., U.S.	**Impact on Manager** A Chinese manager faced with promoting one of two Nigerian supervisors chooses the one with the most tenure and best work attendance. **Impact on Person Managed** A Nigerian supervisor can't understand why he's been passed over for promotion in his Chinese-owned company. He is well placed in his community and has given his manager appropriate gifts.
Indulgence/restraint	Indulgence: Enjoyment of life and freedom in gratifying desires Restraint: Suppression of desires in order to meet social norms **Example Countries** *Indulgence:* Most North and South American countries *Restraint:* Russia and Baltic countries, Italy, India, China	**Impact on Manager** A manager from a restrained culture cannot understand why a younger worker who is unhappy wants to quit a well-paying job with a future. **Impact on Person Managed** A younger worker who always takes his owed vacation time and is vocal in his enjoyment of his time off finds it difficult to get ahead in an organization with Indian management.

Trompenaars's and Hampden-Turner's Cultural Dilemmas

Fons Trompenaars and Charles Hampden-Turner based their work on interviews with Shell managers around the world. Building on the work of Talcott Parsons, Edward Hall, and Clyde Kluckhohn and Frank Strodtbeck, Trompenaars and Hampden-Turner presented in *Riding the Waves of Culture* seven "dilemmas" or alternatives that illustrate the essential tensions between cultures. You will note consistency in several of these "dilemmas" with Hofstede's "dimensions."

Exhibit 30 summarizes Trompenaars's and Hampden-Turner's cultural dilemmas with representative countries and HR-based examples of cultural impacts.

Exhibit 30: Trompenaars's and Hampden-Turner's Dilemmas and Global HR

Dilemma	Definition	HR Example

Dilemma	Definition	HR Example
Universal/particular	A *universal* culture esteems consistency, clarity, and impartiality. Rules for each case ensure fairness. A *particular* culture is flexible, pragmatic, and comfortable with ambiguity. It considers the case and its context first and will make exceptions; fairness is achieved by considering many factors and relationships. **Example Countries** *Universal:* Switzerland, Canada, U.S., Sweden, U.K. *Particular:* Venezuela, Korea, Russia, China, Portugal	**Impact on Manager** A Swiss manager insists that an employee be fired for absenteeism, although the employee has been caring for sick parents and has been making up for absences by working extra hours at home. **Impact on Person Managed** An HR manager in Venezuela has been interpreting the U.S. parent company's rules flexibly to accommodate local culture but now faces a negative performance review by headquarters senior managers.

Dilemma	Definition	HR Example
Individual/communitarian (collectivist)	To an *individualist,* a good society is one in which there is freedom and opportunity to advance oneself. To a *communitarian,* a good society is achieved when we all take care of each other, even if this means loss of personal freedom or opportunity. **Example Countries** *Individual:* Israel, Canada, U.S., Denmark *Communitarian:* Egypt, Mexico, India, Japan, France	**Impact on Manager** A Japanese team leader has trouble creating harmony within a global design team composed of Americans and Mexicans. **Impact on Person Managed** An Indian employee assigned to a Canadian office is perplexed by the competition among project teams that the office's managers try to create.
Neutral/affective	A *neutral* society disapproves of public expressions of emotion. In *affective* cultures, individuals express emotions freely. **Example Countries** *Neutral:* Ethiopia, Japan, China, India *Affective:* Kuwait, Egypt, Spain, Russia, Argentina	**Impact on Manager** A Spanish manager of a Japanese electronics subsidiary is corrected gently by visiting Japanese managers for expressing anger at a violation of clean-room rules. **Impact on Person Managed** A Russian international assignee working for an Ethiopian real estate firm is convinced her manager doesn't like her. Her manager never seems open or relaxed when meeting with her.

Dilemma	Definition	HR Example
Specific/diffuse	People in *specific* cultures have open public lives but a strong boundary between public and private lives. People in *diffuse* cultures allow access to their public lives only through introduction by a trusted associate, but when access is granted, it includes access to the person's private life. **Example Countries** *Specific:* Sweden, Netherlands, U.K., Canada *Diffuse:* China, Nigeria, Kuwait, Singapore	**Impact on Manager** A manager of a Venezuelan energy company is cool to a young employee's requests for mentorship until a common friend makes the request. **Impact on Person Managed** A British manager brought in to work for an organization in Singapore may have hurt his advancement by repeatedly evading the boss's invitations to social gatherings in favor of spending time with other expatriates.
Achieved/ascribed	In an *achieved* culture, individuals are valued according to their own accomplishments (what they do). In an *ascribed* culture, value may be derived from social factors, like position, wealth, family, or gender (who they are). **Example Countries** *Achieved:* U.S., Australia, Canada, U.K., Netherlands *Ascribed:* Egypt, Argentina, Czech Republic, Korea, Poland	**Impact on Manager** A British manager supervising a Czech office senses hostility among the office employees after promoting a young worker. They obviously disagreed with the choice. **Impact on Person Managed** An ambitious young Australian who has struggled to educate and establish herself is baffled by her Egyptian managers, who seem more impressed with the connections of her Egyptian team members than with her achievements.

Dilemma	Definition	HR Example
Sequential/synchronic	*Sequential* cultures see time as linear and an important part of life. Planning, keeping appointments, and making productive use of time are important. The future is more important than the past. *Synchronic* cultures see time as large enough to accommodate multiple activities at the same time. They can also accommodate delays if a change is necessary to support a relationship. The past and the present are just as important or more important than the future. **Example Countries** *Sequential:* U.S., Japan, Netherlands *Synchronic:* France, Spain, Belgium	**Impact on Manager** A Japanese project team leader is irritated and doesn't know what to do with a French team member who is continually late to team meetings. **Impact on Person Managed** A Belgian work unit thinks it's unreasonable and arrogant when the U.S. headquarters cancels a traditional social ritual in order to meet a looming deadline.

Dilemma	Definition	HR Example
Internal/external	In an *internal* world, individuals can decide and follow their own paths. One can dominate nature. In an *external* world, human beings are part of a larger scheme that directs the course of events. Individuals can only adapt, not create. They must submit to nature. Zeynep Aycan (2005) refers to this dimension as “fatalism.” **Example Countries** *Internal:* Israel, Norway, U.S., U.K., France *External:* Venezuela, China, Russia, Kuwait, Singapore	**Impact on Manager** A British company has outsourced design of a component to a Russian firm. The British expect a design that ensures top performance across the full range of criteria and the latest technology. The Russians argue that the British should think more about what their end customers really require. **Impact on Person Managed** A Norwegian employee assumes that if he works hard enough, he will be rewarded with a promotion.

Obstacles to Achieving Cross-Cultural Understanding

The potential for conflict arises whenever an organization or profession tries to apply practices based on their own values to a host workplace or market with different cultural norms. For example, restrictive policies about taking off time for family emergencies may be the source of conflict in a collectivist culture that values family ties —even ties to what would be considered extended family—and

prioritizes family obligations. A promotion policy that emphasizes individual merit may present difficulties for managers used to rewarding employees with family connections. Conflict can arise from differences in professional as well as social values. An HR department that values collaboration and process may have problems when it tries to provide service to a results-oriented, hierarchical operations or IT department.

The challenge for HR is to better understand each of the members and stakeholders of their own multicultural organizations and to foster interaction, understanding, and appreciation of diverse views and opinions. Nancy Adler (in *International Dimensions of Organizational Behavior*) and other analysts list four obstacles that HR may face in trying to achieve understanding in multicultural organizations.

- **Ethnocentrism and parochialism.** Adler characterizes ethnocentrism as “our way is the best way and we are really not interested in other ways of reaching a goal.” Parochialism goes even further, asserting that “there is only one way to solve a problem or reach a goal.” While both are limited world views, it is possible to alter ethnocentric views with time, experience, and training. Parochialism is such a rigid mindset that it may not easily be malleable.

- **Cultural stereotypes.** While certain words are used to describe cultural value dimensions and characteristics, these words should not be judgmental or contain negative connotations. A particular culture's approach to time can be described without degenerating into judgmental phrases such as "lazy" or "undependable." It is also valuable to remember that cultural descriptive terms characterize group behaviors but that not all individuals within a group necessarily conform to these norms.

- **Cultural determinism.** "The culture made me do it." This perspective basically absolves individuals of any responsibility for their actions. Global HR professionals will often hear from managers in other countries that something cannot be done because of the local culture. This may call for further discussion about the supposed obstacles. In some cases they may not exist, and in others the obstacles may not really be cultural resistance to the practice but to how the practice is being implemented.

- **Cultural relativism.** Cultural relativism holds that because cultures vary so widely and greatly, everything is relative. There are no absolutes; everything varies based on the situation and the cultural perspective. In fact, while cultural differences are often considerable, global HR can refer to a reasonable set of

absolutes based on honesty, decency, and personal integrity that should pertain across cultures.

Exhibit 31 summarizes these obstacles to cross-cultural understanding.

Exhibit 31: Obstacles to Cross-Cultural Understanding

Obstacle	Key Description
Ethnocentrism and parochialism	The viewer perceives and judges other cultures according to the norms of the viewer's own culture and rigidly maintains that narrow mindset.
Cultural stereotypes	Perceptions of a culture are applied to all of the culture's members, often in a negative manner.
Cultural determinism	Culture defines behavior and therefore excuses some actions and makes changes impossible.
Cultural relativism	There are no absolutes. Norms and values vary by situation and cultural perspective.

Key Content

Cultural disconnects within an organization must be addressed to avoid creating "malicious compliance." This can occur when headquarters develops standardized programs that fail to recognize local differences and imposes them on their foreign subsidiaries. Local managers know the programs will not succeed in their standardized form but agree to implement them and then

watch them achieve the inevitable results—failure and increased resistance to future programs.

Reconciling Cultural Dilemmas

Nancy Adler described different strategies for negotiating cultural differences:

- Cultural domination and cultural accommodation are essentially about assimilation. I assimilate your beliefs, or you assimilate mine.
- Cultural compromise involves both sides giving up some values in order to meet in the middle.
- Cultural synergy involves creating a third way—finding what works well in each culture and removing barriers to communication and collaboration, including language and policies.

Trompenaars and Hampden believe that organizations that are synergistic are more flexible, adaptive, and resilient. They are skilled in the process of charting a course through cultural differences, a process Trompenaars and Hampden-Turner call dilemma reconciliation.

Dilemma reconciliation has four steps:

- Recognize. (Create awareness of cultural differences.)
- Respect. (Appreciate the value of difference.)
- Reconcile. (Resolve differences by finding a common path.)
- Realize. (Implement solutions and institutionalize them in the organization.)

In a synergistic solution, managers consider to what degree an organizational conflict is cultural in nature and identify the assumptions that may be contributing to the dilemma. Alternatives are then crafted by leveraging points of cultural similarities. Feedback from both cultures is collected to check and adjust the solution as needed.

The path to cultural synergy begins with managers who have a global mindset. They appreciate that everyone—including themselves—has a culture that shapes their perceptions and values. Global managers then seek to understand more fully their own cultures and, with the same depth, the other cultures in which they interact. Differences and similarities are identified and appreciated. They avoid stereotyping.

Cultural differences should not be a barrier to a globalization strategy but a factor that will contribute to global standards and facilitate alignment of local practices with these standards. Managing cultural differences will require global HR professionals who are literate in

cultural theory and differences and who understand what to do when faced with a cultural dilemma that threatens a global strategy. The first step in achieving cultural literacy is to internalize the importance of mutual understanding, learning, and training. Turning to focus groups, employee resource groups, and reverse mentorship can help in achieving this goal.

- **Focus groups.** By bringing together team members from different groups across the organization, you can create a safe space to air opinions and criticisms and generate diverse ideas and solutions.
- **Employee resource groups.** Employee resource groups (ERGs) are centered around certain shared characteristics (for example, gender, race, or nationality). ERGs can help empower and support communities within the organization, and they can be a useful source of information and feedback to help HR devise plans and proposals to realize benefits from cultural differences.
- **Reverse mentorship.** Reverse mentorship redefines the mentor-mentee relationship into one that goes both ways. Each individual can teach the other about their own cultures, acting in the role of cultural intermediary or coach. These relationships build trust and enhance effective collaboration and can help instill a global mindset as employees are exposed to more diverse viewpoints.

Analyzing feedback generated by these practices, HR can develop and implement appropriate procedures and protocols aimed at addressing cultural differences. For example, performance appraisal systems can be chosen to reflect the needs of different cultures and groups. The organization can also invest in identifying and developing high-potential employees who can become truly multicultural—for example, by pairing them with a mentor from a culture in a growth market or region. Cultural awareness and sensitivity and diversity training programs can be designed and carefully implemented across the global organization. These procedures should be revisited frequently to ensure that they remain effective.

Culture

Proficiency indicators related to this section include:

- Adapts behavior to navigate different cultural conditions, situations, and people.
- Demonstrates a general awareness and understanding of and respect for cultural differences.
- Demonstrates acceptance of colleagues from different cultures.
- Manages contradictory or paradoxical practices, policies, and cultural norms, to ensure harmony.
- Promotes inclusion in daily interactions with others.
- Tailors HR initiatives to local needs by applying an understanding of cultural differences.
- Develops HR initiatives that will be applied consistently and fairly to all staff.
- Ensures learning and development programs or other interventions about diversity and cultural sensitivity are provided to employees at all levels of the organization.
- Evaluates the organization's current cultural climate and identifies areas for improvement.

Key concepts related to this section include:

- Cultural norms, values, and dimensions (examples include Hall, Hofstede, Schein, Trompenaars models).
- Techniques for bridging and leveraging individual differences and perceptions (examples include employee resource groups, reverse mentorship, sensitivity training, focus groups).

Law

The law can be seen as an expression of what a culture values and how it thinks. Therefore, legal systems vary, just as cultures do. HR professionals interact with the legal systems in their areas of operation and should be familiar with basic legal concepts.

Competency Connection

Fostering communication in a diverse workplace requires emotional intelligence (the Leadership & Navigation competency), committed listening (the Communication competency), and openness to new and different workplace practices (the Global Mindset competency). The following example focuses on global diversity, but most of us could describe incidents involving cross-generational, ethnically diverse, or differently skilled teams.

Through a strategic U.S. partnership, a large hospital in Qatar had U.S. staff on temporary assignments. One such U.S. transferee had recently arrived in Doha to become the hospital's head of recruiting. She had heard of Qatar's laws giving preferential employment treatment (such as promotions and non-termination rights) to Qatari citizens. While concerned about potential discrimination issues, experience had taught her to reserve judgment.

Upon starting work in Doha, she learned that the nationalization program (Qatarization) was effectively a quota system that seemed to disregard a person's capabilities for a job. Given the imperative of hiring highly qualified hospital staff, she planned to propose to senior management that they adopt and follow U.S. hiring standards and practices.

Reporting directly to her was a local recruiter. Upon learning of her supervisor's plan to change the recruiting policy, the recruiter respectfully and delicately informed her that Qatar's nationalization programs are similar to U.K. positive action policies and U.S. affirmative action programs. She further explained that Qatari citizens are actually a minority in their country due to a disproportionately large number of foreign temporary workers. Thus, the laws in effect support a minority group, much like U.K. and U.S. laws.

By explaining a core HR concept using examples and terms familiar to her supervisor, the recruiter helped her new boss better understand the history and rationale of the country's laws. While the new head of recruiting still had concerns about the law, she could now at least make more-informed business decisions.

Legal Systems

Just as HR professionals must learn to interact effectively with a multitude of cultures, they must also learn to work within a complex framework of different legal systems across the countries and regions in which their organization operates.

And, like every other aspect of globalization, the legal landscape is constantly redefining itself. Sometimes a wave of legislative change may sweep across several countries, often in response to global changes, as with recent environmental regulations, technology-related privacy laws, or laws regarding same-sex marriage. Other legal changes may be country-specific, such as the United States Supreme Court's rulings that assign rights of personhood to corporations.

At the heart of any legal system is a set of core beliefs about what constitutes right and wrong. To comply with—and anticipate the requirements of—a system of laws, it helps to have a basic understanding of the core beliefs and values on which it is based. HR professionals managing global workforces must be aware of the different legal systems and their requirements, but all HR professionals should be able to recognize the effect of different legal systems on their work.

There are three major types of world legal systems: civil law, common law, and religious law.

- **Civil law** is based on written codes approved by legislative bodies. In some instances, governments implement regulations to enforce laws. These regulations have the force of law. The law is applied deductively in each case, starting from the abstract rule that has been stated in the nation's civil law code. Each judicial action is bound by the letter of the law; the laws are not affected by judicial decisions.
- **Common law** is based on legal precedent. Each case is considered in terms of how it relates to judicial decisions that have already been made. Common law evolves through judicial decisions over time. Some common laws have been codified, as in the Uniform Commercial Code in the United States, which is applied to commercial transactions. Because legal precedents are not always considered binding and because legal positions evolve over time through a series of cases in which analyses may differ, common law can change gradually.
- **Religious law** is based on religious beliefs and conventions: a mixture of written codes and interpretations by religious scholars. Most world religions have their own bodies of laws and legal processes—for example, Sharia (Islam), canon law (Christianity), and the Halakha (Judaism). HR professionals must be aware of the relationship between civil and religious laws in the countries in which their organizations operate and potential

conflicts between their employees' religions and the employers' policies.

These legal systems must be viewed with a critical caveat in mind: In the real world, the types defined here often appear in mixed forms.

The HR professional need not be an expert in all the laws that will affect his or her work. In fact, we strongly recommend the use of expert legal advice, both in specific disciplines, such as taxation, and in the laws of specific countries.

Fundamental Legal Concepts

There are some basic legal concepts that help explain and describe how (or, in some cases, whether) legal systems work and how an organization can expect to be treated in a given location. Exhibit 32 describes these key legal concepts and terms.

Exhibit 32: Key Legal Concepts/Terms

Concept/Term	Key Points

Concept/Term	Key Points
Rule of law	No individual is beyond the reach of the law; authority is exercised in accordance with written and publicly disclosed laws. This creates order and predictability for citizens and foreign entities/individuals who may become litigants. A country with a strong rule of law will present lower risks for organizations but also require greater accountability for compliance. A country with a weaker rule of law can still present opportunities but will also present higher risks and lower control.
Due process	Laws are enforced only through accepted, codified procedures, thus avoiding arbitrary treatment and abuse of power.
Jurisdiction	Jurisdiction is the right of a legal body to exert judicial authority over a region, subject matter, or individual. Because global organizations operate across jurisdictions, they must be aware of applicable laws and who has legal authority over their operations in any given country, region, or municipality. Some jurisdictions may overlap, and it is important to recognize when or if there are potential conflicts—for example, cases when federal law supersedes local or provincial laws and when jurisdiction resides with the host country and not the home country.
Conflict of laws	Conflict of laws is a situation in which the laws of two or more jurisdictions differ and may exert a different result on a legal case depending on which system is deemed to have jurisdiction.
Forum or jurisdiction shopping	Jurisdiction shopping (or forum shopping) is the practice of taking complaints to jurisdictions sympathetic to the complainants' case. It is rarely effective where employment contracts are concerned, since residency laws favoring the jurisdiction in which the work is actually done tend to prevail.

Concept/Term	Key Points
Levels of law	Laws can be described by their areas of control: • National—federal laws applicable across the nation • Subnational/regional—laws that apply to states, provinces, municipalities, or regions (Their relationship to federal laws can be complex.) • Extraterritorial—laws that extend beyond a nation's borders and protect or apply to the nation's citizens traveling or working abroad • Supranational—binding agreements between nations; may supersede national laws • International—laws between nations that also apply to individuals within national borders (for example, human rights laws); usually ratified by participating countries but can also be accepted without ratification

Law

Proficiency indicators related to this section include:

- Conducts business with an understanding of and respect for cross-cultural differences in customs and acceptable behaviors.
- Conducts business with an understanding of and respect for differences in rules, laws, regulations, and accepted business operations and practices.
- Demonstrates an understanding, from a global perspective, of the organization’s line of business.
- Uses expert knowledge about global HR trends, economic conditions, labor markets, and legal environments to evaluate the impact of diversity and inclusion on the organization’s HR strategy.
- Uses expert knowledge about global HR trends, economic conditions, labor markets, and legal environments to set HR's strategic direction and to inform development and implementation of HR initiatives.

Key concepts related to this section include:

- Best practices for creating and managing globally diverse workforces (examples include translating policies and

procedures into local languages, accounting for multiple time zones when scheduling meetings).

Business Acumen Competency

Business Acumen Competency

Business Acumen is defined in the SHRM Body of Applied Skills and Knowledge as:

> KSAOs [knowledge, skills, and abilities] needed to understand the organization's operations, functions and external environment, and to apply business tools and analyses that inform HR initiatives and operations consistent with the overall strategic direction of the organization.

Applying Business Acumen may take HR professionals outside their traditional comfort zone because it goes beyond transactional knowledge of HR laws, systems, and practices. It requires understanding the internal and external forces that shape an organization's strategy to create value for its stakeholders. HR professionals also need to become familiar with the analytic tools and metrics used by decision makers to develop and assess strategy. They must see their own HR budget as a strategic tool that allocates resources to activities aligned with goals.

Business and Competitive Awareness

Proficiency indicators related to this section include:

- Aligns decisions with HR's and the organization's strategic direction and goals.
- Applies knowledge of the organization’s business operations, functions, products, and services to implement HR solutions and inform business decisions.
- Applies knowledge of the organization’s industry and PESTLE trends, in order to implement HR solutions and inform HR decisions.
- Applies principles of finance, marketing, economics, sales, technology, law, and business systems to internal HR programs, practices, and policies.
- Demonstrates an understanding of the relationship between effective HR and effective core business functions.
- Uses organizational and external resources to learn about the organization’s business operations, functions, products, and services.
- Uses organizational and external resources to learn about the political, economic, social, technological, legal and environmental

(PESTLE) trends that influence the organization (examples include automation, unemployment trends, economic boom or recession, talent shortages).

- Aligns HR's strategic direction and long-term goals with the organization’s overall business strategy and objectives.
- Applies an understanding of the labor market when developing a strategy to manage and compete for talent.
- Applies expert knowledge of the organization’s business operations, functions, products, and services when setting HR’s strategic direction and long-term goals.
- Applies the perspective of systems thinking to make HR and business decisions.
- Designs, implements, and evaluates HR initiatives with consideration of value-added, ROI, utility, revenue, profit and loss statements, and other business indicators.
- Drives key business results by developing strategies and long-term goals that account for senior leaders' input.
- Gathers and applies business intelligence about PESTLE trends to define HR’s strategic direction and long-term goals.
- Participates in advocacy activities involving government policy and proposed regulations related to the organization’s HR strategies and long-term goals.
- Serves as a strategic contributor to organizational decision-making on fiscal issues, product/service lines, operations, human

capital, and technology.

- Uses risk assessment to inform HR's and the organization's strategic direction and long-term goals.

Key concepts related to this section include:

- Business terms and concepts (examples include competitive advantage, profit and loss, revenue, financial projections, quality, service level agreements [SLAs], strategic plans, fixed versus variable costs, supply and demand, net income, key performance indicators [KPIs]).

Business and Competitive Awareness

HR professionals should develop greater awareness of how their organization creates value and how the organization's performance is affected by various internal and external factors.

Competency Connection

The Business Acumen competency allows HR professionals to apply knowledge of an organization's business model and competitive situation when solving workforce problems. It can be combined with other competencies, such as Analytical Aptitude, Consultation, and Communication, to deliver strategic support to HR's organization. Consider the following situation.

A division of an organization was experiencing a turnover rate higher than that seen in other divisions. The problem had persisted for 12 months. Before developing a response, the HR leader and staff were determined to understand the root causes of the turnover. A knowledge of the business—acquired through the Business Acumen competency— would help them ask the right questions and understand the answers they received.

One HR staff member was assigned to research the targeted division's products/services, key competitors, language and

acronyms, and key labor market trends, such as unemployment and other HR benchmarks. This staff member then presented findings to the HR team.

Another staff member was assigned to review exit interview notes and to analyze them for major themes.

The HR manager conducted one-on-one interviews with selected current employees from the division.

The team then analyzed the data, agreed on likely causes, and developed possible solutions. Each solution was assessed in terms of its alignment with the organization's strategy and its expectation of return on investment.

The HR director reviewed the team's report and added ideas of her own: rebranding the employer message and developing more effective onboarding programs. The director applied all this information and analysis to argue effectively for senior management support of the proposed changes.

Value Creation

Value can be defined and measured differently. In a general sense, it refers to an organization's success in meeting its strategic goals.

(Note that “value” is not the same as “values.” Organizational values relate to guiding principles and beliefs.) A critical aim for all organizations and their business units and functions is to protect and enhance the value of the organization’s assets (financial, people, technological, and physical) and to add new value where possible. The assumption behind strategic planning and management is that purposeful activity will yield greater value. Before strategic planning can begin, an organization must consider this question of value: how it creates value and what activities are critical to the creation, retention, and increase of value.

The definition of value can be influenced by mission. For example, a for-profit corporation will see value as bound up in its assets and its ability to generate value above the costs of production (added value). A military organization, on the other hand, will measure value by its effectiveness in fulfilling its mission to safeguard and protect.

The definition of value will also be influenced by culture at an organizational, global, and workplace level. A common conflict after mergers, for example, is a lack of agreement about what constitutes value. One set of management may see value as shareholder returns, while the other may be more concerned about employee well-being and security. Conflicts over value can be driven by differences in ethnic cultures in different workplaces within a global

organization or in a single ethnically diverse workplace. Or value may be defined by functional culture. Operations may see the organization's core value as output, while sales may see it as satisfied customers.

HR must understand these varying perceptions of value because they will drive strategic goals throughout the organization and affect the ways in which HR can support the organization in its entirety. When perceptions conflict within the organization—perhaps as a result of a change in strategic direction, a global organization that comprises multiple national cultures, an acquisition or merger, or restructuring—HR can provide critical guidance about acknowledging and resolving these cultural conflicts.

Value Chains

The **value chain** represents the process by which an organization creates the product or service it offers to the customer. This may also be referred to as the organization's business model, every activity required to make a good or service and then sell or deliver it. The process is described as a chain because it represents the sequential and simultaneous contributions of a number of internal and external participants. Each participant adds an element of value, and the total value is more than the sum of its parts.

Key Content

A global value chain consists of multiple organizations producing parts of a good or service across geographical regions, with each link on the chain adding value. It is more integrated than a business model that simply outsources production or supply from other countries. In a global value chain, participants share expertise. Although maintaining good governance of all chain participants is difficult, global value chains are important agents of economic development.

An enterprise can achieve competitive advantage by being superior in one functional area in the value chain—for example, in innovative research and design, effective marketing, or efficient production. An organization can also achieve advantage by more effective coordination among various functions.

Key Content

The key value that HR contributes to the value chain is the quality and availability of “pivotal talent pools,” those

employees whose skills are critical to the organization's strategy (John Boudreau and Peter Ramstad, "Talentship and the New Paradigm for Human Resource Management"). HR protects value when it manages labor supply to support optimal productivity. It enhances value through its leader and performance development processes. It can add value when it acquires strategically important new areas of talent.

To deliver better service to the organization and increase value, HR may implement a process of meeting periodically with internal customers to understand their current needs accurately and completely. As a result of these meetings, HR may establish service-level agreements with customers. A **service-level agreement (SLA)** defines the output customers can expect—for example, the services HR will provide a function (self-service portals, dispute resolution), the normal time frames for results (filling job openings in a certain amount of time), or HR responsiveness to customer queries and complaints (quickly correcting errors in pay or benefits).

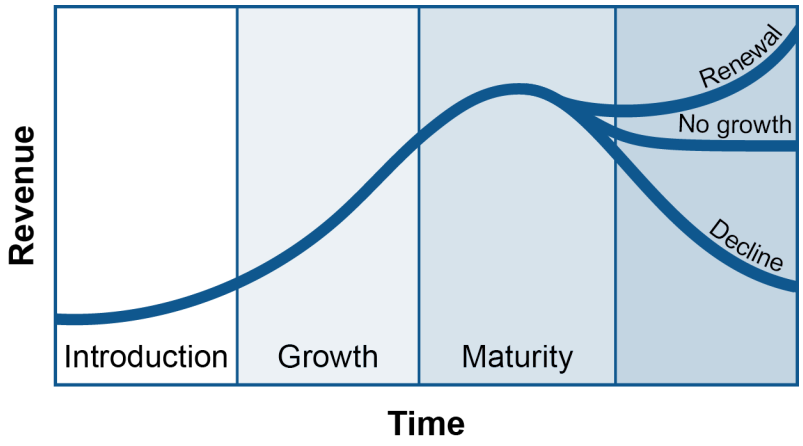
Organizational and Product Life Cycles

Industries, organizations, brands, and products have a characteristic life cycle. The stages may have different names, but they describe a gradual increase in success (usually measured as revenue) over time, a peak, and then a gradual decline and possible demise. HR professionals, especially HR leaders, must be aware of the life cycle concept, because the organization's and HR's priorities will shift as the life cycle (of the organization itself, its industry, or its products and brands) progresses. HR must be ready to shift the HR strategic plan accordingly.

The organizational or product life cycle is different from the employee life cycle, which describes the stages in an employee's experience from hiring to exit.

Exhibit 33 shows an organizational/product life cycle with three possible outcomes: continued success through renewal, a no-growth existence, or decline.

Exhibit 33: Life Cycle Concept



- **Introduction.** Revenue (the vertical axis) is low because there is little market awareness (of the new industry, organization, products, services, or processes) and because of the market's resistance to change. Entrants (new industries, organizations, or products) must create an identity with customers and develop a value proposition. This takes imagination, business acumen, and leadership.

- **Growth.** As time proceeds (the horizontal axis), revenue begins to increase. The rate of growth (or the steepness of the curve) will vary by industry, enterprise, or product. The focus shifts to creating processes that will increase efficiency without stifling innovation.

- **Maturity.** The market is saturated with competitors, and growth occurs only through introduction of new products or customer

groups (which starts new cycles for those entrants) or through acquisitions. Profit margins become narrower, and efficiency becomes more important. This means greater formalization and perhaps bureaucracy.

- **Renewal/no growth/decline.** Eventually demand will decrease, either because the need no longer exists or it is satisfied more effectively by something or someone new. Organizations can:
  - Renew themselves by completely changing their offerings, where they compete, or how they compete. If they succeed, revenues rise. Organizations must return to their innovative roots.
  - Take no action and accept continued low revenue. As time goes on, organizations and products have few resources to take advantage of opportunities that might deliver growth.
  - Take no action and experience a decline in revenue that will make it impossible to compete or operate.

Think of the industry that produced landline telephone sets (not the service, but the phone itself). The initial market was very small, but it expanded with a growing infrastructure of telephone lines and switches and with a growing understanding of the telephone's business and social usefulness. Sales of landline telephones slowed, despite the best efforts of marketers who would tempt the consumer

with new shapes and colors. The introduction of cell phone technology sent the industry into a decline. Much of the world's population survives quite well today without landlines. Manufacturers of telephone sets had to adapt to wireless and Internet voice communication or be mired in a small, low-profit business sector.

HR and Organizational/Product Life Cycle

Exhibit 34 lists the characteristic organizational needs in each stage of the organizational/product life cycle and the ways in which those needs affect HR activities.

Exhibit 34: Impact of Life Cycle on HR Strategy

Characteristics	Impact on HR Strategy
Introduction	
• Vision, innovation, and energy are critical. • There is little structure and no formal policies. • There may not be a dedicated HR function; it may be outsourced to a consultant or performed by a top manager.	• Talent acquisition, finding the resources needed to build a foundation for the enterprise. • Helping to define and create a culture in keeping with the founders' values. • Controlling risks associated with human resources (for example, compliance with laws, stress management).
Growth	

Characteristics	Impact on HR Strategy
• Keen awareness of markets and customers make the difference. • Managers must be strategically disciplined and maintain focus. • There are competing demands for innovation and efficiency. This requires some degree of formalization of structure and processes without affecting the vibrant culture that brought the organization out of the start-up phase.	• Tactical buildup of talent. The right talent must be acquired and/or built in-house. • Tactical increase in complexity of structure and policies. Changes must weigh improvements in efficiency against impact on culture. • Helping leaders redefine their roles and share leadership with others. • Formalization of job descriptions. • Managing changes caused by the organization's growth and increased formalization.
Maturity	

Characteristics	Impact on HR Strategy
• Need for greater control emerges. • This often results in more formalization and complex reporting and decision-making structures. Top management plans; lower-level management implements. • There can be a loss of connection with the organization's strategy.	• Building and retaining a productive workforce to meet a high level of demand. • Establishing stable leadership through succession planning. • Implementing policies. • Communicating and reinforcing organizational culture in policies and practices. • Improving channels of communication so that strategy can be understood and aligned at all levels and in all areas. • Making sure that formalization does not make the organization less agile and innovative. • Consulting to other parts of the organization to solve problems that affect productivity (for example, conflicts, poor performance, ineffective processes or teams, toxic cultures). • Modeling awareness of external influences. HR can be a champion of environmental scanning.
Renewal	
• The organization attempts to reconnect with or find new customers or missions. • If the organization has become slowed by its size and held back by complex structures and too many policies, it will need to restructure. • Vision and innovation, strong leadership, motivation, and communication are vital.	• Reductions in workforce to right-size the organization as it rebuilds. • A change in leadership and workforce requirements. • A streamlining of structures and policies. • Added responsibilities to job descriptions and remaining staff.
No Growth	

Characteristics	Impact on HR Strategy
• Revenue and workforce remain static or decline. • Fewer opportunities for employee advancement arise. • Compensation is static.	• Maintaining engaged workforce with fewer resources. • Dealing with increased turnover rate. • Delivering HR services with shrinking budget.
Decline	
• The organization shrinks in size and assets. • In-fighting increases. • There may be a swing back to more autocratic control by leaders.	• Reducing the workforce size. • Helping the organization's members manage constant stress and workplace changes necessary to survive. • Attracting necessary talent. Reduced assets and prospects demand greater creativity in talent acquisition.

Macroenvironmental Forces Influencing Strategic Decisions

The macroenvironment refers to all the factors that exist outside the organization that could influence an organization's strategic decisions. HR leaders are expected to be familiar with and informed on areas that affect the management of an organization's human capital. As a result, one of their responsibilities is to analyze the environment in which the organization and its employees operate. Conducting a PESTLE analysis can help in acquiring information about the factors that might affect strategic decisions and therefore help to improve an

organization's competitive market position. A PESTLE analysis looks at the following:

- **Political.** Governmental and other political forces that can exert influence on the economy or a specific industry and therefore affect the capabilities of an organization, for example, new or changed taxes, employment laws, and trade tariffs, barriers, and restrictions.

- **Economic.** Market and other economic conditions that can affect an organization, for example, interest and exchange rates, wages, cost of living, and working hours.

- **Social.** Events and trends in society that can affect the present and future availability of talent, compliance requirements, and employee needs, for example, health and safety consciousness, population demographics, and growth rates.

- **Technological.** Changes in technological capabilities and availability that can affect an organization's ability to produce and provide goods and services. These factors also include technological literacy levels and research.

- **Legal.** Laws and regulations that can affect an organization's operations. Global organizations have to navigate different

countries' legal systems in addition to those in their home country, which may require extra care.

- **Environmental.** Geographic and climate changes that might affect an organization's operations, for example, extreme weather that may disrupt operations or transportation of goods for a specific area or an entire region.

Understanding how these factors can affect the core competencies of the organization will help HR in fulfilling its responsibility to provide the organization with the right number of workers with the right kinds of skills. It is therefore important for an HR professional to make time to scan and research external factors that might affect their organization.

Improving Environmental Awareness

HR professionals can develop their awareness of their organization and the environment in which it operates by:

- Regularly reading the business press—including more international publications such as *The Economist*—and following key social networking sites to monitor the latest business philosophies and trends.
- Staying current with the latest academic HR research. Use relationships with local academics and visit the websites of

institutions known for their HR research publications.

- Analyzing the organization's performance. Review the organization's financial reports and strategic goals and understand the stories they are telling—for example, patterns of performance across a corporation's divisions or products, trends in indebtedness, and levels of available cash.
- Monitoring the performance of other organizations, including competitors and major employers in your communities of operation. This can affect employer branding, compensation, engagement, and diversity strategies.
- Becoming regular users of third-party information from government agencies (for example, labor and trade departments), international bodies like the World Bank and United Nations agencies, nonprofits, and professional associations, such as the Society for Human Resource Management.
- Scanning annual reports from businesses or groups with comparable markets and workforces. Annual reports can provide insight into the issues other organizations are wrestling with and the solutions they have tried.

Information gathering is a skill that must be used regularly and constantly updated and expanded as new sources and information channels develop.

Key Content

HR professionals must also focus on expanding and deepening their channels of information—inside and outside the organization. Networking within the organization can provide a sense of developing management philosophies, preferences, and attitudes. It may be useful to develop relationships with individuals in the organization's finance function who can explain the significance of financial performance metrics. Developing contacts within the stakeholder communities in which the organization operates can uncover emergent issues. An HR manager can become more aware of educational challenges facing local school districts, challenges that may affect the future pool of workers. Networking can also serve to build allies for later actions.

HR Advocacy

HR professionals can keep track of current events and trends that affect the workplace by belonging to professional associations such as the Society for Human Resource Management. Members receive

regular and special mailings and can meet peers from other organizations at chapter meetings.

One of the services professional associations provide is being an advocate for workplace issues before national and local governments and regulatory bodies. HR advocacy can focus on issues that affect the business decisions of major employers and on wage and benefit issues. HR advocacy can help shape developing policies on issues such as the impact of recreational marijuana on the workplace or the burden of education debt on employees.

Useful Business Terminology

There are certain key business terms that all HR professionals should become familiar with.

There are certain key business terms that all HR professionals should become familiar with in addition to those already explained in this section. These terms are explained in Exhibit 35.

Exhibit 35: Useful Business Terminology and Concepts for HR Professionals

Term	Definition

Term	Definition
Supply and demand	The fundamental concepts of economics. Demand refers to customers' desire to purchase goods and services and their willingness to accept the price at which the goods/services are offered. Demand typically drops as price rises. Supply refers to the availability of the good or service. When prices are high, supply will typically increase as organizations try to maximize profits. Falling prices typically result in less supply.
Strategic plan	Plan that defines an organization's purpose and direction and can provide guidance to HR on the organization's core values and objectives. Typically, a strategic plan contains the following components: • Vision and mission statements • Core values • Goals and objectives (both long- and short-term) • SWOT analysis • Action plans
Competitive advantage	The factors that enable an organization to outperform its rivals—that is, produce goods or services better and more cheaply. Factors can include but are not limited to branding, product quality, customer service, distribution network, geographic location, access to superior human and natural resources, and intellectual property.
Financial projections	An estimate of an organization's future financial performance. Typically, projections address a specific 12-month period, broken up monthly and by department and/or function. Projections are a valuable tool for translating goals into targets and serve as a feedback and control tool. Deviation from projections can be used to assess potential changes to strategic plans.
Quality	A measure of comparison for products and services—for example, is the product or service offered by the organization of superior or inferior quality when compared to that offered or produced by rivals? This assessment is based on characteristics of the product and service and how well they achieve the intended function.

Term	Definition
Key performance indicators (KPIs)	Specific measures of an organization's critical business areas that are quantifiable or qualitative. KPIs can vary depending on how, when, and where they are used—for example, by department or different projects. KPIs can be used to analyze an organization's long-term goals or critical success factors.
Fixed and variable costs	Fixed costs are recurring costs, regardless of an organization's output, for example, interest payments, lease/rent payments, utilities, and insurance. Variable costs depend on the organization's output, and they can increase or decrease depending on how many goods or services the organization produces. They include, for example, labor costs and costs for resources/materials. It is possible that an organization will have semi-variable costs, which can be a mixture of both fixed and variable, for example, volume discounts, employee compensation made up of both salary and commissions.
Revenue	The money generated through the sale of goods and services. Revenue is calculated by multiplying the average sales price by the number of units sold. It is also referred to as gross income.
Net income	Revenues minus costs. This is also known as net earnings and can refer to both organizations and individuals. The subtracted costs can include expenses (operating, administrative, and so on), taxes, interest, and depreciation.
Profit and loss	A calculation based on total income minus total expenses. If the result is positive (revenue exceeds expenses), the organization has generated a profit; if the result is negative (expenses exceed revenue), then the organization has posted a loss.

Business Analysis

Proficiency indicators related to this section include:

- Uses HR information systems (HRIS) and business technology to solve problems and address needs.
- Develops HRIS and business technology to solve business problems and address needs.
- Examines organizational problems and opportunities in terms of integrating HR solutions that maximize ROI and strategic effectiveness.
- Uses risk assessment to inform HR's and the organization's strategic direction and long-term goals.

Key concepts related to this section include:

- Business intelligence techniques and tools (examples include analytical processing, business intelligence portals, predictive analytics, advanced analytics, trend analysis, scenario planning, balanced scorecard).

Business Analysis

Information is growing in importance in today's organizations. To make better decisions now and to develop better solutions in the future, HR professionals must understand how their organizations collect, access, and analyze data.

Competency Connection

An HR professional was visiting the SHRM website and saw an article about a recent lawsuit filed by temporary workers at a major software firm. The temporary workers claimed that they fulfilled the definition of regular employees and should be reclassified accordingly and receive compensation and benefits retroactive to their date of engagement.

This set off alarms in the HR professional's mind, whose own organization used temporary workers in a similar manner and could be affected by an unfavorable ruling. The HR professional took this issue to the HR director. The director asked the HR professional to mine the organization's data to identify how many temporary workers were being used, in what areas, at what times of year, at what job levels and salaries, and for what duration. The HR professional was able to extract this data from the organization's database and present it to the director.

They consulted with the firm's legal counsel, who told them that they should prepare alternative staffing strategies. Using advanced analytics, the HR director and staff were able to present the economic ramifications of several different approaches to the staffing issue.

As this story shows, the Business Acumen competency changes the way HR practitioners interact with their environments. These practitioners were proactive in seeking information that helped them understand their organization's business. They applied their Analytical Aptitude, Consultation, and Communication competencies to propose well-reasoned and well-supported recommendations to leadership.

Business Intelligence

Business intelligence can be described as the ability to use information to gain a deeper understanding of an organization and its parts, to see how the whole organization and its parts are performing (through business metrics) and to make sound business decisions that are grounded in relevant and accurate facts rather than assumptions or "gut feelings." A commitment to good governance requires more informed, transparent, and accountable decisions, and better business intelligence makes those decisions possible.

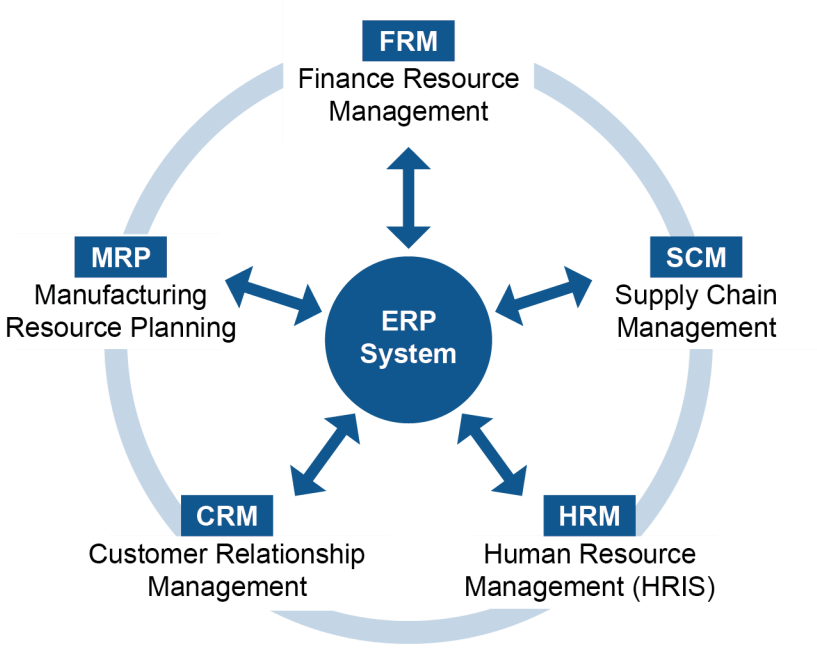
An organization's business intelligence system has three basic components:

- **Data gathering.** Data is routinely gathered through different computer systems in all parts of the organization (for example, point-of-sale performance, purchasing and sales transactions, employee and customer records, security terminals).

- **Data warehousing.** Data gathered from different systems is translated into a standard format, cleaned (or "scrubbed") of errors and duplications, and then stored in databases related to specific uses (for example, operations, finance, sales, HR). Organizations that have invested in an **enterprise resource planning (ERP)** system are able to integrate these distinct databases. This allows everyone in the organization access to the same current data and improves communication and coordination. ERP products are "suites" of integrated applications for special purposes, such as those shown in Exhibit 36. The data warehouse is integrated but divided into separate sections or data marts that share reporting and analytical needs or interests. For example, the human resources information system (HRIS) captures data related to managing tasks such as payroll, workforce planning, performance appraisal, training and development, and succession planning. Some ERPs actually

extend outside the organization by supporting electronic data interchange (EDI). Among other purposes, EDI is often used to automate outsourcing and vendor payments.

Exhibit 36: Enterprise Resource Planning (ERP) System



- **Query and reporting capabilities.** Users can access the data they need and use stand-alone or integrated (ERP) business application software to sort, describe, and analyze data in myriad ways and to create report graphics, such as bar or pie charts.

Business Intelligence Portals

A business intelligence portal is a user's point of access to the data and applications stored on an information system. An effective business intelligence portal:

- Can be customized to the needs of specific users so that they view only the data and applications they commonly use. This simplifies navigation and avoids overwhelming users with visual options and requiring layers of actions. This is an important factor for HR when selecting or designing self-service portals for managers and employees.
- Presents information logically. A well-designed screen uses visual cues (for example, color, size, screen location, adjacency) to denote logical relationships.
- Supports easy navigation from the home page to and within desired files.
- Uses automated tools such as "click to open" and "drag and drop."
- Can be scaled to different media. Screens and information should be readable on monitors, handheld devices, and mobile phones.
- Provides security by restricting access to authorized users and limiting actions according to users' privileges.

Balanced Scorecard

A useful tool for gathering business intelligence is the **balanced scorecard .** A balanced scorecard can provide a concise impression of an organization's overall performance. It can be used to focus the organization and its functions on key strategic activities, to craft responses to goals, and to create metrics to assess the effectiveness of these responses. Balanced scorecards help support a clear line of sight from strategic goals to strategic performance. An organization can have multiple balanced scorecards, as the organization-level scorecard can be deconstructed to a departmental level, incorporating departmental-level metrics.

The creators of the balanced scorecard, Robert S. Kaplan and David P. Norton, identified four ways that the scorecard can be used in strategic management by linking short-term activities to long-term objectives. From the perspective of HR, a balanced scorecard can help achieve this objective in the following ways:

- **Translating the vision.** All balanced scorecards must include accountability and measurable results that are agreed upon with management. HR can use this information to tailor its efforts to best serve achieving these results.

- **Communicating and linking.** Using a balanced scorecard gives the entire organization a clear idea of what the overall objectives are and allows departments to ensure that their objectives are

aligned with the overall long-term strategy. HR can look to the balanced scorecard in order to ensure that talent acquisition strategies will serve the overall strategy.

- **Business planning.** Balanced scorecards make it clear what goals have been set by the organization and therefore enable departments to better integrate their own plans. In this way, HR can ensure not only that the organization allocates the correct resources to workforce management but also that resources are allocated in the right way and place—for example, through hiring more or specific talent, offering skills development, or adjusting travel budgets.

- **Feedback and learning.** A balanced scorecard provides organizations with more opportunities to learn from ongoing performance. This allows HR to adjust its strategies based on real-time feedback and modify activities accordingly.

Analytical Processing

Business analysis has been greatly enhanced through the use of **analytical processing .** As the computer processing power and Internet accessibility available to organizations has improved, online analytical processing (OLAP) has become more common, embedded into many of the available HRIS products. Because of the way the

data is stored, analytical processing applications can analyze the data faster and in more ways than traditional relational databases, offering a multidimensional analysis of business data.

A relational database stores data in separate tables (for example, employee training records, training products). Each table is composed of rows and columns. Each row is a data record (for example, an employee name); each column is an attribute (for example, a training course). The database is queried to find the relationships between the data—for example, all the employees who have completed a particular training program.

An analytical processing application uses a server sited between the user and the organization's database. The OLAP server takes the data from the database and stores it in a compact, multidimensional "cube." Each dimension (for example, employees) contains all the attributes in the database (for example, gender, age, function, pay grade, promotions, education, source of recruitment). These tools can quickly find all the varied intersections of the dimensions.

This means that, with the right analytical processing application, a user can analyze the same data and produce different types of analysis—for example, a times series that shows trends in hiring certain demographic groups or a regression analysis that compares retention with the date of the employee's last promotion.

Data can also be organized hierarchically, which allows the user to “drill down” for a more granular look at the situation or “drill up” for a bird’s-eye view. HR analysts can, for example, drill down from all employees to managers, to female managers, to female managers with a college education, and so on.

Advanced Business Analytics

Business intelligence analytics can be distinguished in terms of the analyses’ temporal focus: backward, current, or forward.

Some reporting analyzes historical data. For example, an analysis of recruiting statistics might compare the effectiveness of various recruitment channels in meeting different criteria (such as cost, numbers of responses, time to fill, long-term retention). This is often referred to as trend analysis. One way this can be used by HR is to extrapolate future labor demands.

Dashboard analytics focus on current data that measures performance in key areas. For example, an HR dashboard might report employee retention rates in comparison to current objectives. It could present the data in different ways: geographically, functionally, by age or gender.

Predictive analytics use historical and current data to get a better sense of the future and even to shape the future. These analytic approaches apply formulas and algorithms to data warehouses in order to predict outcomes. For example, a dashboard application may have the ability to extrapolate from historical and current data to forecast a problematic or beneficial trend—perhaps a decline in hiring due to noncompetitive wages. Simulations can be run to see outcomes based on different wage scenarios.

Advanced analytics can also take advantage of machine learning, the ability of an information system to make its own decisions based on the data it is receiving. For HR professionals, this type of capability can improve the self-service experience for managers and employees. It can predict certain interests based on the accumulating interactions. It can, for example, review a bank of résumés on file, select the applicants most likely to be interested in a new opening, and send e-mails or texts to advertise job opportunities.

Predictive analytics and trend analysis offer some valuable applications to HR professionals:

- Identifying objective performance and engagement metrics, used to identify top-performing employees, and culture fit
- Facilitating retention and succession planning, by tracking success indicators and factors that might point to potential flight

risks (The latter should be approached cautiously.)
- Enhancing talent acquisition processes by identifying the best hiring sources and potential future high-performing employees and helping to determine the effectiveness of diversification efforts
- Improving the chances of fraud detection through pattern recognition

The ability to create strong forecasts can help organizations improve their decision-making processes, their responsiveness to changes in the business environment, and the effectiveness of their long-term planning. However, it is important to remember that prediction is by no means flawless, because one can never truly know what is going to happen in the future. Crises, for example, tend not to be predictable. Similarly, it is possible that technological developments could offer up a new process or tool that could have an impact on an organization's workforce growth—for example, new automation technology that might mean retiring employees don't need to be replaced, which could reverse an upward trend in workforce growth.

Scenario Planning

Another approach to looking ahead is scenario planning. Organizations are often subject to events beyond their control—from political disruption, to natural disasters, to pandemics. While it is

impossible to predict every potential scenario that might affect an organization, being able to engage in some “what if” planning can help organizations mitigate the severity of potential risks in the future. HR can take information gathered from past experiences and events and use them to devise plans to confront possible challenges in the future. For example, information gathered about the response to a pandemic can inform plans to manage a potential future pandemic or other public health crisis. To approach the exercise, team members can pose such questions as:

- Did the organization have appropriate employee supports in place (technological, health)?
- What preparations are in place to make adjustments to remote or hybrid work conditions?
- Was the organization able to locate and repatriate employees who were overseas?
- After the crisis ended, was the organization able to meet any new staffing needs?

Any plans generated by this exercise will have to be revisited on occasion to ensure that they are based on the best, most up-to-date information. Engaging in scenario planning can ensure that an organization has some plans in place to help navigate potential future crises or challenges.

Strategic Alignment and Assessment of Resources

Proficiency indicators related to this section include:

- Creates and communicates the business case, or provides the data to build the case, for HR initiatives and their influence on efficient and effective organizational functioning (examples include ROI for HR initiatives).
- Uses cost-benefit analysis, organizational metrics, key performance indicators (KPIs), and critical data insights to inform business decisions.
- Defines and communicates HR's and the organization's strategy, goals, and challenges, in terms of business results.
- Determines the budget and resource requirements of HR initiatives.
- Evaluates all proposed business cases for HR initiatives.
- Examines organizational problems and opportunities in terms of integrating HR solutions that maximize ROI and strategic effectiveness.

Key concepts related to this section include:

- Analyzing and interpreting business documents (examples include strategic plans, contracts, grants, standard operating

procedures [SOPs], business plans, organizational charts, business continuity plans).

- Elements of a business case (examples include executive summary, benefits, alignment with organization's strategic goals).
- Financial analysis terms and methods for assessing business health (examples include balance sheets, budgets, cash flow statements, profit and loss statements, overhead, cash flow, cash reserves, return on investment [ROI], SWOT analysis, sales pipeline, market position).

Strategic Alignment and Assessment of Resources

In a strategically managed organization, resources are allocated to business functions through annual and project budgets that support strategic objectives. The effectiveness of the strategy and its implementation may be seen in the organization's financial statements and key financial and nonfinancial measures.

Competency Connection

An HR director (HRD) in a nonprofit organization believed that a strong argument could be made for implementing a full-service HRIS. It would have to be a strong argument; in nonprofits, budget drives every decision.

The current system handled payroll and benefits. Manual systems were being used for talent acquisition, talent management, and performance management, and a paper system was being used for onboarding. In informal discussions with leadership, the HRD learned about their most likely objections—primarily cost and fear of the impact of changes on employees. They were, however, open to a proposal from HR.

After leading a rigorous selection process that included a cross-functional team, demonstration meetings with four vendors, conversations with vendors' users, and pricing negotiation, the HRD built a business case for the acquisition. It included:

- Current costs, including time spent (and estimated annual salary spend) on manual transactions and the percentage of the loss of information due to having to send pieces of paper around the organization.
- Projected costs of a new system, including HR time spent on interaction with the vendor on a weekly basis.
- Benefits aligned with the organization's strategy (improved efficiency, value, and service to managers and employees).

Leadership was interested but still concerned about implementation of a new system. So HRD held one-on-one meetings with each vice president to discuss how the change would specifically impact their employees and the processes HR would be implementing to ease the burden. For example, one group of employees would be asked to clock in and out. That vice president and HRD discussed how to make the change as easy as possible by providing kiosks, bolstering Internet resources, and providing job aids. They also discussed the salary savings that would be realized by more accurate accounting of employee work time.

The HRD used:

- Business Acumen to see an opportunity and influence the organization to make the investment.
- Analytical Aptitude to select the HRIS that best fit the organization's needs based on the type of work as well as the needs of senior leaders and the HR team.
- Communication skills to present to leadership the recommendation to change, the implementation plan, and the plan for multiple training sessions.
- Leadership and Navigation to steer the organization in the direction of progress by opening up managers and HR to be more focused on employees.

Budgets as Strategy Tools

An organization's budgets support strategic decisions by allocating limited resources to programs and activities that improve the organization's ability to achieve its strategic goals. Strategic budget alignment occurs at both the organizational and functional levels.

Resources are primarily allocated through budgets for planning periods and for specific projects. There are many types of budgets, but a budget is essentially a planning and measurement tool. It anticipates the amount and timing of income and disbursement of

funds, and it identifies how much and what type of work or results will be produced.

The budget provides control over assets and transparency over the use of those assets. Functions and projects receive regular budget reports, and their performance is in part assessed by their ability to meet budget projections about anticipated results and use of resources.

HR professionals understand their organization's budgeting process and the way it affects HR activities. HR will be competing with other functions for the organization's limited resources. Whether a request is for ongoing operational expenses or a one-time project, HR professionals are able to justify the budget request by demonstrating how the use of resources will advance HR's strategy and ultimately the organization's strategy.

Budgeting Process

The budgeting process varies in different organizations. Some use a collaborative, top-down/bottom-up process in which organizational and functional leaders present budget goals and guidelines and departments respond with proposed budgets. The final budget is usually the result of negotiation. This approach helps ensure that budgets reflect leadership's larger strategic needs as well as

department managers' more granular knowledge of activity requirements and risks.

Various budgeting methods can be used. An organization may use multiple methods to account for different conditions in programs and functions. These methods are listed in Exhibit 37.

Exhibit 37: Budgeting Methods

Type	Characteristics	Example
Incremental	Traditional form of budgeting; also known as line-item budgeting. The prior budget is the basis for the next budget. The prior budget is simply increased (or decreased) by a set percentage. Additional funds must be requested based on need and objectives. Less time-consuming than other methods but does not recognize changes in business circumstances or practices that could affect spending.	Installing new computer equipment or providing training requires a separate budget request, on top of the usual budget.
Zero-based	All objectives and operations are given a priority ranking. Each unit or goal is ranked, and then available funds are given in order. All expenditures must be justified for each new period, and budgets start at zero. No funding commitments for the coming year are assumed. Process can be time-intensive at first but becomes more efficient with experience. Tends to reduce wasteful spending practices that can go unchallenged in traditional budgets.	A department would need to justify its entire budget and show how its funding helps the organization meet its goals.

Type	Characteristics	Example
Activity-based	This type of budget recognizes the interrelationships among the various activities required to create value in an organization. The basis for budgeting is not how to divide a set amount of money but how much it costs to perform different enterprise activities. Funding may be allocated based on the strategic significance of the activities. Once the function has accumulated historical information about cost factors, estimates can be more precise. This gives leaders more control over spending decisions.	An organization asks functions what resources they will need to produce specific outputs or levels. More resources are transferred from lower-priority areas or areas with excess capacity.
Formula-based	Different units or operations receive varying percentages of the budget. General funding is changed by a specific amount, and the unit budgets are adjusted accordingly.	A government agency could experience a system-wide 5% budget decrease, which would be spread among its units according to different percentages.

Capital costs—one-time investments in physical assets, such as buildings, land, or equipment—are not common in HR but can occur. For example, HR may seek funding to replace an aging information system. Capital costs are budgeted separately from operating costs. It is also possible that some HR activities may be included in the budgets of other functions (for example, a consulting or special training project).

The budgeting process requires understanding the organization's practices, strategy, and environment:

- How does the organization allocate costs? What HR-related costs are assigned to the various functions, or are they all assigned to HR?
- Which costs are variable (dependent on the number of employees and use of a service or asset) and which are fixed for the budget year?
- When do costs occur? For example, are temporary workers hired at particular seasons?
- What organizational and functional strategic plans will affect HR? For example, how will a planned reorganization affect HR work?
- What risk factors affect the budget? Should contingency funds be included to manage unexpected threats and opportunities?

Because human resources spans the entire organization and because functional strategies and plans will inevitably affect HR operations, one of the challenges of developing a strategic HR budget is being aware of the human resource needs of internal business partners.

HR Budget

The HR budget includes:

- Ongoing operational costs related to HR's essential services, such as recruitment and selection, employee relations activities,

and talent management.
- Overhead costs that do not directly contribute to HR function and service provision, such as utilities, maintenance, and other costs related to occupancy.
- One-time project costs planned to support HR strategy and objectives (for example, an executive salary review).

The operational side of the HR budget includes resources that are directly related to staffing and expenses required to provide HR services to internal customers. This budget ordinarily includes resources related to:

- Talent acquisition.
- Training and development.
- Compensation and benefits.
- Employee and labor relations.
- Health, safety, and security.
- Information technology.
- Planning.
- Philanthropy.

Many of these expenses are variable and will be affected by the organization's and HR's strategies. For example, growth and retraction strategies will affect employee head count and may involve additional expenses for recruiting or outplacement services. A

strategy that requires a change in organizational structure or culture will probably require funding for consultants and development activities.

Therefore, the first thing HR leaders must do in the process of allocating resources to strategic activities is to compare previous/current activities and budget allocations with what will be needed to support the proposed organizational strategy. Having several years of HR data to establish rules of thumb and trends in expenses will be helpful in defining a new budget.

Creating a Business Case to Secure Resources

Some strategic activities may be budgeted and managed as projects outside HR's operational budget. These projects must compete for available organizational resources, since proposals will be funded according to strategic priority. Success depends on establishing a clear and strong alignment between the specific project and the organization's strategic goals. This relationship is set forth in a business case.

A **business case** is a presentation to management that establishes that a specific problem exists and argues that the proposed solution

is the best way to solve the problem in terms of time, cost efficiency, and probability of success. The form and level of formality of the business case will vary by organization. Some are written proposals with supporting financial analyses, while others may be slide-supported oral presentations.

Whether they are written or oral, business cases generally have the same components. These components are described below and illustrated with a description of a possible HR business case.

- **Executive summary.** This summarizes and establishes the purpose of the project. It supplies the condition or change impelling the function's action.

  > **Example:** HR is aware that the organization's strategy includes growing its South American businesses. Until now, these businesses have operated independently from headquarters and from each other. The lack of common policies and processes for compensation and rewards and talent management and the lack of a shared organizational culture would inhibit the strategy.

- **Recommended solution.** The objectives for an ideal solution are defined (the desirable outcomes of such an initiative), and the proposed action is described in sufficient detail to show how it meets these objectives. In some cases, alternatives may be

described as well, and the reasons why they are not being recommended may be discussed.

> **Example:** HR proposes conducting a customized salary and benefits survey for the targeted growth areas and the current countries in the portfolio and building a policy and practice “culture” for the existing individually run countries that would make acquiring a partner or growing organically more feasible.

- **Risks and opportunities.** Risks should include outcomes that could decrease the project’s chance for success, outcomes that could present new opportunities that would require action, and the risks of doing nothing at all.

  > **Example:** HR foresees the difficulty of obtaining this information in some businesses with poor data records but has included extra time and resources in its reserves for this. There is a currently unresolved legal issue about obtaining access to data in one country. The opportunity is that this information can come at an opportune time for the company’s acquisition strategy and make integration much smoother.

- **Estimated costs and time frame.** The project budget should include all foreseeable elements (labor, equipment, fees, travel, and so on) plus a reserve for the unforeseeable based on the project’s risk. The time frame should keep in mind not only the

project requirements but also the organization's needs. Longer or more complex projects may be structured in phases, with gates or review milestones at which management can decide whether to proceed or not.

> **Example:** HR provides a cost estimate but also estimates this amount in terms of the benefits this information could provide in the event of an acquisition or merger.

Once approved and implemented, projects should be revisited periodically to make sure that the business case is still sound—that no risks have emerged to change the cost-benefit or risk profile, that no changes in the external environment have eliminated the need for the action or changed the characteristics of an effective solution.

Exhibit 38 lists useful tips to remember when creating a business case.

Exhibit 38: Tips for Creating Effective Business Cases

To create an effective case for investment:	
Research your proposal carefully: • Gather facts. • Investigate alternatives. • Consider risks. Align your proposal with organizational strategy. Get early buy-in from key decision makers and influencers.	Put your proposal in writing: • Explain the issue and needs. • Describe the solution using facts, not emotion. Include specific metrics to evaluate its effectiveness.

Financial Statements as Measure of Business Performance and Health

HR professionals should become familiar with key financial statements that the organization and its stakeholders use to measure the organization's health and to plan actions—the balance sheet, the income statement, and the cash flow statement. These statements are integrated. Information from one is used in creating the other statements.

Understanding the financial statements helps the HR professional:

- Understand the perspectives of internal and external stakeholders. HR professionals can better understand the economic issues driving management decisions (for example, poor profit margins relative to industry, inadequate cash flow to cover wages, large deductions from gross sales caused by returns). Investors analyze financial statements to gauge growth opportunities and identify risks, such as too much debt.
- Identify opportunities for HR to improve the organization's financial performance (for example, developing new competencies aligned with financial goals). The HR function can better fulfill its consultation role to organizational leadership.
- Understand factors that may affect HR strategies. For example, weak revenue may affect executive compensation. Poor cash

flow or ability to incur debt may limit internal investments in a new HR information system.

A good way to gain financial perspective and understanding is to consult with colleagues in finance. Meeting regularly with a financial officer will increase an HR professional's understanding of the financial values driving strategy and operations. It is also an opportunity to learn about the challenges facing the financial managers and consider ways HR activities might help. These discussions may create an influential ally and advisor when crafting HR initiatives.

Balance Sheet

The **balance sheet** is one indicator of the organization's financial health. It is a statement of the organization's financial position—its assets, liabilities, and equity—at a particular time. Exhibit 39 displays the balance sheets of a fictional company on December 31 of two consecutive years. We will refer to this sample throughout the following description of the balance sheet.

Exhibit 39: Balance Sheet for a Small Manufacturing Company

ABC Manufacturing Company		
Balance Sheets	**In thousands (000)**	
December 31, Year	**Year 1**	**Year 2**

Cash and cash equivalents	$ 133,900	$ 128,600
Raw materials inventory	10,800	13,000
Work-in-process inventory	5,400	16,600
Finished goods inventory	25,000	23,700
Total inventory	$ 41,200	$ 53,300
Accounts and notes receivable	46,200	50,300
Doubtful accounts	<500>	<400>
Total current assets	*$ 220,800*	*$ 231,800*
Gross plant, property, and equipment	60,000	70,000
Accumulated depreciation	<6,400>	<10,400>
Net plant, property, and equipment	$ 53,600	$ 59,600
Total assets	**$ 274,400**	**$ 291,400**
Accounts payable	59,700	65,200
Short-term notes payable	12,000	16,000
Total current liabilities	$ 71,700	$ 81,200
Long-term debt	80,000	80,000
Stockholders' equity (includes retained earnings)	122,700	130,200
Total long-term debt and stockholders' equity	$ 202,700	$ 210,200
Total liabilities and stockholders' equity	**$ 274,400**	**$ 291,400**

The key word in the term "balance sheet" is "balance." In accounting, all transactions should be balanced: Any money entered as an asset is balanced by offsetting liabilities. To illustrate this, consider that, in our example, ABC's factory buildings and land are valued in year 2 at $59,600,000. This asset is balanced by a note to a bank for, let's say, 60% of its value, or $35,760,000. The remainder of the asset's value, $23,840,000, is considered equity—value held by ABC's owners and shareholders.

This relationship between assets, liabilities, and equity is represented by the balance sheet equation, which may be shown as:

Assets = Liabilities + Equity or Equity = Assets – Liabilities

In our example, the top part of the balance sheet lists assets, which are balanced by the items in the bottom half of the sheet, liabilities.

Assets are what an organization owns. They can be tangible (for example, cash or cash equivalents, inventory of finished product or materials, property, and equipment) or intangible (for example, copyrights and patents, proprietary knowledge). (Although human capital is an important asset for organizations, finance and accounting do not list it as an asset because it cannot be monetized with absolute agreement.)

Assets also include investments the company has made (for example, purchase of income-bearing instruments) and what is owed to the organization (for example, as-yet unpaid invoices). In accounting terms, these are **accounts receivable ,** the money an organization's customers owe the organization. It is in the financial interest of the organization to collect all of its accounts receivable. If a balance sheet regularly shows a high level of doubtful accounts, this might indicate that customers' financial strength should be

considered when making sales. Doubtful accounts—probably long overdue and uncollectible—are deducted from accounts receivable.

In this example of a balance sheet for a small manufacturer, current assets include items that can be easily liquidated or converted into cash, such as cash deposits, inventory of finished and in-process products, and accounts receivable. Fixed assets (for example, buildings, land, factory and office equipment, furnishings) have tangible value but are long-term investments not intended for quick liquidation.

Liabilities are what an organization owes. Liabilities can include items such as rent, loans or notes, wages and benefits that have been earned but not paid, reserves set aside to cover potential liabilities, unpaid fines or legal judgments, tax debts, and accounts payable. **Accounts payable** is the money an organization owes its vendors and suppliers.

In our example, ABC Manufacturing has rather simple liabilities:

- Accounts payable (probably for items such as materials, utilities, servicing of equipment, and advertising)
- Short-term notes (perhaps for equipment purchases)
- Long-term debt (perhaps for factory construction)
- Shareholder equity

Equity is combined with liabilities in the balance sheet because it represents what a company owes to either its owner(s) or its shareholders. Equity is what is left of a company's assets after its liabilities have been discharged. Stockholder equity is the value of all stock held by investors. In this case, it also includes profits that have not been distributed to investors as dividends but have been retained by the company, probably for reinvestment to grow the company, for example, the purchase of robotic equipment to increase productivity.

Key Content

Important points to remember concerning balance sheets are:

- The basic form of the sheet is Assets = Liabilities + Equity.
- Balance sheets provide a snapshot of the company's financial position at a given moment in time. Balance sheets change as new transactions are recorded.
- Every financial transaction is an exchange, and both sides of the transaction are entered on the balance sheet to reflect assets, liabilities, or equity.

- Only transactions measurable in money are recorded. Transactions without a definite monetary amount are not placed on a balance sheet.

Income Statement

Unlike the balance sheet, the **income statement** compares revenues, expenses, and profits over a specified period of time—usually a year or a quarter. The income statement is also known as the profit and loss statement or P&L.

The income statement indicates an organization's net income, which is often referred to as the "bottom line" and provides key information about the organization's performance. The equation for net income is:

Net income = Revenues – Expenses

Exhibit 40 shows a sample income statement for ABC Manufacturing. This is a consolidated statement, which means that it includes multiple reporting periods (FY [Fiscal Year] 1 and FY 2 in this case). A consolidated statement enables comparisons of key financial data over time and thus can show trends in growth or decline.

Exhibit 40: Sample Income Statement

ABC Manufacturing Company

Income Statements	In thousands (000)	
	FY 1	FY 2
Sales, gross	**285,500**	**312,000**
Sales discounts, returns, and allowances	<14,300>	<15,600>
Revenue (net sales)	**271,200**	**296,400**
Cost of goods sold (COGS)	<167,400>	<182,200>
Gross profit	**103,800**	**114,200**
Selling expenses	<29,800>	<32,600>
Salaries	<19,000>	<20,700>
Lease expense	<10,800>	<11,900>
Total operating expenses	**<59,600>**	**<65,200>**
Depreciation	<3,400>	<4,000>
Earnings before interest and taxes (EBIT)	**40,800**	**45,000**
Interest expense	<4,300>	<4,400>
Pretax income	**36,500**	**40,600**
Taxes	<12,000>	<21,100>
Net income	**24,500**	**19,500**

In the example, ABC's revenue or net sales for FY 1 and FY 2—$271,200 and $296,400—consist of its total sales minus items such as repayments to customers for faulty products or discounts granted for buying products in larger quantities. The cost of goods sold (for example, raw materials, purchased equipment and supplies, direct labor) is subtracted from revenue to show ABC's gross profit ($103,800 for FY 1 and $114,200 for FY 2).

To arrive at net income, we have to make a series of deductions. First, total operating expenses (also referred to as total expenses or total costs) must be deducted from gross profit. Total operating

expenses include items such as selling expenses (for example, advertising), salaries that are not directly related to producing goods (for example, administrative salaries), and continuing lease payments (for example, for large equipment or facilities). The total operating expenses are $59,600 for FY 1 and $65,200 for FY 2. We should note that the increase in total operating expenses from FY 1 to FY 2 makes sense, since total sales have increased as well.

If we also subtract depreciation (loss in value of assets as they are held over time) from gross profit, we arrive at earnings before interest and taxes, or EBIT.

If we subtract interest and taxes, we finally arrive at net income: for FY 1 $24,500 and for FY 2 $19,500. The drop in net income, despite increased gross income, probably derives from the sharp increase in taxes that ABC paid in FY 2.

Financial data in the income statement is used to create metrics for an organization's financial health. Two key metrics from the income statement, for example, are gross and net profit margin.

- Remember that gross profit is net sales minus the costs of producing what is sold. The **gross profit margin** compares gross profit with sales. It is calculated in the following way:

Gross profit ÷ Net sales = Gross profit margin

For FY 1, gross profit margin will be $103,800 ÷ $271,200, or 38%.

For FY 2, gross profit margin will be $114,200 ÷ $296,400, or 39% (rounding up).

- Net income is what is available for reinvestment or for distribution to owners and stockholders. The **net profit margin** is calculated in the following manner.

  Net income ÷ Net sales = Net profit margin

  For FY 1, net profit margin will be $24,500 ÷ $271,200, or 9%.

  For FY 2, net profit margin will be $19,500 ÷ $296,400, or 7% (rounding up).

The downward direction of net profit margin could be a problem for ABC if it continues to decline or if it is unique to ABC (if its competitors are not experiencing a similar decline). These metrics are important because an organization with a healthy profit margin (for its industry) can obtain financing and reinvest for growth.

Key Content

The following are important points to remember

concerning income statements:

- The basic form is Revenues – Expenses = Net income.
- Income statements reflect performance over a specific time period, usually a quarter or a year.
- Some expenses are never cash outflows (depreciation, for example) but are only accounting items, and some expenses may be paid in cash partly in this period and partly in the next period (cost of goods sold, for example).
- Owner withdrawals are not an operating expense but are a distribution out of net income.

Cash Flow Statement

The **cash flow statement** illustrates the effect of all organizational activities—activities that both consume value (for example, production, administration) and produce value (for example, sales, investments)—on how much cash or cash equivalents the organization has on hand.

Key Content

In other words, the cash flow statement shows how money is flowing into and out of the organization—through operations, investing, and financing—over a defined period of time.

Financial data for the cash flow statement comes from the income statement and the balance sheet.

A cash flow statement for ABC Manufacturing is shown in Exhibit 41.

Exhibit 41: Sample Cash Flow Statement

ABC Manufacturing Company		
Statements of Cash Flow	**In thousands (000)**	
Year	**Year 1**	**Year 2**
After-tax income	$ 25,500	$ 19,500
Depreciation add-back	3,400	4,000
(Increase)/decrease in inventory	(7,900)	(12,100)
(Increase)/decrease in accounts receivable	(7,700)	(4,100)
Increase/(decrease) in accounts payable	10,100	5,500
Net cash flow from operating activities	**23,400**	**12,800**
Capital expenditures	(10,000)	(10,000)
Net cash flow from investments	**(10,000)**	**(10,000)**
Cash flow from operations and investment	13,400	2,800
Additional equity capital	–	–
Less dividends paid	(10,000)	(12,000)
Increase/(decrease) in long-term debt	–	–
Increase/(decrease) in short-term notes	2,000	4,000

Net cash flow from financing activities	**(8,000)**	**(8,000)**
Cash flow from operations, investments, and financing activities	**5,400**	**(5,200)**
Beginning cash balance	**128,500**	**133,900**
Ending cash balance	**$ 133,900**	**$ 128,700**

As shown in Exhibit 41, there are three areas in a cash flow statement:

- **Operations.** For ABC in year 2, positive cash flow includes income from sales, depreciation of buildings and equipment, and an increase in accounts payable from year 1. (Since these bills have not been paid, the corresponding cash has stayed in ABC's account.) Negative cash flow occurs when inventory and accounts receivable increase from year 1 levels.

- **Investing.** In year 2, ABC has invested $10,000,000 in capital expenditures, such as a new manufacturing line. This outlay represents negative cash flow.

- **Financing.** In year 2, ABC expended cash in paying dividends to shareholders, but cash flowed into the company through short-term borrowing activities.

The combined cash flow from these three areas is subtracted from the cash balance available to ABC at the beginning of year 2. This is the same as the ending balance for year 1, which was carried over

into year 2. For year 2, ABC showed a negative cash flow. This could be problematic if the trend continues.

The balance, trends, and relationships in the areas of the cash flow statement are often interpreted by outside financial experts (such as banks or investors) as signs of sound or weak management. A negative cash flow in operations could indicate that sales are too low and/or the cost of production is too high for the organization to sustain existence. Positive cash flow indicates the ability to repay debt and meet expenses. Negative cash flow in investing could suggest that the organization is not continuing to invest in itself to develop new skills and products. The cash flow in financing, compared to operations and investing, could show when an organization is relying too heavily on borrowing.

For an HR professional, poor cash flow may mean that fewer resources will be available for HR programs, but there may also be opportunities for HR to use its expertise to improve the cash flow situation, which will make the company more attractive to investors. HR might, for example, work with operations to introduce a leaner manufacturing process (which will decrease inventory) or with sales and marketing to create an incentive system (which will increase net income).

Financial and Nonfinancial Ratios as Indicators of Business Health

Financial ratios are another important tool that can be used to analyze an organization's performance. A financial ratio compares two values; the result is a useful measure that can be compared to benchmarks of financial performance.

One argument against excessive use of financial measures is that they can overemphasize the importance of short-term results. Viewing financial results as trends can help lessen this effect.

In addition, financial measures must always be used within the context of a specific industry. Profit margins, for example, are very different in financial services than they are in manufacturing consumer goods. Part of the discussion with colleagues from finance should include understanding industry metrics and how the organization compares with similar enterprises.

Exhibit 42 lists some common financial ratios and describes their significance and how they are calculated. We have already mentioned some of these ratios in our discussion of the income statement.

Exhibit 42: Sample Financial Ratios

Description	Formula
Current ratio *Liquidity ratio that indicates level of working capital. Creditors prefer a higher current ratio.*	$\frac{\text{Current assets}}{\text{Current liabilities}}$
Debt to asset ratio *Leverage ratio reflecting the amount of exposure to risk from debt that an organization has assumed. A number greater than 1 indicates that an organization has more debt than assets.*	$\frac{\text{Total liabilities}}{\text{Total assets}}$
Debt to equity ratio *Leverage ratio reflecting how an organization is funding its growth. This varies by industry and strategy type.*	$\frac{\text{Total debt}}{\text{Shareholders' equity}}$
Accounts receivable turnover *Activity ratio that measures the efficiency of debt collection. A higher ratio is preferable, but a ratio that is too high could indicate excessively tight credit policies that could hurt sales.*	$\frac{\text{Net credit sales}}{\text{Average accounts receivable}}$
Gross margin *Profitability ratio showing the percentage of total sales revenue after incurring the direct costs of producing goods and services sold. The higher the percentage, the more the company retains on each dollar of sales to service its other costs and obligations.*	$\frac{\text{Total sales} - \text{Cost of goods sold (COGS)}}{\text{Total sales}}$

Description	Formula
Earnings before interest, taxes, depreciation, and amortization (EBITDA) margin *Profitability ratio often used as measure of management performance.*	$\frac{\text{Earnings before interest, tax, and depreciation}}{\text{Total sales}}$
Profit margin *Profitability after all expenses have been deducted, expressed as a percentage of revenue (sales).*	$\frac{\text{Total sales} - \text{Total costs}}{\text{Total sales}}$
Return on investment (ROI) *Profitability ratio for a specific investment, such as a capital expense project. It is usually used to compare the economic costs and gains of options. A good investment generally has an ROI above 1. Analyses showing negative ROIs may then proceed to consider factors whose economic impact is more difficult to measure (for example, improved employee motivation).*	$\frac{\text{Gain from investment} - \text{Cost of investment}}{\text{Cost of investment}}$
Earnings per share (EPS) *Profitability ratio used by equity holders as a standard expression of earnings.*	$\frac{\text{Net income}}{\text{Number of outstanding shares}}$
Price to earnings (P/E) *Market value ratio that indicates market confidence in the organization's ability to maintain or increase earnings.*	$\frac{\text{Stock price per share}}{\text{Earnings per share}}$

Nonfinancial Performance Measures

Nonfinancial measures examine changes in areas that are not measured in terms of currency but whose effects can be monetized to show their financial effect. Such measures might include:

- Share of market, which may signify competitive strength.
- Achievements in social responsibility.
- Efficiency (or use of most current and efficient technology and processes).
- Activity ratios, which measure the efficiency with which resources are used to generate profit (examples include number of inventory turns in a period, average age of inventory, average collection and payment period, and asset turnover).
- Employee retention and job satisfaction ratings.
- Employee engagement.
- Market position, which might include the following factors:
    - Reputation among investors, consumers, governments, and political groups.
    - Level of brand awareness among consumers.
    - Recognizable employer brand (useful in recruiting and hiring).
    - Reputation for quality, customer relations, and innovation.

Conducting a SWOT (strengths, weaknesses, opportunities, threats) analysis can help identify which of these measures (or others not listed) are most relevant to the organization’s strategy or which areas

could benefit from more resources in order to achieve certain goals and objectives or exploit identified opportunities.

Such an analysis could have repercussions for HR strategy. For example, if it is decided that the organization's brand is not sufficiently well-known to justify an expansion, a decision might be made to hire more brand ambassadors. This will require adjustments to hiring practices and perhaps also changes to business travel policies and budgets. Similarly, if a decision is made to expand the organization's market or processes abroad, then HR will have to incorporate new legal and regulatory considerations into its workforce management plans.

Sales Pipeline

The sales pipeline is a visual representation of an organization's sales process.

The sales pipeline is a visual representation of an organization's sales process. By translating the sales process into a visual pipeline of smaller components, the process can be more easily managed and tracked. The information included in the pipeline can help managers forecast revenue, project cash flow, and identify bottlenecks in the sales process.

There is no single way to create or present a sales pipeline. Depending on an organization's preferences and standard operating procedures, pipelines can have varying levels of detail. However, there are a number of common components that all pipelines should include. An example of a sales pipeline can be seen in Exhibit 43.

Exhibit 43: Sales Pipeline



1. **Identify leads.** Through campaigns, public relations, and other promotional activities, customers are exposed to the organization and the products or services it offers. This stage is sometimes referred to as prospecting.
2. **Gather information.** Investigate prospective customers to ensure that they are viable leads. In other words, can you meet their needs, can they afford it, are they a legitimate organization?
3. **Create proposal.** After it is determined that a lead is legitimate, a proposal is drawn up detailing why and how the product or service meets their needs or requirements (for example, costs, benefits, process, pricing).
4. **Negotiate.** After receipt of the proposal, a prospective buyer might come back with a counterproposal. Sometimes, they may ask for a demonstration to ensure that the product or service

does indeed meet their needs. Any counteroffer should be examined closely to ensure that it makes financial sense.

5. **Close sale.** After the terms have been agreed upon, final details are ironed out, and questions are answered. A contract is sent out and signed by both parties, and payment is received.
6. **Monitor.** After a sale is completed, the customer should be monitored regularly in order to provide high levels of service. Depending on how the account is performing, opportunities to cross- or up-sell other products and services might arise.

An organization's sales pipeline, as with many internal processes, should be revisited and refined whenever new information is gathered and applied.

A benefit of using a sales pipeline is the opportunity to measure sales team performance. The pipeline can provide information about the different levels of success and performance within the sales team—for example, if they are meeting targets or underperforming. This information can be used to identify gaps in skills or suggest training that might be offered in order to lift up struggling or underperforming sales representatives.

Business Documents

HR professionals should familiarize themselves with a variety of nonfinancial business documents as a source of information that can help to inform and refine strategies and plans.

HR professionals should familiarize themselves with a variety of nonfinancial business documents, including the following, as a source of information that can help to inform and refine strategies and plans.

- **Business plan.** A business plan is the founding document for an organization and an organizational-level equivalent of a business case. It establishes the organization's purpose for existing—what it was created to do or achieve. The business plan includes details of the organization's structure, its marketing plan, and financial projections.
- **Strategic plan.** This document outlines how an organization intends to fulfill its purpose. It includes details of the mission and vision; strategic objectives, goals, and initiatives; and relevant budgetary information. It is a more detailed version of a business plan, offering a greater level of detail and specifics. Strategic plans can also include details of key performance indicators (KPIs).
- **Organizational chart.** This is a diagram that illustrates the hierarchy within an organization. It includes information regarding reporting and other relationships between individuals, functions, and departments. These charts are useful to HR because they

can be used to assess whether the organization has the right number of appropriately skilled employees in the correct roles. For dispersed organizations, the chart is an excellent tool for keeping track of where employees are located and how they fit into the structure and hierarchy.

- **Standard operating procedures (SOPs).** These are formal guides, typically presented step by step, that outline how a work process or activity should be completed. SOPs are common for activities and processes that are repetitive or low in variance, and they can enhance efficiency. Many of HR's functions might have SOPs: hiring, employee onboarding, training, exit interviews, annual reviews, and so on. Familiarity with other organizational SOPs can help HR professionals navigate interdepartmental activities more effectively.
- **Grants.** A grant is a form of financial assistance provided by a government to help fund an idea or project that is understood to provide a public service or stimulate the economy. Examples of the intended outcome of grant-funded projects may include environmental or educational benefits, promotion of culture and the arts, job creation, or disaster recovery efforts.
- **Contracts.** A contract is a legally binding agreement between two or more parties, typically related to the exchange of goods, services, or cash. It defines and governs the rights and responsibilities of each participant.

- **Business continuity plans.** A business continuity plan is a document that outlines how an organization will maintain operations during an unplanned disruption. HR will have its own plans for disruptions (as part of risk management), but a business continuity plan takes into consideration every aspect of an organization that might be affected. These plans will contain information about supplies, equipment, employee disposition, data backups, and backup locations; they are sometimes presented as a simple checklist. HR can play a pivotal role in developing these plans, as well as during any crises, and leaders should ensure that they are familiar with these documents.

Consultation Competency

Consultation Competency

Consultation is defined as:

> The KSAOs [knowledge, skills, abilities] needed to work with organizational stakeholders in evaluating business challenges and identifying opportunities for the design, implementation and evaluation of change initiatives, and to build ongoing support for HR solutions that meet the changing needs of customers and the business.

The solutions HR may propose to increase organizational effectiveness are described throughout the HR Expertise competency, for example, coaching, career development, talent management, skill development, diversity and cultural awareness, changes in structure or culture, employer branding, employee engagement, and so on. This discussion focuses on the process of consultation (of gathering information and building support for solutions), managing the changes that come with performance-focused initiatives, and developing a customer-centric perspective in the HR team.

Consulting Process

Proficiency indicators related to this section include:

- Advises stakeholders on existing HR programs, practices and policies that impede or support business success.
- Defines clear goals and outcomes for HR solutions, using them to drive solution design.
- Identifies, defines and clarifies needs and requirements of stakeholders (examples include employees, candidates, vendors), and reports on the status of HR services provided and results achieved.
- Informs stakeholders about current and future HR-related threats and liabilities.
- Partners with stakeholders to suggest HR solutions that are creative, innovative, effective and based on best practices and/or research.
- Partners with stakeholders to understand the organization's current and future HR challenges, and identify HR needs and opportunities for improvement.
- Provides guidance to non-HR managers regarding HR practices, compliance, laws, regulations, and ethics.

- Recommends ways to improve HR programs, practices, and policies.
- Determines the strategic approach to remediation of HR-related threats and liabilities.
- Develops and promotes an organizational culture that excels at meeting stakeholder needs.
- Encourages staff and leaders to provide input on strategic HR and business decisions.
- Identifies larger system needs and issues influencing market requirements, and engages outside stakeholders to help meet requirements that go beyond HR's functional assignment.
- Works with key internal stakeholders to identify initiatives that minimize threats and liabilities.
- Works with leaders to overcome strategic obstacles to implementation of HR initiatives.
- Works with leadership to identify how HR can improve business outcomes and support the organization's strategic direction and long-term goals.

Key concepts related to this section include:

- Consulting processes and models (examples include discovery, analysis and solution, recommendation, implementation), including the contributions of consulting to organizational systems and processes.

- Effective consulting techniques (examples include understanding organizational culture, understanding areas and limits of one's own expertise, setting reasonable expectations, avoiding overpromising).
- Key components of successful client interactions (examples include listening, empathy, communication, follow-up).
- Methods for design and delivery of HR service functions and processes (examples include issue tracking, client service).

Consulting Process

Consultation involves providing guidance to organizational stakeholders. It requires the ability to diagnose problems or identify opportunities, develop effective solutions, win support for the solutions, and then implement them effectively. For HR, guidance often involves using HR expertise to improve the organization's performance so that it can take advantage of opportunities and achieve strategic objectives.

Competency Connection

The Consultation and Analytical Aptitude competencies combine to equip HR professionals to be organizational problem solvers, presenting sound, evidence-based proposals to leaders to improve performance, as shown in this case.

HR identifies a turnover trend in a particular business segment—specifically, a higher rate of turnover than should be expected. The head of the segment wants to know why this is happening and suggests that the fault might be in the candidates who are put forward for the roles.

Drawing on her analytical skills, an HR professional gathers pertinent data and information about the segment's workforce: which roles are

most affected, the demands placed on workers in the high-turnover roles, and other aspects of the segment's work, including comparisons with other roles within the segment and in similar areas elsewhere in the organization. HR finds that the employees were all identified as potentially solid hires, with appropriate skills and competencies, that there were no red flags raised related to employee satisfaction or performance, nor were the employees involved in any disciplinary processes. This suggests that the fault does not lie with the hiring process. HR engages the functional managers in further discussion and uncovers the fact that the turnover positions are all very high-stress and that the segment has a tendency to treat all work as urgent and time-sensitive. There are strict deadlines, and many unexpected activities often arise and force the individuals to work quickly and without breaks.

Analyzing their findings, HR identifies the causes that contributed to the high turnover. Using this data, HR then works with the managers and the employees to identify new ways to approach the work that will relieve some of the tension, increase breathing space, and also provide time for breaks—that is, to make the employees feel like they are not in a constant, never-ending sprint.

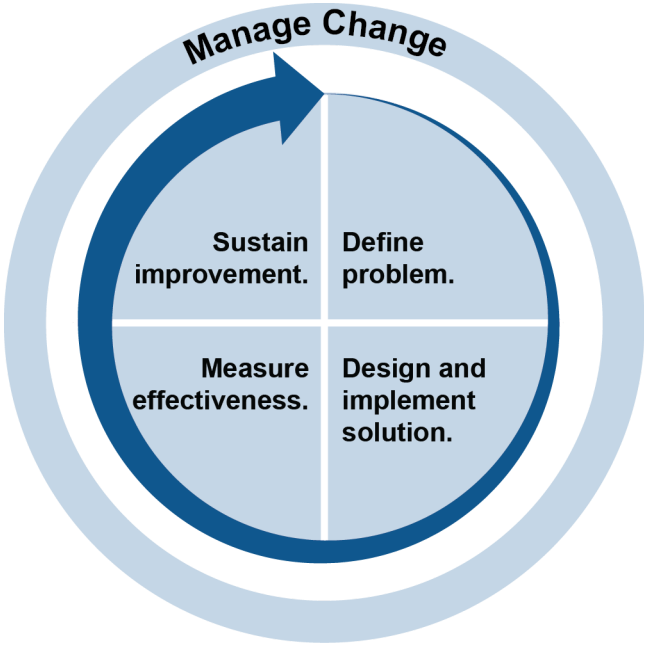
The new methodologies take time to implement, but HR continues to consult and work with the managers and the employees to assess

the effectiveness of the changes and to overcome any obstacles that might impede progress until the new approaches become routine practice.

Consulting Model

The consulting model is shown in Exhibit 44.

Exhibit 44: Consulting Model



Throughout the four steps that make up the consulting model, one of HR's key responsibilities is communication with and management of stakeholders. A stakeholder is anyone whose work or experience is affected by the potential outcome of a change initiative—including employees, managers, vendors, and customers.

The four steps in the consulting model unfold within the change management process. From beginning to end, HR professionals should be aware of the organization's (or individual's or group's) readiness to change and the members' ongoing emotional responses to changes. They should plan and then implement ways to increase acceptance and assimilation (sometimes called buy-in) of new values and practices.

Define the Problem

During a discovery phase, HR collects data to define the gap between desired and actual performance and identify possible causes for the gap (for example, misalignment of competencies, leadership models, structures, or cultures) as well as to identify potential threats, challenges, and liabilities that could be addressed by a change initiative. Information that will affect the eventual plan is also gathered.

Data should be collected from all relevant internal and external stakeholders—decision makers, managers, staff, partners, and perhaps even customers. Information gathered at this point will help in the design of an effective and efficient initiative. Stakeholder involvement in designing the solution will improve the eventual implementation, since people support what they help create. Involvement can also provide information that will help identify specific

requirements of certain stakeholders as well as manage expectations and fears of change.

Data is sorted and analyzed so that results can be reported to stakeholders in a way that helps them understand the observations and decide an appropriate action. This involves many of the skills associated with the Analytical Aptitude competency.

It is important that consultation findings:

- Focus on conditions that can realistically be changed, given the organization's environment and resources and given the attitudes of the organization and the receptiveness of its members to change.
- Are based on sufficient and specific evidence and are presented neutrally.
- Select a few areas for attention, prioritizing data findings by frequency and impact on strategic performance. Too many points of action may lead to client paralysis.

Design and Implement the Solution

Criteria for an effective solution are defined and an appropriate tactic for development is chosen—for example, job assignments or a mentoring program. The implementation may be managed as a separate project, using traditional project management skills to direct

and control the initiative and make sure that it meets the defined objectives within the allocated budget and resources.

Successful implementation may depend on the ability to motivate employees to move through the sometimes difficult period of adjusting to new conditions and practices. This may include providing necessary support (for example, more time to adapt to new expectations, new tools, training in new skills). Communication skills are critical—being alert to verbal and nonverbal messages, providing appropriate information at the right times, reporting results when required, and giving and seeking feedback.

Key Content

When teams/stakeholders are involved in a decision, apply a typical problem-solving approach:

- Explore the decision to be made fully, so that all influences are understood.
- Generate multiple options, define criteria for an effective choice, and analyze each.
- Select the best solution and implement it.
- Evaluate the decision and the decision-making process when the decision's outcomes are clear. Were there enough quality options? Were the right

criteria used? Were key individuals actively engaged in reaching consensus?

Measure Effectiveness

The solution's effects are measured to determine if the objectives of the consultation have been met and if the consultation has had the desired strategic impact (for example, faster decision making, better teamwork, better output). HR's effectiveness as a consultant is reviewed as well, and plans for improvement are made. Experiences are monitored and documented for later study. Problems in implementation are identified and addressed.

Sustain the Improvement

The new process is monitored to encourage continued effort. HR provides guidance to leaders about ways in which new values, attitudes, or practices can become institutionalized or applied in different areas. Ensuring that stakeholder management is promoted within HR is essential to sustaining an organizational culture that is receptive to change.

Tools for Group Decision Making

There are several group decision-making tools that are effective in engaging all participants and creating a logical path toward consensus.

One of the challenges in consultation is creating group commitment to the chosen course of action. The group decision-making tools described in Exhibit 45 are effective in engaging all participants and creating a logical path toward consensus.

Exhibit 45: Group Decision-Making Tools

Tools	Descriptions
SWOT analysis	The group can brainstorm strengths, weaknesses, opportunities, and threats and agree on a numerical value for each.
SOAR analysis	Similar to the SWOT analysis (above), the group identifies strengths, opportunities, aspirations, and results. This is a framework that combines fact finding with an organization's goals and desires, presenting an analysis of the organization's actual state and how it will measure achievement.
Multi-criteria decision analysis (MCDA)	The team determines critical characteristics of a successful decision (for example, ability to meet project requirements, likelihood of success, least chance of causing secondary risks). A matrix is used to score each alternative and compare results.
Cost-benefit analysis (CBA)	Group discussion is critical to identifying all relevant costs and benefits.

Tools	Descriptions
Force-field analysis	This tool was designed to analyze the forces favoring and opposing a particular change. The group identifies and weights factors that could influence an outcome in either a negative or positive manner according to their possible impact. The group then uses these factors to score different opportunities. They agree to pursue those showing favorability for change and avoid initiatives that face very strong resistance.

Change Management

Proficiency indicators related to this section include:

- Aligns and deploys HR programs to support change initiatives.
- Builds buy-in among staff for organizational change.
- Ensures that implementation of HR solutions adheres to defined goals and outcomes.
- Identifies and resolves risks and early-stage problems in meeting stakeholder needs.
- Manages interactions with vendors and suppliers to maintain service quality.
- Promotes buy-in among organizational stakeholders when implementing change initiatives.
- Provides follow-up to and ongoing support for implementation of HR solutions, to ensure their continued effectiveness.
- Provides guidance to other HR professionals, non-HR managers and business unit teams on implementation of HR-related solutions.
- Responds promptly, courteously and openly to stakeholder requests, and takes ownership of stakeholder needs.
- Works with business partners to overcome obstacles to implementation of HR solutions.

- Builds buy-in among leadership and staff at all levels for organizational change.
- Defines change objectives and goals.
- Designs and oversees HR programs, practices and policies that ensure a strong, high-quality stakeholder service culture in the HR function.
- Designs and oversees evidence-based long-term strategic HR and business solutions.
- Integrates HR solutions with related organizational processes, systems, and other business or management initiatives.
- Oversees HR's stakeholder service objectives and outcomes.
- Oversees implementation of change initiatives across business units and throughout the organization.
- Partners with business leaders to achieve change objectives and goals.
- Provides ongoing support and HR solutions to business unit leaders on the organization's strategic direction.
- Provides support to HR staff at all levels during change initiatives.
- Works with business leaders to create innovative evidence-based talent management strategies that align with and drive the organization's strategy.
- Works with executives to identify when and where change is, or is not, needed.

Key concepts related to this section include:

- Organizational change management processes (examples include obtaining leadership buy-in, building a case for change, engaging employees, communicating change, removing barriers).
- Organizational change management theories and models (examples include Lewin's change management model, McKinsey 7S model, Kotter's 8-step change model, Kubler-Ross change curve).

Change Management

HR consultation often results in structural, process, or cultural changes. These changes must be implemented in a timely manner, but organizational and individual resistance can block changes designed to support organizational strategies. HR professionals should understand reactions to change and tactics to introduce changes more effectively.

Competency Connection

The Leadership and Navigation, Business Acumen, and Consultation competencies can help HR professionals to identify obstacles that are holding the organization back and support the change process. In this case, a chief human resources officer (CHRO) points out the larger implications of a single problem and helps a chief executive officer (CEO) see the need for action.

A firm has implemented a change in its strategic direction, but one divisional head of sales is resisting the shift in focus and is persisting in following the old sales and marketing strategy. The CEO has tolerated this small rebellion.

The CHRO comes to the CEO and points out that this focus of resistance is problematic. The divisional head is hurting the change

initiative and damaging the perception that the rest of the firm has of the CEO. As long as he tolerates this behavior, the CEO appears weak and not fully committed to the change. The new strategy will create some emotional turmoil as it changes many people's jobs and relationships, and the employees need to see their leader's commitment to this direction.

The CEO accepts this perspective of the situation and meets with the divisional head to restate expectations and possible consequences for not meeting them.

Managing Change Initiatives

Organizational change can have a broad impact. For example, a reorganization that follows a merger can require new departments with different leaders, revised job titles and functions, new pay structures, and new policies and processes. Organizational change can also be very focused, such as reengineering one process and providing necessary information and training to affected employees.

Large or small, these changes trigger complex responses in the organization and in individual employees. HR's role as consultant requires that HR professionals know about more than just how to design a new solution to an organization's challenges. They must understand and be able to manage responses to change so that

these initiatives achieve their intended goals. During a change initiative, stakeholder management becomes a key responsibility of HR. Being a leader amidst change requires clarity of vision, creative problem solving, tactful communication, and courage.

Role of HR in Managing Change

HR should try to be involved early in the planning of change initiatives. HR understands the organization's policies and business requirements, employees' perspectives, and channels of communication. Given their responsibilities and purview within an organization, HR is also well situated to manage interactions between relevant stakeholders—that is, any employee, manager, vendor, or customer whose work or experience might be affected by the change initiative—by coordinating communications and managing the relationships between various stakeholders. Contributing this organizational knowledge and expertise can improve the initiative's chance for success.

Specifically, HR can:

- Identify programs, practices, and policies that might benefit from change.
- Identify the impact of the change on people and departments, which may include gaps in skills, lines of communication to be

opened, and new policies that may be required.

- Assess the impact of changes across the organization and also on outside stakeholders—the ripple effect of change.
- Consult with the organization's leaders on ways to support the change initiative, including changes in organizational culture (for example, different approaches to decision making), new processes (for example, reward systems aligned with the new behaviors), and investment in learning and development to support employees as they develop new competencies to perform their changed roles.
- Use communication skills and channels to contact all affected stakeholders quickly and uniformly, communicate the details of the change initiative, and keep them apprised of developments and progress. Effective communication during periods of change can produce:
    - Identification and mitigation of potential risks.
    - Increased management and employee buy-in and satisfaction.
    - Increased trust between management and nonmanagerial employees.
    - Identification of needed change-related training initiatives to improve employee skills and proficiency throughout the

change process.
    - Increased leadership cohesiveness.

- Measure the effectiveness of the change initiative.

- Track issues that arise at any point and follow up to deliver superior service to HR's internal customers.

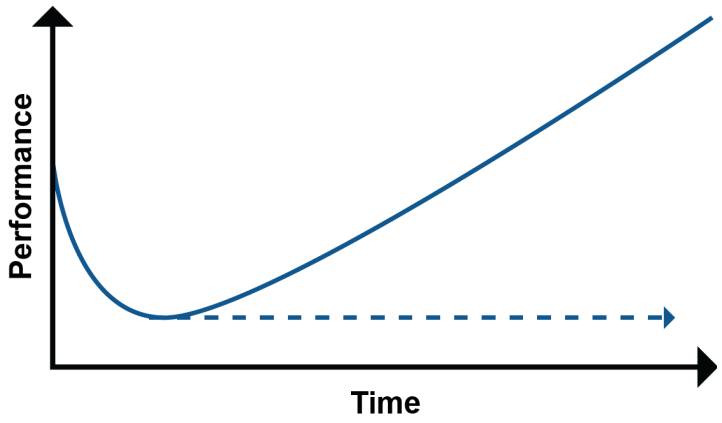
Managing change may require making leaders more aware of how they themselves need to change. For example, if they want more agile decision making that arises from self-directed teams, then they must relinquish some degree of control (manifested, for example, in increased limits for expenditures without management approval). If they want greater workforce stability, then they must be willing to engage in frank discussions with unions and respectful contract negotiations. It often falls to HR to show how what leaders want and what employees need can be aligned.

The Impact of Change on Productivity

Employee productivity and engagement can be affected by both large shifts in culture, structure, and strategic goals and small changes in roles and processes. This effect is often referred to as the "dreaded **J curve**," shown in Exhibit 46. When change is introduced, there is typically a decline in performance and then a slow return to previous

levels and—if the change is effective and if it is managed effectively—a more rapid growth to a new level of performance. A poorly chosen intervention or poor management of the change process can result in a more permanent flattening of the curve at a low plateau, as indicated by the dotted line.

Exhibit 46: J Curve



It is HR's responsibility to work with stakeholders to help them understand the benefits of a change initiative—not only in broad, organizational strokes but also in how a successful initiative will benefit the individual (for example, by improving the efficiency of their assigned work processes).

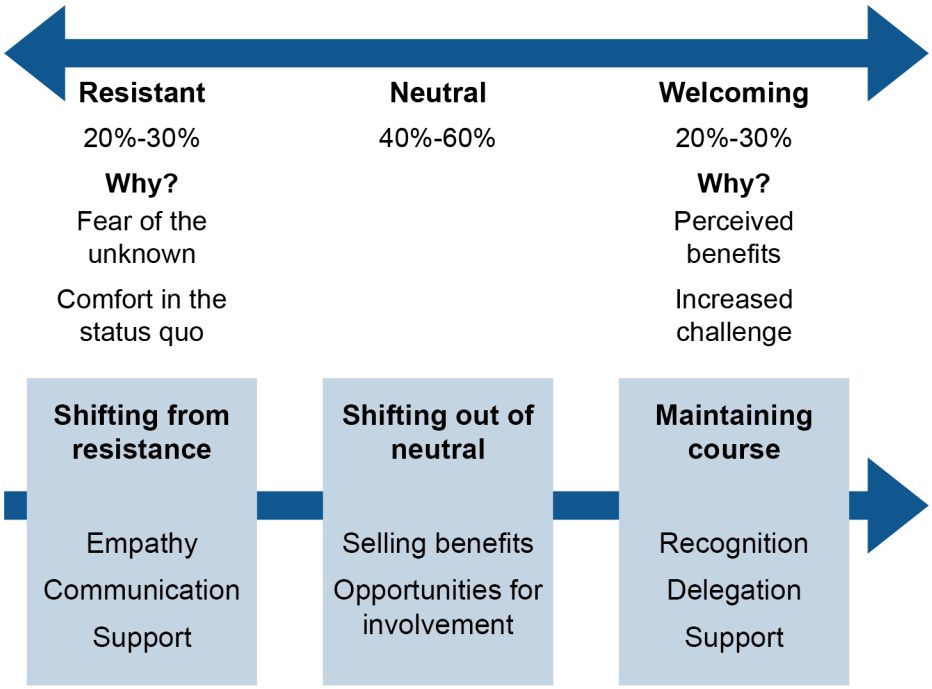
Managing the J Curve

To manage the negative effects of change on productivity, HR professionals can use the fact that individual employees react to change differently.

- Some may resist change, driven perhaps by fear of the unknown or a lack of confidence in their ability to perform new tasks. They may prefer inertia and the comfort of the familiar to the challenge of learning new roles and skills.
- Some employees will welcome the change because they can immediately see its benefits (for example, improved communication, more individual control).
- Others may simply be waiting for more information to decide how they feel.

Understanding and being able to manage these individual differences can affect the speed of the organization's recovery to full productivity. Exhibit 47 shows tactics for influencing employees with these different perceptions of change.

Exhibit 47: Managing the Change Spectrum



The key to managing change is to recognize these reactions promptly and respond appropriately. Resistant employees, for example, can derail a change initiative quickly if their attitudes are allowed to affect other team members.

- For employees resisting changes, managers must make a special effort to listen to their fears and doubts, to check in frequently, and to offer additional resources to help them adapt to new processes or structures. Managers can also emphasize the benefits that outweigh the costs of change. If an individual's attitude becomes harmful to the group, the manager may have to emphasize new expectations and the employee's obligation to meet them.

- Managers can use more receptive employees as champions of the changes, communicating their reasons and their enthusiasm to their peers.
- For employees who have not committed to or have rejected the change, managers may have to sell the potential benefits—both organizational and personal—of the change. Managers can also assign them tasks or roles to increase the level of their involvement in the process.

Key Content

Leaders should explain the change and why it is needed, be truthful about its benefits and challenges, listen and respond to employees' reactions, and then ask and work for individuals' commitment.

Change in Global and Diverse Organizations

These reactions apply across all national cultures, although individual reactions may vary depending on the individual's competencies and personal situation. Differences in national cultures, however, may make managing change in a diverse or global organization more challenging.

Leaders have to be able to gather reliable feedback about how employees feel about the change. In some cultures, employees will be reluctant to share personal feelings or to display any doubts or discontent to someone higher in stature. Managers from outside cultures should turn to a trusted insider, someone from that culture or someone who understands both the management and the local cultures, for advice on how to “read” and communicate with these employee groups.

Organizational culture may affect successful implementation of change as well. In “Resistance to Organisational Change: A Case Study of Oti Yeboah Complex Limited,” Rosemond Boohene and Asamoah Appiah Williams relate the experience of a Ghanaian wood product firm that, because of depletion of raw materials, decided to change from a sawmilling operation to a plywood producer. The authors reported that:

> This kind of change affected the strategy, the structure, the culture, the technology, and the work processes of the organization, which eventually brought about employees resisting the change because of certain new roles, redundancy, and responsibilities. This led to a series of strikes, boycott, and lockouts because of fear of the unknown and possible loss of job. The consequence was production stoppages and paying labour for no job done.

Boohene and Williams tracked a large share of employee resistance to the organization's culture. The predominantly young workforce was very disaffected: uninvolved in decision making, receiving little communication about changes or the reasons for them, distrustful of management. Management was inflexible and autocratic, responding to resistance to change by threatening loss of jobs. Implementing this type of strategic change would require far-reaching changes in business processes, required competencies, and roles. The failure of the proposed change could be predicted once the limitations of the organization's culture were understood.

Assessing Change Readiness

Before developing recommendations, HR must consider and assess the organization's, group's, or individual's readiness to change. Change is difficult for most individuals, so proactively preparing for possible issues will assist the change process. Exhibit 48 outlines some things that should be considered in assessing the readiness for change.

Exhibit 48: Assessing Readiness for Change

Assessing Readiness for Change

Assessing Readiness for Change	
• What is the nature of the change? • What is the expected duration? • What key milestones are associated with the change? • Where is the organization in the change process? • Who will have primary responsibility for implementing the change? • What language and cultural factors will impact the change? • What role will HR play in implementing the change?	• What fears might people have about the change? • How much resistance is anticipated? From whom? • How will the organization deal with the temporary drop in productivity that may result from the change? • What benchmarks will be established? • How will local interests and needs be gathered and considered during change planning and implementation?

Conditions That Make Change Possible

McKinsey & Company consultants Emily Lawson and Colin Price identify several conditions that make it easier for people to get to the point where they will consider or try a new way of doing things:

- **Shared purpose.** If people believe in the overall purpose of and reason for the change, or buy in to the objectives of the change initiative, they will make a legitimate effort to change themselves. Those leading a change initiative should communicate how proposed changes are necessary to achieve the organization's strategic goals and/or values.

- **Reinforcement systems.** Structures, management processes and encouragement, measurement, communication, and other

critical support factors must be present and congruent with the desired change initiative.

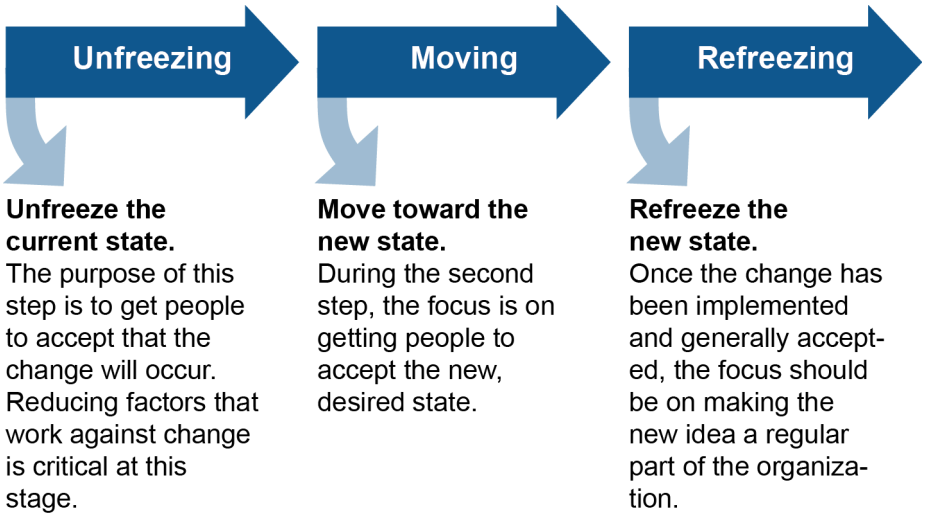
- **Skills required for change.** While this need may seem obvious, it is often overlooked. Training is a much more efficient and effective method than trial and error for equipping people with the knowledge and skills to be successful.

- **Consistent role models.** The presence of a role model within an individual employee's sphere of influence makes change real and demonstrates, in real time, that change is possible. Many role models (in addition to managers and executives) need to be present throughout the organization to keep the message of change alive until it becomes part of the way the organization operates.

Change Process Models

The Kurt Lewin model of change is often used to explain the dynamics through which organizational change takes place. By understanding these dynamics, HR professionals can offer the proper initiative for change. Exhibit 49 illustrates the three general stages of the Lewin change process.

Exhibit 49: Lewin's Model of the Change Process



There are many valid models for change. While some are more detailed than others, most incorporate some aspects of Lewin's model by describing activities that prepare for change, activities essential to facilitating the actual change, and activities or steps that focus on acceptance and adoption of the change.

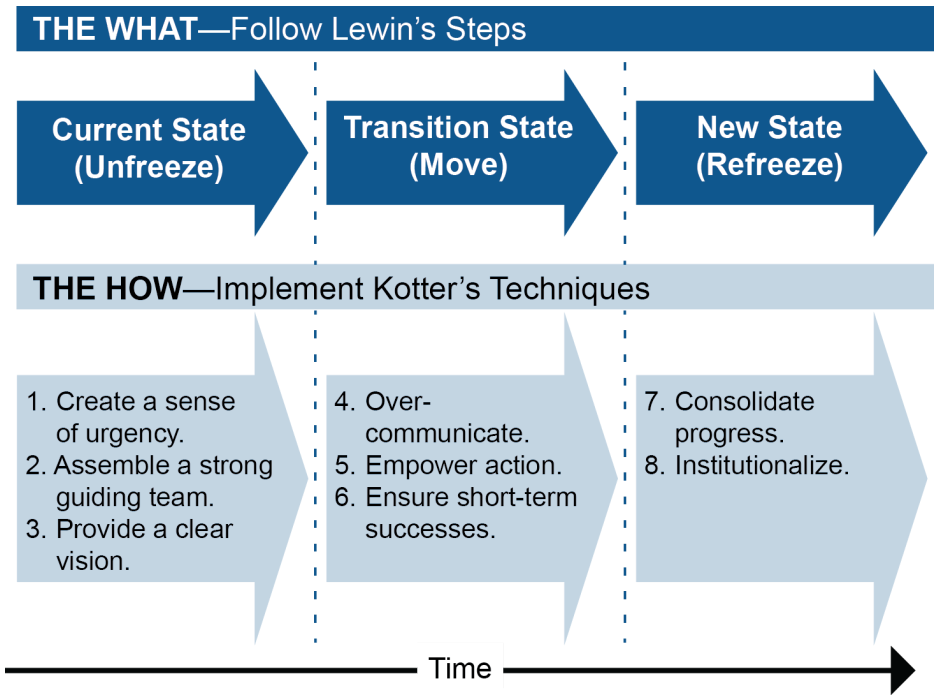
A model developed by John Kotter (*Leading Change*), for example, provides insight into the "how" of the change management process by specifying eight contributors to successful implementation of the change:

1. Create a sense of urgency.
2. Assemble a strong guiding team.
3. Provide a clear vision.
4. Over-communicate.
5. Empower action.

6. Ensure short-term successes.
7. Sustain progress and build on achievements.
8. Institutionalize.

Human resource practitioners may find an integrated view of the two models, as described by Cesar Aguirre (“Managing Across Borders in Latin America”) and shown in Exhibit 50 most helpful in describing the total process of change.

Exhibit 50: An Integrated View of Change Strategy



This integrated change strategy effectively illustrates both the theoretical and practical aspects of the change process.

Another model to help analyze internal changes in an organization is the McKinsey 7-S Framework. This model is based on the theory that for an organization to perform well, seven elements need to be aligned and mutually reinforce one another:

- **Style.** The organization's culture and the informal rules of the organization.
- **Skills.** The institutional and individual skills the organization can call on and how they interact with each other. A change in recent years has been to consider what skills the organization should have and what customers and suppliers can provide to the organization.
- **Systems.** The processes of the company, including HR systems.
- **Structure.** The relationships between different levels of authority and decision making within the organization.
- **Staff.** The people who make up the organization, workforce composition, and the people who might be needed by the organization.
- **Strategy.** What the organization is trying to do to gain a competitive advantage.
- **Shared values.** What the organization is trying to achieve, sometimes referred to as superordinate goals. These values should be reinforced throughout the organization.

The design of the model is intended to reflect the fact that all of these elements are important and interconnected and, as a result, change in one area will result in reassessments and adjustments in the other six in order to maintain a balance.

Facilitating Change

The ability to facilitate change is enhanced if HR develops an internal "service culture."

Whether working on a large organizational project or one on one with an employee or manager, HR professionals must determine the organizational interventions necessary not only to support organizational objectives but also to address the current day's challenge. Although employees of an organization, human resource professionals can be considered in-house consultants, ready to analyze and diagnose problems and recommend creative solutions that support both organizational and individual needs.

The ability to facilitate change is enhanced if HR develops an internal "service culture." Just as organizations must be mindful of the external customers who use their products and services, HR must be mindful of how its activities contribute to the organization's overall ability to function and deliver quality. HR is part of the overall

organizational system, and the quality of service that HR delivers to its internal customers (other departments, leaders, employees) enables the organization to better serve its external customers.

Key Content

When planning and implementing a change, organizations often rely on one of the following approaches.

- **Cascade.** This approach relies on a top-down sequence with complete change at each level. Change at one level or unit high up in the organization eventually transforms the units and levels beneath it.
- **Progressive.** In this model, the change originates at the top and is broadcast to the entire organization. Individuals slowly change with added information, and the change becomes uniform across business units.
- **Organic.** This method relies on independent centers and multiple origins of the change within the organization. Points of origin can be at any level. Organic change radiates out unevenly but accelerates when top leadership supports local change and local leaders.

Analytical Aptitude Competency

Analytical Aptitude Competency

While HR professionals tend to think of themselves as working with people and not data, the reality is that what we know about people is data. HR professionals are faced everyday with troubling mysteries that data can help solve: low levels of retention, failure to recruit diverse or qualified candidates, disparate levels of effectiveness of performance management systems across the organization, or employee disputes or accidents. HR professionals use their Analytical Aptitude competency to resolve these mysteries—to develop an instinct to be curious and to commit to finding sound evidence.

It is important to remember, however, that the purpose of gathering performance data is to use that information to support action. Data gains significance when HR professionals see the story that lies behind the data—the patterns and trends, the causal relationships—and can present this story compellingly to the organization's leaders.

Toward Better Business Decisions

Proficiency indicators related to this section include:

- Applies data-driven knowledge and best practices from one situation to the next.
- Conducts analyses to identify evidence-based best practices, evaluate HR initiatives, and determine critical findings.
- Demonstrates an understanding of the importance of using data to inform business decisions and recommendations.
- Ensures that HR programs, practices, and policies reflect research findings and best practices.
- Identifies decision points that can be informed by data and evidence.
- Promotes the importance of evidence-based decision-making.
- Promotes the importance of validating HR programs, practices, and policies to ensure that they achieve desired outcomes.
- Reports key findings to senior business and HR leaders.
- Uses data to explain and support business decisions to employees and leaders.
- Uses research findings to evaluate different courses of action and their impacts on the organization.

- Ensures that resources and processes are in place to facilitate systematic collection of data to inform HR's strategic direction and long-term goals.
- Ensures the HR function uses data to inform decision-making and the development and evaluation of HR initiatives.
- Oversees comprehensive and systematic evaluations of the organization’s HR programs, practices, and policies.
- Promotes the use of HR metrics for understanding organizational performance.
- Sponsors evidence-based initiatives for process improvement.
- Supports an organizational culture that promotes the collection and incorporation of data (examples include risks, economic and environmental factors) into decision-making, and supports the organizational processes, policies, and procedures to do so.
- Uses research findings to inform HR's strategic direction and long-term goals.
- Promotes the role of evidence in setting and validating HR's strategic direction and long-term goals.

Toward Better Business Decisions

For HR professionals, the fundamental challenge of the Analytical Aptitude competency is to change the basic way they interpret or assess events. Rather than relying on “gut reactions” and experience, HR professionals must develop a natural curiosity about what may lie behind appearances and easy explanations. They must learn to seek proof and logical relationships and to base their assessments and actions on data.

Competency Connection

The Leadership and Navigation and Analytical Aptitude competencies allow HR professionals to use their knowledge of the workforce and HR expertise to help the organization resolve obstacles to its strategic success. Consider the following example.

An organization has identified performance issues in a particular division that are depressing the organization’s overall performance. At a strategic management meeting, the vice president of global HR presents HR’s capabilities and secures the CEO’s commitment to a project aimed at finding causes of and solutions to the division’s performance issues. The VP HR assembles a team to design the complex work required for the project.

An experienced manager who knows the division's business and some of the individuals there assumes the role of project manager. She establishes contact within the division to secure the cooperation and involvement that will be needed. With three staff, she conducts research to identify possible root causes for the division's poor performance. The research includes analysis of data from the human resource information system (HRIS) and interviews with key managers.

The analysis of data from the HRIS shows quickly that employee turnover before three years of employment is significantly higher in this division than in others. The HR group meets with division leaders to discuss its research and this possible cause. They agree to research this further through more interviews, review of exit interview notes from the last 12 months, research into comparable organizations, focus groups with groups of employees with different levels of tenure, and an employee questionnaire.

The team drafts a report presenting the data and possible solutions, which include the following:

- Creating more in-depth, effective onboarding experiences for new hires to better facilitate their orientation and induction into the new organization

- Providing coaching to divisional leadership and management on effective career mentoring and development of employees
- Exploring alternative sources for recruiting candidates that appear to offer a higher potential return on sourcing investments
- Managing the performance of a key divisional leader whose management style is a primary source of turnover and a potential legal liability for the organization

The Business Acumen and Communication competencies are valuable in preparing and presenting this report. The report is reviewed with division leaders, solutions are prioritized, and the final report and a business case for implementing several changes are presented to senior management by the VP of HR and the division's director.

What Are Analytical Aptitude and Evidence-Based Decision Making?

Analytical Aptitude refers to examining an idea, a process, or an event with an open, objective, and inquiring mind. It is a critical skill in evidence-based decision making (EBDM), using sound data to hypothesize, assess, and select solutions.

The SHRM Body of Applied Skills and Knowledge includes the following in the Analytical Aptitude competency:

- **Data advocacy.** Developing an inquiring mindset, learning what data drives the business and where it can be found, developing partnerships across the organization to promote EBDM, and modeling the skill of EBDM to the entire organization through the decisions HR makes and the plans of action it undertakes
- **Data gathering.** Knowing what constitutes sufficient, credible, and objective evidence and being able to find it
- **Data analysis.** Being able to organize data so that it reveals patterns and to analyze it to detect logical relationships
- **EBDM.** Being able to apply the results of data gathering and analysis to make better business decisions

All members of modern organizations are being asked to be accountable for their use of the organization's limited resources and to identify and manage threats and opportunities in their lines of business and across the organization. For example, HR professionals must be able to demonstrate the soundness of investments in tactics designed to increase engagement and retention by measuring the results of ongoing activities and by using evidence to support effective tactics.

Key Content

Effective data advocates show that analysis does not exist for the sake of analysis; it is focused on making more informed decisions that minimize risk and maximize opportunities. They also assist in building a data-driven culture, encouraging EBDM throughout the organization, from the bottom up.

Steps in Evidence-Based Decision Making

HR professionals should consider following six steps described by Ben Eubanks, a human resource management specialist. Eubanks's recommendations are based on research.

- **Ask.** When faced with a problem, translate the situation into a question that can then be answered through information gathering. For example, an HR manager notes that the discipline system the organization uses is not effective in preventing eventual terminations or resignations. The HR manager asks,

"What are we doing now? Does our disciplinary approach reflect what we know about adult behavior and motivation to change?"

- **Acquire.** Gather information from varied sources. For example, the HR manager reviews the organization's policies and processes concerning discipline and retrieves from HR's records data about disciplinary actions and subsequent employee history. The HR manager develops some case studies on specific incidents, gathering information from the supervisors involved. The manager also begins to gather information about current research into these areas and assessments of current practices from journals and HR professional societies and networks.

- **Appraise.** Determine whether the evidence gathered is relevant, valid, reliable, accurate, complete, and unbiased.

- **Aggregate.** Combine and organize the data to prepare it for analysis. Determine the priority to be given to different types of information.

- **Apply.** See the logical connections within the data and with the issue. Use the data to draw conclusions, develop possible solutions, win sponsor support for a decision, and take action.

- **Assess.** Monitor the solution that has been implemented and objectively measure the extent to which the objectives have been

attained.

How to Become an HR Data Advocate

HR academics Denise Rousseau and Eric Barends mention several ways to become a better data-based HR practitioner and to improve the competence of the HR function in evidence-based decision making:

- **Develop a questioning mind.** Make it a habit to ask questions such as “Why do we do it this way?” or “Why is X happening?” and “What is the evidence for thinking that?” Questioning minds try not to accept the status quo. They are naturally curious about everything.

- **Build fluency in the scientific literature for HR.** This can include regularly scanning resources to identify new and reliable sources of data and monitoring the topics that are being discussed. Rousseau and Barends recommend undertaking focused research projects to practice analytical skills. For example, an HR practitioner could systematically study available evidence and practitioner opinions on the use of formal performance management review meetings.

- **Gather data on a continuous basis** about the efficacy and efficiency of legacy systems (for example, recruiting) and stakeholder interests (for example, the perceptions of other functional managers about their current needs and the forces affecting their performance).

- **Use evidence when communicating with stakeholders.** When responding to questions from organizational customers, HR practitioners can recommend solutions and include the data supporting their analysis and recommendations.

- **Institutionalize the competency in the HR function.** Rousseau and Barends refer to establishing journal study groups in the HR function. At regular meetings, designated members research and report on new or important classic articles. HR leaders can also establish task groups to gather evidence whenever significant decisions are planned.

Data Sources

Proficiency indicators related to this section include:

- Benchmarks HR initiatives and outcomes against the organization’s competition and other relevant comparison groups.
- Gathers data using appropriate methods to inform and monitor organizational solutions.
- Identifies sources of the most relevant data for solving organizational problems and answering questions.
- Maintains working knowledge of data collection, research methods, benchmarks, and HR metrics.
- Scans external sources for data relevant to the organization (examples include risks, economic and environmental factors).
- Develops best practices based on evidence from industry literature, peer-reviewed research, experience and other sources.
- Ensures that resources and processes are in place to facilitate systematic collection of data to inform HR's strategic direction and long-term goals.
- Identifies new sources of data or new methods of data collection to inform and evaluate HR initiatives.

- Interacts with leaders outside the organization to collect data relevant to HR.

Key concepts related to this section include:

- Sources of data (examples include interviews, focus groups, employee and customer surveys, marketing data, analytical reports).
- Survey and assessment processes (examples include development, administration, validation).

Data Sources

Data sources comprise quantifiable data and qualitative data. HR professionals use different techniques to obtain the data they need: interviews, focus groups, surveys/questionnaires, and observation. Existing data can also be used.

Competency Connection

Workforce planning requires gathering and analyzing data. HR practitioners who are competent in Analytical Aptitude can apply creativity to find the information they need and develop objective analytical approaches and fulfill their leadership and consultation roles in the organization. Consider this example.

An HR manager is working on updating the organization's staffing plan for the coming year. The manager reviews past years' data on hiring and turnover and then considers the probable impact on staffing requirements created by strategic plan goals, objectives, and deliverables and sales targets for the coming year.

The HR manager is concerned about the higher turnover rate in the previous two years. Is this just an odd occurrence without specific causes? Is it related to the economy and the job market? Is it related to some internal engagement issues?

The manager decides to interview managers for their perspectives on turnover. For the most part, the managers see the employee departures as related to young employees' inexperience in the world of work: "They really don't know what they're looking for and what they want yet. So they move on."

An analysis of the exit interview data tells a different story, however. The HR manager finds accounts of frustration with managers' leadership styles and work/life balance issues. As a result, the HR manager sees the retention gap as the biggest issue in the coming year's staffing plan and develops tactical objectives to address it.

Quantitative and Qualitative Data and Assessing Validity of Sources

Quantitative and Qualitative Data

Quantitative data consists of objective measurements that can be verified and used in statistical analysis—for example, the number of employees in an organization, the number of female employees in the organization, or the average number of hires each quarter.

Qualitative data involves a subjective evaluation of actions, feelings, or behaviors. Measurements can be made by a third-party observer

(for example, an audit of HR's compliance with compensation laws that rates performance as excellent, acceptable, or poor). They can also be self-assessments, such as employee evaluations of satisfaction with job conditions on regularly administered employee surveys. The data can be assigned numerical values, but these values don't carry significance. Qualitative data can include observations of steps in a process or of traits that are present in people who are rated as successful in a job. It may be assessments of value or significance.

Both types of data are important to HR professionals. The purpose of the research usually determines the type of data collected. For example, a research project that aims to compare recruiting costs for different approaches will collect quantitative data related to costs and numbers of respondents, candidates, and hires. A project that seeks more evidence about successful teamwork may collect qualitative data about behaviors seen in effective teams and assessments from team members.

Assessing Validity of Data Sources

Supplementing in-house data can be done easily online, but these secondary sources of data must be evaluated for their overall accuracy. There are several questions you should consider before accepting data in a print or online publication:

- Does the source have authority? A government agency, such as a labor department or ministry, or an academic institution is more credible than a blogger.
- What are the source's possible biases? Bias can lead to "cherry picking" data—including only the facts that support a certain position.
- Are the sources for data used in a publication clearly cited? And are those sources reliable and accurate?
- Are the facts relevant? For example, data about trends in one industry may not apply to all industries.
- Is the data current? Some concepts are classic, but data is subject to variables that can weaken its relevance over time. For example, data from a recessionary period can be highly inaccurate in describing conditions in an expanding economy.
- If the data is being offered as proof of an argument, is the argument itself sound? Are its deductions from the data logical?

Interviews as Data Source

Interviews may be used for different purposes:

- Sometimes they are useful in identifying topics that can be explored in focus groups or surveys.
- They may focus on specific, high-value employees and uncover targeted retention information—or, in the case of exit interviews,

engagement failures.

- Organizational “heroes,” people who are recognized and respected throughout the organization, may add a cultural perspective.

Individual interviews offer the opportunity for follow-up questions that may not be possible in a survey or may be discouraged by the size, composition, or timing of a focus group.

Interviews are rarely the sole form of gathering data from those involved because of the amount of time and labor required to conduct them. If multiple interviewers are used, they must be carefully trained and prepared so that all interviews are conducted in the same manner and without bias.

Exhibit 51 lists some of the advantages and disadvantages of the interview technique for gathering data.

Exhibit 51: Advantages and Challenges of Interviews

Interview Advantages	Interview Challenges
• Safer, confidential environment may generate significant information. • Comments can suggest direction for further group research (focus groups and surveys).	• Can be time-intensive. • Requires strong relationship-building skills. • Requires vigilance to avoid bias from influencing questions and interpretation of answers.

Toward More Effective Interviewing

Individual interviews are more effective if areas of discussion and specific questions are planned. Therefore a key interview tool is the interview guide or instrument. It should be drafted and reviewed by other team members and perhaps by the client. Some limited straying from the planned questions may be appropriate, but having consistent information from subjects will result in data that is more valid and more easily combined and reported.

All means should be taken to establish a positive and trusting relationship with the interviewees. The time and location should be convenient for them. The planned length of the interview should be reasonable, and the actual length should not exceed what the interviewees have been told. Confidences should be respected. Reactions to comments should be neutral and not judgmental. Notes should be taken to avoid having to rely on memory, but writing too much can interfere with making eye contact and providing supportive nonverbal signals. Effective interviewers develop a technique for making quick notes that can be used to reconstruct the interviewees' points later, after the interview.

Interviews should start with safe questions to build rapport; they should end by inviting the subjects to offer information that may not have been included in the interview guide. Interviews may yield richer

data if the interviewer gently urges the subject to provide examples that illustrate points.

Focus Groups as Data Source

A **focus group** is a small group (normally six to twelve) invited to actively participate in a structured discussion with a facilitator. Focus groups typically last from one to three hours, depending on the topic and the purpose. Focus groups serve a variety of purposes. They are often used to follow up on a survey, providing a more in-depth look at specific issues raised during the survey. In this respect, focus groups collect qualitative data that enriches quantitative survey results.

Key Content

The following are some important considerations regarding focus groups:

- A focus group is intended to provide a microcosm of the population being studied. Participants must, therefore, adequately represent that population to ensure representative information. Ideally, random selection should be used so that every employee has an equal chance of being selected and the diversity of the employee population is represented.

- Along with random selection, voluntary participation is another important consideration. Voluntary participation can help to ensure that the focus group will be a productive session with employees who are willing to share their views and opinions.

Focus groups can be an effective technique for gathering feedback. Yet, they also have some distinct pitfalls. Exhibit 52 lists several general advantages and challenges of focus groups.

Exhibit 52: Advantages and Challenges of Employee Focus Groups

Focus Group Advantages	Focus Group Challenges
• Provides a format that is flexible and relatively comfortable for discussion • Allows for group brainstorming, decision making, and prioritization • Can provide group consensus • Enables HR to learn about employee needs, attitudes, and opinions in a direct format • Gives employees direct input	• Tends to foster "group think" conformity • May be difficult to control; can become a forum where participants go off on tangents • Generally don't allow for deep discussions, depending on time constraints and the number of participants • Can provide skewed or biased results if participants are not representative

Conducting More Effective Focus Groups

Focus groups should be conducted in a private room where participants are free from distractions and interruptions (for example, a conference room, not the break room). Provisions should be made for refreshments and a planned break as appropriate.

When planning a focus group, HR professionals should consider the following.

- **The importance of planning.** Effective planning is critical. Focus group objectives must be clearly defined, as they influence all subsequent focus group questions and the structure and flow of the discussion. Any stimulus materials should be designed and debugged in advance.
- **The context in which a focus group might occur.** Cultural effects, both organizational and national, could affect participation, and legal environments could affect the information gathered.
- **The importance of the facilitator.** Similar to planning, having a good facilitator (or moderator) contributes to a successful focus group. A focus group facilitator should:
    - Know the topics reasonably well.
    - Be a good listener.

- Possess a good understanding of group dynamics and skill at conflict resolution (should differences in opinions arise).
- Allow group perspectives to emerge without interjecting any bias or allowing any one individual to dominate.
- Have enthusiasm for the session (which can be contagious in a group setting).
- Possess competent facilitation skills for any focus group activities and exercises.
- Be conscious of time allocation and usage.

If the organization does not have qualified staff to act as facilitators, it could consider hiring an outside facilitator who possesses the characteristics listed above.

- **The importance of the recorder.** A focus group should have a person designated as a note taker to record comments on flip charts, etc. A designated note taker allows the facilitator to remain focused on group dynamics that enrich the focus group experience.

Focus Group Tools

Focus group facilitators can use different techniques to generate discussion, spur thought, and organize and prioritize ideas.

- **Mind mapping and affinity diagramming .** Mind mapping begins the discussion with core ideas. The group members add related ideas and indicate logical connections, eventually grouping similar ideas. This can be done on paper or a whiteboard or with sticky notes. Affinity diagramming is a way of sorting a large amount of data that has already been collected. The group categorizes and subcategorizes data until relationships are clearly drawn.

- **Nominal group technique (NGT) .** This technique proceeds through rounds in which participants each suggest ideas. The rounds continue until no further ideas are proposed. Then the group discusses the items, eliminates redundancies and items considered irrelevant, and agrees on the importance of the remaining items. NGT can be practiced with idea generation by individuals, subgroups, or the entire group. Similarly the initial sorting of ideas can be done in subgroups before returning to the main group to reach consensus.

- **Delphi technique .** This technique progressively collects information from a group on a preselected issue. The first respondent proposes information, the next respondent adds something different, and so on, until a list can be compiled. The respondents are anonymous. In the second round, the

researcher circulates the list and asks each respondent in turn to refine previous ideas, to comment on each idea's strengths and weaknesses for addressing the issue, and to identify new ideas. This technique is designed to facilitate group involvement, problem solving, and individual thinking while avoiding "group think," where participants can be influenced by what others say.

Surveys and Questionnaires as Data Source

Surveys and questionnaires are relatively inexpensive ways to gather a large amount of data from a large and dispersed group of subjects, such as employees or customers. Dispersed can mean physical location as well as time or work shift.

There is a benefit to surveying employees and customers. Often, the executive group or sales department will initiate client or customer surveys to determine what is going well or what are areas for improvement or to understand in what direction the client may be focusing. Just as with employee surveys, a key requirement is to provide updates on actions that come from the results.

Technology—the Internet, mobile devices and networks, survey creation tools—has made these tools even easier to create and

administer. Serious challenges remain, however:

- **Obtaining a valid sample.** Researchers must make sure that survey results are truly representative—that the number of returned surveys is sufficiently large to be representative and that the group responding accurately reflects the attributes of the entire group. Explaining the purpose and importance of the survey may improve the response rate, as will making it easier to complete—shorter and easier to understand. Researchers should be aware of survey approaches that affect who can respond—for example, using an online survey in a workplace where not all workers have equal online access. This affects the sample size and the ethical impact of the survey.

- **Designing the survey with analysis in mind.** Questions should be asked in a way that makes compiling and comparing responses easier. This usually means relying heavily on quantifiable responses (for example, the Likert scale, which asks respondents to choose ratings, usually from 1 to 5 points). Freeform feedback (narrative comments, examples, suggestions) can be included as well and will enrich the research report.
- **Asking the right questions.** To understand an entire organization, experts often turn to questions based on

organizational models that map various internal and external environmental factors that can affect attitudes and work. Internal factors generally include strategy and purpose, leadership, rewards, and relationships; external factors include opportunities and threats as in SWOT and PESTLE analyses. In global or diverse organizations, researchers must also be mindful of language and cultural differences that could complicate the communication task.

Exhibit 53 summarizes the advantages and challenges of using surveys and questionnaires.

Exhibit 53: Advantages and Challenges of Surveys/Questionnaires

Survey/Questionnaire Advantages	Survey/Questionnaire Challenges
• Efficient way to gather a lot of data from a large and dispersed group • Easier to quantify data for analysis and reporting	• Can be difficult to obtain an acceptable response rate • Difficult to follow up on data from anonymous sources • Relies on self-reporting, which can be biased • Requires time and statistical expertise to assess sample and compile and analyze data

Some of these challenges and advantages will be greater or lesser depending on the makeup of the surveyed group. For example, it might be easier to conduct follow-up with employees, as they can be more easily located. Customers may not be willing to spend more time answering questions about their experiences or opinions.

Observation as Data Source

HR professionals can also gather data by observing the workplace and work processes. This removes the self-reporting filter that is present in interviews, surveys, and focus groups. Observers can note factors that participants are unaware of or have become accustomed to as well as any that participants are reluctant to mention for personal reasons. Observation can also strengthen the HR professional's understanding of the work at hand and the culture of the workplace. For example, an HR professional could observe a meeting of a dysfunctional team and note obstacles not mentioned in interviews, such as negative behavior by certain team members or weak leadership skills.

Exhibit 54 lists some advantages and challenges of using observation to gather data.

Exhibit 54: Advantages and Challenges of Observation to Gather Information

Observation Advantages	Observation Challenges
• Provides firsthand and immediate data rather than self-reported data, which can be affected by memory and selectivity. • Is time-efficient for subjects.	• Requires skill to be unseen. When the group is very aware of the observer, the data becomes less reliable. • Requires vigilance to remove personal bias from observations. • Requires experience to note significant behaviors. • Observations may not be representative of the entire body of data (i.e., the totality of every meeting, every work process, every transaction).

Existing Data and Documents as Data Source

Existing data and documents can include information from the organization itself, from public information sources (for example, government agencies), or from industry/professional associations.

Organizations may produce many different reports, with different purposes for each. Different departments, functions, teams, and branches can generate reports containing valuable insight that can be used by HR professionals to perform their function. An HR professional with the Analytical Aptitude competency will have the

skills to analyze these reports and tease out and synthesize valuable insights about the organization, its work, its employees, and more.

Sources of data include:

- Official documents, such as organization histories and vision and strategy statements, which can help the team understand the organization's business and culture.
- Performance data over multiple periods from the organization's financial records as well as data from other organizational databases.
- Performance data from the organization's HR information system (for example, turnover rates, employee complaints, incident reports).
- Correspondence and analytical reports.
- Industry data that can provide information about external environments and performance benchmarks.

Exhibit 55 lists some advantages and challenges in using existing data.

Exhibit 55: Advantages and Challenges of Using Existing Data

Advantages of Using Existing Data	Challenges of Using Existing Data

Advantages of Using Existing Data	Challenges of Using Existing Data
• Eliminates the effects of observation and involvement and possible bias of facilitator/interviewer/observer • Rich, multi-perspective source of data	• Can be time-intensive • Requires experience to extract key data • May require ingenuity to find data

Artifacts as Data Source

Artifacts are objects created by members of a culture that convey a sense of that culture's values and priorities, beliefs, habits and rituals, or perspectives. They can provide insight into aspects of an organization's culture that its members may not be able to or may not want to articulate to an outsider.

Artifacts could include:

- Physical workplaces that can suggest characteristics of organizational culture (for example, the presence of personal artifacts, an emphasis on diplomas and certificates, environments that convey key values such as accessibility of top leaders to all employees).
- Virtual environments, for example, social media providing clues about how the organization is perceived by outsiders and by employees.

Key Content

Artifacts may be best used when they confirm or conflict with findings gathered by other means. Without enough context—if the researcher is unfamiliar with the organization and its culture—a researcher can misinterpret the meaning and importance of artifacts. For example, interviews with team members might suggest that the team environment has become autocratic and nonparticipative. The researcher notes that there are few personal decorations in team members' desk areas. Does this environment suggest a corporate culture that devalues individual personalities? Or are the individuals not particularly interested in conveying personal information about their lives and interests?

Exhibit 56 summarizes the advantages and disadvantages of using artifacts in research.

Exhibit 56: Advantages and Disadvantages of Using Artifacts

Advantages	Disadvantages

Advantages	Disadvantages
• Provides additional insight into cultural issues • Can be examined without the help of those being observed	• Requires researcher to understand the principles of culture • Can create misunderstandings if the researcher is not familiar with the culture

Marketing Data as Data Source

HR professionals may need marketing data to aid in workforce planning or establishing a business case.

HR professionals may need marketing data to aid in workforce planning or establishing a business case. This data can be gathered from a variety of sources, both internal and external to the organization.

Turning to the organization's own marketing department is a good first step. Marketing technology (sometimes referred to as "martech") has become ubiquitous in most organizations, and it facilitates sourcing, archiving, and integrating marketing data in order to enhance efficiency and understanding of those who interact with the organization. Given the wealth of data that can now be collected, an HR professional who is competent in the Analytical Aptitude competency will be able to analyze, unpack, and parse the data they

receive from the marketing department. An additional source of internal marketing data might be web analytics.

Market Data

In addition to industry and business marketing data, more generalized market data could also be used. The market research industry is dynamic and well populated by both public and private organizations dedicated to collecting and disseminating research and information about consumers, customers, populations, industries, and more. The data can be used to better understand target audiences or certain segments of society and/or business.

Some of the organizations offer their research freely (in whole or in part), such as the Pew Research Center, Google Trends, and Gallup. Governments are another source of free and searchable market data; examples of these include the following.

- United States: Data.gov, Bureau of Economic Analysis, Small Business Administration
- United Kingdom: data.gov.uk
- Canada: Statistics Canada (“StatCan”)
- Global: UNdata (United Nations), World Bank Open Data, World Trade Organization

In addition to these publicly available sources of data, there are many respected private market research companies who gather data that can be syndicated by other organizations. Some examples include Ipsos, Nielsen, and Gartner.

Statistical Principles

Proficiency indicators related to this section include:

- Identifies potentially misleading or flawed data.
- Maintains working knowledge of statistics and measurement concepts.
- Promotes the importance of validating HR programs, practices, and policies to ensure that they achieve desired outcomes.
- Maintains advanced knowledge of statistics and measurement concepts.

Key concepts related to this section include:

- Basic concepts in statistics (examples include descriptive statistics, correlation) and measurement (examples include reliability, validity).
- Data analysis techniques and methods (examples include data cleansing, data mining, visualization, big data analysis, statistical analysis, predictive analysis).

Statistical Principles

Statistics refers to the collection, organization, and analysis of large amounts of numerical data. The value of analysis and evidence-based decision making is in direct relationship to the quality of the statistics used in the analysis. When data is wrong or insufficient, the analysis is likely to be wrong or weak. Here we'll look at the characteristics of quality data and common sources of error and bias in statistical analysis.

Competency Connection

Effective communication is based on understanding the audience and knowing what an individual or group of individuals truly wants. In the following case, an HR practitioner knows that the business owners' ultimate objective is protecting employees from harm. The best way to communicate that the current path is not working is to give the leaders more information and let them discover the truth themselves.

A medium-sized, family-owned electrical and IT engineering firm lives and breathes its company values, which include "Safety Before Profit." To sustain this value, the firm has made a composite measure of safety one of its enterprise-level key performance indicators (KPIs).

This composite includes four submeasures: potential risks, hazards, near-miss accidents, and actual accidents. To reinforce the importance of safety, employees' annual bonuses are linked to the aggregate safety KPI.

By directly linking employee bonuses to a composite safety KPI, the organization has inadvertently created an incentive to underreport potential risks and near-miss incidents, which are easy to conceal. By avoiding opportunities for analyzing risks and debriefing near misses, the policy has increased the overall number of actual accidents.

Given the company's dedication to its value of "Safety Before Profit," the head of HR realizes that it will be difficult to convince the owners to accept any changes to the safety KPI metric. HR decides that the best way to make changes is to construct a fair test of two alternatives and let the owners make the decision themselves.

In a six-month test, the bonus is retained for all regions. However, in three regions the bonus is based on all five KPIs (including safety), while in the fourth region the safety KPI is not included in the bonus calculation. After six months, the fourth region reports a 39% increase year to year of documented "potential risks," an increase of 18% in documented "near misses," and a phenomenal decrease of 73% in actual accidents. The owners can see for themselves how the aggregated safety KPI has been incentivizing the wrong behavior.

They change the overall safety bonus KPI to focus on preventive safety metrics—potential risks, hazards, and near misses—and to exclude any bonus linked to actual accidents.

HR demonstrates the Communication competency by finding the most appropriate way to show the owners how to make measuring their safety efforts more effective and the Analytical Aptitude competency in gathering and analyzing the data to support the proposal. The owners are able to contrast the effects of the alternative measurement methods and make a decision consistent with their essential goal—promoting the safety of their employees.

Reliability and Validity of Data, Statistical Sampling

Reliability of Data

Reliability reflects the ability of a data-gathering instrument or tool, such as a survey or a rater's observation or a physical measurement, to provide results that are consistent.

> **Examples:**
>
> If an applicant takes a motor skills test on consecutive days, the scores should be similar (allowing for the effect

of practice). If all conditions are the same and the scores differ significantly, the test may not be reliable.

If an interviewer uses different questionnaires in each interview, the interview approach will also not be considered reliable. To gather reliable information from a series of individuals, each interview should produce the same categories of responses (data). If information is present in some interview reports but not in others, then this approach is probably not reliable.

Perfect reliability is rarely achieved. A variety of errors can occur that may create inconsistent results, including:

- A failure to maintain the same conditions or correct for differences. For example, giving a cognitive skills test at different times of the day may produce different results. The impact of these differences can show up by retesting the subject(s).
- Cultural differences that create different interpretations of questions. For example, the same tool used to gather employee engagement data in different countries may produce different results. Tools require thorough review and testing.
- Bias in using the tool to gather data. Rater reliability can be checked by testing a tool with different raters. Bias is discussed further elsewhere.

Validity of Data

Validity is the ability of an instrument to measure what it is intended to measure. Validation answers two questions:

- What does the instrument measure?
- How well does the instrument measure it?

Validity reflects the degree to which a tool measures attributes that are relevant to the measurement's intention.

> **Examples:**
>
> Skill tests administered to job applicants must produce valid performance data, which means that they must measure skills that are necessary requirements for the job.
>
> A data-gathering tool designed to select information from an HRIS for an analysis about workplace-related injuries should contain only cases related to that type of injury, not injuries that occur away from the workplace.

A tool's validity may be damaged by using irrelevant criteria to develop measures. For example, a tool used to select high-talent individuals for fast-track career development could focus on characteristics that do not correlate to competencies leaders need in the organization. A follow-up survey may reveal that success rates do not correlate with the tool's predictions. Similarly, a performance analysis of a customer call center intended to measure customer

satisfaction will not be valid if it focuses on the frequency of call handling.

Statistical Sampling

Sampling is often used when the population to be analyzed is very large or when data cannot be obtained from the entire population. The sample must be representative; it must accurately reflect the key characteristics of the entire population being studied. For example, the sample used in a wage survey of employees in a certain job should include the same ratio of genders and years of experience as for all employees in that job. Samples of data must also be sufficiently large to include all the possible variations within the population being sampled. The smaller a sample is, the more likely analysis results will be affected by statistical outliers, values that differ greatly from the average. This is a common problem with surveys with low response rates.

Errors and Bias in Statistical Analysis

Errors may be introduced into a statistical study when:

- Incorrect data is used. A measurement may be taken incorrectly, or a number may be entered incorrectly.
- A study's design includes, intentionally or unintentionally, different types of biases that affect outcomes.

These biases could involve:

- **Sampling.** A sample may not represent the general population. For example, HR is studying the effects of an engagement strategy on retention. The sample, however, contains a higher proportion of older workers than are in the organization's workforce.

- **Selection.** Selection bias can occur in a controlled study when participants are not randomly assigned to control and experimental groups. (Controlled studies assign participants to a control group that does not experience the intervention or condition being tested and one or more experimental groups that do experience the intervention or condition.) Bias can also occur when researchers choose to enroll only certain types of participants. In a study testing the effects of a remote working policy, for example, the researchers enroll only employees who have been rated highly by their supervisors.

- **Response.** This is the inverse of selection bias. The researchers invite a representative sample to join a study, but the group that accepts or responds is not representative. For example, HR invites all employees to participate in a survey to determine new benefits. The group that responds is composed disproportionately of young parents.

- **Performance.** Participants in a controlled study behave differently because they are being studied. A famous example of this is the Hawthorne Works experiment. The experiment was designed to measure the effect of improvement in various factory conditions on worker productivity, but the increases in productivity were only temporary and appeared to be related primarily to the experiment's design. The workers appreciated the increased attention to their welfare.

- **Measurement.** Raters are measuring incorrectly, either unintentionally (because of lack of training or difficult measurement procedures) or intentionally (the result of some type of personal bias).

Key Content

When using study results, HR professionals should be mindful of the information-gathering and analysis approaches used in the study, which are described in the study's methodology section. These methods may reveal errors or the potential for error. If they are creating their own studies, HR professionals may want to consult with statistical experts and have them review their studies' methodology.

Data Cleansing

Data cleansing is a process by which incomplete sets, anomalies, errors, and gaps in the data are identified and addressed.

With the proliferation of technological and analytical tools, organizations are now generating more data than ever—in both volume and diversity. Different parts of an organization will collect different sets of data, depending on their focus and mission. It is therefore important to be able to compile and share this data in a usable format. This will often require the data to be cleansed—which may also be referred to as “data wrangling”—a process by which incomplete sets, anomalies, errors, and gaps in the data are identified and addressed. Incorrect, inconsistent data can lead to incorrect conclusions, poor decision making, and misdirected efforts and resources.

Cleansing data is connected to validation and identifying bias, as these processes assess how useful and correct the data is. By cleansing the data collected, you can ensure that decisions are made based on better-quality data.

Data cleansing is not an ad hoc process. Rather, HR should try to embed certain practices into the culture of the organization. For example, developing a common terminology can help streamline the dissemination of data. Pushing for standardized data collection is another valuable step to take—and one that should be taken early—despite the perceived hurdles and potential disruption. The cost (in time, errors, and so forth) of not doing this will likely grow over time.

For example, when conducting a compensation analysis, there may be several surveys that include similar pay ranges. However, one survey may show a 200% increase in the high range. As a compensation analyst, the HR professional will determine if this data point is an outlier, and, if it is, the data point would be removed from the data used.

Data Measurement Tools

Proficiency indicators related to this section include:

- Identifies sources of the most relevant data for solving organizational problems and answering questions.
- Maintains advanced knowledge of statistics and measurement concepts.

Key concepts related to this section include:

- Basic concepts in statistics (examples include descriptive statistics, correlation) and measurement (examples include reliability, validity).

Data Measurement Tools

Descriptive statistics is the process of sorting data in different ways to provide a more accurate and in-depth understanding of what the data is showing. Descriptive statistics enables analytical statistics, the process of inferring the meanings behind data descriptions—for example, why something is occurring now or what is likely to occur in the future. Data measurement tools are used in descriptive statistics to understand the distribution patterns and characteristics of the dataset.

Competency Connection

The Analytical Aptitude competency allows HR professionals to see the realities that lie behind the numbers. As the following example shows, Analytical Aptitude can identify obstacles to strategy that must be overcome.

An HR manager is reviewing the transfer of existing employee data from the previous HRIS into a new enterprise resource management system with an HR module. Her goal is primarily to validate the transfer, but she wants to learn the analytic tools in the new software as well. So she starts looking at employee data in different ways, analyzing employees by pay level, tenure, function, and so on.

When she analyzes the workforce by age, a disturbing fact leaps from the analysis. Half of the workforce is over the age of 50. This analysis has clear implications for the organization and HR. Further analysis must be done to clarify the age of key employees and assess succession plans. Plans must be made to capture institutional knowledge held by older employees before they retire. Impending employee shortages must be identified by function and job type. Backup plans to retain key talent beyond retirement—perhaps through part-time work—must be developed.

This HR professional has demonstrated the Analytical Aptitude competency by appreciating the potential of data analysis for the organization, translating data results into organizational impacts, and using that data as a platform for consultation-driven problem solving.

Measures of Central Tendency

Common measures of central tendency are median, mode, and mean (or average).

Median and Mode

The **median ,** or 50th percentile, is the middle value in a range of values. The median is the preferred measure of central tendency when the distribution in a dataset is skewed—when it contains a few

excessively high or low values. It is also used in frequency distributions, which are described elsewhere.

The **mode** is the most frequently occurring value in a set of data.

In Exhibit 57, on the left side where there are an odd number of data points, $70,000 is the median salary, because five are less than that point and five are greater. In the right side of the table, where there are an even number of data points, there are two middle numbers. These are averaged to obtain a median salary of $67,500. In both columns of data, the mode is $70,000 because that salary appears most often—five times.

Exhibit 57: Median and Mode

Salaries		Salaries	
$55,000		$55,000	
$55,000		$55,000	
$60,000		$60,000	
$65,000		$60,000	
$65,000		$65,000	
$70,000	*Median and mode are $70,000.*	$65,000	*Median is ($65,000 + $70,000) ÷ 2 = $67,500. Mode is $70,000.*
$70,000		$70,000	
$70,000		$70,000	
$70,000		$70,000	
$70,000		$70,000	
$70,000		$70,000	
$75,000		$70,000	

Salaries		Salaries	
		$75,000	

Mean

The arithmetic average, or **mean ,** is the average score or value. It is typically calculated in one of two ways: unweighted (or raw) and weighted.

Unweighted Mean

The **unweighted mean ,** or raw average, is the sum of all the values in the sample divided by the number of values. This is useful when all the values are relatively close together and when they represent volume as opposed to numerical order or numerical preference. For example, a group of ten employees in a particular position are surveyed to see how much time they spend on job tasks. The employees' answers are only slightly different for one task: the largest number is 60 minutes a day and the smallest is 50 minutes. The unweighted average provides a useful gauge in answering a job seeker's question, "How many hours a day would I be doing X?"

Exhibit 58 shows the unweighted average salary for a job description in five divisions that comprise an entire organization. To calculate this, the salaries for each division are summed and divided by five, the number of the divisions. The unweighted average salary is $65,000.

Exhibit 58: Unweighted Mean Salary for Same Job Description

Division	Number of Employees	Salary
A	2	$55,000
B	1	$60,000
C	2	$65,000
D	5	$70,000
E	1	$75,000
Total	11	$325,000
Unweighted average salary = $325,000/5 = $65,000		

Weighted Mean or Average

The **weighted mean ,** or weighted average, is used when some data in the dataset have more significance or effect than other data. In the salary example, there are two challenges in relying on an unweighted average for a better picture of salaries across the organization. First, there is a relatively large spread between the highest and lowest values—$20,000, or almost 40% of the salary in Division A. Second, there are significant differences among the divisions. Only two employees receive $55,000 in Division A, but five employees receive $70,000 in Division D.

Weighted means are useful in situations like this, where there are significant outliers in the spread of data—points that are relatively much higher or lower than the other data points—or when the values

are not considered equally impactful. Calculating the weighted mean in the salaries will reflect the fact that the median salary skews toward the higher end of the range.

The weighted mean is determined by multiplying individual values by a factor that adjusts the value. The results are then summed. In the salary example, each salary group (for example, $55,000 or $75,000) is multiplied by a weighting factor that represents the proportion of data points at that level (the number of employees in that division). The factor is obtained by dividing the number of employees at each level by the total number of employees (for example, 2 divided by 11, or 0.18).

Exhibit 59: Weighted Average Salary for Same Job Description

Number of Employees in Divisions at Salary Level	Weighting Factor (Employees at Level/Total Number of Employees	Salary	Salary Multiplied by Weighting Factor
A = 2	0.18 (or 2/11)	$55,000	$9,900
B = 1	0.09 (or 1/11)	$60,000	$5,400
C = 2	0.18 (or 2/11)	$65,000	$11,700
D = 5	0.46 (or 5/11)	$70,000	$32,200
E = 1	0.09 (or 1/11)	$75,000	$6,750
Total number of employees = 11			
Weighted mean salary = $9,900 + $5,400 + $11,700 + $32,200 + $6,750 = **$65,950**			

Key Content

Weighting is often used in creating scales for evaluation. For example, HR could use weighting in assessing job candidates when some of the requirements—like certain degrees or credentials—are considered to be more important than others. Similarly, when selecting a recruiter, HR may consider previous successful experience with the recruiting firm to be more important than the cost of the service.

Frequency Distributions

Frequency distributions are used to sort data into groups according to some factor, such as years of employment. This allows analysts to understand the distribution of the data they are working with—whether the data is focused in a normal pattern around a central value or is more broadly or narrowly dispersed over the data range. Frequency tables help locate peaks within the data range. An HR professional using a frequency table focusing on employee age might note that the workforce is unevenly distributed, with a larger proportion of workers approaching retirement age. This may affect workforce planning management activities.

The frequency distribution in Exhibit 60 is simply a listing of ranked data, from lowest to highest. It shows the number of employees in the same job description at a particular salary level—that is, how frequently each salary level occurs.

Exhibit 60: Frequency Distribution for Salary Levels in Same Position

Salary	Number of Employees
$55,000	2
$60,000	1
$65,000	2
$70,000	5
$75,000	1

Quartiles and Percentiles

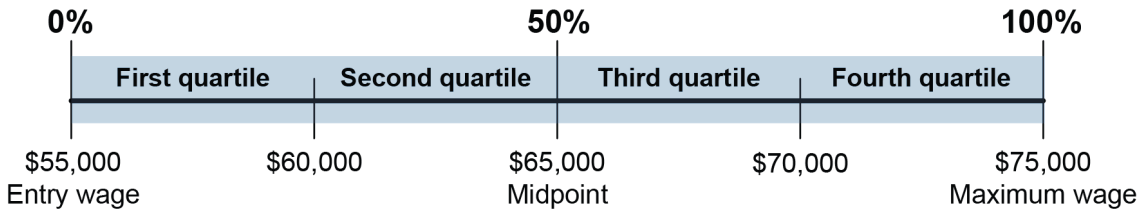
Quartiles and percentiles describe dispersion across a group of ranked data. Quartiles divide a data set into quarters. A percentile indicates the proportion of the dataset at a certain percentage. For example, a value in the 90th percentile is greater than 90% of the values in the dataset.

A quartile ends at a certain percentile. The first quartile, or Q1, contains all the data at or below the 25th percentile. The second quartile, or Q2, ends at the value in the center of the distribution, or the 50th percentile—half of the values lie above and half below. The

fourth quartile, or Q4, ends with the last value in the set at the 100th percentile.

Exhibit 61 shows the range for the job grade in Exhibit 60 in quartiles and percentiles.

Exhibit 61: Distribution by Quartile and Percentile



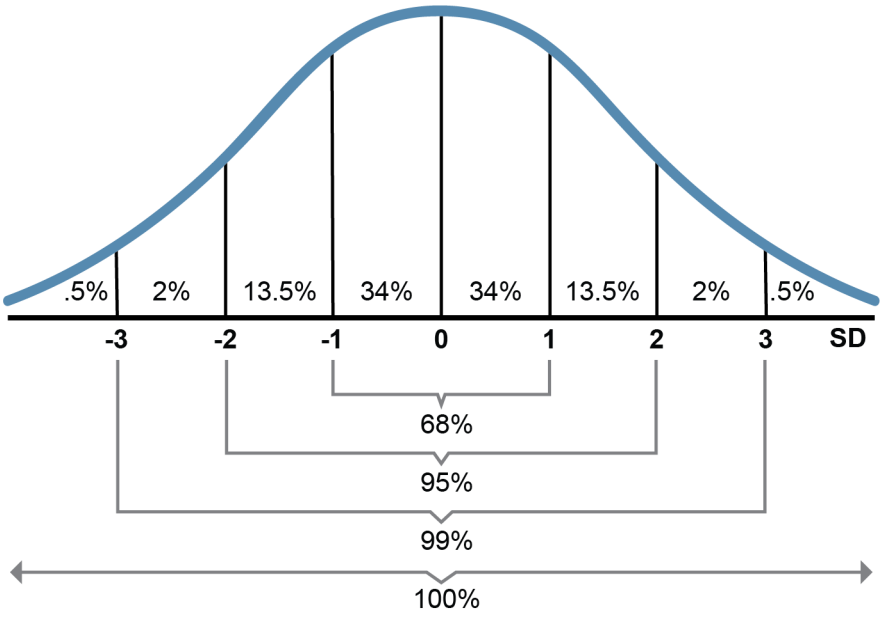
Quartiles and percentiles are frequently used in benchmarking. For example, an organization can place its mean salary for a job description in a range of values for that job description in a survey of other organizations. It can then determine if its compensation leads (Q3 or Q4), lags (Q1 and Q2), or matches (50th percentile) the external market.

Standard Deviation

Standard deviation represents the distance of any data point from the center of a distribution when data is distributed in a "normal" or expected pattern.

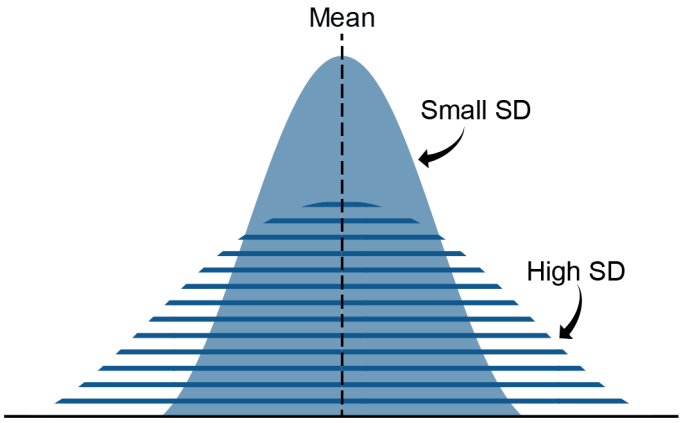
Standard deviation represents the distance of any data point from the center of a distribution when data is distributed in a “normal” or expected pattern. This is often shown as a bell curve. In a normal distribution, 68% of data lies within one standard deviation (expressed often as SD or the Greek letter sigma [σ]), 95% of data lies within two SDs, and 99% lies within three SDs.

Exhibit 62: Normal Distribution



Calculating standard deviation is difficult to explain, but it can be easily calculated using spreadsheet programs or statistical analysis software. It is important to appreciate its significance, however. The resulting patterns of high and low standards of deviation are shown in Exhibit 63.

Exhibit 63: Data Curve Shape in Datasets with High or Low Standard Deviation



- When the standard deviation in a dataset is low, the data curve is high and narrow, with data points tightly grouped around a center value. For example, HR has surveyed the frequency of salary levels and finds that the SD is very low across the organization. That suggests consistency in following headquarters guidelines on pay levels.
- When the standard deviation is high, the data curve is flatter and longer and is more spread out. There are more outliers in the dataset—measures that are significantly greater than the central value. If HR's survey shows a high standard deviation, there is less consistency in applying pay levels. HR may want to investigate this further. It may simply be a matter of widely different experience levels or, in an organization with multiple geographic sites, widely different pay standards, costs of living, or costs of labor.

Data Analysis Tools

Proficiency indicators related to this section include:

- Applies data-driven knowledge and best practices from one situation to the next.
- Conducts analyses to identify evidence-based best practices, evaluate HR initiatives, and determine critical findings.
- Demonstrates an understanding of the importance of using data to inform business decisions and recommendations.
- Identifies gaps in data based on analysis and seeks missing data.
- Maintains objectivity when interpreting data.
- Objectively examines HR programs, practices, and policies in light of data.
- Reports key findings to senior business and HR leaders.
- Uses data to explain and support business decisions to employees and leaders.
- Uses research findings to evaluate different courses of action and their impacts on the organization.
- Communicates critical data analysis findings and their implications for HR's strategic direction and goals to senior leaders.

- Critically reviews and interprets the results of analyses to identify evidence-based best practices, evaluate HR initiatives, and determine critical findings.
- Develops best practices based on evidence from industry literature, peer-reviewed research, experience and other sources.
- Oversees comprehensive and systematic evaluations of the organization’s HR programs, practices, and policies.
- Sponsors evidence-based initiatives for process improvement.
- Uses data to support business cases.
- Uses research findings to inform HR's strategic direction and long-term goals.

Key concepts related to this section include:

- Data analysis techniques and methods (examples include data cleansing, data mining, visualization, big data analysis, statistical analysis, predictive analysis).
- Interpretation of graphs and charts (examples include bar charts, line graphs, scatterplots, histograms).
- Using data to support a business case (examples include interpretation, visualization, graphical representation, storytelling).

Data Analysis Tools

Data is subjected to different types of analysis to sort it into categories, compare the categories, compare the relationships between variables, see patterns and trends in the data, and make more reliable predictions.

Competency Connection

The Analytical Aptitude competency allows HR professionals to see the meaning behind the data they collect, to provide sound advice to management, and to make better function decisions.

An HR team has been assigned to investigate high turnover rates and poor performance in a particular division.

One of the analytical exercises used in examining the turnover problem is to examine exit interview notes from the previous year to determine if certain problems have been mentioned repeatedly and if any patterns exist. To do this, the HR specialist:

- Creates a spreadsheet to capture significant data from the reviewed notes.
- Condenses the wide volume of responses down into the essential elements, using metrics such as mean, median, mode, and percentiles.

- Uses graphic elements to summarize key areas.

The specialist and the manager study the data and consider its quality from a number of perspectives, trying to control for different interviewers, types of positions, types of reasons given, and so on. They look for commonalities and trends.

They report to the HR leader a list of possible causes for turnover, with supporting data. In their presentation, the factors in question are compared with parallel data from other, better-performing divisions.

Data Analysis Approaches

Metrics measure single data points in relative comparisons and provide tabular outputs of counts and rates. In that regard, metrics provide information that guides tactics and operations through quantitative analysis. What metrics do not provide are insights regarding the “why” behind the data. Assessing the “why” is what allows HR and organizational leaders to make important, competitively differentiating business decisions. This is where HR professionals have a genuine opportunity to use analytics and impact the organization’s strategy.

Analytics can expose the important connections and patterns in data to make better workforce decisions because they:

- Consider the past and present and forecast the future.
- Connect multiple data items.
- Provide computational analysis of data or statistics.
- Provide visual outputs of patterns and trends.
- Provide insights that can drive strategy.

Different analytical methods can be used to uncover the implications of a dataset.

Variance Analysis

Variance analysis identifies the degree of difference between planned and actual performance. The term is usually applied to analysis against objective baselines, such as schedules and budgets. Once identified, different analytical tools, such as those described below, can be applied to understand the variance.

Ratio Analysis

Ratio analysis compares the relative size of two variables and yields a percentage. Net profit margin, for example, is a ratio that compares net revenue with costs. Many commonly used HR metrics are ratios, such as the turnover rate (comparing the number of terminations or resignations in a time period with the average number of employees in that period).

Trend Analysis

While a variance report provides a picture of one point in time, a **trend analysis** examines data from different points in time to determine if a variance is an isolated event or if it is part of a longer trend. By establishing the direction and degree of change over time, the trend analysis can also be used to forecast future conditions, such as the ability of an initiative to meet its objectives. Both trend analysis and forecasting can be performed within software applications. Trend analyses are important tools in discovering recurring peaks or troughs in an activity. For example, HR can use trend analysis to identify the most appropriate times to conduct campus job fairs by tracking the results from events held at different times over multiple years.

Here is an example of a workforce trend analysis. Using the six years of performance data in Exhibit 64, the HR manager of ABC Medical wants to project the demand for employees in years seven and eight.

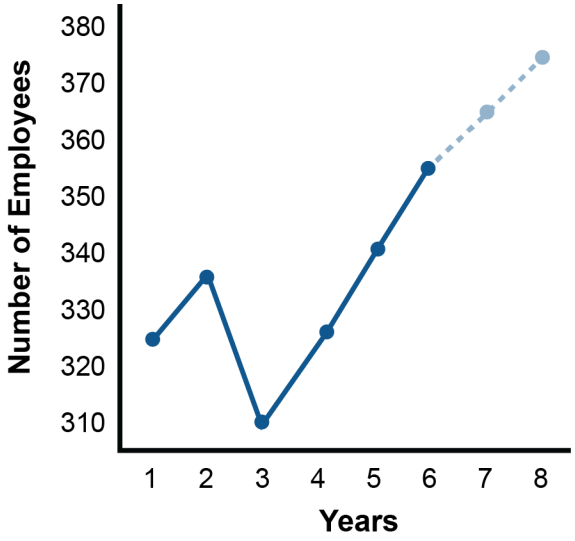
Exhibit 64: Performance at ABC Medical

Year	Business Factor (sales in millions)	Labor Productivity (annual sales per employee)	HR Demand (number of employees)
1	$3.613	$11,120	325
2	$3.748	$11,120	337
3	$3.880	$12,520	310
4	$4.095	$12,520	327

Year	Business Factor (sales in millions)	Labor Productivity (annual sales per employee)	HR Demand (number of employees)
5	$4.283	$12,520	342
6	$4.446	$12,520	355

To accomplish this, a simple trend analysis (as shown in Exhibit 65) can be used that plots the number of employees each year for the last six years and then simply projects this trend out for two more years to predict the number of employees needed.

Exhibit 65: Trend Analysis for ABC Medical



A statistical formula can be used to calculate the slope of this trend line.

The HR manager for ABC Medical could also use a ratio analysis. The data from Exhibit 64 shows that labor productivity (sales divided by number of employees) has remained at $12,520 for the past four

years. If the management of ABC Medical assumes that labor productivity will stay at $12,520 and sales are predicted to increase to $5 million in year seven, the calculation is as follows:

$$\$5,000,000 \div \$12,520 = 399 \text{ employees}$$

Based on this ratio analysis, the HR manager will need to hire 44 new employees (399 – 355) to achieve the increase in sales.

However, if management believes that new efficiencies created by better training and equipment will increase labor productivity to $13,000 for year seven, the following ratio applies:

$$\$5,000,000 \div \$13,000 = 384 \text{ employees}$$

In this case, the HR manager will need to hire 29 new employees (384 – 355) to achieve the increase in sales.

The ability to predict variables such as level of sales, production, or service within workable limits or ranges most often becomes the foundation for making the HR forecast. Therefore, in trend and ratio analyses, when figures are projected into the future, the key determinant is whether relationships will remain the same. In this case, the clear identification of assumptions underlying the forecast is critical to interpretation and acceptance of the information.

Regression Analysis

Regression analysis refers to a statistical method used to determine whether a relationship exists between variables and the strength of the relationship. Data points can be plotted on a diagram called a scattergram. The shape of the line formed by the data suggests if there is a likely correlation, whether that correlation is positive or negative, and how strong or weak the correlation is. Analyses can use multiple variables.

A regression analysis might help determine the most significant indicators of success in a given job, testing variables such as recruitment source, education, job experience, personality type, and so on against job performance ratings.

Root-Cause Analysis

Root-cause analysis starts with a result and then works backward. Each cause is queried to identify a preceding cause—conditions or actions that might have led to this effect. This questioning may proceed backward in rounds until the fundamental or root cause is identified—the point at which no further causes can be identified. This method is sometimes referred to as the “five whys method,” which was developed as part of the Toyota Industries quality initiatives.

For example, an HR professional is trying to determine why employees are not using employee self-service portals at the expected level. In the first round, the HR professional may identify a number of “whys”—employees don’t have sufficient access, employees are unaware of the portal’s existence, or the employees don’t like using the portal. Each cause can be further queried. For example, employees may not like the portal because it is too slow or too hard to navigate or because the processes are too complicated or unreliable. These causes can be further queried until fundamental issues are identified. For example, the development process may not have included user input and pilot testing because the launch schedule was unrealistic.

Scenario Analysis

For the purpose of evaluation, a **scenario/what-if analysis** can be used to test the possible effects of altering the details of a situation to see how the outcomes will vary under different conditions. The outcome of a particular situation is projected, using different inputs to see what changes have the most profound effects. This analysis is greatly aided with software applications and models. Monte Carlo analyses, for example, use computing capabilities to change scenario variables randomly and thereby generate up to thousands of possible

outcomes. This can be helpful when analysts fear that historical patterns may not hold in the future.

Using Data to Support a Business Case

A business case that successfully establishes how a specific problem or issue is to be resolved or addressed must include data.

A business case that successfully establishes how a specific problem or issue is to be resolved or addressed must include data. This allows you to make decisions based on reality and evidence, which in turn can help articulate and support proposals when explaining them to employees and leaders. Drawing upon the various components that comprise the Analytical Aptitude competency, an HR professional can present a compelling, convincing case, backed by facts that support the proposed business decisions and show how they align with organizational strategy.

The ability to tell a fact-based story is data's greatest contribution to a business case. Understanding the priorities of the organization will guide you toward compiling relevant data to tell the correct story to the correct audience.

The disposition of report-generating groups within an organization can be a challenge. Sometimes reports are generated but aren't immediately or obviously available to other members of the organization. HR professionals should make it a practice to reach out across their organization to request information and reports that might be relevant to their work. This can help break down information silos and bring datasets out of isolation.

For example, to make the case for providing employees with opportunities for personal professional development, an HR professional can draw on data that shows how personnel who have received a certain professional certification have higher success rates and tend to deliver results more efficiently.

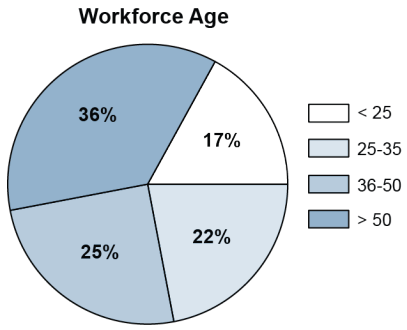
Data on its own is not the route to a more successful business case. An HR professional needs to know what to do with it and how to turn it into a narrative, and that's where interpretation, visualization, and graphical representation come in. Presenting management or a team of employees with reams of data in a spreadsheet might appear impressive, but it will not necessarily generate support for the proposal. Creating graphical representations of the data can present your findings in a clearer, more efficient and accessible manner. This can also put you in a position to counter firmly held, but incorrect, organizational or leadership beliefs.

Graphic Data Analysis Tools

Graphic data analysis tools are often used to support analysis and visualize results. The most common data analysis tool is probably a spreadsheet program that allows the analyst to sort data and view it in different ways. Most of these programs include the capability to create graphic representations that help to analyze the data in different ways. These tools also allow for the results to be communicated more easily and accessibly to other people.

Exhibit 66 shows some common graphic analytical tools.

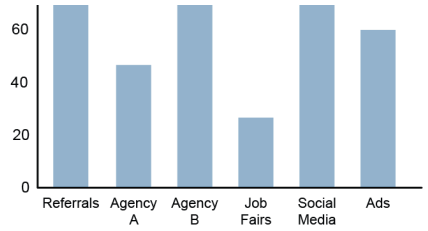
Exhibit 66: Graphic Presentation of Data Analysis

Pie Chart	
Description: Graphically depicts as portions or slices of a circle the constituents that comprise 100% of a data group. Textual data information can be included in callouts or in an attached table for more precise communication. **Application:** To present a high-level impression of the data distribution as a percentage of a whole—for example, the workforce. This information may be helpful context for a deeper discussion. **Example:** HR uses a pie chart to describe the age breakdown of the workforce.	
Histogram	
Description: Graphically depicts the sorting of data into groups arranged in the shape of a statistical distribution, showing a central tendency and dispersion around that tendency. This	

appears as columns of varying heights or lengths. Histograms can include a comparative referent, such as a target or range of values. They can also be designed to show comparisons over time (usually through multiple columns for each category).

Application: To sort data and to support rapid comparison of categories of data.

Example: HR uses a histogram to analyze recruiting methods in terms of employee performance ratings.

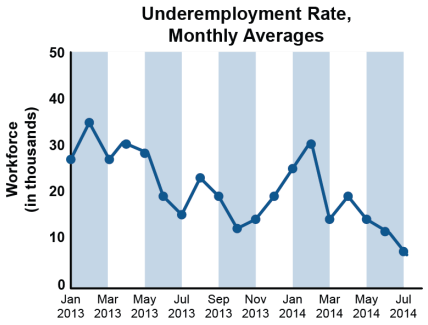


Trend Diagram

Description: Plots data points on two axes. The horizontal axis usually represents time, while the vertical axis represents volume.

Application: Can be used to test for presence of cycles or developing trends.

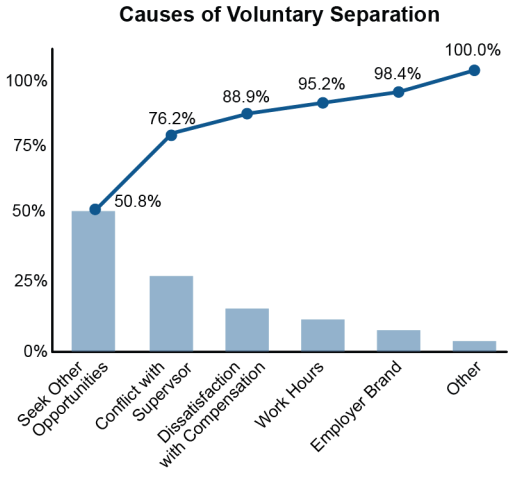
Example: The HR group analyzes workforce demand to identify overall trends in demand as well as high and low points in the calendar year.



Pareto Chart

Description: Applies the Pareto principle (that 80% of effects come from 20% of causes) in the form of a histogram. Categories of data are ranked, usually from left to right along the *x* axis, according to size. The *y* axis shows reference ranges (for example, number or percentage of occurrences). A cumulative percentage line plots the category contributions to the whole, making it easier to identify the 80/20 cut—the 20% of factors that are creating 80% of the problems.

Application: Distinguishes between the “vital few” categories that contribute most of the issues and the “trivial many” categories of infrequent



occurrence to support more-focused quality improvement activities.

Example: An HR professional uses a Pareto chart to analyze and illustrate causes of voluntary and involuntary employee separation from the organization.

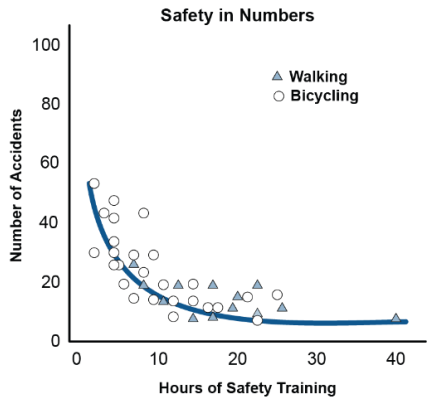
Scatter Diagram

Description: Plots data points against two variables that form the chart's *x* and *y* axes. Each axis is scaled. The pattern formed by the plotted data describes the correlation between the two variables:

- The tightness of clustering indicates the probable strength of the correlation.
- A line rising from the lower left to the upper right quadrant indicates a positive correlation. (As *x* increases, *y* increases.)
- A line falling from the upper left to the lower right quadrant indicates a negative correlation. (As *x* increases, *y* decreases.)

Application: Can be used to test possible causal relationships and narrow focus on subsequent tests.

Example: An HR professional maps the correlation of workplace accidents with a series of factors, such as access to safety training.



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Glossary

Accounts payable

Money an organization owes its vendors and suppliers.

Accounts receivable

Money an organization's customers owe the organization.

Active listening

Communication technique to increase the engagement between communicators and their audiences. It involves two-way communication and attention to nonverbal signs that indicate interest and reactions to the message and speaker.

Affinity diagramming

Data-sorting technique in which a group categorizes and subcategorizes data until relationships are clearly drawn.

Analytical processing

Applications that can analyze data faster and in more ways than traditional relational databases, offering a multidimensional analysis of business data.

Assets

Financial, physical, and sometimes intangible properties an organization owns.

Balance sheet

Statement of an organization’s financial position at a specific point in time, showing assets, liabilities, and shareholder equity.

Balanced scorecard

Performance management tool that depicts an organization’s overall performance, as measured against goals, lagging indicators, and leading indicators.

Bribery

Exchange of anything of value to gain greater influence or preference.

Business case

Presentation to management that establishes that a specific problem exists and argues for a proposed solution.

Business intelligence

Ability to use information to gain a deeper understanding of an organization and make sound business decisions.

Cash flow statement

Statement of an organization’s ability to meet its current and short-term obligations, showing incoming and outgoing cash and cash reserves in operations, investments, and financing.

Civil law

Legal system based on written codes (laws, rules, or regulations).

Code of conduct

Principles that guide decision making and behavior in an organization.

Common law

Legal system in which each case is considered in terms of how it relates to legal decisions that have already been made; evolves through judicial decisions over time.

Confidentiality

Treatment of personal information that has been disclosed to another person or organization.

Conflict of interest

Situation in which a person or organization may benefit from undue influence due to involvement in outside activities, relationships, or investments that conflict with or have an impact on the employment relationship or its outcomes.

Covering

Defensive behavior that occurs when an organization recruits a diverse workforce but, consciously or otherwise, promotes assimilation rather than inclusion.

Cultural intelligence

Capacity to recognize, interpret, and behaviorally adapt to multicultural situations and contexts.

Cultural taxation

Additional workload that is generated for members of an underrepresented group due to their requested participation in

DE&I efforts.

Culture

Basic beliefs, attitudes, values, behaviors, and customs shared and followed by members of a group, which give rise to the group's sense of identity.

Delphi technique

Technique that progressively collects information from a group of anonymous respondents.

Diversity

The similarities and differences between individuals, accounting for all aspects of one's personality and individual identity.

Due process

Concept that laws are enforced only through accepted, codified procedures.

Emotional intelligence (EI)

Ability to be sensitive to and understand one's own and others' emotions and impulses.

Employee resource group (ERG)

Voluntary group for employees who share a particular diversity dimension (race, religion, ethnicity, sexual orientation, etc.); also known as affinity group or network group.

Enterprise resource planning (ERP)

Business management software, usually a suite of integrated applications, that a company can use to collect, store, manage, and interpret data from many business activities.

Equity

Amount of owners' or shareholders' portion of a business.

Extraterritoriality

Extension of the power of a country's laws over its citizens outside that country's sovereign national boundaries.

Focus group

Small group of invited persons (typically six to twelve) who actively participate in a structured discussion, led by a facilitator, for the purpose of eliciting their input.

Framing

Process of constructing a message so that an audience sees communicated facts in a certain way and is persuaded to take a certain action.

Global mindset

Ability to take an international perspective, inclusive of other cultures' views.

Gross profit margin

Ratio of gross profit to net sales.

High-context cultures

Societies or groups characterized by complex, usually long-standing networks of relationships; members share a rich history of common experience, so the way they interact and interpret events is often not apparent to outsiders.

Impostor syndrome

A feeling that one's success is due to luck, not hard work or skill; can lead individuals to feeling unfit for their current role.

Inclusion

Extent to which each person in an organization feels welcomed, respected, supported, and valued as a team member.

Income statement

Statement that reports revenues, expenses, and profits for a specified period of time, for example, quarterly or annually.

J curve

Visualization of the impact of change on productivity. When change is introduced, there is typically a decrease in productivity and then a gradual return to or, ideally, a surpassing of previous levels of productivity.

Jurisdiction

Right of a legal body to exert authority over a given geographical territory, subject matter, or persons or institutions.

Liabilities

Organization's debts and other financial obligations.

Low-context cultures

Societies in which relationships have less history; individuals know each other less well and don't share a common database of experience, so communication must be very explicit.

Mean

Average score or value.

Median

Middle value in a range of values.

Mind mapping

Data-sorting technique in which group members add related ideas and indicate logical connections, eventually grouping similar ideas.

Mode

Value that occurs most frequently in a set of data.

Motivation

Factors that initiate, direct, and sustain human behavior over time.

Negotiation

Process by which two or more parties work together to reach agreement on a matter.

Net profit margin

Ratio of net income (gross sales minus expenses and taxes) to net sales.

Networking

Process of developing mutually beneficial contacts through the exchange of information.

Neurodiversity

Refers to a workforce that approaches problems using different conceptual thought approaches that may stem from atypical brain structure, for example, attention deficit disorder (ADD), attention-deficit/hyperactivity disorder (ADHD), and anything categorized as existing on the autism spectrum (autism spectrum disorder, or ASD).

Noise

In communication, any factor that can disrupt the sending and receipt of a message—for example, physical factors such as loud environments, cultural factors such as a distinctive accent, or cognitive factors such as the use of unfamiliar jargon.

Nominal group technique (NGT)

Technique in which participants each suggest ideas through a series of rounds and then discuss the items, eliminate redundancies and irrelevancies, and agree on the importance of the remaining items.

Nonverbals

Components of a message apart from its words. This could include physical gestures and posture and vocal tones, volume, and speed.

Principled negotiation

Process in which negotiators aim for mutual gain, emphasizing the need to focus on the problem instead of personal differences and on mutually beneficial outcomes.

Qualitative data

Subjective evaluation of actions, feelings, or behaviors.

Quantitative data

Objective measurements that can be verified and used in statistical analysis.

Ratio analysis

Comparing the sizes of two variables to produce an index or percentage; commonly used to analyze financial statements.

Regression analysis

Statistical method used to determine whether a relationship exists between variables and the strength of the relationship.

Reliability

Extent to which a measurement instrument provides consistent results.

Root-cause analysis

Type of analysis that starts with a result and then works backward to identify fundamental cause.

Rule of law

Concept that stipulates that no individual is beyond the reach of the law and that authority is exercised only in accordance with written

and publicly disclosed laws.

Scenario/what-if analysis

Statistical method used to test the possible effects of altering the details of a strategy to see if the likely outcome can be improved.

Service-level agreement

Document that defines the output customers can expect.

Stakeholder concept

Concept that proposes that any organization operates within a complex environment in which it affects and is affected by a variety of forces or stakeholders who all share in the value of the organization and its activities.

Standard deviation

Distance of any data point from the center of a distribution when data is distributed in a “normal” or expected pattern.

Transparency

Extent to which an organization’s agreements, dealings, information, practices, and transactions are open to disclosure and review by relevant persons.

Trend analysis

Statistical method that examines data from different points in time to determine if a variance is an isolated event or if it is part of a longer trend.

Unweighted mean

Raw average of data that gives equal weight to all values, with no regard for other factors.

Validity

Extent to which a measurement instrument measures what it is intended to measure.

Value

The benefit created when an organization meets its strategic goals; measure of usefulness, worth, or importance.

Value chain

The process by which an organization creates the product or service it offers to the customer.

Variance analysis

Statistical method for identifying the degree of difference between planned and actual performance or outcomes.

Weighted mean

Average of data that adds factors to reflect the importance of different values.

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